Orient Cement (ORIENTCEM)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-08-02.

Call: Aug 2022

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar, Bhubaneshwar, Odisha 751012, India . www.orientcement.com
CIN No: L26940OR2011PLC013933

August 8, 202 2

Bombay Stock Exchange Limited
New Trading Ring,
Rotunda Building, P J Towers,
Dalal Street, Fort
Mumbai -400001
Security Code: 535754 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East),
Mumbai – 400 051

Symbol: ORIENTCEM

Dear Sir(s),

Sub: Audio Recording & Transcript of Investors/Analyst s Conference Call for the quarter ended June 30, 2022

Dear Sir (s),

This is in continuation to our earlier letter dated July 27 , 2022, filed in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, regarding participation of the management of the Company in the investors/ analysts Conference Call, to discuss the Un-audited Financial Results of the Company for the quarter ended June 30 , 2022 and outlook of the Company going forward , on Mon day, August 1, 2022 at 11:00 AM (IST).

In this regard, in compliance of the aforesaid Regulation, the fo llowing link of the recording of the investors/analysts Conference Call held on August 1, 2022, was uploaded on the website of the Company , www.orientcement.com within p rescribed time .

Link :https://www.orientcement.com/wp -content/uploads/2022/08/ICI3420220801142600_1.mp3

Further , please find enclosed herewith the transcript of the aforementioned investors /analysts Conference Call.

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar, Bhubaneshwar, Odisha 751012, India . www.orientcement.com
CIN No: L26940OR2011PLC013933

The said transcript is also available on the website of the Company , www.orientcement.com . You are requested to take the same on record .

Yours sincerely,
For Orient Cement Limited

Nidhi Bisaria
(Company Secretary)

Encl.: as stated

“Orient Cement Limited Q1 FY -23 Earnings
Conference Call”

August 01, 2022

MANAGEMENT : MR. DEEPAK KHETRAPAL – MD & CEO, ORIENT CEMENT LIMITED .
MODERATOR : MR. KRUPAL MANIAR – ICICI SECURITIES LIMITED .

Moderator: Good morning ladies and gentlemen. Welcome to Orient Cement Q1 FY 23 Results Conference Call hosted by ICICI S ecurities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Krupal Maniar from ICICI Securities . Thank you and over to you sir.

Krupal Maniar: Thank you, Seema. Good morning and a warm welcome to everyone. On behalf of ICICI Securities, we welcome you to the first quarter FY 23 Earnings Call of Orient Cement Limited . On the call we have with us Mr. Deepak Khetrapal – MD & CEO of the company . At this point of time, I will hand over the floor to Mr . Deepak Khetrapal for his opening remarks, which will be followed by interactive Q&A session. Thank you and over to you sir .

Deepak Khetrapal: Thank you Krupal. Thank you very much. Good morning, everyone and warm welcome to our investors call that we host every quarter now. And thank you for sparing your time to come and listen to us. I just need to inform you that today Soumitra Bhattacharya our CFO has not been able to join me on t his call, because he actually is in a hospital and he is undergoing some small surgery. So , I am here and Manish A ggarwal from our company, he ’s here with me on the call. To start with, let me say this time, we are doing a call with the day or weekend bre ak, because I had some of the board meetings in the meantime. And I ’m sure you ’ve had ample time to go through the results of our Q1 that we announced on Thursday. And I ’ll take this opportunity to provide some perspective on the numbers. But before that, I would like to touch upon, the most exciting development that has happened in just last few days and on the day of the board meeting , we also announced that to stock exc hange, all of us have been waiting literally with bated breath for the our min es in Rajasthan to be restored to us which has been a matter of not quite litigation, but a matter of some disagreements on how the modalities should work and what kind of charge s are payable. I 'm delighted to inform all of you that the Rajasthan mines are being restored to us. Exactly on the terms that we wanted , there is a simple change of name from Orient P aper Industries L imited to Orient Cement Limited, there is no transmissi on, transfer, no transmission, no fee, no charges, nothing at all. And that 's how we wanted it. So, fortunately, that is now back with us.

Congratulations to all our shareholders on having the opportunity to enter , one of the most robust cement market in t he country . We do need to complete a few steps I need to travel to Udaipur or Chittorgarh area where the mines are, do the supplementary , mining leases, the paperwork required has to be completed, but parallelly with that we are already beginning to get up for the initial activities that we need to do. As I guess, all of you are aware, we have got the mining lease back but there was no land that we required because it 's long ongoing dispute.

So, the first challenge for us in any case is to start acquiring the land and parallelly identifying the land on which the plant will come up in the area of mines and start applying for the necessary environmental clearances and all the other authorizations. So, we are going to start work on that. But the good news is , earlier which was looking like a something which is keep getting delayed

because of the attitude that the Rajasthan government had shown in the past, I am delighted that delay is over , mining lease is back and it 's now up to us how quickly we can complete the land acquisition and the environmental clearances and start the const ruction of the Greenfield capacity. But we are very excited at Orient Cement to get this opportunity because we know , many of our investors have been concerned about o ur rather narrow exposure to the markets in India and typically the markets which ha d a huge supply overhan g. With this capacity, as soon as it comes up, we would have gained a major goal of diversifying our market and a plant in Rajasthan as good as you can get. So, congratulations to all our shareholders, huge value add to what we have in te rms of our capacity to keep generating the good results in the future.

So, with this mines coming back, does it change our direction of growth , that would be the obvious question. As I said, we still have to complete some papers please , give us some time to assess the time needed for acquisition of land and for obtaining the necessary clearances and approvals to set up the capacity. We are of course tempted to put everything else on th e slow burner and put the Greenfield capacity in Rajasthan o n top priority, which it should be. But the practical challenges of a Greenfield capacity need to be factored in. And that 's why I 'm saying, give me a little more time and I 'll maybe come back to you with better ti melines and also what will take the top priority and how do we move from here.

Coming back to Q1 :

It's certainly been a quarter that we at Orient Cement also don 't like and I 'm sure all of you also don't like, having had the high s of let 's say the same quarter last year 188 crores EBITDA there about and Rs. 1370 -1380 per tonne of EBITDA, coming down to, by 45% to overall EBITDA that we earned last year, it 's certainly not something that we can ever feel happy about. So, we've been hit badl y by obviously the realities in the market. The markets that we address have not been supportive at all in terms of demand volumes and when the demand and volumes don 't look at the pricing always becomes very difficult in terms of passing on our increased cost, because cost have kept rising so we 've not been able to pass on the costs and even the operating leverage has not come to rescue us from the thin margins that the current costs give to us now.

As you know, South overall and Telangana, Karnataka , AP m arkets particularly have had a very lean quarter. And given the very, very heavy and excessive rains in this markets again, even July has seen soft volume s. So, obviously it 's now in the throes of a very heavy monsoon season. And in the absence of demand t riggers in the southern markets like the Kaleswaram phase two that we 've been expecting to be brought up. But now, it may happen with a little bit of delay only once the Telangana government is able to rustle up the resources that it needs. It 's a project that they 're committed to , whenever that gets triggered to be a major boost to the demand in our market. Any other major project is not looking likely to come up and that 's been a bit of a dampener on the southern markets.

I'm sure if we go by the results that have been announced by the rest of our industry colleagues, there are some parts of the country like North for example, Center for example, even in the Western marke ts like Mumbai, Gujarat, they have some really good tailwinds in terms of market demand. And obviously, the pricing improvements many companies have reported significant growth volumes in growth and also significant gain in the pricing that they 've been ab le to realize from the market, which is a good sign for everybody in the industry. But unfortunately, we 've been caught in a market where this support was missing. And we do need to catch up with the demand uptick and thereby have the opportunity to recove r the increased costs from our customers.

Beside

s the lack of demand momentum, as we know which has been regional challenge, it 's not been a pan India challenge because as I mentioned some of the markets have seen very robust demand growth. The challenge for the industry across our country is the heightened cost of fuel and several other inputs. When variable costs are pushed up like this, and the market lags the demand momentum of volumes. As we know the opportunity to pass on the increased cost to the ma rket gets severely constrained. The results announced by many big companies clearly reflect this pain, even people with very, very large increase in volumes with significant gain in pricing. Even they have had to report a decline in the overall profitabili ty, which is worrisome because if large volumes and decent price increases also are resulting in drops in EBITDA over last year we all need to be concerned about but I guess it 's a function of the prices, taking a little bit downward trend that needs to ba il us out. And the good news is that the last few weeks we have all learned and we also keep hearing through all the analyst also who keep track of what the markets are. The fuel prices seem to have softened a little bit over the last few weeks . $10, $15, $20 a ton ne depending on what 's the source of the fuel that we are trying to import. And that is a good sign and as we eat into the inventories that we have piled up as of now, that improvement in cost will start kicking in. But would they very quickly fall to levels which were a few months ago that 's unlikely because even if they fall, by the time that cheaper fu el starts flowing into our operations, there is always a lag because we obviously cover fuels in advance.

Given the markets that we are in , at Orient Cement we can 't wish away the reality that we have in front of us. And we 've had results which leave us di sappointed as much as I 'm sure they leave all the shareholders , analysts disappointed. As you know we 've had nearly 1% growth in volumes over first quarter last year, which looks quite honestly under par even for our markets, could we have done some more v olumes , perhaps we could have. But then the challenge was that this be additional business that we would have booked would have come even more from the B2B side where the prices were not giving us enough joy to do business. And similarly, there are some ma rkets that we do farther South for example, or even towards the Central market s. The cost s that we have and the pricing that were available there did not allow us to even use of the some thin opportunities which are available in markets, which were there b ut not quite remunerat ive. So, it's one percent goes as a function of partly the markets being sought partly our own , as in the strategy that we 've been adopting for last many quarters , are doing only a business where a threshold level of realizations and therefore contributions is available.

Despite sharp increase in cost , the blended realizations for us as you guys have seen has been a very modest just over 2%. And even sequentially, it 's the increase is less than 5%. Our tot al costs are higher by 20% year -on-year and nearly 11% over Q4. The thing to note here is that if we look at our total costs over same quarter last year, while the total cost per ton ne are higher by around Rs.743 a tonne out of that ev erything excepting maybe Rs.100 over R. 640 odd coming

straight out of just power and fuel increase. While over last year it looks large, but we have to also factor in the fact that even today our power and fuel cost are just over Rs.1600 a tonne is perhaps amongst the best in the industry is seen because I 'm seeing many companies reporting power and fuel cost well above our cost, despite the huge increase that we 've also suffered. We seem to have manage d these costs relatively better, comparatively speaking . B

ut , like I said,
there 's no joy when you start seeing the cost of only power and fuel being higher than the total cost of clinker that we 've had a few quarters ago. So, it's a worrisome scenario for the markets. But I guess that 's a function of what 's happening globally on the energy prices . The Rs.100 odd the gap that I said which is other cost increase include the increments to people that includes our investments and brands that we 've obviously done a little more than what we had done in the previous two years of COVID. So, that always kicks in.

One of the other I would say challenging features of the Q1 has been that the slowdown in the trade segment, or the B2C segment in our mark ets has been much sharper and if you have been able to gain some volume increase s over last year, that 's come largely through the B2B business and B2B business also, which is towards large projects where the OPC component tends to be higher and when the OP C component is higher it does tend to impact your power and fuel cost per ton ne. So, when we are reporting increase over last year, let 's also factor in the fact that it 's

also because we sold OPC in this quarter compared to what we did either in the last quarter same year, last year same quarter or even the previous quarter to this quarter.
Our EBITDA as you people have seen has dropped from 188 crores to 103 crores with the very similar volumes, and EBITDA per tonne from 1384 last year it has come down to 750. As I said, what can be more disappointing than this , but like I said, we are in business and the one quarter does not make or mar us so we have to keep working. But all of us wou ld concede , like I said earlier last year's EBITDA and EBITDA per tonne it didn 't look sustainab le. None of us expected that to continue. But even then I have to admit that the numbers for the quarter are disap pointing, there is no getting away from it and I am the first one to acknowledge that .
We are trying our best to as I said to cope with the situation which seem to have got only worse due to extremely heavy rains in the month of July in all our markets, wh ich are obviously putting pressures on not just volumes but resultant ly even on prices already. Just a quick summary of the highlight numbers , volume up 1% over Y -o-Y and drop of nearly 12% quarter -on-quarter . Revenues are up by 3% down 11% sequentially. The saving grace is that our premium product Strong crete actually has been doing steadily and in the last quarter we have despite poor B2C demand, we still manage to keep pushing the more expensive product that is Strong crete to the market. And the percentage remains around 14 , 15 which I think is steady now.
To secure the fuel safety, we obviously have had to invest more in our inventories, and also not just trying to store more fuel even trying to sort of , even looking at the inflat ion in price per tonne. Even if we had similar volumes, the prices are a lot higher so on our books, the inventories look a lot higher, not just of raw materials and fuels but we also had large inventories at the end of June, because we had more clink er, than we started the quarter with. So, obviously there is a little bit of inventory impact there and the higher B2B sales has also been affected , which I

thought I 'll call out. But that also means that compared to the trade segment, B2B sales always involve a longer credit period in the markets. And the overall pressure we 've had , therefore on our working capital, has finally led to o ur having to borrow money once ag ain from the banking system with the working capital requirements which for last many I don 't remember when we borrowed money on working capital from the banks, but we 've had the facility , we've had the limits and we started drawing on that, making sure th at we remain secure about number one, the fuel inventory and

number two, also that we are able to service the demand that exists in the market. So, as a result of that, on the debt front the plans that we had to very quickly repay the entire term loan that we had, they obviously have not proceeded at the pace that we would have wished if the cash flow s had remained around the level that we 've had in the past many quarters. And in the meantime, as we know the entire cash generation that we were having we have been prepa ying, even in the month of December we prepa id a very large amount of the total project debt we had. So, when the working capital needs come in, we have not been carrying free cash with us. So, as a net result, 30th June our p roject loan which was the term loan while that has come down to 259 crores. But we also had to borrow on net basis 160 crores from the banking system on the working capital limits side. So, that's the debt position.
As I mentioned, the relief is in the form of the fuel prices, which are beginning to look a little soft, although it 's too early that it stays as the demand for energy in Europe and other Northern hemisphere in the world comes to the winter demand for heating starts coming up. Let 's see what happens on the supply position of energy from Russia, because that 's a big if right now , and how that impacts the energy prices, we can only talk about what the current prices are looking like. In the meantime, we continue to consolidate and red efine our customer base and channel base as we 've always been reporting to you. Brand presence through more effective innovative communications , advertising we are doing and as I said this quarter, with the same quarter last year part of the cost increase is also coming from higher investment in advertising and brand building . Our ground level services we have to keep strengthening and that we keep doing in terms of opening more depots improving our service everywhere. But despite all that, because of the B2B market being more robust than the consumer or the trade sales market, the Q4 blended cement has slipped slightly to just under 60% and the B2B obviously has been a little over 40%, which must have been the 2%, 3% swing from a B2C to B2B side, which lead s to higher cost and higher credit in the market.
In terms of market mix, is it fairly steady, but a little bit because there was more opportunity in certain markets in the West, especially markets like Mumbai, which I touched upon earlier, we do have a ve ry small presence in Mumbai. We are trying to take advantage of that. Although it 's like I said, we 're not as competitive as many other companies who have closer proximity to Mumbai, and they 're able to become more competitive given their more moderate logistics cost. So, as a result overall, in the West, we 've done in Q1 55% of our volume South have been 36%, of Central about 9%.

The railroad mix, which again it's all on people 's mind all the time. During this particular quarter, all of you are well aware of the pressure s that railways have been to move coal from the coal mines to the power plants because the central government, state governments everybody

put pressure on them, availability of rakes became a major issue and even if the ra kes were available, the terms on which they were making the ra kes available by l evying really punitiv e demurrages and wharfage charges huge penalties. So, we also have been trying to see how do we moderate that and compared to let say 25% of our volume that we moved by rail in the preceding quarter Q4 of last year, this quarter it has come down to 19%. The same as it was in the same quarter last year, which I guess would be a seasonal phenomenon because whenever there 's extreme summer and the country needs more power to be produced and more coal to be available, we 'll keep having this interventions from the government authorities to

move actually
make the r akes available to the other industry but little less than what the rest of the year might be, let 's wait and see. But for the current quarter that I 'm reporting on, it 's been a little bit of setback on the railway rail mix also.

Fuel mix for us, has obviously swung very largely in favor of petcoke. Or let say domestic coal, basically coal in these entire fuel mix has been just about 45% most of it from the domestic suppliers, a very small residual quantity we imported through that we had coal that we had we consumed. And the petcoke has risen to 42% and AFR is at 17% the alternate fuels that we keep talking about . On the other item which always is in your interest for people, especially the analysts who are trying to create a model of how the cash flows might be . Given all the challenges that we have, given all the low-capacity utilization that we have, we 've not pushed our investments as fast as perhaps we were hoping that we will do. And they certainly had indicated that projected for FY 23 around 800 crores tot al CAPEX including maintenance CAPEX, we might run short on that, because we still haven 't really taken the decision to start the actual physical construction activity for the Brownfield capacity that we had spoken about. We are watching the markets very, very carefully and we obviously will lose no time at all, in putting the capacity when we have a very clear visibility and conviction that the additional investments that we make in CAPEX will get utilized well, will get absorbed by the market. So, we are just watching the market and being a little cautious that maybe a little slow.

But at the same time, there is something which we have not indicated earlier. As soon as we are able to complete the paperwork with the government of Rajasthan, obviously, we 'll start the acquisition of land par cel in Rajasthan for the mine s that are coming back to us, that might start needing some bit of investment in procurement of land. So, that obviously, will be that's beyond what you are saying w e will invest i n CAPEX in the current year. So, it's a little bit of slowdown on CAPEX here, but we might need some cash not as much as cash because land acquisition as we know in India these days has become very, very difficult, we 'll be able to buy land in a hurry and spend a lot of money there. I personally won't expect it although we will try our best but I don't think land will come that quickly. It is land which is under private occupation. And we have to start the process using the right, I would say means at our disposal start acquiring the land.

So, that's the overall summary, I would say of Q1 that we 've been through. And I 'm sure there 'll still be some questions which are unanswered and I 'll wait now and hand it over to Krupal and all of you to ask me questions and let me see what more I can provide you in terms of information. Thank you.

Moderator: Thank you. Ladies and gentlemen, we w ill now begin with the question -and-answer session. Th e first question is from the line of Rajesh kumar Ravi from HDFC Securities. Please go ahead.

Rajeshkumar Ravi: Sir, I have a few questions congratulations for getting this Rajasthan mines . So, first question is relating to this only. What is the total min ing capacity and annual throughput which is possible from this mine and what timelines you 're looking at all , I understand land pooling you already said will take good amount of time, but any ballpark numbers ?

Deepak Khetrapal: Rajesh t he total capacity when we did the assessment of the limestone there is in the region of 120-150 million ton nes as has been assessed, and that 's why we have said that, in all probability we end up setting up a line of about 2 million ton nes a year which should give us a life of more than 50 years for the plant. But here, I must say that almo

st it 's true of almost every min e that
whatever are the initial estimates of limestone reserves, in actual usage, when you start doing

mining , you get a lot more of that, right. And that 's to everyone. So , I'm giving you the current time, that's why the current plan to maybe put about 2 million in capacity there. In terms of timelines, all of us keep hearing based on what information comes to us through all the people like you, that a Greenfield project people do say that it takes as long as five years to put up if we are starting completely from scratch . We will try and see because obviously, they are going to be pressures from Rajasthan government to start the project fast er. So, we will need to expedite the every single process to put up the capacity very quickly. Can that happen within two years' time, I don 't think that 's practical, let 's acknowledge that, but somewhere around three, three and a half , four years that wou ld be our target . But lots of things need to fall in place for that to happen, and we 'll be trying our best for that.
Rajeshkumar Ravi: Sure. And this being a Greenfield , the c osting should not be less than 800 crore, I mean 1600 crore plus CAPEX if at all 2 million needs to be setup and being a Greenfield ?
Deepak Khetrapal: See there 's are couple of things there one, obviously land has become more expensive towards procurement so obviously, investment in land will be a little highe r. But the saving grace there might be that we do not need any more given the overall power situation in the country, we may not need to put up a CPP that much. And I think, our railway si ding investment may not be very large because that area is fairly well developed and the distance of private rail way sidin g that we build may not be. So, there are few of these details that need to obviously be factored in . Ballpark everybody does believe that a Greenfiel d 2 million project should cost you about 15 00-1600 crores , you're right.
Rajeshkumar Ravi: Okay , this is one . And you mentioned that your CAPEX for the Brownfield for Devapur is not progressing, you are going slow and cautious on that. So, for FY 23, what are the status on the Tiroda plant, Devapur and also on the 10-megawatt WHR?
Deepak Khetrapal: The two plants, I would say the cost saving projects as we call them, the waste heat recovery plant is proceeding on schedule and we seem to be doing w ell and we will finish , we will commission that plant within Q4 of this financial year. And that should start benefiting us from the first quarter of next financial year , that's what we are sticking to that. Similarly for to improve

our costing and also availability of fly ash at Chittapur which in the past we have suffered because of the close by plant s shutting down. The ra ke handling system for fly ash is also under construction as per schedule. And that also will be completed within this financial year , when I talked about th e other CAPEX which is more towards capacity expansion . So, which is the Brownfield at Devapur which has to support the grinding unit at Tiroda . We want to have obviously a clarity on the Tiroda execution first, because if we put up a line fo ur at Devapur , it's largely to be able to address and support another grinding unit. There 's no point in putting up additional clinker line ahead of the grinding capacity. So, from that perspective, the Tiroda clearances are still work in process. While some of the permissions have already come in, like we have for the railway siding we got some approval. We also got the approval from the power authorities to consume power during time of construction. So , there are many , many approvals required. One of the key th ings that we 're waiting for is the permission for subleasing of the MIDC land on which the Tiroda unit has to come. So, these are unfortunately

the prerequisites
before starting the construction of the gr inding unit there. And we are all working on that. But, as you would agree, because to meet my current requirements around the markets, my current clinker capacity is good enough. I think a ll of you would agree that our capacity expansion in line fo ur at Devapur should happen coinciding with the grinding unit becoming available .
Rajeshkumar Ravi: I agree sir. Anyway because you already have surplus capacity so these delays won 't hurt your near-term growth for sure. So , now what are your financial year 23 targets for CAPEX number any number that you 're looking at?
Deepak Khetrapal: I have not looked at because like I said , from the time the Rajasthan mining lease has come, I was just busy in various board meeting and AGM so I 'm just finishing that , the n ext two , three weeks you 'll get a better idea and then I will, rather than shooting for a number just like that. Let me just take time from all of you and then revert with that information.
Rajeshkumar Ravi: And one last question on the costing of fuel, if you could share what was the per kilo Cal costing for you in Q1 , and how did it fare against March quarter performance?
Deepak Khetrapal: The entire cost increase that we reported in the power & fuel costs has actually come from per kilo Cal, it is blended cost of the calories consumed obviously, there 's nothing else not that in terms of our efficiencies, in fact we 've been better than the previous quarter. So, the entire increase that you see you calculate the percentage over last year you have the percentage , because last year it was 1000 , this time we are at 1600 tonnes, it's nearly 60% increase there. Blended cost I don 't have in front of me and plantwise I have but I don 't share plant wise cost .
Rajeshkumar Ravi: No, I don't need plant wise, blend ed just because , if you could give where do we stand in Q2 versus Q1 on the fuel costing, because fuel cost last three, four months have been only going up

and the recent cool off will have a positive impact in subsequent quarters. But Q2, is it fair to assume that cost inflation will continue quarter -on-quarter?

Deepak Khetrapal: Quite honestly Rajesh, the way our current costs are looking high , even if I ’m not saying they will soften over the Q1, I don ’t think Q2 is likely to see any noticeable increase that ’s not the .

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis C apital . Please go ahead.

Amit Murarka: So, my first question is around the Rajasthan unit . You mentioned the potential 2 million ton capacity. So, is that a clinker capacity are you talking about or the cement?

Deepak Khetrapal: No, I ’m talking about the cement capacity there.

Amit Murarka: But 120 -150 million tonne limestone, should n’t there be like a 3.5-4 million tonne kind of a cement capacity that should be visible ?

Deepak Khetrapal: Look, always as I mentioned, when you start doing the actual mining, this is your exploration, are estimate d reserves, if it does become viable to have a larger capacity, we can always add one more line. Rather than assuming the reserves and suddenly putting up large capacity than being disappointed, the more cautious approach might be that we build up a smaller plant and add another line if we think we have enough limestone. Let’s not forget it also we are entering a new market in the market where there are very large competitors already there, it gives us time to find our footing, start g aining the market share in a market which obviously is not going to be easy for us to get market share from so , if we make investments in smaller phases, even if it looks a little more expensive investment per tonne . But in terms of utilization and return on capital, it might tu rn out to be a better strate

gy that’s what my view is.

Amit Murarka: That makes sense , on the top , proven that you ’ve received for the transfer is there some timeline by when you need to start the limestone mining there, like is it three years, four years, is there ’s some timeline attached to that ?

Deepak Khetrapal: I’ll be honest with you; I haven ’t signed anything with the government yet they have just passed an order saying those mines are being restored to Orient Cement . Typically, we know and when I like I said in the next couple of weeks, once they have done their internal paperwork, we will be signing a formal agreement with the government based on the order which has been already passed by the Minister. I do believe that from their side, they will try to put pressure on I ’m expecting it to be over three years. But we ’ve had this discussion wit h the government authorities. And they have said that , if we see your serious intent to put up the plant in terms of how much progress we have made on every front, we will be flexi around it, although they will not put it in writing. But they said that if we see that you ’ve already committed and you ’re making large investments, we could be a little flexible, but right now, the re will be a constraint of I think maximum three years, they will allow us.

Amit Murarka: Okay. And lastly on this Devapur expansion. So, earlier timeline was March 24 so should we say now that it will be difficult by March 24 and possibly we should look at maybe six months to 12 months delayed than that ?

Deepak Khetrapal: When we say possible, we perha ps putting it as if we are not able to do it. I ’m saying we are choosing not to do it. So, there ’s a little bit of difference , it’s a question like are we making a

conscious choice or are we running into a problem that we can ’t meet the FY24, the deadline we could have met of the Q4 line Brownfield expansion. But unless I ’m 100% sure of my new grinding unit becoming available to me to consume the additional clinker. We think it might be wiser to first have a full fix on the grinding unit, and then parallelly in parallel build the clinker capacity. We could delay it , how much time again as of now, I ’m still waiting to get a clearer thing, because the grinding unit construction time will be 15 to 18 months we know that right. We haven ’t even started the basic work there. And that ’s why I ’m saying by FY 24 or, in fact, I was thinking that maybe in FY 24 last quarter maybe the grinding unit will already be available and parallelly my clinker capacity will come up . That is looking really doubtful, because all the necessary approvals that we need for which we ’re working along with Adanis . They ’re trying to help us as much as they can , but some of these processes are taking longer. Maybe at this moment, my own guesses that maybe six months beyond what my original estimate was not more than that.

Amit Murarka: Got it. And last question f rom me like we have seen so much of inflation on the fuel side of things, but for some reason the pricing has actually not moved up in the last almost four , five, six months. So, why is that so, like one would generally expect it to be passed on at least partly, if not fully?

Deepak Khetrapal: Amit, i f we see the parts of the Indian market, which have seen demand growth, the costs have been passed on to the customer to a very large extent. It 's only in the markets where the demand has been very, very sluggish, the re the markets push you back and then what happens is that each one of us wanting not to lose operating leverage, we want to book some volumes, and we start booking business at a price without the cost being passed on because if we don't do that business we will be hurt even more. So, it has to be accompanied by some bit of robustness in the demand. But with the monsoon which are looking very goo

d right now, the normal sense that we 've seen is post a very good monsoon normally we see a g ood demand pickup. So, let's hope that once the monsoon gets over and the project work start again, it will give us the opportunity. But without the demand being there, it 's very difficult to be able to pass on these costs.

Moderator: Thank you. The next question is from the line of Vaibhav Jain from ithoughtpms . Please go ahead.

Vaibhav Jain: So, just a few questions from my side. So , in the last couple of years our EBITDA per tonne has been around, Rs.1000 -1100 there about, s o ignoring the quarterly impact that we had in this quarter and Q1 last quarter, is this sustainable , and what is driving the sustainability of EBITDA per tonne ?

Deepak Khetrapal: In the previous nearly two years that you are talking about , the EBITDA became possible largely from the pricing that the market offered to us. As you 've seen, although we are saying prices have been under pressure, they have not gone down and cement industry we have seen times when even the prices have gone down from the previous times . So, as of now, as I mentioned to the previous question, the demand that we see in the market normally should be revi ving in a

couple of month s' time , a few weeks' time once the monsoon gets over. With the dem and increasing obviously, our effort will be to be able to pass on these increased cost to the market and the moment we are able to do that , whatever costs are already being incurred, they have been booked , any increase from the market that we're able to g et on pricing will straightaway come to the bottom line. So, the only thing which we are missing right now to sustain our performance , on every other parameter that we have internally in the company with efficienc ies, any KPI that you pick up we are gettin g better all the time. Only thing which has gone missing is the pricing that we need to pass on this cost . Let's hope that if not in this particular quarter that we are in Q2 which would remain impacted by the monsoon overall. I 'm hoping that the next quarter onwards we will start seeing an uptick in prices because look the fact is structurally whichever segment of the market in India today has seen good demand. You 've also seen good pricing there. So , that correlation we need to sort of get back, the d emand has to come, and that should give us an opportunity to recover our costs.

Vaibhav Jain: Okay. Sir, I was asking more from a perspective of , we have this strategy change that we 've done to push more of Strong Crete . But, j ust also on that I wanted to know, over the last three or five years how has the mix of trade and non-trade move d and what is the sustainability of the same ?

Deepak Khetrapal: As far as from non-trade to trade, we actually were a company which are doing close to 60% in non-trade , and 40% in trade, which over a period we reverse d that completely and even in a bad quarter like this, I 've reported 60% trade and 40% non-trade , which is the reversal even in a bad quarter. Otherwise, w e started going up to there , have been quarter s we've done 64 %, 65% in trade, and obviously the balance in B2B side. So, that strategy is playing out . The premium product, as I mentioned Strong Crete is done well enough for us to gain further confidence. A nd that is one product on which while earlier, I don 't know whether you were in those calls, many of the people on this call had known that we were charging a premium of Rs.35 on our PPC cost on Strong Crete . We 've been encouraged by the market response and in fact, fairly recently th at pricing premium has moved up from Rs.35 to Rs.45, because that 's a product which is now established in the market, consumers know the merit of using th at product and how it benefit s their overall construction . So, w e are beginning to get better

there , but in a quarter when B2C demand total falls , the total obviously and then we have to make up for some capacity utilization using the B2B segment which otherwise we may not have looked at. So, we are not in a seller 's market , let's face it, we have to live with the reality of the market.

Vaibhav Jain: Right. Sir just one last question , in your last few con calls, you had mentioned that to change the two kilns in Deva pur so that it can use petcoke , it won 't be viable to incur that CAPEX. Just wanted to understand the economics of that, like what is the CAPEX and what is the kind of payba ck period we 're looking at and why it 's unsustainable ?

Deepak Khetrapal: I will tell you that, there is some confusion let me try and clarify it. Devapur' s advantage is, it is very close to coal mines. So, the landed cost of coal at Devapur is so low that for pet cok e even from domestic market going to be transported to our plant is uncompetitive. So, that is one challenge , because challenge itself is an opportunity, when the domestic coal is available in

abundance, it 's the best benefit you can have . But in that sense to equip and to increase CAPEX on the kilns in Devapur to consume petcoke, when it is a more expensive fuel , how does that make sense . Only if petcoke turns out landed cheaper a t Devapur then we must make the investment. So, when you are talking about CAPEX , the limitation comes in the form of grinding capacity, the coal mills that we have because coal mills have a certain capacity to grind . Petcoke comes with a different hardness and different reaction to grinding, if we want more petcoke to be used we may have to actually replace our coal mills , which is not a small investment at all. And for what purpose because petcoke is not even cheaper. So, that's the whole logic.

Moderator: Thank you. The next question is on the line of A ashav Patel f rom Molecule Ventures PMS . Please go ahead.

Aashav Patel: Congratulations on getting mining lease. My question is that , as you explained Devapur Brownfield may take some more time. So, can we might also meanwhile have thoughts about setting up a Greenfield capacity at Rajasthan. So, can we see a situation where in because of the fact that we already have slightly excess capacity at our Devapur clinker capaci ties we can sort of like exit the plan altogether of Devapur expansion and focus only on the Rajasthan new Greenfield capacity ?

Deepak Khetrapal : No, I don't see the possibility of Rajasthan replacing the need for the expansion at Devapur . I don't expect that to happen . Sequentially , like I said, my wish list would be if I could do Rajasthan faster. I would anytime . But replacing that , we have enough limeston e and the markets that our Devapur plant in Telangana serve s will also have the growth and having the limestone mines with you why would you not want to use them over a period of time . So, we will not give up on that expansion, no.

Aashav Patel: So, in sense of timeline first, it would be Devapur even if, because meanwhile we will need some time to complete with the land acquisition and stuff ?

Deepak Khetrapal: Yes, see it's like this. Devapur is something that we can start at our discretion anytime. As long as I'm sure that there 's a grinding unit will consume it, I have no problem in starting Devapur expansion plan . In Rajasthan also, the plan is we will try and ask the government to support us in land acquisition, we will try for that how much support we are able to elicit from the state government will determine how quickly we can put up the new capacity . And that 's why when the question was being asked, I did say that give me a couple of months' time in which I 'll be able to assess what kind of support is available to us from the government side a lso, because having given us the mine they also w

ant the m ineral to be used and they want the royalties to be earned on that . In case we would try and leverage that and get some support from the Rajasthan government even in acquisition of land.

Aashav Patel: Sure, so sir if year or two down the line what happens if we are able to commence both the project simultaneously Greenfield and Brownfield capacity , won't that put some strain on our balance sheet, now that we have worked really harder to clean the balance sheet and reduce the debt substantially. So, we would sort of need to re-lever it?

Deepak Khetrapal: Look there are two ways of doing that. One is obviously sequencing the expansion plan and investment in the manner in which the current balance sheet does not come under stress that will remain the top priority , two not brin g the balance sheet under stress. But if, let 's say both the investments look lucrative, there are other ways of further strengthening the balance sheet , its' not that if you need so much that you only bring in debt, there 's always an option for us to increase the net wo rth, the capital base of the company by infusion of capital. There are many ways of doing that. So, to assume that anything is impossible, I don 't quite believe because always ways of addressing a problem , addressing more than a problem this is now a question of addressing an opportunity . If the option is lucrative , we would find ways and means of meeting of utilizing the opportunity without creating risk for the balance sheet.

Aashav Patel: Sure. So, with time you might see also an possibility of maybe if we don't want to take a debt anymore beyond a point then we might think of diluting some equity, but even at this very lucrative valuation the stock is trading at relative compared to the in dustry. So, do you think even dilution could be a viable option?

Deepak Khetrapal: Dilution will be done only if it 's a viable option. You are putting the question , why would we do diluting if it's not a viable option , then we will not do it.

Aashav Pate l: Sure. So, at current valuation dilution doesn 't make sense right sir?
Deepak Khetrapal: Absolutely not. At the current valuation certainly not. And when we talk about dilution , let's not forget one of the ways of not creating dilution is to raise the money through rights issue . When ever, even if the right issue goes at a lower price the existing shareholders will benefit from it. So, there are many ways to address that.
Modera tor: Thank you. The next question is from the line of Raje shkumar Ra vi from HDFC Securities . Please go ahead.
Rajeshkumar Ravi: I wanted to discuss a few question which the earlier participant asked on the balance sheet because we 're looking at a net wort h of around 1500 crore currently. And the Devapur and Tiroda project and the WHR and all would be around 2000 crore, even if it is phased out to some extent. This new project also in Rajasthan would cost you anything between 1500 to 2000 crore depending up on the contour of the CAPEX. So, for next FY23, maybe next four years, we are looking at 4000 crore CAPEX . So, what sort of equity infusion could be factored in or rather, my question is what type of net debt to EBITDA number as a company you would be comfortable with, and that is how your CAPEX should we factor it?
Deepak Khetrapal: So, Rajesh I would reitera te what we have said earlier board mandated policy is very clear, when we want to make any CAPEX, we are not allowed to exceed debt equity of 1.5. And debt EBITDA to be contained within three .
Rajeshkumar Ravi: On a group lev el / on company level ?
Deepak Khetrapal: At the company level yes.

Rajeshkumar Ravi: So, would that not be , either it is supported with a good amount of big infusion, if it is infusion or staggering the CAP

EX beyond over next six to seven years ?
Deepak Khetrapal: Yes, that's a possibility. Let me not rule out any possibility right now. That 's why earlier when you was asking me questions, I did tell you that give me give me some time. So, all the answers can't be ready when the scenario in terms of , when will the investment is required is not clear right now . It will happen , what kind of timeline it will happen with that unfortunately, Rajasthan coming in , Tiroda clearance s not being in hand , that's become a little uncertain and that 's why I sought time from you people .
Rajeshkumar Ravi: Agree. And last question on the regional competitive intensity currently given that in Maharashtra and the nearby, Maharashtra market we have three new capacities ramped up utilizations for next 12 months, Shree Cement , Birla Corp, Dalmia , how is that shaping up the Maharashtra market and even I understand Birla Corp plant i n close proximity with Telangana market whereby they can service non trade markets also to ramp up their utilization. What impact are you witnessing because of this , is it impacting for incumbents like you in terms of your volume growth or is the pricing getting constrained because of the same and by when do you see things normalizing?
Deepak Khetrapal: Well, this last part, let me answer straightaway, the things will normalize when the demand growth meets what the new capacity has come in . So, that's the ultimate , that's the basic economics . There is no getting away from that. In the meantime, in the market when an y new player comes in, obviously they would try and take some market , they invested a large sum of money, and they use their own method which they find appropriate at this time to gain market share, even if they do it at a loss . A player like us who's been well established, we will remain very careful about not diluting the brand positioning of ours because in a short -term competition we start diluting a price that you 've built up over a long period of time. That 's a very, very long-term damage to the company. In the meantime, we are obviously struggling on both the fronts of not being able to do as much volume as we would have done if they were not there. At the same time, we would have also been able to get better pricing if they were n ot there which is a reality, which is all about the competitive markets. So, we are obviously having to cope with the impact of new capacities that are coming up in our neighborhood, which is which is like I said it can never be ruled out anything in life. But we are also not wanting to make sure that everything stays okay and the price completely cr ashes and we lose our market positioning the brand positioning. It 's a very tightrope walk , very balanced walk that we have to keep doing.
Moderator: Thank yo u. Ladies and gentlemen, we 'll be taking the last question that is from the line of Ashish Kejriwal from Centrum . Please go ahead.
Ashish Kejriwal: It's possible to pr ovide the CAPEX guidance for FY 23 and 24. And as well as you talked about the Devapur plant, but about this Tiroda plant have we ordered the machineries or Tiroda plant also will get delayed , so I need to ask by FY24 and can we see any of the plant coming in Tiroda as well as Devapur grinding unit ?

Deepak Khetrapal: As I just mentioned, they might be a couple of quarters delay in that unless the clearances for the Tiroda plant do not come very , very quickly. So, there is some chance because as I mentioned, the new even it 's a Greenfield grinding unit. It is subject to many approvals if they get delayed for whatever reasons, so there is no way we can start construction. And unless Tiroda grinding unit construction starts there is no point in our starting construction at Devapur , because it's related that is a related investment. So, there could be some del

ays as I 've already indicated,
I'm not saying there will be delays but there could be I'm not ruling that out .
Ashish Kejriwal: Okay. So, Tiroda plant grinding unit as well as the Devapur grinding and clinker unit, all these will be , there is a possibility of delay. So, if this is a situation, what ca n be our estimated CAPEX for FY 23 and 24 ?
Deepak Khetrapal: I would not give it back to you unless I also have , how much money I will be putting at Rajasthan in the short term. So, that's why at the beginning itself, I said to assess that give me some time, I will call you back again if not earlier, at least next quarter we will give y ou much clearer picture on that, because we need to assess to give you a number without knowing wh ere Rajasthan might be by FY 24, it may be misleading right or premature.
Ashish Kejriwal: But sir, at least in FY 23, can you give some guidance because if you have to start the process of acquiring land also something has to be put in and you will delay the process in Tiroda as well as Devapur there could be a possibility o f some spillover in CAPEX which we have guided earlier?
Deepak Khetrapal: Yes. That 's why I already ha ve mentioned we had said that our CAPEX in this year might be about 800 crores, it would be smaller than that for sure as it looks right now. How much it will be would it be 500 crores, 600 crores at best perhaps , if that happen s but definitely nowhere close to 800 crores.
Moderator: Thank you. Ladies and gentlemen that was the last question. I now hand the conference over to Mr. Krupal Maniar for his closing comments .
Krupal Maniar: Thank you Seema. O n behalf of ICICI S ecurities, we would like to thank the management of Orient Cement for providing us this opportunity to host the call. And thank all the participants for joining the call. Thank you, Seema. You may now conclude the call.
Deepak Khetrapal: Thank you, every one.
Moderator: Thank you. Ladies and gentlemen on behalf of ICICI S ecurities, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you .

Call: Nov 2022

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar , Bhubaneshwar, Odisha 751012, India. www.orientcement.com

CIN No: L26940OR2011PLC01393 3

November 17 , 202 2

Bombay Stock Exchange Limited
New Trading Ring,
Rotunda Building, P J Towers,
Dalal Street, Fort
Mumbai -400001
Security Code: 535754 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East),
Mumbai – 400 051

Symbol: ORIENTCEM

Sub: Transcript of Investors/Analyst s Conference Call for the quarter and half year ended September 30, 2022

Dear Sir (s),

This is in continuation to our earlier letter dated November 10 , 2022, sharing the audio link of the investors/ analysts Conference Call, held to discuss the Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2022 , on Thursday , November 10 , 2022, at 2:00 PM (IST).

In this regard, please find enclosed herewith the transcript of the aforementioned investors /analysts Conference Call.

The said transcript is also available on the website of the Company , www.orientcement.com . You are requested to take the same on record .

Yours sincerely,
For Orient Cement Limited

Nidhi Bisaria
(Company Secretary)

Encl.: as stated

“Orient Cement Limited Q2 FY23 Earnings Conference Call”

November 10, 2022

MANAGEMENT MR. DEEPAK KHETRAPAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER , ORIENT CEMENT
LIMITED
MODERATOR : MR. HARSH MITTAL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Orient Cement Limited Q2 FY23 and H1 FY23 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touch tone telephone. Please note tha t this conference is being recorded.

I now hand the conference over to Mr. Harsh Mittal from ICICI Securities. Thank you, and over to you, sir.

Harsh Mittal : Thank you, Melissa. Good afternoon and a warm welcome to everyone. On behalf of ICICI Securities, we welcome you to the second quarter and first half of FY23 Earnings Call of Orient Cement Limited. On the call, we have with us Mr. Deepak Khetrapal – MD and CEO of the company.

At this point of time, I will hand over the floor to Mr. Deepak Khetrapal for his opening remarks, which will be followed by an interactive Q&A session. Thank you, and over to you, sir.

Deepak Khetrapal : Very good afternoon to everyone . And I join Harsh Mittal in extending a very warm welcome to all of you. Thank you for sparing the time, thank you for investing your time with us. And for those of you who are investing with us, even financially, thank you for investing in us and believi ng in us. Thank you so much.

Where do I start this call, in the sense that we all know, the kind of quarter we've had. But even then, let me at least start with some of the positive things that have happened during the Q2. And I'll obviously come to the ha rd numbers in a minute, I won't take too long over it. But a few good things that I certainly want to point out to people who are interested in us. One, for those of you who've seen that in social media and all, Deloitte does run a global program called Be st Managed Companies all over the world, and in India, this was the second edition. And they have a very robust process through which the Best Managed Companies are actually selected. And they take us through a 4 -stage evaluation c um screening process, in which we need to make detailed presentation of our strategy and communication and implementation capabilities. And innovation is another pillar, culture and commitment is one pillar, and obviously, governance and financials.

So, based on that, before we fi nally were selected amongst a handful of companies to have the title of Best Managed Companies. So, that's something that we are very proud of because it was a fairly tough competition and very robust evaluation process. Otherwise, all of us are aware these days, how awards are actually being given ou t or how they are being received. So, this one is special because it's actually come through a very, very professional evaluation process. So, that's something which I thought some of you would be interested in knowing.

The other thing, a very important thing is that we in this quarter which actually was a lean quarter, we managed to actually migrate from SAP ECC volume to SAP S/4HANA on cloud.

So, we are using Google Cloud platform to host our data. I mean we a re told that we are perhaps the first cement company to have done this migration. And also, we take pride in the fact this migration, which typically is considered 6 to 9 months project, we did an insanely short -time of just 3.5 months, not about 3.5 month s is what it took us from starting the work to going live. So, again, a very important step, not in terms of just how quickly we did it, but we are the first cement company who've done it. We also have done it to keep our progress on the digitalization and to become more and more a company which is driven by data and data analytics and decision making which will

be largely based on the data that we have with us. So, it's not just a technical migration, it's a complete migration. And the reason to choose Goo gle Cloud as a partner along with SAP S/4HANA is because Google Cloud has the reputation of offering the best analytics capabilities, in the way we can create data lakes and data oceans and things like that. So, we are all set and so that's I would say pos itive in terms of building the backbone of the company so that we managed to comp lete.

And the third important thing I would like to just mention, again, it's been there in social media for some of the people who might be in the markets we have launched, i t's a very small launch as of now, but we actually launched a new brand. As most of you would remember, our Strong Crete as a brand is really been doing well and we are very delighted about this performance. We've actually launched another premium cement w here we actually have launched in the brand name Orient Green. And why we're calling it Orient Green is simply because this cement has about 15% less carbon footprint than the industry norm s. And obviously, we are positioning it as a green cement, as environmentally responsible cement. And the byline also is 'responsible cement for the responsible you '. That is you could be a house builder, you could be the contractor, you could be, let's say , a consultant or an architect. So, responsible cement for the responsible you and the brand is Orient Green. Like if you remember our Strong Crete is today priced at Rs. 45 higher than our PPC. Orient Green is priced at Rs. 23 higher because some of the c ustomers have been telling us they're finding Rs. 45 premium to be a little too steep, that's why we are right now at where we are, I'll give you the numbers. And Orient Green is another option from our stable where we are offering something which is in th e middle of our PPC cement and the Strong Crete and leaving the choice to the customer how much more they want to pay. But we are sort of strictly speaking, Orient Green has been focused on that segment of the market where people are actually becoming envi ronmentally conscious. It's not just environmentally conscious and the simple way of how we produce the cement, it's also for example in the amount of water they need to do while curing the slabs and the casts and things like that. So, there are obviously benefits for consumers there. And the price, as I mentioned, is Rs. 23 is higher than our PPC. So, that's the other launch and initial response has been rather good. We're very happy, I think almost every day. We've currently launched it only in a few districts of north Karnataka. Largely we're sorting out the availability of bags and when you start launching a product, a lots of things need to come connected. So, we started with north Karnataka, which is as it is a little more difficult market, but it's cl oser to our Chitapur plant where we are producing the cement for now and we plan to roll it out. But within the north Karnataka market, our average per day, we are actually casting 3 to 4 slabs every single day from the time we've launched it. So, for a sm all market, for a product which is completely positioned d ifferently , we are happy with the initial response. And we will obviously keep

supporting our customers who buy this product with our technical services to actually train them how to use it well to have the full benefits of the product. So, these are, I would say the good things from the recent past that I wanted to sort of place before you.

Now coming to Q2. As I'm sure all of you have seen that, Q2 actually has been, I'm naming it as a brutal year for the industry. It's really been brutal on us. We too have had our own share of grief. And the grief has come more from the fact that we've had absolutely unprecedented rains in our catchment areas. To give you a

n example, and as you know, we would be se lling in 300 km, 400 km around our plants. So, our mother plant, which is Devapur in Telangana, that plant, as it is, it's a very high rainfall area, about 900 millimeter is the rainfall that we receive every year. This year, we've already crossed 1550 mil limeter and the rain obviously is not happening only on our plant, it's happening in the entire region there. Just to give 1 data point how heavy rainfall is, and when rainfall happens, not only does the construction slows down, it also the mining of coal slows down, the gypsum availability goes for a toss, you get fuel which is wet. The alternate fuels that we are using more and more during monsoon is very difficult to use them when they come wet. As it is, the calorific value is low. And when they come in the wet form to you, it becomes very difficult to use them. The liquid hazardous waste that we were consuming became very short supply in these 3 months of monsoon. It's been people are talking only about sales being hit, but I think equally important is the impact on the availability of various materials and the costs. So, that's been a negative for us for sure.

The overall on this, for example, for our Devapur plant, we always buy our coal from Singareni coal mines, the domestic coal. And when you're bu ying that coal, this particular quarter, we've seen a very strange phenomenon of rakes being not available. So, we're having to transport coal from Singareni mines to our plant using trucks by road. And obviously that adds to the freight cost, the input co st of domestic coal itself goes up not because the coal itself is that much more expensive, but also because the freight costs have gone up. So, these are the impacts of I would say the heavier than normal monsoon that we felt.

So, first, we were looking f or, as I say, cover from the rains that we were getting. And I think when we had declared the results, I'm ducking more cover from our investors because obviously they are unhappy with the results. And I can assure all of you and all of the investors that we are very, very frustrated because no matter what we've tried, we still are, let's say, significantly lower, more than 70% drop in EBITDA whether on absolute terms or per term basis. At the PBT level, we actually have gone minus although it's a small l oss, but frankly, having a red at the PBT level is a matter of great embarrassment to all of us. But since I don't have the luxury of hiding, being a listed company, here I am, talking to all of you and trying to explain as to what all hit us.

So, disappoint ing as they are, the hard numbers. Most of you have seen it, but I'll perhaps have a little more detail than the numbers that you've seen so far. Our net sales, as you've seen, are down 1% Y -o-Y, and sequentially they're down 14%, I'm talking rupees of cou rse. Th e volumes in this particular quarter have been at 12.36 lakh tons, 1.24 million as many of would be quoting, which is nearly 3% down over last year. But if we remember that last year in Q2, we had sold

about 24,000 tons, 25,000 ton of clinker, and t his year, clinker sale was out of question because the coal supplies were so uncertain, we would never use our coal and make another cement manufacturer have our clinker at all. So, we didn't sell any clinker at all. So, we exclude that purely on cement, the drop is 1.4% over last year. And sequentially, the drop in our cement sales in volume is about 10%.

On H1 basis, on the face value, it seems that we are flat 26.37 lakh tons vis -à-vis 26.3 9 tons last year, but again last year had 24,000 tons. So, from that perspective whereas we will have nearly 1% growth in H1 over last year. Realization in Q2 has been somewhat better. We have realization which is 4% higher year on year. But on sequential basis is down 4%, which is like I said, not something th

at we have liked. But between Q1 and Q2 which is the heavy monsoon season, the drop in price perhaps was par for the course, excepting that the costs behaved very differently. So, that's where the pain is, not so much in the volumes per se, like I said, vo lume were being lower by 1.4%. And let's say the prices being higher than 4% year on year, it won't look so bad. But the results are bad purely because of the costs that we've had to incur to produce the cement. So, heavy rains and the slow markets all acr oss in our markets at least, when the markets are not supportive with all the increases in costs that I'm going to narrate to you, the ability to pass on these costs to markets have not been fruitful at all and that's where the pricing has really, really hurt us or rather the costs have hurt us because we couldn't pass it on to the markets.

In the markets that we are operating especially when we talk about Telangana and especially when we talk about Karnataka, there are no mega projects. In any cement cycle , we do need the support of some large government sponsored projects in our area of operation to maintain the volumes. Now they have not happened. Despite that, the volumes that I'm quoting are where they are, which I believe are not so disappointing, alth ough we wish they could be better.

In the in the absence of demand from south, we actually have done somewhat better. Actually, Maharashtra has supported us rather well. So, as a result, our sales in, if I look at Maharashtra and the west as a whole, they' re close to 55% against the normal 50%, 51% that we have. So, Maharashtra, we've been able to sell more because demand was there. The other impact of heavy rains is that the larger project who have the infrastructure to continue construction despite rains, because they have more mechanized equipment, they have better labor camps, they have everything, they consumed a lot more of cement. And this particular quarter, our B2B sales or the non -trade sales as the industry calls it, has actually risen to 45% whic h was 39% in the same quarter last year, which have gone up to 45%. What that does is that basically because B2B market is a lot more I would say favored towards the customer because they're all large customers who negotiate very, very hard and almost volu mes being attractive, almost every cement manufacturer tries to book that order. So, we get prices, which are challenged and also they consume more of OPC, which as you know, being unblended costs us more to make. So, the impact could cost us higher , it al so takes into account the higher proportion of non -trade sales and higher proportion of OPC sales.

Another dynamic which is important to remember is as I mentioned, the markets in south have been a little soft. So, the impact has been that the capacity uti lization in this quarter at our

Chitapur plant has been a lot higher than the capacity utilization at our older plants at Telangana. Now, what that does is now as I think most of you would again know, our Telangana plant uses domestic coal which we buy fro m Singareni coal mines. They may become a little more expensive because of the freight costs by road. But petcoke costs have been at a completely different level. And for Chitapur, even at the cost that we've incurred , Chitapur, the lowest cost fuel even t oday is petcoke. Because from Singareni, or elsewhere, if you transport coal all the way, the landed costs of coal at Chitapur become unaffordable. So, we've been using more of petcoke. And petcoke, as it is, has suffered the highest inflation. So, if in a n overall fuel mix, one is overall clinker production mix, Chitapur's contribution for the company is a lot more than Devapur. There we use more expensive coal. So, the entire fuel mix for the company as a whole has got driven in a way where the heavy cost s or high inflation in the cost of

petcoke has hurt
the overall power and fuel costs.
And if you actually look at now, all these dynamics, more O PC, more production at Chitapur, even then I'm sort of looking at my power and fuel costs, I'm sure you will ag ree although they look 61% higher than last year at Rs. 1647 per ton of cement, to my view from whatever results I have seen, they're still amongst the lowest power and fuel cost in the industry. Maybe just 1 or 2 other companies would have a slightly lowe r power and fuel cost Otherwise a nd this all the negative factors I have already counted in front of you. And this is despite the fact that Chitapur is actually more efficient plant, but it's dependent on petcoke purely because of the landed cost there.
The other element in power and fuel cost also which has hurt is that at Devapur, we did not get enough of the higher quality domestic coal and for run ning the production to the extent that we ran, we have to use some of our very expensive imported coal, which normally we use only as a sweetener to the domestic coal. To make sure that we keep producing and keep delivering to the markets, we also had to u se some of the inventory of sweetener coal, which is a lot more expensive , imported coal being so much more expensive. We had to use more of that at Devapur also.
But the aberration, I'm calling aberration and hopefully they're just transitory that when th e capacity utilization at our Devapur plant starts getting better in terms of how it used to be in the past and Chitapur sort of keeps producing well. So, all these aberrations in terms of higher OPCs than our norm, higher utilization of capacity at Chitap ur compared to Devapur, hopefully, they should blow over. And we should sort of get back to normal fuel mix for the company as a whole. Just to give you, in the previous quarter when I was doing the investor call, some investor had asked me for the fuel co st on a million -calorie basis. That can give you some idea of how the costs have been. So, in Q2, pet coke for us, our consumed cost has been Rs. 2,568 per million kilocalories. Just to set the perspective, it's from Rs. 1,500 last year, is Rs. 2568, that' s the pet coke cost at Chitapur, you can see the difference. The domestic coal also for various reasons, including the fact that the Indian miner also have been jacking up the price, those of you who could see the profitability of Coal India limited if you saw given the increase in their volumes and sales increased their profitability obviously mean that they have tended up their prices obviously taking advantage of the fact that international prices of coal are very, very high.

So, even domestic coal, in t his quarter has been around the Rs. 1,900 per million kilocalorie from about Rs. 1330 year -on-year. In this atmosphere when the other fuels are expensive, even the alternate fuels, they nearly doubled in cost over last year because everybody saw the opport unities. And the irony is that even when you go for renewable power because coal is expensive and power is expensive, even the renewable power generators, they have increased their prices of renewable power, although they have had no cost escalation at all , but taking advantage of the higher price of other power sources, they've also increased their price. So, there's been a beating from all possible quarters.
I would say overall fuel cost actually, if you want to know, so I've given you how each of the fuels was there. But overall, for us in the last quarter, we had the fuel cost at Rs. 2,379 as the weighted average cost per million kilocalories of fuel that we've had, which is up from Rs. 1,336, I'm giving you now a blended cost after having given you the pet coke and domestic coal and those costs. And for the H1, the blended fuel cost for us is Rs. 2 ,358 per million kilocalories versus Rs. 1,296 of last year. That gives you

some idea of inflation in the fuel costs. The saving
grace quite honestly for us, h as been the renewable power that we've used, which actually has

reached in the overall mix that is 18% of renewable power, both at Jalgaon and at Chitapur where we're buying the renewable power at these plants. Telangana, even today makes the renewable power a lot more difficult to use, because of the State rules as you know. So, outsourcing power from elsewhere is driven by the State the way they want their grid and their power generation companies to perform.

With the waste heat recovery project at Chitap ur which is under construction and which, as said earlier, we will be commissioning towards the end of the financial year. When that comes in, obviously, waste heat recovery again is more or less a renewable power because we are not burning any fuel to gen erate that. So, obviously, this percentage will go up even further.

We continue to be extremely efficient as we've always been, there's no gap there. And as a result of that, if you see, despite the fact I'm telling you how much is the increase in fuel cos ts, and this fuel cost I'm talking about it has increased both for kilns and also for our CPP. But the power and fuel cost per ton is not looking as high simply because we managed to increase renewable power, we managed to increase to the extent possible, I mean we've been handicapped a little bit by availability challenge on the alternate fuels, but even then we have used alternate fuels. And therefore the overall cost is not looking as high as perhaps the landed cost of fuel is. So, that's again, I would consider an achievement.

So, what next? I can give you all the reasons, but the fact is that I'm feeling extremely frustrated and disappointed as all of you would be with what the quarter we've had, as a result of which EBITDA is as I said from Rs. 157 crore in the quarter last year, we are down to Rs. 37 crore and per ton basis, we've come to about Rs. 300, which is again, more than 72% drop over last year. It can't be anything which is more frustrating, but we ha ve to live through these times and hope that some of the transitory challenges will get over.

The blended realization, I've already told you, where they've been total cost per ton largely because of it. The one thing which I certainly want to highlight to you, one is the variable cost of power and fuel cost. Some of you would obviously be seeing ou r total costs. I'm not talking about fixed costs, looking a little bit higher than what perhaps they should have been given our track record and on that again, I'd like to just share a little more information with you, which is that when we compare our fix ed costs in Q2 this year vis -a-vis Q2 of last year, there are few things which are I would say distorting the equation.

To begin with, for example, last year, in Q2, we had reversed some of the provisions, which had been made earlier for variable pay to ou r employees. And last year when after seeing how the year was progressing during the second quarter itself, we are seeing the signs so we had some part of the variable pay, we had actually reversed in Q2, which obviously depressed o ur people costs last yea r, which was not really a reduction and just a provisioning. In the previous quarter, we had higher than last year, this quarter they got severely depressed . So, that is nearly Rs. 4 crore is impact of reversal of provisions of variable pay last year in Q2 . We had some very old cases, when I'm talking about old cases, this go back to year 2005 and before, sales tax cases on the freight costs, which were in dispute with the State government because at that time sales tax was used to be a state subject. With that many years gone, I think even government was a little bit keen and Telangana government I'm talking about, Telangana government had actually floated a

one -time settlement scheme saying you pay, I think they were saying 40% of total claim and no penalt ies, no interest, nothing, and we'll just close all the files rather having to go through the assessments all over again, and we took advantage of that. So, these costs pertain to very, very old time. So, we have taken a hit of about Rs. 1.8 crore maybe on account of one -time settlement in the old sales tax cases, but to that extent, the balance sheet becomes more clean. Then I mentioned to you that we also migrated to the next version of SAP and incurred all the costs, that cost itself is about Rs. 2 crore , which obviously had to be incurred when we were doing the project. And also in this quarter, we quite didn't expect the rains to be as heavy as they are. So, we had already planned out some campaigns on our brand building, which again over compared to la st year, we spent about Rs. 2 crore more. So, nearly Rs. 10 crore in fixed cost s are which are looking a little higher than last year same quarter, they are more a distortion rather than apple to apple comparison. So, I just thought I'll place that for you in case that provides you a little bit better insight into why the results are where they are. They could have been perhaps, if this Rs. 10 crore is not there on the, there obviously could have been Rs. 70, Rs. 80 per ton difference in costs.

Coming to th e balance sheet now, obviously we have paid another Rs. 37 crore toward project debt in this quarter, total in H1 becoming Rs. 74 crore So, and we today, our let's say the project debt is now down to Rs. 236 crore and our working capital borrowings at the end of the quarter or at Rs. 172 crore, which makes it a total debt of Rs. 408 crore. This Rs. 408 crore is a debt which I would call interest bearing debt, but this also has been helped by the fact that in the quarter, we managed to receive Rs. 38 crore f rom Karnataka government under their industrial policy where we were supposed to get interest -free loan against the earlier VAT, and then after that it becomes state GST. So, we got Rs. 38 crore interest -free loans. So, if you add that also,

then the total debt will look like Rs. 446 crore. And that debt is like I said interest -free for 10 years and after that also is payable over 4 equal yearly installments, so it's maybe a 14 year debt which is coming to us interest fre e. So, debt including that will be Rs. 446 crore, but the debt bearing as I said Rs. 408 crore, for those of you who would like to estimate our financing costs.
Other things we continue to do excepting one more negative in this particular quarter has been that rake shortages has been a big problem. As much as rake shortages, also the railway authorities, I think managed their shortage of rakes. They have actually been very, very, I would say unfair to the industry by increasing their demurrage charges to 40 0%, 500% if it crosses a certain number of hours. And when we started seeing that that was beginning to hurt us, we obviously rearranged our logistics. So, as a result of that from a 20% share of our volume that we moved using rakes last year, has actually fallen to 15% in this quarter this year. So, there's been a drop. Even in the preceding quarter, it was 19%, but this quarter it's just fallen to 15%.
The CAPEX obviously has been slow. We haven't started beyond the wast e heat recovery plant and the flyas h handling system, we've not started any major expansion plant, Brownfield or anything. And we didn't see the need because the demand is so low the capacity utilization is so low. And there's no urgency as far as we are concerned to start construction and increase capacity because we are still are at a fairly low capacity utilization compared to let's say what we need to have.
So, those are, I would say, other things that I keep reporting to you, we keep redefining our cu

stomer base channel this brand prese nce. As I said even in a poor year, poor quarter, we still invested more to create the awareness of our brand. And our ground services and delivery I think we'll keep improving them almost every day that we work.
So, that's in a nutshell the complete summa ry of Q2 as I see it. But I'm quite conscious of the fact that no matter how much detail I share, there will still be more questions. So, here I am. Thank you.
Moderator : Thank you. Ladies and gentlemen, we will now begin the question and answer session. we have the first question from the line of Abhishek Maheshwari from Skyridge Wealth Management Proprietorship.
Abhishek Maheshwari : Sir, you have very beautifully explained about the previous quarter and its financials. Sir, could you give some feelings ab out H2 also, and how the Q3 is progressing because we are hearing that coal and everything is coming down price wise.
Deepak Khetrapal : So, in terms of cost prospects, it does seem that the costs are beginning to see some softening for sure. The good news that we have is that we already have gotten the ship, actually we're just offloading our pet coke. We've imported 1 shipload of about 55,000 tons of pet coke, which is beginning to now reach our plant and obviously if I told you that in Q2, our cost of pet coke was about Rs. 2,500 per million kilocalorie, this ship that we bought the cost is coming to us at under Rs. 2,300, which is still much higher than what we're traditionally used to, but that Rs. 2300 is

a lot lower than what we've recently been incurr ing. More importantly, from the time we confirmed the order till now, the prices have moved up again. So, we had a I would say a sweet slot which was available to us toward s the middle of September. We took the call to book at that time rather than waiting a further fall to happen. And now in hindsight I can tell you it seemed to be a brilliant call because we book at perhaps the lowest price of petcoke that was available and after that the prices again moved up $20, $25, $30 a ton. So, certainly that's one softening.
And I'm also hoping that as this softens and I am also hearing in the last 1 week or so, the South African coal again due to lack of interest from European Union, lack of interest even let's say from China and all, is beginning to soften. If that softens, then obviously domestic miners like Singareni or Coal India will also have to because they all work in line what the global price trend is.
So, on pric ing, certainly, we believe it will be softening. Our alternate fuels availability will also improve, which will again help our fuel mix towards cheaper fuel. The big question that I think all of us are still waiting for an answer to is how will the volumes be in Q3 and Q4.
Unfortunately, the month of Oc tober gives no indication because we can't have an apple -to-apple comparison because last year we had one major festival which was Dussehra in the month of October and Diwali was in November. So, the hit on the business which happens around

Dussehra -Diwali , was split over 2 months. Today, my view is that October over last year perhaps has been subpar for most of the industry because when 2 festivals comes and these 2 festivals actually cover all of India. Otherwise Dussehra in some parts is celebrated more, Diwali in some other part, Durga Puja in some other part. But this October, with all the festivals being in 1 month has slightly distorted the picture, but October has been subpar in terms of volumes. Although in terms of pricing, we have seen small impro vement but some improvement over the Q2 prices certainly we've seen in October. In the month of November, we were hoping that the volumes will start picking up post Diwali, post Chhath puja also got over toward s the end of October. But as of now, quite fra nkly, we're still waiting for the kic

k in the demand that is overdue now to come in and the only reason it seems to be for some reason the availability of labor still seems to be, I mean earlier it used to be around Diwali, then it became Chhath Puja, this time I don't know how you people are doing, even in a city like Delhi where I'm trying to get some small repair work and some labor to be available, labor is just not there, which is perhaps holding back the growth in demand which should happen around thi s time. And especially, with such extensive ra ins in our catchment areas, it's for nothing else, there is need for cement to complete the repair works itself, which itself becomes significant demand after very high rainfall. So, we're still waiting for the signs to appear. And again, do we have some improvement in the price over October -November again, yes, there is some improvement right now, but still too small for us to start talking about and we don't even know whether this will sustain and build up further, which it needs to , given the cost that we have. So, it's a double -edged sword. On the cost side, I'm sure there will be some will some savings, but unless we get the opportunity to sell number 1, more volumes and also sell at a better price. The reli ef that we are all seeking in terms of significant improvement I think is dependent on those 2 things.

Abhishek Maheshwari : And my second question is regarding your future expansions. So, balance sheet is in a very good state right now. Regarding your futu re expansions, do you have the land and environmental clearances already in place or is that an ordeal that you'll have to go through before getting to financial closures.

Deepak Khetrapal : I have the land and environment approval for my four th plant at Devapur, that's completely in hand, okay. There we're only waiting for the demand to look better before I start putting up more capacity because utilization has been low. Chitapur ha ve all the land and the environment approval process is on, but that's a s impler environment approval process, somehow it won't take too long because it's in the middle of so many other plants , it'll come through very quickly. But Devapur, we already have. In Rajasthan, we don't even have the land.

Abhishek Maheshwari : Because land acquisition has become a very difficult process for any Greenfield expansion.

Deepak Khetrapal : It is difficult but still I'm sure, we are getting our new Greenfield capacity coming up. And we have to find a way, we'll have to be smart about how we go about it, but we'll get there. Rajasthan is too lucrative an opportunity for us to pass up because of difficulties. We'll have to find a way.

Abhishek Maheshwari : And sir, third question. Sir, what kind of savings can be brought about by the WHRS in value terms?

Deepak Khetrapal : See, as I've been saying earlier also, if you take the ballpark cost of Rs. 100 crore to put up a 10 megawatt waste heat recovery plant, the payback is just about 3 years, okay. So, now you can calculate, we are actually talking a bout Rs. 30 odd crore of saving on power coming per year from the time we start commissioning and on a per ton basis you can calculate whatever it is but at least for Chitapur plant we know that specifically we're going to get because this power comes practically without any operating cost.

Abhishek Maheshwari : That's very good savings, sir.

Moderator : We have the next question from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar : I may have missed in opening remarks, but c ould you share what is the CAPEX timeline for by when this WHR and this Chitapur flyash unit are expected to be commissioned.

Deepak Khetrapal : I told you by the end of this financial year, both will be commissioned.

Rajesh Kumar: Both will be commissioned, okay. And sir, on the Tiroda, what is the progress?

Deepak Khetrapal : Tiroda, unfortunately, we still have not been able to make progress there because while the environment clearance application is under process, there is one document that we need which still has not come through. But the good part at least what I can share with you that all of us have been anxious and have been sharing my own anxieties that with Adani now owning both Ambuja and ACC, that is they would still w ant us to put up a grinding unit and compete with their own

plants, but fortunately for us, they have once again reconfirmed their inten t to have our grinding unit in Tiroda plant. So, it's a question of now time how quickly can we move the environment al application, but it's a bit delayed than more than what we would have liked, but it will happen. Exact timeline, the moment I have that Rajesh and the availability of the document based on which we'll move the environment application, I'll let you know. But right now, I have no line of sight even if I say 1 more quarter, 2 more quarters.
Rajesh Kumar: Agree, sir. And coming to demand and the competitive intensity, sir, with the 3 companies ramping up volumes, Birla Corp, Dalmia and Shree Cement in your marke ts, how is that impacting the volume for the incumbent players?
Deepak Khetrapal : Well, again, Rajesh, is the impact there? Certainly, it is there because obviously when more capacities come, every new incumbent who put up a large CAPEX in an area, they wi ll want to do something. So, Dalmia, they have invested money. As you said, Birla Corp has invested. So, they are beginning to push volumes. The challenge that we're having is do I start matching the low prices that they are offering in the market to defen d my volumes or do I defend my brand for the longer term saying, I'm not going to match their prices, I'm going to stick to my brand positioning, it's a tossup. Currently, currently our Board is saying , no, keep staying on with your branding because if you see, as I mentioned earlier, narrowing the price gap between us and the market leader because I'm not benchmarking myself with other brand s excepting the market leader. If I start chasing every new competit ion which comes in front matching the prices, my brand strategy and positioning will go for a toss. So, currently we are suffering and that's why I mentioned that our Chitapur capacity utilization has been a lot higher than our Devapur largely because the new capacities that you are talking about are coming around the older plant, right? So, we are still sort of believing that the way we have introduced branding and the power of branding to a small manufacturer like our company is the right way for us to su rvive because if you remain a commodity forever with these kind of capacit ies, you will never, never, never be able to sort of get good. So, it's the cost of pressure. We are sticking to our prices right now, not reducing them at all. When your competition starts selling product at Rs. 20, Rs. 25 per bag lower than yours, I mean I would rather not sell.
Rajesh Kumar: It's a good strategy rather.
Deepak Khetrapal : In the short term it is cost pain, Rajesh.
Rajesh Kumar: Correct.
Deepak Khetrapal : And that pa tience you need to have and let's see how it all pans out, but currently you are right. And mind you, the new brands which are coming, the brands that you named and I have named, are largely retaining these B2B market with very low prices, right, so which is not a game that we at Orient Cement would want to play anymore. We've done that in the past, we don't want to do it anymore.
Rajesh Kumar: Sir, would you share what was the clinker production in 1H?

Deepak Khetrapal : I don't have the number in front of me. Can I share that separately? But like I told you, for H1 more or less at par in t

erms of volumes of cement. And clinker because of this adverse product mix towards the OPC, obviously clinker production perhaps would have done a little more than what th e sales reflect, right, because the clinker is more in OPC. But not too big a difference between that number.
Rajesh Kumar: And sir, coming to the cost metrics, if I look at quarter on quarter on a per kilo cal, could you share how much was the cost in Jun e quarter per kilo cal? Blended total would be more useful.
Deepak Khetrapal : I'm just trying to look some of the data, my memory is not that sharp, I'm an old man. The blended is not in front of me right now. For H1, it's Rs. 2,358, that I have.
Rajesh Ku mar: And Q3, you said was how much?
Deepak Khetrapal : Q2 I had told you, the blended overall fuel cost Rs. 2,379. Last year, I gave you. Y -on-Y, I gave Rs. 1,336.
Rajesh Kumar: Q2, sorry, I couldn't get your numbers.
Deepak Khetrapal : Rs. 2,379
Rajesh Kumar: And H1 is also 2358, right?
Deepak Khetrapal : Yes.
Rajesh Kumar: So, your fuel cost is broadly stable quarter -on-quarter. Is that understanding right?
Deepak Khetrapal : Yes. I mean it's about 1% more.
Rajesh Kumar: Yes, this is okay. Given th at players are reporting 10%, 20% surge in fuel cost quarter -on-quarter.
Deepak Khetrapal : But this is the cost. Don't forget that our mix has changed for me, right, because I've used more Chittapur capacity using more pet coke and more OPC has been sold t han normal. Some impact

will be there, but this is a very small variation but broadly you are right. I have Rs. 2,379 for Q2 and Rs. 2,358 for H1.

Rajesh Kumar: And there would be slight moderation which you are expecting for Q3 from these numbers?

Deepak Khetrapal : Yes. As I told you, the new pet coke which has just about started arriving would be under Rs. 2300 against the pet coke, only pet coke was Rs. 2,568 in Q2, which will be at least a 10% plus saving.

Rajesh Kumar: And sir, with 1.5 months almost c omplete, how has been the pricing in your markets, quarter -on-quarter?

Deepak Khetrapal : Again, we come back to the same questions. I said in October, we gained something over last quarter. In November also we gained some small, I mean I'm talking just a f ew rupees for that. So, October had a slight gain over the last quarter. November with further slight gain as of now in the first few days in the month of November also.

Rajesh Kumar: So, from quarter to-quarter, do you expect the realizations should improve?

Deepak Khetrapal : They must. Otherwise you know what kind of trouble we'll get into.

Rajesh Kumar: I agree. They are going to obviously, but so far, have you seen an improvement quarter -on-quarter, if prices were to stay where they are currently?

Deepak Khetrapal : I've just answered that to you, Rajesh. I don't know how much detail can we share on 1 call where lots of people are waiting for their questions. I have already said that there is some improvement in October over last quarter, and November, there is further improvement.

Rajesh Kumar: Versus quarter, if you have mentioned that is okay. That is what I wanted to know.

Moderator : We have the next question from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.

Uttam Kumar: Sir, can you please tell me what has been our blended ratio this quarter and premium cement sales out of trade sale?

Deepak Khetrapal : In this quarter, yes, I forgot to give you the number, 15%, t hat is the highest ever.

Uttam Kumar: That is of premium cement.

Deepak Khetrapal : Strong crete, only Strong crete.

Uttam Kumar: Only Strongcrete, a nd what have been total , if you calculate total premium cement sale out of total trade sale?

Deepak Khetrapal : The other brand we launched very, very early in this month, it was not there last month, 15% premium sales.

Uttam Kumar:

And sir, what has been our blended ratio this quarter?

Deepak Khetrapal : Oh God, how many details every time somebody will ask me a qu estion for which I don't have a ready answer. I will get back to you. Blended ratios are a function of your OPC/PPP mix, right? If I stored more OPC, obviously my blended ratio has worsened this quarter. It's a bit simple math. That number I'm not giving y ou, but I gave your number that actually my OPC from about 39% year -on-year, has gone up to 45% and that number I have given you. So, OPC is unblended, right. PPC which was 61% last year is down to 55%, which has that blending. So, obviously that ratio has worsened although I don't have the numbers right now.

Uttam Kumar: And sir, what kind of CAPEX we're looking for in FY23 and FY24, be cause earlier you had guided for some Rs. 500 to Rs. 550 crore in FY23 and some Rs. 900 crore to Rs. 1000 crore in FY24. So, is there any change in that CAPEX amount?

Deepak Khetrapal : See, the fact that in this particular year, we have not been able to st art any work at all. So, obviously, in this year, we would perhaps be spending a lot less that what we're expecting. But given the fact that we also want to be getting on with our expansion plan, it will get bunched up. So, my own guess is at least FY23, p erhaps we would like to spend about Rs. 850 crore to stay on track with our growth ambition.

Uttam Kumar: In FY24?

Deepak Khetrapal : FY24.

Uttam Kumar: And sir, can you give the figure for rail and road mix?

Deepak Khetrapal : I've just given, 15% rail. I s aid because of all the reason of rake availability and all railways dispatch is 15% in the quarter, down from 20% in the same quarter last year.

Moderator : We have the next question from the line of Dhiral from Phillips Capital. Please go ahead.

Dhiral : Sir, for Q2, what was the fuel mix blended overall?

Deepak Khetrapal : So, for Q2, the pet coke has become as high as 58% because more capacity use at Chitapur, so that's 58%. Domestic coal has actually fallen to 28%, which used to have between 35%, 40%, that's 28% in Q2. And as I mentioned imported coal usage also has been a lot higher because of the good quality domestic coal we just couldn’t lay our hands on. So, I think 5%, 6% of imported coal would be, that’s rough mix, balance would be AFR all put together.

Dhiral : And sir, how many days of inventory we are holding right now?

Deepak Khetrapal : I’ve just said we bought shipload of coal for us. At Chitapur plant, it’ll be nearly 3 months of inventory and we are holding in the sense that we received at the port, it’s being shifted to our plant. At Devapur, we’re keeping r ight now inventory between 2 to 3 weeks because the mines are close by, we pick up from there an d then they go to our plant. We don’t stock more than that.

Dhiral : And sir, any volume growth guidance for FY23?

Deepak Khetrapal : Your guess is as good as mine guys. So, till the markets start showing some indication. I can throw any number, but there is no basis that I have. I can only tell you my ambition that as I mentioned despite all the festivals getting over, we’re still not seeing the demand traction which we expec t in this time. Early November, we thought October has not been good. November should start showing some traction because all festivals are over, but we haven’t seen the growth as of now. So, till we actually start seeing some strength, it’s very difficult to ha ve a guess.

Moderator : We have the next question from Bajrang Kumar Bafna from Sunidhi Securities. Please go ahead.

Bajrang Kumar : Sir, can you give us some sense on the Devapur ex pansion plant? When do we expect this to get completed? You indicated something about Tiroda, but can you guide something on the Devapur also, the fourth clinker line?

Deepa

k Khetrapal : Let me clarify, because you obviously don’t have the information that earlier I’ve been sharing. Devapur expansion is linked to Tiroda grind ing unit. Unless I have the grinding unit, I already have enough clinker at Devapur to keep feeding those markets, right? So, till Tiroda construction actually starts, starting Devapur too early would only be locking up the capital without any prospective utilizing the capacity, right? So, they are interlinked, Tiroda and Devapur are interlinked. Tiroda has to start first and then immediately because Devapur has, as I said, I have land, I h ave environment clearance, I have everything. I can start putting it up in 1 year’s time and have the clinker ready, but if I don’t have the grinding unit ready, what will I do with the clinker. So, I’m just being the same , just being practical say unless I am able to dispose of the clinker in a new grinding unit, it may not help us by putting up the line 4 in Devapur.

Bajrang Kumar : And some sense on the Rajasthan side in terms of regulatory clearances and how do we see that expansion plan goes in the futu re?

Deepak Khetrapal : See, I think even to start the construction there it will take about 3 years quite honestly.

Bajrang Kumar : And sir, is there a possibility that till we start the construction in the Rajasthan site, the limestone that is there with us , can we expect some sale from there, some sort of outright sale? Is it possible?

Deepak Khetrapal : I would never do that.

Moderator : We have the next question from the line of Surya Naik, an investor. Please go ahead.

Surya Naik : Sir, regarding the demand scenario, what you have painted during your opening remarks, that in your catchment area, so you see a lower demand and you are in fact, craving for more of the government projects to come in to fill up the demand what you say that is currently going on. So, in that light, just want to understand why we are so much protective of the (inaudible) into non-trade sales at least to utilize more capacity to establish the markets when the newcomers are coming into our area. So, at least to have a presence felt there because unless and until we see improvement in the utilization happening in Devapur, we will not think of setting up the grinding unit in Tiroda. So, it is a quite linking project. So, just to understand, why we are so much protective of th ese segments , why we are not opening it for the non -trade activity?

Deepak Khetrapal : I am selling to non -trade; my proportion already is 45% from 39% as I mentioned. Only thing is I am not wanting to sell my product as cheap as some of the manufacturers are selling. I never said I’m not doing B2B, 45% of my total volume this quarter has been B2B. So, I am selling b ut I am choosing my customer carefully where my prices are good, it does not hurt my brand. There are multiple things that we have to consider. Only volumes if I want to do, I will never have a

long term strategy to improve from where we are. Nowhere did I say that I am not selling to B2B, I am provided the price is the price that I want.

Surya Naik : So, sir, going forward, you may say, when we will be looking for more of the government projects, then obviously we’ll have to sell more of the OPC rather than PPC. So, any other specialized event. So, in that case then our composition would be to sell more of the OPC to the non-trade area rather than the trade area. So, if you say the realty sector goes for some kind of slowdown because of the interest rate sce nario because already this is quite apparent. So, my sense is that now unless and until we attain a capacity utilization of at least 75% to 80% at Devapur, we will not think of expanding the Greenfield at Tiroda, that is the linking project. So, why we can not think of?

Deepak Khetrapal : I think there is some confusion in your mind. I never said Tiroda will hold back. I said Tiroda, we will (Inaudible) (0:56:07) for that we will need clinker at Devapur, right? So, that's a different strategy. Strategy about not trying to sell too cheap around Devapur where some new competition are trying to gain market share in B2B segment by selling very cheap. That's where I am saying given my cost that we had, even as it is our EBITDA is barely Rs. 300, would you be happy if I sold 20% more volume in intraday loss, would you be happy with that as a shareholder? You have to answer that question and in previous few quarters, this quarter that is not visible, but previous quarter we've had some companies which sold a lot more volume and they declared a lot more, let's say, decline in EBITDA and decline in profitability. We want to sell volumes, but we don't want to buy volumes in terms of profitability. It's a slightly different approach. I think there is some confusion in your mind that which I am not able to clarify.

Surya Naik : Sir, what is the utilization level we are targeting at least for FY24? FY23 could be nearly similar to last year what I feel around 66%. So, is there any chance to increase the utilization, overall utilization of Devapur and Chitapur put together.

Deepak Khetrapal : Yes. We are very much trying, have the capacity to do that without sacrificing capacity. Please understand the strategy that we are talking about. I want to sell as much volume as possible. I would want to sell 80%, 90% of my capacity, but not at the cost of profitability. That's the differentiation I'm making.

Surya Naik : But less we utilize the kiln we'll be able to get lesser of the wast e heat recovery for power, that is also there.

Deepak Khetrapal : Wast e heat recovery is linked to a different investment. I need payback on that investment also. I can't invest Rs. 100 crore and reduce the cost and pass it on to my B2B customers. Then who will recover the Rs. 100 crore cost. Increase i n capacity is not coming free, please understand, that requires investment. All the reduction I'll pass on to the customers, then what will the shareholders do to me.

Surya Naik : At least in the interim 1 -2 year, we may sacrifice for the sake of attaining utilization level of let's say 80% or so, so that we can think of improving the situation overall economically.

Deepak Khetrapal : Yours is not a question, yours is a suggestion to me. I'll take note of the suggestion. Let me take that. That was not a quest ion. Your suggestion I will take. Thank you.

Surya Naik : Sir, another suggestion would be sir, because we are actually going so much digital, we have gone into SAP HANA and all, so my request would be to at least give a detailed presentation after each qua rterly result of highlighting all the KPIs, that would be nice, sir.

Deepak Khetrapal : How many hours do I need to spend on doing this call? If you need detailed presentation on S/4 HANA, it takes me 3 hours when I go through the presentation.

Surya Naik : I'm not linking to HANA, I'm talking of detailed presentation highlighting the KPIs of the company.

Deepak Khetrapal : I don't need to give you detailed presentation. All I can tell you is after that you won't ask for it, in this company today if I just giv e you some indicative KPI so that your curiosity is satisfied, I can't make a detailed presentation here. But all I can tell you is that my power consumption and tell me another company in the industry who does that, my power consumption per ton of cement is at about 63. My heat consumption is about 680. What better can we do than this.

Surya Naik : So, I'm just taking whatever in the industry the peers are doing.

Deepak Khetrapal : In the investors call, I am not going to lay out all that I do for my compet itors to imitate me. I will not do it. I can give you the number and the outcome, but how I do it, I am not going to tell. There are enough competitors who attend this call. I am giving you the outcome. As a shareholder, you're entitled to know the outcome . I am telling you my power consumption, my heat consumption is amongst the absolute best in the industry. I am giving you the number, 63, 680. Try to find this too many companies would do that. How I do it is I am not going to make explanation or presenta tion on that, I am very clear. I do it with a huge amount of hard work and innovation and all kinds of things and suddenly to lay it out in investor call for everybody to come and listen and go and do it, why would I do it. Clear, no.

Moderator : Thank you for your response sir. Ladies and gentlemen, that was the last question and we will not close the question queue. I would like to hand it back to the management for closing comments. Thank you.

Deepak Khetrapal : Thank you, everyone. I hope I have provided enough information. I can never provide say that I am providing you all the information that all of your curiosity might have as to if I am doing S/4

HANA, how does it benefit, where did this get. Those details obviously are not fair for me to share publicly especially on th ese calls. But anything which enables you to assess the quality of our operations, the quality for di ligence through the outcome that we're presenting to, I am more than happy. I hope I provided you all the information. In case there is something missing, do reach out to my colleague, Manish A ggarwal, who is also on this call. So, write to us and if the information can be made public, we will share that with you or put it up on or website. Is that fair? Thank you very much once again for your time.

Moderator : Thank you members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2023

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar, Bhubaneshwar, Odisha 751012, India. www.orientcement.com

CIN No: L26940OR2011PLC01393 3

February 9, 2023

Bombay Stock Exchange Limited
New Trading Ring,
Rotunda Building, P J Towers,
Dalal Street, Fort
Mumbai-400001
Security Code: 535754 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C-1, Block G
Bandra – Kurla Complex, Bandra (East),
Mumbai – 400 051

Symbol: ORIENTCEM

Sub: Transcript of Investors/Analysts Conference Call for the quarter and nine months ended December 31, 2022

Dear Sir(s),

This is in continuation to our earlier letter dated February 2, 2023, sharing the audio link of the investors/analysts Conference Call, held to discuss the Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2022, on Thursday, February 2, 2023, at 4:00 PM (IST).

In this regard, please find enclosed herewith the transcript of the aforementioned investors/analysts Conference Call.

The said transcript is also available on the website of the Company, www.orientcement.com. You are requested to take the same on record.

Yours sincerely,
For Orient Cement Limited

Nidhi Bisaria
(Company Secretary)

Encl.: as stated

“Orient Cement Limited
Q3 FY '23 Earnings Conference Call ”
February 02, 202 3

MANAGEMENT : MR. DEEPAK KHETRAPAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ORIENT CEMENT
LIMITED

MODERATOR : MR. HARSH MITTAL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Orient Cement Q3 FY '23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an o pportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harsh Mittal from ICICI Securities. Thank you, and over to you, sir.

Harsh Mittal: Thank you, Faizan. Good afternoon, and warm welcome to everyone. On behalf of ICICI Securities, we welcome you to this third quarter FY '23 earnings call of Orient Cement Limited. On the call, we have with us Mr. Deepak Khetrapal, MD and CEO of the company. At this point of time, I will hand over the floor to Mr. Deepak Khetrapal for his opening remarks, which will be followed by interacti ve Q&A session. Thank you, and over to you, sir.

Deepak Khetrapal: Thank you, Harsh, and thank you, everybody, who's found time to be on this call to hear us out today and get a little bit more nuances of the Q3 performance that we've had. Although I know you people have already done your numbers, you've read lots of reports, I guess. But even then, I think I'll take you through a few of the highlights for those of you who have not picked it up.

Well, as you would recall that when we were in the Q2 investor s call, at that time, we were a little bit concerned because October had started off very slowly, given the fact that there were extended monsoons and also all the festivals fell in the same month of October. So, October was a little bit worrisome.

But for tunately, as expected, post -Diwali, post -Chhath Puja, slowly gradually the momentum started building and which actually gave us -- I think all of us, the entire industry, a lot of respite from the previous quarter, which was rather soft. And I guess if we add up the monthly data, which comes from DIPP for the core sector growth as a whole, the cement industry across India seems to have grown 10% Y -o-Y and 8% Q -o-Q in this year over the previous preceding period, as I mentioned.

In this 10% Y -o-Y 8% Q-o-Q, which is the DIPP data, we are happy that we, as a company, despite the soft Q2 and despite, like I mentioned, the soft start to the Q3, we ended up with a total sold volumes of 4.30 lakh tons (Company clarification: Please read 14.30 lakh tons) , which obviously is in the region of about 17% Y -o-Y and just about there in Q -o-Q basis also. So obviously, it's a growth which we at least are happy to see in the market and the capacity utilization at higher than 70% for the quarter is a relief because whe n you're in 60s, it's very different than when you start looking at 70%.

And hopefully, I think this momentum that we've seen in the last two months or more importantly last six weeks of Q3, we expect the momentum to continue. And if we see the

general dem and in the month of January, which has just closed, I do believe that we should see good growth , the momentum that we've seen. If 10% was Q3 growth for this industry, I think Q4, we could expect a similar, if somewhat higher, growth possibly. So that's whe re we see the growth continuing. And if we look at our Y -T-D volumes, we have the nine months done total volumes about 40.50 lakh, so 4.05 million .

Given the momentum, just as we would like to end the year with about 5.8 million tons of sales in volume, an d we started the year with the ambition of 6 million. We obviously are not likely to touch 6 million, but we will be fairly close to it.

I mean, when you start this year and you are within 3% of what you had forecasted and especially with

the kind of month s we've had and a very soft Q2 also, I think we should feel happy at least. We believe that this quarter does what we expect ed it to do with the momentum.
So, in terms of volumes and sales, I think we have some comfort. Basic, I think, worry that we have in the cement industry and the investors would share with us that despite the strong momentum in the demand in the marketplace, the prices have not risen to -- for us to recover the inflated costs that obviously have been coming in over the last many -many quarters.
And as the costs remain high and the prices have not been able to sort of give us the leeway in terms of passing these costs on. So that obviously ha s been a challenge. Realizations, if we look at it per se, they are -- for Q3 for us have been a little over INR 5,100 per ton, which on a Y -o-Y basis, is just about 1% above.
And even on a Q -o-Q basis is 3% higher, which is very -very small compared to the overall inflation in -- the steep inflation actually, steep rise in the fuel costs that we have seen for the industry. I mean no player has been able to escape that, but the market prices are just marginally up.
For us, if you were to look at it, the powe r and fuel cost in Q3 Y -o-Y was over Q3 of last year, were higher by about 35% over last year, which is a huge -huge annual inflation. And this is despite the fact that we've had some respite in Q2 where the power and fuel costs are actually lower by 4% at our company in Q3.
And here, we have just sort of maybe, when I talk about the total volumes sold in Q3, we've had a little bit of a challenge in the form of the fact that bulk of this growth and the momentum that we see has actually been coming from our B 2B markets, large projects, other B2B customers, the ready -mix players, which again supply to many larger, more organized markets.
There is a very strong growth in that market. But in the B2C side, we are actually seeing still a lot of softness, a lot of h eadwinds, if you want to call them. And what that does is that if we sell more -- and we definitely have sold more to B2B segment in this particular quarter compared to ever before.

I mean, this year, for the first time, I think we have -- the B2B sales in this particular quarter have gone to about 51%, which last year around that time was 41% only. And in Q2, also we're at 45%. So, we have seen a steep jump. And -- so while we have the challenge of prices from B2B segment, that's one part of it. But at the same time, it also means that when we produce more for the B2B segment, which largely buys more of OPC, it also means that our power and fuel costs per ton do go up.
So, when I'm saying overall power and fuel costs were lower by 4% over the previous quart er, if we factor in the fact that we had a OPC percentage going up, so the product mix getting a little adverse, that typically would mean the landed cost of fuel would have gone in by a slightly higher percentage compared to 4% that we see, and balance ha s gone into the adverse product mix.
So that's one thing which I thought I'll just bring it to your information. As to the inflation that we had suffered, obviously, is showing sound signs of a little bit benign thing. Let's go how it happens in future bec ause as we've heard the availability of petcoke in India is dramatically going to fall as the largest producer of petcoke decides to use it domestically for gasification or whatever they want to do with it.
Even our total cost that we see, I think we are, nearly 5% lower sequentially over Q2, which is, I think, becomes relevant when we start comparing the costs now. While we, as I mentioned, we have had a 16%, 17% growth in physical volumes sold. But the net sales have actually gone up by 19%, both Y -o-Y an d Q-o-Q, that's rupees in crores.
And as I mentioned, a large part of the growth has come from the

B2B market. And the -- within
the -- I mean, lots of people will come back to the question, so we've sold 51% to the B2B market, and our OPC has actually gon e up to 47%. Typically, our blended sales, blended cement sales typically do remain much higher than what we have in this quarter of 53%. So, 53% blended, 47% OPC, which is largely unblended.
In terms of market mix, we have actually seen much better tracti on in the West markets for us, which have actually supported us rather well compared to the other markets, which largely are South for us. And the West markets in this particular quarter, we've seen the total volume sold in West at 56%, which is higher tha n the earlier quarters.
And I would say, the soft sentiment in B2C also impacted the total offtake as a percentage of B2C, even in StrongCrete, which is our premium brand. And as all of you know, our premium brand means INR -45 plus my price of OPC. That st ill hovers around 15%, but rather than being

-- it's actually over 15%, this time it's slightly under 15%. So that's a little bit of nuance compared to what we were seeing as a rising trend in stock.

It's marginal hiccup. Hopefully as soon as the B2C deman d picks up and our proportion of B2B, B2C that we've had traditionally, that restores. One, our operating costs will show th at benefit,

at the same time we'll also perhaps see a little bit more of the premium segment, that is StrongCrete, contributing more to our sales.

We do continue our philosophy of trying to basically go for recovering the price for our cement, which is justified by the quality that we give to the market. And any orders which do not meet our threshold of contribution per ton, we're happ y to say no to and walk away from the business. So that remains the operating philosophy, and we have no intention of changing that.

So that's on the revenue and the sales mix, both in terms of the customer segments and also in terms of geographical market s. On the cost side, I think, again, like I mentioned, we do have some respite in total cost and, most importantly, in the power and fuel cost. In terms of fuel mix, as we've always been saying our Karnataka Chittapur plant, as we call it, in district Gulb arga that is largely run on petcoke only supplemented by the AFRs that we keep consuming in larger -and-larger amount whereas at our Telangana plant in Devapur, we actually run largely on domestic coal.

And again, whatever is not domestic coal is largely th e AFR, barring maybe we had some imported coal, which was left over from the previous imports, just about 1% in this quarter. Otherwise, largely domestic coal at Devapur and, again, largely imported petcoke at Chittapur, that's our fuel mix. And overall, f or the company, if we look at it, I think we would be perhaps equally divided between domestic coal and petcoke at about 40%, 41% or thereabouts domestic coal and imported petcoke. And the rest is largely AFR, excepting like I said, 1% of the leftover of imported coal earlier.

AFR, for us, in volumetric terms this quarter has been at 17%, which keeps improving for us. And that actually gives us a fairly large benefit on a quarterly basis of, I would say, in the region of about INR 10 crores in the whole qua rter that we save by just using more of AFR compared to the fossil fuels that we as the cement industry are used to using.

Similarly, and obviously, while it gives us cost advantages, it also gives us more, I think, benefit in terms of sustainability becau se we are not burning any of the regular fuels that can be used where as actually AFR is largely a waste coming from different activities that humans have including RDF as we call them or municipal solid waste, hazardous waste coming from pharma industry, b eyond the biomass that everybody is used to using.

We're trying to use as much of these kind of AFRs as possible rather

than using what is called

an AFR, which is the carbon black, but slowly and gradually with the demand increasing for carbon black, we tr y, I'm not saying we don 't use carbon black, but we try and use as lower quantity of carbon black vis -a-vis the other cheaper, I would say, and more sustainable AFRs. So that continues to be our fuel mix.

On the power side, as I have been mentioning earli er also, we had invested a small sum of little over INR 4 crores in putting up solar power capacity, which in Q3 actually supplied about 62% of total power at our Jalgaon grinding unit has actually come from the project, solar power.

And at Chittapur plant, we are again, the state government regulations enabled us to procure solar and wind power that is renewable power, at fairly com petitive terms. So there also, we've been consuming a lot of renewable power. Company as a whole, once again, if I were to say, the total renewable power consumed by us in the quarter is as high as 18%, which is despite, as of now not having a waste heat recovery plant at any of our plants.

The waste heat recovery plant at Chittapur we expect to commission as scheduled. And the benefits of the waste heat recovery plant should start becoming visible from the first quarter of FY '24, that is just now, two months away. So, as it is and without, that also -- out of total 18% is being consumed, plus we'll add about 10 megawatts of waste heat power, which sort of makes us further green.

In terms of cost of fuel, lots of you always ask me about it, so I thought I'll prepare that information. Our total fuel cost of the entire mix for the company is well below INR 2,200 per million kilocalories.

And I would say thi s particular blended cost is nearly 40% higher over last year's same quarter.

And you have seen the impact of that, I don't need to elaborate further on that. The petcoke, as of now or as we stand, I think from the last import that we made, we should be ok ay for the month of February, and we've also booked one more ship, which should be landing us, or reaching India within the month of February, which will cover us for our requirements of -- possibly up to May.
And the last shipment that we brought in is at a slightly higher cost compared to what we imported earlier, the higher cost on petcoke I'm saying, which is used at Chittapur plant. This particular ship has been booked at, in my estimate at the cost, which is higher by just under 3% over last shipment that we brought in.
So, marginal increase, but we had to book it. We couldn't wait any further because otherwise, we would have been running out of fuel. So that's been booked, and we're covered till May. Beyond that, now we will obviously need to wait for maybe eight weeks, maybe 10 weeks before we book the next ship and let's see how the costs come down further.
So, one of the expectations that some people may have that the fuel price is softening, when we have to book our fuel for, like I said, till May, we had to take whatever the market prices were. So, if the prices soften further, to our company, the benefit will start becoming visible only from the month of June 2023. So just thought I'll make that also clear, so that we know that savings of any soft ening of petcoke prices going forward will not be available to us, because the ship will need to be booked and it needs to arrive in India in a certain point in time.
Those are, let's say -- on the fuel mix, again, the questions that you people keep asking . So, net-net, power, and fuel cost per ton for us in Q3 is INR 1,578, which is 35% higher Y -o-Y. Obviously, as I mentioned, there are differences between why the blended cost of 40% and why the total power and fuel because that -- what I've given you is only the fuel cost.

Power cost, obviously, has not

seen a s much inflation as fuel costs have. So that's why there's a
little bit of gap between what I'm reporting as blended cost inflation ve rsus my total cost of power and fuel, which is 35% higher over last year.
From the numbers that I'm seeing of the rest of the industry, we would still be one of the lowest in terms of power and fuel costs this quarter too. And I think in terms of inflation , the problem is as the data is reported always, I think we are now getting into a zone where for the next few quarter our base cost of fuel would start looking higher. So as a result of that, the delta that we keep seeing -- the Government publishes the i nflation numbers also, we forget that whatever inflation has happened in the past that stays. And when we say inflation has gone down, it is actually further inflation on the real level.
So that pain, even if it is softening, I'm not saying it's going away . It may look moderated because base will also be higher. And then we'll have some bit of softening of prices. So hopefully, the rate of inflation that we've seen in fuel costs should be behind us that we -- although the overall cost, like I said, we'll se e how far they actually soften.
The -- whatever have been the cost increases in petcoke, we also need to keep in mind because the AFR that we use also was being, I would say, being bid by almost every player in the industry. So, at our company, we've seen more than doubling of the cost of even the AFR. But despite that, there's a significant arbitrage that is available by using AFR compared to the traditional fuels.
And that's exactly the reason why we keep using it more and more. Even if they are double, I think the arbitrage is just too large. And as I mentioned, on a quarterly basis, it would be as much as INR 10 crores a quarter with a company of our size. And we know we are -- our size is what it is.
Our efficiencies -- while we continue to maintain ou r, I would say, excellent levels of power consumption and fuel consumption, so that stays with us. So, as you can see our cost management, I think in terms of our strength, cost management remains a strength, at very, very solid grounds.
The challenge has been that despite all the key variables, variable costs pushed high and market seeing demand momentum. We just perhaps need an opportunity to be able to pass on the increased cost to the markets, which as of now are not visible. But obviously, we never kno w because we have seen in, especially in Q4 of the financial year, as the market starts needing more and more of cement, the momentum does build up in Q4.
If, thereby, we can find an opportunity to pass on these additional -- whatever we can of the risen costs to the market, obviously, that attempt will be made. We are not giving up, but are there signs visible as of now , I'm sorry to say no.

And despite all this, I would say, volume increase, managing the costs well, due to prices being where they have bee n in Q3, our EBITDA is at INR 91 crores for Q3, as all you would have seen, which is about 25% lower Y -o-Y, but largely driven by the fact that the cost increases have stayed with us on our P&L rather than being passed on.
But it does look wonderfully bett er than Q2, which was actually -- I wouldn't like to compare our Q2, which was -- the EBITDA has actually come down to just over INR 37 crores. So that -- it looks a huge rise, but quite honestly, we are not proud of th at huge rise because on a per ton basis, we are still just about INR 640 a ton, which is not a good level to be, but let's see. I mean, who knows in the remaining, whatever, eight weeks of this particular quarter, if things turn around and pricing we get, we hope to be able to improve the realization.
And the only thing we can do is whatever we can realize higher from the market it just goes t o our bottom line with the cos

ts have been spent and they're managed well.
On the balance sheet side, we have paid another INR 37 crores, which have a quarterly repayment obligation under the term loan that we had for the projects. And then YTD, obviously, towards that INR 111 crores stands paid. Working capital as you would have guessed, that keeps coming under pressure, given the fact that the more y ou sell to the B2B market, the credit periods always are longer. So, we are still borrowing a much larger sum from our working capital limits from the banks, which we actually, until a few quarters ago, we were not borrowing at all on working cap ital.
The total debt for us as on date is INR 403 crores, including working capital, that includes our -- the interest -free loan that we got from the State Government in Karnataka. So out of INR 400-odd crores, the interest -bearing debt is only INR 365 crores, and t he bank term debt out of that of the original projects at Chittapur, that's down to now INR 240 crores.
The -- again, like I said, when we now look forward with the demand momentum, which we are seeing with yesterday's budget being extremely pro capex , pro investments, pro I would say, focused on building more roads, more investment into railways, more investments into PM Awaas Yojana, all that affordable housing schemes. We do think a sustained period of good demand ahead of us. The cost regime seems to be getting a little bit benign, which is the good news. And if all things fall in place, we should be looking at much better, let's say, quarters going forward in the next financial year.
So that's where we, I think, we see how the things look. The rest of o ur strategies, as we've always maintained, how we pick our markets, how we choose which customer to sell to, those remain steady, and we keep pushing our efforts to reduce the price gap that we realize from the markets vis -à-vis our competition. And that I 'm sure is visible to all of you when you see the improvement in our realizations relative to the rest of the industry quarter -after-quarter.

So, I think I'll stop here now, and let the questions flow and if there is anything I've missed out on this, maybe I'll try and answer the question if I have the information available, otherwise we'll get back. Thank you very much for your patience. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mangesh Bhadang from Centrum Broking.
Mangesh Bhadang: Hi, good afternoon, sir. Sir, a couple of questions from my side. So firstly, is on the vo lumes. So, you mentioned that West has seen a good traction this quarter, but we hear that at least Andhra, Telangana markets have also grown by almost 20%, 25% and even 20% growth is there in Karnataka. So, I just wanted to understand, have we seen simila r growth for us in those markets? And what could be the reason for higher tractions?
Deepak Khetrapal: See, when we talk about growth that we are reporting today, one is the report that we have in terms of what we've done. And second is what we see in the ecosystem. The fact of the matter is that it's a matter of where we choose to sell, and how much in which market we choose to sell. That's -- so the two numbers could be a little bit different.
But as I mentioned earlier, the overall traction in demand is obviously being proved by the -- in the DIPP data that you have. Although that is pan -India, but it's still in a way gives you where the entire market is.
We certainly want our market share to keep rising all the time but not at the cost of prices. So, if you see a difference between the two, that's simply explained by the different strategies, different companies choose to whom to sell, right . So, I won't be able to reconcile the two, except in saying that we have our own business strategy in which

market, and which product we would
like to sell. And that is governed by how much contribution per ton we can make from any particular order. But demand is strong, traction is strong. The expectation going forward, the volume does remain strong across markets.
Mangesh Bhadang: Okay. So next I just wanted to ask, so last quarter you had mentioned that environment, demand environment was soft, you were not thinking about the capex. So, any thoughts on this now?
Deepak Khetrapal: Absolutely. No, that situation is alw ays dynamic. It's not that we -- once we take a decision, we stick with it. Earlier, some time ago, we had thought we should expedite it, then we realized there's no market demand. Even today, the capacity utilization in this quarter is still just over 70%. We still -- I mean, we can easily go in one quarter as high as 90% or thereabouts.
So, there's no, let's say, immediate panic on that. But definitely, we have started relooking at our plans, which have always been with us for expansion. And a little bit of activity on that we're beginning to also make because, as I have been mentioning, at our Telangana, Devapur plant, we want to put up a Line IV, and there some investments are needed in terms of clearing some land. So those activities in terms of making sure that the land and site does become available for us to start the construction process. That's very much -- we are in readiness. We'll watch the

situation. The demand if it sustains, obviously, we will once again push the pedal when it comes to capex.
Mangesh Bhadang: And so, after you take the decision, how much time you think you will take to commission that expansion?
Deepak Khetrapal: From the time we press on the pedal, it should be between 15 and 18 months.
Mangesh Bhadang: Great. Okay, sir. Thank you, sir. Last question if I may ask on freight. So, any impact because of the busy season surcharge that you have seen in the freight cost?
Deepak Khetrapal: Sorry. I couldn't hear you clearly.
Mangesh Bhadang: Sir question is on the freight cost. So, railway has started the busy season surcharge, but our freight cost has not increased in that proportion. So, I just wanted to understand what could be the impact there. And have we seen changes, nonetheless?
Deepak Khetrapal: No. Obviously, this is ver y, I would say, tactical on the part of railways always when they start levying these kinds of surcharges because our peak period starts, so they also believe it's their peak time to make money.
And then we try and optimize by, one, to relook at the mix of logistics that we have railway versus transport, because at the end of the day, we need to look at our P&L even when railways are trying to improve their profitability. So, it's a function of, again, whether we choose to supply by rail or by trucks.
And o nce again, if some markets do not look attractive enough net of freight payment, we obviously would not sell there and try to find sell more in the markets nearby.
But your question is absolutely valid. Freight is a concern, especially when railways are becoming, I would say, more difficult, but in Q3, fortunately, we've actually been able to use in the overall demand growth, and we also need to get the cement at the markets where they're needed.
So, in Q3, our railway component of dispatches is at 16% agai nst 15% of the previous quarter, but still lower than what we had last year.
Moderator: The next question is from the line of Anupama Bhootra from Arihant Capital.
Anupama Bhoo tra: Yes, I had a question on capex. If you can throw some light on capex for FY ‘24 and also if you can give us the mix, the rail and road mix …
Deepak Khetrapal: Like I said -- Okay. On capex, I would just sort of like to share at this moment one -- just one piece of small data, which is earlier, we had said that we might have a signi

ficant capex
happening in FY '23, which we were estimating could be even above INR 800 crores because

we wanted to start making large investments in the grinding unit and in the Line -4. We haven't done that so in this particular year, our capex may be limited to just about INR 150 crores.
For FY '24, if you can allow me some time to re assess as the previous question also was there about what our plans are. When I speak to you in the month of April with full year results for this particular financial year, I'll be able to give you a little more granular picture on that. So just bear with me for a while. We are relooking the whole thing; we're trying to expedite the entire thing. So, we'll be able to give you a much better picture in April, please.
Moderator : The next question is from the line of Surya Narayan from Sunidhi Securities and F inance.

Surya Narayan: So, my question is that going forward, given all the publicity of approaching the market, relatively to the B2C and B2B and more demand is coming from the government side, the public expenditure side. So how we are going to tackle th is scenario because in the 2024 again pre - election demands that will be again majorly towards the public expenditure ?
So and the continuously the rate hikes will be there and which is like you know impact in the investment climate for the real est ate is concerned. So can you what should be the trade off and how we , can there be any change expected because as we see the O PC Cement volume is rising and that is impacting our overall market profitability and all. So will there be any change in the strategy going forward near term?
Deepak Khetrapal: So again, the strategy, one point that I would certainly want to remind you all about is that we are quite capable of producing an d delivering, I mean, quite frankly, even in excess of 18 lakh tons in a quarter, right . We can easily do that. If that demand comes in from both the sides, we would certainly like to make the best of both the markets. as long as they're giving me a certai n level of contribution.
So currently there is no capacity constraint that we see at least, I mean if we are at about just over 70% and I'm saying we can comfortably exceed 85% of capacity utilization as of now, no matter what growth in demand we're talkin g about, I don't think we are actually going to be running out of capacity for the next two years for us to not participate in the markets. Then t he question comes which market and which market is giving you more contribution at that point in time, correct .
Surya Narayan: Yes.
Deepak Khetrapal: The strategy is very simply maximize contribution, maximize EBITDA per ton, right . And not give up on a market as long as it's offering the margins. Do I have a capacity constraint in which I have to sort of start w ondering not to supply . Capacity constraint will never be the consideration, but if my costs are at a level whereby selling I don't make enough contribution, That might be the strategy that we would like to pursue with

Surya Narayan: But because recent tim es the real estate demand has come down and we are traditionally B2C market rather than B2 B. So obviously there could be some pressure to accept more of the government orders or let's say B2B orders to keep the utilization at a higher level rather than sitting at around 60% capacity utilization. So, and second is to understand that is part of part one and secondly to understand whether the due to more of the B2B demand that is creating an issue of raising the prices because the industry is unable to raise e ven five rupees per bag.
So in the two, I mean, by December end, at least in January middle, I mean, it was expected that at least five to 10 rupees per bag should have been increased. Because going by t

he past 20
quarter s track record, quarterly share of 4 to 5% cost increase in the petcoke front . So what hinders the industry? Is it that now the more of the B2B that is a challenge for raising the prices?
Deepak Khetrapal: No, I personally don't think B2B per se is the challenge. The challenge, if you see, even in B2C the prices have not go ne up. So if the challenge was from B2B side we should have been able to raise at least B2C prices but there also we are not finding the opportunity because there are other suppliers willing to sell their cemen t at a price which is much lower
Surya Narayan: So, which is the need, having B2B or B2C?
Deepak Khetrapal: Sorry?
Surya Narayan: Because at the industry level it is nearly 50 -50. I mean you will say B2B and B2C. So which is taking the lead? Currently the lead is being taken by the B2 C so that is why. I mean I am not seeing any leaders like Ult ra Tech; they are not able to even raise the prices. So what will be the progress on the pricing front as we approach the peak season ?
Deepak Khetrapal: I really can't answer that question because I really don't have an answer. We all try with every contract that we run, negotiate with every market that we are in, we do try to get somewhat higher price. But the choice is that if I am quoting a certain price and I am and not wi lling to reduce that, the customer always tries to go to another brand, another manufacturer.
So that is where we keep sort of in a way on a very dynamic, agile basis, we keep taking decisions of what customer is good for us, what customer is not good for us. And it's not so much about for me, not so much a preference between B2B or B2C, largely, in traditionally what has happened is B2C sales have always given us higher contributions because the cost of production of PPC is somewhat lower and the prices re main attractive on the cost for PPC. B2B is largely about OPC, right, and prices typically get negotiated by the large buyers very, very hard.
So it sort of always gives you a little bit less margins. What we're trying to ensure is that even when we are se lling more to B2B, that we do not compromise on the margins or contribution.
That is our call. How and when can the market price , Frankly, I am too small a player to be able to answer that question. I just take the prices as they are in the market. Within relative terms, I

try to get better prices compared to other brands. But overall level of prices is what the market

gives to us. As a company, the size that I am in, I really don't have much option to determine the price and sell my volume that I need to s ell

Surya Narayan: Going by -- I mean, good to see that you have booked the petcoke up to May '24. So that is a good thing. So

Deepak Khetrapal: May '23.

Surya Narayan: Sir, I'm sorry. May '23. So, what is the scenario because of -- what I see is that petc oke prices will be remaining quite hard and it will not be softening. So, what is your outlook maybe 6 months down the line? Is the petcoke at all crack or it will be again rising?

Deepak Khetrapal: My own guess as of now is look there are two dynamics wor king here. One is the dynamic of only yesterday what we heard that the largest manufacturer of petcoke in India says I will not sell petcoke at all. So obviously on the one side the supply is going down. The second dynamic which is also relevant is that in the recent past although petcoke has not come down but the coal prices have been coming down, right. The coal prices coming down, as of now, they are still on million calori fic basis, landed cost of US coal, South African coal is still higher than petcoke . But if those prices keep coming down at a certain point, it will start making a lot more sense for people to use coal rather than petcoke, which is the time when the international prices of petcoke will also fall

. Because end of the day, they are competi ng. Right now, petcoke has not softened because even at the current levels, they are still more competitive compared to coal prices. So we are always looking to the arbitrage. The moment the coal prices come down, we stop using petcoke and start using coal .

So that pressure of the constant basis, I am sure all of you are aware that the US coal prices or Australian coal prices have been coming down. If they keep coming down, either we switch to coal or petcoke people / petcoke suppliers will have to reduce th eir prices. So I see a little bit benign climate for cost of fuel, let me put it, whether it's coal or petcoke in the next six months as you asked.

Moderator: The next question is from the line of Sanjay Nandi from Ratnabali Investments.

Sanjay Nandi: Yes. Sir, can you share the volume numbers because I missed your initial commentary?

Deepak Khetrapal: 14.3 lakh tons.

Sanjay Nandi: 14.3 lakh tons. And sir, what are our expectations for the Rajasthan mine which got clear due to -- any views around that, sir?

Deepak Khetrapal: Well, mine has come back but as I have reported earlier also, we are now in the process of identifying the key land that we need and the cost of buying the land because we haven't bought any land as I've always maintaine d because the mining lease was not with us , there was no point in buying the land and keeping it. So the process of buying the land, we have started, we have

identified the pieces on which the plant will need to come up which is the first land that we need to have in hand.

Once we acquire that, we don't need to acquire the entire 1500 acres or thereabouts, but definitely the initial 100 -odd acres we will need to buy based on which we will have to give the complete geolocation of the proposed plant to the Mi nistry of Environment and Forests for them to process our application. So Rajasthan is still, as I mentioned from the start, it is the minimum three -year project, not less than that

Moderator: We'll move on to the next question from the line of Aashav Pate l from Molecule Ventures PMS .

Aashav Patel: Sir, congratulations for decent set of numbers despite very challenging times. My question is regarding Q4 volume numbers, there is some doubt o n that. So, we expect on an annual basis for FY '23, 5.8 million ton of volume whereas in 9 months, we have done close to 4.03 million tons. Now if we expect Q -o-Q growth of 10%, next quarter should be around 1.5 million ton. But to achieve our target of 5.8 million ton, we'll need close to 22% growth in volumes, Q -o-Q, around 1.77 million tons. So, what are our estimates? Are we expecting a 1.5-million -ton number for Q4 or 1.77 million ton?

Deepak Khetrapal: We are expecting in the region of 1.7 million to 1.8 million for this quarter. We are working towards that rather th an expecting or hoping we are working towards that. Irrespective of what the market growth is.

Ashav Patel : Ok, a nd sir, in 9 months FY '23, we have achieved close to INR 560 of EBITDA per ton. So, what would be annual guidance or our aspiration for this FY '23?

Deepak Khetrapal: Well, as I mentioned, we have most of the years we found an opportunity to get better pr ices from the market in Q4, right . So that is an expectation and hope. On volume, I told you that we are actually working towards that. On price, that is the hope that we will get some opportunity at some time in the remaining eight weeks to get better pri ces. But if the prices do not go up, that will remain a challenge.
And in that case, our EBITDA per ton, even if we take the operating leverage benefits and all, I mean, this quarter we've done about 640 or thereabouts that in this quarter it has the poten tial to with the existing prices be somewhere between 750 -800 rupees a ton. Whatever that weighted does for the year.

But also at the same time we are still not lo osing hope that there might be windows for us to get a better pricing which I am not factorin g into the EBITDA per ton that I just talked about.
Moderator: The next question is from the line of Dhiral Shah: from Phillip Capital – PCG.
Dhiral Shah: As of since we are entering into a pre -election phase in the regions we operate like Telangana, Karna taka as well as there is a Lok Sabha election next year. So what kind of volume growth guidance we expect for the next FY '24?

Deepak Khetrapal: Quite frankly, I mean, given all that we've heard in the budget speech of the Finance Minister this year, which , as I said, has been -- I mean, it's something which I see an extremely positive budget for the cement industry. And given the fact that we still are, as an industry, not seeing the kind of demand that we've seen in the pre -COVID times I would not be surp rised that if FY '24 the industry continues to see growth well above 10%.
My own guess would be 12%, 13% should be expected with so much support coming from the government in terms of capex, I see no reason why -- and mind you, FY '23 will still be a modes t base. I won't call it low but still a very, very modest base to work on, right .
And we just need to look back in good years what kind of volume the industry has managed to sell. So, I think we have enough room to expect a growth of well over 10%.
Dhiral Shah: So, we growing, sir, faster than the industry or we will be at growing at par with the industry growth?
Deepak Khetrapal: Look, every company would want to sort of do it faster than the industry. You have to see the track record. I think overall, if you see over the last five years also our track record has been that we've been able to grow at a rate higher than the industry, and that effort will continue.
But like I said, the volume growth for me is also a function of whether I keep getting the right kind of contribution to work with given the cost base. So -- yes, we certainly would think that if we are closing this year with the momentum I just spoke about, in that case, we would like to sort of -- why don't we target growth about 15% in FY '24 , We have the capacity. We have the market presence. We have the ability to sell, I need the right prices, that's all.
Dhiral Shah: And sir, just lastly, sir, what -- with the commencement of the waste heat recovery plant, plus the alternative fuel that we are continuously improving and now the fuel inventory that we have, do you expect that our EBITDA per ton may again inch up to INR 1,000 in FY '24?
Deepak Khetrapal: I certainly would think so. But in EBIT DA, we always have to remember, EBITDA there are two sides. One is the price realization, second is the cost. And in cost management, I think we can take a huge amount of pride in being amongst the best in the industry. To me, INR 1,000 for next financial year, to me looks like -- given the demand momentum that we see, I think INR 1,000 should be fairly achievable expectation. I would like to believe that.
Moderator: The next question is from the line of Kashvi Dedhia from Centra Advisors.
Kashvi Dedhia: So, my question is on WHRS side. First 10 megawatts of WHRS will be coming in Chittapur plant, so how much savings per ton will be done on account of that?
Deepak Khetrapal: See, earlier also I had mentioned that if you take the cost of that at about INR 100 crores and the payback of three years, per ton, you can keep calculating as the company -- because if savings will be only at Chittapur and there's only 10 megawatts, right . So, I'm expecting a saving of

around INR 30 crores a year. Take that out and per ton basis whatever is the number. For me, it's the total [inaudible 0:48:15]. Yes.
Moderator: The next question is f

rom the line of Girija from Systematix Shares & Stocks.
Girija: So, my question is pertaining to the pricing. So, do you think, or do you se e any kind of pricing

pressure because of new players entered in the market? As far as I know, there is an increase in direct sales from the factory. So -- previously, the retailers or dealers, they used to fill the ir-- ordering any -- if their order value was somewhere around 460 -500 cement bags at a time, minimum order, but now the company -- few companies, they have reduced it and they are ready to deliver 260 -300 bags to the retailers or distributors.
And a few companies, they are also shutting down the ir godowns to for a cost cutting purpose.
So, in that way, do you see any kind of pricing pressure at this moment?
Deepak Khetrapal: See, pricing pressures have been visible. That's why you've not been able to raise our prices further. We guys are operatin g at a fairly, I would say, in a very fairly tight market where costs have not given us any relief and the [inaudible 0:50:02] on the -- they've been going up. On the sales side, we've not been able to pass on the cost.
So obviously, price pressure is exis ting. I mean, throughout this financial year, we have seen the pricing pressure. In terms of people choosing to start supplying smaller quantity orders, frankly, indirectly, that's a price pressure only because the moment you start supplying smaller quanti ties, your cost of logistics goes up, right . So, when we're taking a decision, we not only look at what the price per bag or per ton for us is, we also look at what's my cost of delivery. Right .
So -- yes, the players who are finding it, let's say, necessa ry. As far as we are concerned, what I can tell you is we do supply smaller quantity orders, but we are supplying them to only dealers or customers who are very close to our plants. We can't afford to supply very small quantities to dealers who are 200, 30 0 kilometres away, we just can't afford to.
Somebody within 30 kilometres -40 kilometres is there some markets, some customers, some dealers, we can look at that, yes.
Girija: And currently, what is the price gap between trade and non -trade?
Deepak Khetrapal: Million -dollar question. Depends on which particular market /which customer we talk about.
But largely, I think at this stage, what's happening is that the -- with all the demand from B2B sector, we are actually seeing prices being -- they're be ing fairly firm.
In the sense that they are not at a -- they are not able to get away with much lower prices, especially because they're buying the higher cost cement also. So, price gap may not be there, but because of higher costs, the margins come under pressure there in B2B.

Pricewise , I think they -- today, I don't think they're getting a discount over B2C prices because we can't afford it.
Girija: And just -- Yes. So, this Q4 number will be mostly in volume -driven number, not a price realization. We c annot see much in realization front?
Deepak Khetrapal: Look, I --please understand what I said. I said there are no -- nothing line of sight which says prices will go up in this quarter. And that's why the numbers I spoke about, I spoke assuming that the p rices have not gone up -- will not go further.
But I also mentioned that in Q4, most of the years you would see, we have seen prices improving in Q4. So, I'm not giving up on that hope. That's, for me, the bonus on top of the volumes that I've spoken of.
Girija: Yes, because January we do not see much price hike. It's all in the average price, it's more or less flat, so two months, I don't know?
Deepak Khetrapal: Yes. But as we -- I mean, if you look at historical trends, there is still hope. There's still optimism that in the remaining weeks, we may get a few weeks of good -- better pricing.
Deepak Khetrapal: Harsh, I t

hink there are just three minutes left so if people have got all their answers, then we may be good for the day.
Moderator: Sir, we have tw o questions in the queue. Should we take that?
Deepak Khetrapal: Okay. Since you asked, it's okay. The last two then.
Moderator: The next question is from the line of Shouvik Chakraborty from Dolat Capital.
Shouvik Chakraborty: Sir, can you -- this is a database question. Can you just mention the per Kcal cost? I mean, blended cost?
Deepak Khetrapal: I did mention earlier.
Shouvik Chakraborty: Sir, I did not get that?
Deepak Khetrapal: That becomes a problem if the same question keeps coming back.
Shouvi k Chakraborty: Was it below 2.2, sort of that?
Deepak Khetrapal: Yes, just about. I've actually delivered the number. I think it was lower than that. Yes, I said Well under INR 2,200. That's what I said. Yes.
Shouvik Chakraborty: Sir, and the lead distance for this quarter?

Deepak Khetrapal: Lead distance is always -- we've being a little over 300 kilometres, so some quarter, it comes down by five kilometres, some quarters it goes up. There's no major difference. I mean between five, seven kilometres, there's no variation from previous quarter . So, a little over 300 kilometres is what we keep telling the market.
We certainly are well below 350 kilometres. We are nowhere in the range of 350 kilometres. So that's another way of putting it. But precisely exact number, we' ve not been giving out. We generally give a range.
There were two questions, Harsh. So, is there somebody else also waiting?
Moderator: The next question is from the line of Surya Narayan from Sunidhi Securities and Finance.
Surya Narayan: Yes. Sir, just wanted to know what is the availability of the domestic coal so far as the G -3 or G-4 grade coal also our 6,000 plus Kcal grade?
Deepak Khetrapal: From the mines that we buy, we are not seeing that availability. That's a problem. G -5 onwards, we are getting adequate coal, and we are buying for -- when I mentioned that our Devapur, Telangana plant, we are largely dependent on domestic coal. It's a mix of G -5, G-8. And that's good enough for our production.
We top it up, given the price difference between G -2, G-3, and the G -5, G-8, we 'd rather top it up with some petcoke as a sweetener rather than buying a very expensive coal where by the time the coal reaches you, you know the gaps that exist between what they say is the grade and what quality of coal we end up getting. So better off buying G -5 plus G -8 and using petcoke as a sweetener.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.
Deepak Khetrapal: No, I just -- I think I've p rovided all the information that the participants asked for or needed as required. And I once again would like to thank all of them, all the participants, once again for your interest in our company. You keep coming back to us, keep asking us questions, wh ich enables us to let the rest of the world know through you people how our operations are going.
Thank you for your time. Thank you for effort. Thank you for your contribution. And some idea suggestions that come up, they're always welcome. Thank you, Har sh, and thank you, I -SEC, for again, once again, connecting this conference -- the call very well. Thank you.
Harsh Mittal : Thank you sir, for the opportunity. Thank you.
Deepak Khetrapal: Thank you.
Moderator: And thank you. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar, Bhubaneshwar, Odisha 751012, India. www.orientcement.com

CIN No: L26940OR2011PLC01393 3

May 10, 202 3

Bombay Stock Exchange Limited
New Trading Ring,
Rotunda Building, P J Towers,
Dalal Street, Fort
Mumbai -400001
Security Code: 535754 National Stock Exchange of India Limited
"Exchange Plaza", Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East),
Mumbai – 400 051

Symbol: ORIENTCEM

Sub: Transcript of Investors/Analyst s Conference Call for the quarter and financial year ended March 31, 202 3

Dear Sir (s),

This is in continuation to our earlier letter dated May 3 , 202 3, sharing the audio link of the investors/ analysts Conference Call, held to discuss the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2023, on Wednesday , May 3 , 2023, at 11:00 AM (IST).

In this regard, please find enclosed herewith the transcript of the aforementioned investors /analysts Conference Call.

The said transcript is also available on the website of the Company , www.orientcement.com . You are requested to take the same on record .

Yours sincerely,
For Orient Cement Limited

Nidhi Bisaria
(Company Secretary)

Encl.: as stated

"Orient Cement Limited
Q4 FY '23 & FY '23 Earnings Conference Call "
May 03, 202 3

MANAGEMENT : MR. DEEPAK KHETRAPAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ORIENT CEMENT
LIMITED

MODERATOR : MR. NAVIN SAHADEO – ICICI SECURITIES

Moderator: Good morning, ladies and gentlemen. Welcome to the Orient Cement Q4 FY '23 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Navin Sahadeo from ICICI Securities. Thank you, and over to you, sir.
Navin Sahadeo: Thank you, Li zann. Good morning, everyone. On behalf of ICICI Securities, I welcome you all to the Q4 and full year FY '23 earnings call of Orient Cement Limited. From the management, we have with us MD and CEO, Mr. Deepak Khetrapal. So, without any further ado, I hand over the call to Mr. Khetrapal for his opening comments followed by interactive Q&A. Over to you, sir.
Deepak Khetrapal: Thank you, Navin. A very warm welcome to all of you who 've chosen to spend time on this call today morning. With me on this call is also Prakash Jain, our CFO; and also Manish Aggarwal, who looks after Corporate Finance and also Inve stor Relations. So, just I thought I'll make people aware that there are others from Cement who are on this call. My usual customary update on Q4 and the full year, let me point out some highlights, which may not be so obvious from the published results, a nd I think that's the main purpose of the call. So, as we all know, we had an extremely disappointing Q2, very, very soft H1.
But thereafter, I think we started recovering well and, Q3 actually showed a much better performance and in Q4 I think we bou nced back with EBITDA in Q4 of close to INR840 a ton. So, that's good to be back where we belong. The overall volumes, as all of you know by now for Q4 are 17.2 lakh ton, which is 6% growth over last year. And over Q -on-Q basis preceding quarter, we are up 20%. And I just want to highlight th is 20% growth that you are seeing in our quarter -to-quarter on the volumes. And this is barely any drop in the pricing.
Price is barely 0.5% below the preceding quarter, and with that we ha ve 20% growth. I just want to highlight how important and how significant th is is. On a full year basis, we have total volumes nearly 58 lakh tons up 5%. The main thing, which was not, I said, which is not in the published numbers, this year has been a strange year for us because largely, we remain 60% plus towards the trade sales as we call B2C sales as we keep c alling it. And our B2B typically has been smaller part of our portfolio which continues to be so but there is a big skew that happened during the year.
And we, in our markets found the B2C demand or the trade segment demand to be a lot lower. And bec ause of the price , demand in B2C being lower, somehow the pric es in B2C segment in our market also suffered and they were very low. And we made a quick pivot as we keep calling ourselves the agile organization. And this year, we grab bed the oppor tunity that is available in the B2B sales. And against 9% de -growth in our trade sales, we actually have grown by 29% in our B2B sales.

Why I'm calling that out is because it has huge implications on the overall, I would say, numbers. The B2B sale, as we know is predominantly OPC sale, unblended sale. Now, what that does is that when you start selling so much more of a proportion of OPC it actually changes the total capacity that is available to the company because the fly ash is not getting blended with the, blended cement that goes. So, when we actually look at these numbers, we, while we would say that for the quarter, we have, the OPC has actually gone up to about 43%.
As a result of that, whateve

r capacity utilization we talk about, the 80% capacity utilization that
we talk about at the cement level. At the clinker level, that amounts to 98% capacity utilization for the company as whole in Q4. So, clinker utilization has been 98% although the cement level

capacity utilization appears to be just about 80%-odd and slightly more than that. Which is a big, big difference and also in terms of the efficiencies and all they go for a toss because obviously, OPC consumes more of fuel, more of power and things like that.

So, when you do the per ton analysis we need to remember, it's not quite an apple -to-apple analysis. So, these are important nuances behind the numbers that I just read out to you. For us, in Q4, the trade has been actually down to 51% against the last year of, the trade at 52% again st 61% of last year. In Q4, it's 51% this year. In the preceding quarter, it was 61%. So, that's a big, big skew in our volumes in Q4. The import of that I already explained and another very important factor that I want to highlight for all of you is t hat despite the significant de -growth that I've mentioned to you about our trade sale, the B2C sales.

Our premium products that we've been targeting only on the consumer of trade market, we do not offer them to the B2B segment. In those products our super premium brand, as we call it now, Strong Crete , which is up 17% over last year 's volume. And then we late in the year, we also launched Orient Green , our another premium bra nd, which is not super premium which is more like a premium. It's about INR20 -odd less than Strong Crete in terms of pricing. But the positioning of Orient Green is more about sustainability, more about responsible cement. So, if we combine the two, our to tal growth in premium cement over last year is 22%.

And the Strong Crete 17% has come to us despite the fact that in Q1 itself, we had actually decided to, in a market where prices are difficult to come by, we've actually taken a bold decision to incr ease the premium gap of Strong Crete over our PPC another INR10. Earlier we used to sell it at INR35 plus PPC now we sell it at INR45 plus PPC. Despite that, there was a 17% growth in consumer segment where otherwise we have a de -growth. So, these are thin gs that I just want to draw your attention to.

It actually tells us that our brand strategy and our positioning strategy that we've been so working on in a very con certed manner as a long -term process. And with the rich portfolio of premium cement as we've already launched it. It seems that now we've taken routes and we're beginning to see the fruits of the hard work that we've been doing. And this branding strategy wh ich to my mind is perhaps unmatched in the industry. It will actually pay us dividends for years to come. But at this stage, at times, it does appear that in investing in the form of lost volumes to, as we insist on the prices that our brands deserve maybe there's some investment that's happening in

terms of lost volumes, but we've as a conscious choice, as a strategic decision we choose to pursue that prudent routine we keep doing it. And I'm just pointing on this thing because in the overall ana lysis of volumes and tons and prices, some of these nuances get lost. I talked to you about the clinker utilization in Q4 at being 98%.

Now if we, just to give you a full year figure also, it seems that at the cement level as traditionally, as we see, our capacity utilization is at 68%. But if we look at the clinker level utilization in the last year, we utilized total company's total clinker up to 78% for the year. We obviously, one implication which is very clearly there is that we have 98% utilization in the quarter, 78% already happening in the full year of clinker. If we want to keep growing very quickly, we need to take some action to add more clinker capacity.

And the

clinker capacity that we need to add, I'll come later on capex, but just giving an indication to you because clinker utilization. If we look at the full year last year at our Chittapur, Karnataka plant, our clinker utilization is in excess of 100%. So, the capacity addition at Chittapur is now looking absolute at desperate need. So, we obviously have to very quickly think about adding clinker capacity starting with Chittapur compared to earlier, we were thinking about somewhere else, I'll come to that.

The other details on Q4 our realis ations on last year were up 3%. And like I said , on Q -o-Q basis, there's hardly any drop there. Even the full year realizations are up about 3%. While the cement prices have stayed, what I call flattish what has bothered us throughout the year is the huge spike in costs and largely, we all know it the power and fuel costs which have been going through the ceiling. And they have been unrelenting lately. Yes, we've been having some relief. But for full year, if you look at it our total costs, which went up to about INR570 per ton.

Out of that INR467 is co ming only from power and fuel and INR66 is coming from logistics costs. Obviously there are some other small contributors to that, some additives like laterite and gypsum and there maybe some fly ash costs moving up during the year. And largely, th at's the cost buildup. On Q -on-Q basis, our total cost of operations in Q4 are down about 5%, but they are higher 7% year -on-year, largely as I mentioned, power and fuel and logistics because diesel cost also went up.

And this cost increases, I just want to sort of again, give you numbers which are otherwise not

there. The full year, if we loo k at the AFR, the alternative fuels that we use, that we keep consuming. And we've actually been using a lot more of lower cost fuels like RDF and the municipal waste and things like that , compared to carbon black, for example, which has been classified as a n alternative fuel. But we know that the carbon black is not really comparable in terms of AFR with things like municipal solid waste or the RDF and things like that.
More and more focus has be en to go towards lower cost alternative fuels. And also the hazardous waste whether from pharma industry so hazardous waste, nonhazardous waste we will be trying to bring in. So, that even the alternate fuels that we use are coming at a cheaper cost. So, total savings that we estimate for the year from u sing alternate fuel is in excess of INR40 crores. And the renewable power that we will be increasing during the year those savings are in excess of

INR10 crores coming out of partly out of Jalgaon, investment that we made and also partly coming from the Ch ittapur we've been sourcing the re newable power through open access. Unfortunately, the Telangana government policies are not friendly towards using or buying renewa ble power. And they are leaving no opportunity for us to utilize that at Devapur till we decide to set up our own power on our premises , which , perhaps which might happen later. In terms of efficiencies, I'm delighted to report that despite whatever t hings we talk about, the heat consumption as we call the fuel consumption in a year where otherwise things have been struggling, our total heat consumption for the company as a whole is under 690 kilo calories per kilo of clinker.
The alternative fuels for the year as a whole have been a little lower in terms of total volume of alternative fuels, but it's been more on the cheaper low cost or negative cost fuel. But renewa ble power for the company as a whole for the year has now r eached 15%. And encouraged by the benefits that we see of alternative fuels and of solar power, we are obviously investing more. The plan is that the renewa ble power for our company by FY '25 and that in the next two years should actually become ove r 35%.

And we are also, I think as an outcome of the board meeting we announced that we are going to be investing again in a SPV to add about 21.5 megawatts DC of solar power at Jalgaon and Chittapur separately. The wast e heat recovery project that we've been talking about, which has been under construction at Chittapur, the construction got over and th at plant is right now under commissioning. And the reason why we could not do it earlier although we were planning we'll do it earlier but to on e constructing the wast e heat recovery plant, but we also need to connect it to the kiln to tap into the heat.
Now th at connecting the kiln to wast e heat recovery plants, needed the shutdown of the kiln, which we could not afford in the month of March . So, only in April when we took the Chittapur kiln for maintenance shutdown a t that time we took the opportunity of connecting the kiln with the wast e heat recovery plant and currently the commissioning is on. Almost 80% of the power that we expect fr om wast e heat recovery should become available to us from, I'm expecting later this month, but if not later this month, at least definitely in the month of June. About 80% will come in.
And balance 20%, hopefully, by July, August we will start getting even the balance 20%. So that's a huge, huge, huge cost s aving initiative that we are taking at Chittapur. The other project which has been on towards cost saving, the ra ke handling system is up and ready. W e've already brought in the first ra ke and the sort of normalizing that. So, that also is up there. In terms of market exposure, we, in this year, we actually have increased our volumes from Western India which in terms of markets I was mentioning our exp osure to Western India has actually gone up to 61% in Q4 from 53% which used to be till last year, I am talking about Western India, Maharashtra and Guj arat put together.
On full year basis, our exposure to West now is 57% up from 54%. So, that means we sold less to Southern India, more to Western India in this year. And this change has been enabl ed by the

fact that today, our volumes in the Mumbai market and the Pune market. These two markets have been giving us a huge amount of traction our brand is being preferred by lots of B2B customers. And that's why the sli ght skew further towards West from South has also happened.
On the fuel mix and other details, one thing which I again want to call out is, as on date, we've

been reporting earlier also that we' ve been a water -positive company. So, I am delighted to report that we're also a plastic -positive company now in the sense that whatever plastic we end up consuming in packaging or whichever other form, we actually bring in and burn a lot more of plastic compared to what we consume in our process. So, we are not just a water -positive company, we're also a plastic -positive company, which I think from sustainability and ESG perspective are very important development.

In terms of fuel, as all of you know, in Chittapu r besides the alternative fuel that we use it runs entirely on petcoke and Devapur, the main fuel continues to be domestic coal. With some petcoke as a sweetener but largely domestic coal and some AFR. Always the question comes as to what's my fuel mix. Ov erall for the company as a whole in Q4, we have had about 53% of domestic coal, 35% petcoke and balance is l argely alternative fuels.

The alternative fuels as I mentioned , lately we've had some problems with one of the major alternative fuel had become rice husk. But somehow in the Telangana market, there is some issue going on with the government procurement of paddy because of which lots of rice mills which used to shell and give us the rice husk has not been available. So, that's been a little bit of difficulty. Hopefully, it'll get over soon, but that slowed down our March with alternati

ve fuels

as much as we would have wanted.

The overall blended cost for the company on a kilo calori fic basis for us has been INR2,110. And this is down from INR2,230 sorry, INR2,230 is the full year, sorry, my apologies. The blend ed fuel costs for the quarter four is INR2,110 but for the full year, it's INR2, 230. That means obviously in Q4, the improve ment is already visible but the more important part is against INR2,230 is the blended cost for the full year, the last year, the blended cost was INR1,486. Now if you look at INR1,486 versus INR2,230 the increase in fuel cost, which is the procuremen t cost, which has nothing to do with our efficiency and anything. With that steep a hike in fuel cost if our EBITDA has suffered, this is where the data is. In terms of, what are the other details. We have overall power and fuel costs despite this h uge increase and with the increase in OPC, which as I mentioned, does consume s a lot more of power and heat in terms of producing.

Our fuel cost quarter -on-quarter in Q4 is INR1,570 that I'm sure you could have, people would have calculated. And on a y ear-on-year basis, the increase is now under 19% it's because last year, Q4 some amount of inflation in fuel costs had already hitting us. So, it's 19% now, which used to be 30%, 35%. And on a full year basis, it's, let's say, full year basis it's 41% up b ut on Q-o-Q it's down to 19% above what we had earlier. The prices obviously, fuel cost prices have been softening and largely petcoke that we depend on because of the Singareni Collieries are the domestic coal supply base, there is not much change. But the petcoke prices internationally and domestically have been coming down.

So that's been a huge relief. The AFR costs sort of obviously with lack of availability, if we keep using carbon bl ack and rice husk both these costs will go up but we depend more on RDF and more on MSW and hazardous waste. So, using all the strategies or the cost management obviously has been a really solid and in place and it runs as a good process. The challenge rea lly has been that with the variable cost, which has bee n push ed high because with the power and fuel and diesel costs. And the market demand also has not been, I would say, so bad. We still have growth and the problem has been our ability to pass on the increased cost to the market. And that is not new in this Q4 this been ongoing process throughout the year. The bottom line of the company in Q4, bottom line are , we mostly restrict ourselves to EBITDA, so we are about 7% lower compared to Q4 FY2 , which is '22, which is a huge recovery from how far behind we had become. So, Q4 just 7% below last year EBITDA. And in terms of quarter -to-quarter comparison Q -on-Q basis, we are at 58% up compared to the Q3 EBITDA that we had.

On per ton basis, Q4 is close to INR840, up 31% from Q3. But on a year -on-year basis, obviously, we're down from INR958 to just about 12% down over last year. In terms of balance sheet, we obviously have been paying term loans that our project debt we had , which we repaid another INR1 48 crores. And that project debt is down to just about INR240 crores in our books. And again, there's a quarterly repayment program that we keep respecting. The debt that has gone up on our books there is an important r eason behind it on 31st March, it seems that our working capital had got stretched. And the reason behind that is actually a very positive development that we've been able to make.

We perhaps are setting some kind of, I would say, world records in our ability to keep running kilns without having to take maintenance shutdowns. What I mean by that is our Chittapur kiln, while actually recently taken for shutdown after a period of 23 months. The industry norm is nine-month. We ran the kiln and we took it d own for regular maintenance work after 23 months, while

that is one data point which obviously give s us savings in our fixed costs, as required maintenance. More important, why I 'm sort of mentioning that at this particular juncture is we finally had to take maintenance shutdown of the kiln which last we had actually done in the month of April '21.
And because the markets around that area w ere still very strong, we had to stockpile a lot of clinker , by March end to be able to keep servicing the markets that Chittapur serves. Even during April when we would have had nearly zero clinker production. So, that huge pileup of clinker inventory and c ement as much as we could stock at the end of March led to a to a huge spike in the inventory that we have, as we had on 31st March, which obviously needed more working capital, and that is a big skew.
But as I mentioned, we did take the shutdown work of Chittapur during the month of April. And by the time, we lit up our kiln back into operation, all th at excess inventory that we had piled up had been consumed to cement stock and you'd be surprised at the end of March, if my clinker stock, at Chittapur wa s 75,000 tons, by 20th March (Company comments : please read 20th April) it was down to 2,000 tons. Even now, we have total clinker stock at Chittapur just about 7,000 tons. So, the blip that you see in the working capital buildup, w as only to be able to tide

through the period that we had for the shutdown there. That's the only reason why the working capital got stretched and we had to borrow some m oney from the banks.
Plus, obviously, from time to time when we import petcoke it does create a little bit because we've, when we import, we have to import full ship loads. And obviously when that inventory comes to besides that, which has become a norm al cycle now we import vessel and then consume it. So, when it comes, you certainly have a three -month inventory by the time you import the next ones, that also falls. So, that's the cycle but the clinker exceptional inventory has been already liquidated.
As I mentioned, the project debt is about INR240 crores as we speak, the working capital that would be a little over INR100 crores. And in this particular year, we managed to also get part of our incentives, which our Karnataka investment had made us eligible for. So, about INR57 crore s of debt we have in the book s which we call it debt, but actually, it's a soft loan from Karnataka government which is interest free for the next 10 years and the repayment will start only after 10 years again in yearly installment s.
So, it's interes t free loan available as good as equity, frankly. But still if you include that also then we would say we are the debt is around INR400 crores, but INR57 crores of that as I mentioned to you is more of incentive than really a loan. The best news I think the energy prices, which we've seen the softening in Q4 have softened further during the last quarter. The challenge that we have is that when the prices softened by the time the y hit our P&L there is always a lag. And that's why last year, despite price s going up in the initial quarter, quarter and a half we had the benefit of our early inventory which was bought cheap. This year, we may have a little bit of struggle with. The prices o f petcoke having gone down, the lower priced petcoke, when it only co mes in only then we start seeing the softening, otherwise we have to live with what the inventory that we 've got. The good news is that the new petcoke that we booked was obviously about, have declined 13% lower compared to our previous purchase. So, that's again a good price. But maybe by the time we start consuming the prices may come down. So, that's the only risk that we have when we buy fuel in bulk.
The rest of the market initiatives they keep going on. The one of the changes, again, which are important is led by several fac

tors, including non -availability of rakes and also the railways have
decided to re -impose the peak period surcharge. And they started laying very penal w harfage charges at the destinations. Because of that, we had to relook our logistics mix and for the time being, at least in Q4, the railway dispatch has come down to 16% of our volumes compared to 25% which was there in Q4 last year. And the full year rail dispatch has actually com e down to 17% for 21% last year for the full year.
A little bit of, on the prospects. Looking forward, if people have seen my interaction on TVs and all. We are targeting in the current year, the volumes of, I'm saying it's the range is between 6.3 million tons to 6.5 million tons from about 5.8 that we did last year. And one thing which I'm sure all of you who monitor the cement sectors, you would know that if we have taken the major shutdown of the kiln at Chittapur which takes about three weeks when you take it down. As we

have taken that in the month of April, it might look a little softer month purely because the maintenance shutdown comes in o n P&L as a very, I would say, bunched up maintenance cost. So, that obviously is booked in the month of April. And also, if I was stocking 70 -odd-thousand tons of clinker at Chittapur that obviously was not good enough to meet the entire demand. So, we also had to ship many rakes of clinker from Devapur to Chittapur to keep meeting the market demand. So, that obviously adds, a huge amount of cost of transport in clinker which as we all know, and that much of distance cost s us about INR800 per ton. So, that obviously has been additional impact during the kiln shutdown period.

And I mean, thankfully, we kept servicing all of our customers and w e kept meeting their needs. But we know this impact that happened during the annual shutdown or maintenance shutdown and it's no longer annual for us. We actually do it, not annually but a lot more longer. These are bunched up costs, but they get eq ualized over the year. It may look in the month of April for us, yes, we bunched up on maybe in Q1 also it will have an impact. But for the full year as the whole, they will get normalized so nothing to get worried about.

On the last item that I want to talk about before I take your question s, is that capex actually has been slower than what we perhaps had anticipated at the start of the year. And multiple reasons especially after Q2, we were also quite spooked by where we landed up in Q2 and H1. So, for the year as a whole against our estimates that we have shared we could spend on ly about INR130 crores for the full year on capex , and in Q4, it's barely INR28 crores. So, obviously, there's a backlog in terms of capex.

Now coming back to the capex going forward, as I did mention to you, the two reasons, one, at Chitt apur, we already consumed 100% of clinker. More importantly, what we are now realizing is that it was okay as long as Chittapur was ramping up and , you know we had some spare capacity there. And we could do with essential activities like maintenance s hutdown very comfortably. The problem with Chittapur is that it has, as of now only one kiln, unl ike Devapur where we have three kilns, where even if one kiln shuts down, we can keep running the operation.

At Chittapur with one kiln and that also being utilized 100% of capacity. There is a very, very clear need for us to prioritize the expansion of the new kiln and grinding capacity at Chittapur and we keep seeing very, very strong demand there. So, we would like to take that up. And if you take the ambition now would be that at least we start the physical on -site work on Chittapur kiln line , sometime in the third quarter of this financial year. And that obviously means that some, the Chittapur expansion would cost us between INR1,550 crores, INR1,600 crores in that range

.

There can be INR10 crores, INR20 crores here and there, but largely we say, betwe en INR1,500 crores and INR1,600 crores is the total capex there. Out of which, if we have to really push it very, very hard to get the kiln line in place in time for us so that we don't lose the market , perhaps we are wanting to spend about INR600 cro res on that project within this financial year. And there are a few other things that we have to keep doing, for example, we are obviously looking

at expanding in due course of time, our capacity at Devapur and also do the Greenfield at Rajasthan.

For thes e two projects, we need to do some preparatory capex. For example, in the forest, our mines in Devapur happen to be in the forest areas, and for those of you who are familiar with the forest areas. We have now applied for forest clearance and the moment we get Stage One forest clearance, we will have to deposit close to INR150 crores with The Forest Department of the government to create, to re afforest the compensatory, to compensate for the forest that we will be using to do our mining. So, those are all e ssential. These are all part of the overall capex that we have for Devapur, but I've seen some of that obviously, I'm assuming that the Stage One clearance, forest clearance will be available to us within this year and that will obviously mean cash-flow, c ash outflows, maybe INR130 crores to INR150 crores

Similarly, Rajasthan, land acquisition process has to start. So, we obviously, and I'm keeping INR100 -odd crores for capex , to acquire land in Rajasthan. So, that the work stays on -stream. So, put together, we are also want ing to put waste heat recovery plant at Devapur. And also, I talked about nearly INR10 crores investment which will go into equity for solar power at Jalgaon and at Chittapur. So, all told, INR1,000 crores, INR1,050 crores should be our capex this year if

our growth line plans have to stay on -track, and we don't want to lose market -share.
So that's, I would say all the highlights that I had to share. And obviou sly, I've tried to answer most of the questions that the audience would normally have, but there is an opportunity for us to start addressing questions as they come. Thank you.
Moderator: The first question is from the line of Rajesh Kumar Ravi from HDFC S ecurities. Please go ahead.
Rajesh Ravi: Hi. Thanks for the detailed presentation. If you could share, what was the clinker production for FY'23. Hello, sir. Can you share the clinker production for FY'23, please?
Deepak Khetrapal: The number I'm not havin g with me right now, but I did tell you 78% of our capacities. I can say that.
Rajesh Ravi: On clinker basis you are saying?
Deepak Khetrapal: I'm saying, clinker basis, the utilization for the last year was 78%.
Rajesh Ravi: Okay. And for full year, what would be your trade and nontrade mix? And what's the target?
Deepak Khetrapal: See, targets, we obviously would want to get back to more trade as we used to have 60% -odd. But this year, obviously, that has come down to about 54%. And balance it we've been doing B2B. Target is a function of what we see in the market. This year also, the target was not to go down in B2C by the way, that was never the target. But if you do not have demand o r the prices are not remunerative, then we pivot very quickly. So, we'll keep feeding the demand that we see in the market. Let me not ha zard a guess on that because if you ask me, I certainly want to do about 65% trade, provided the demand is there and the price is there.

Rajesh Ravi: Okay. And sir, two questions. One on the quarterly. If you see the employee cost and other expenses, this quarter were very low despite the high volumes the cost was much lower than INR43 crores normal run rate. So, how should we look into this? O

bviously, it is a balancing number for the full -year. And even for other expenses [inaudible:0:35:33] what would be the normalized run rate?
Deepak Khetrapal: See, partly, Rajesh, you've already guessed it. Partly, it always happens, at the end-of-the year, we realize the net provisions for year -end costs like variable -cost and the bonuses and things like that. And when you see the final results, we know it's not going to get paid at this level. So, we reverse some of the number s for sure. So , it's partly it's balancing, but also this, about, I think two quarters ago, I tried to answer this question. We actually have had a fabulous process of developing talent in -house. Now when we had a very senior -level personnel, President Manufacturing, when he retired in the month of October , we didn't go out and hire a new President Manufacturing. We had been training. We have been developing our internal people. So, the President Manufacturing, the new President Manufacturing was already w ith us. Same thing happened this year also so, five -six levels of succession within the company, which otherwise would have been more expensive if we had gone out. We actually use our own talent and in -house talent typically turns out to be lower -cost. So, the month of, for this quarter and even the month of December, we didn't hav e to pay the salary that our previous President Manufacturing used to draw.
And we have his replacement at a salary which is much lower, because he is younger, he is developed in -house, he will get to that salary, but for the time -being, we are saving, right? So, that's a process. And another change in the company and that again is happening at another level, same process. Develop your talent, utilize them. Your manpower cost will remain under control. That's what we've learnt and that's wha t is resulting in the numbers that you're seeing.
Rajesh Ravi: And sir, lastly, on the capex front. If you see FY'23 also our m id year target was around INR250 crores for this financial year, FY'23. And we closed the year with INR150 crores. So, on a practical basis what sort of number one should look at? Because Tiroda is not happening, but other projects are mostly brownfield in nature. So, what is the Devapur and the Chittapur projects which are f irmed up for this financial year? And, yes.
Deepa k Khetrapal: Rajesh, as we know, Devapur, I have already mentioned many times. We will not take up Devapur expansion till we have a grinding unit under construction. So, whatever we 'd plan to spend not only on Tiroda, but also at Devapur, the support that we had to hold back, because Tiroda got cancelled. So, that's why now, if I'm talking about INR1,000 crores in this year, as I mentioned to you, I'm not talking anything beyond the forestation charges that we have to give to the government.
I am not saying much to be done at Devapur or the new grind ing unit. I am, not even planning that. INR1,000 crores, INR1,050 crores number I am saying is largely to start the kiln construction at Chittapur. And then I said INR150 crores for deposit to the government for forest clearance, INR100 -odd crores for Rajasthan land, which I thi nk are reasonable to take. The

Tiroda dislocation was a huge, huge thing, because when that got dislocated. There is no point in expediting Devapur construction.
Rajesh Ravi: And for this Chittapur, what sort of clinker and grinding capacities you're looki ng at?
Deepak Khetrapal: We are replicating the, we had a 3 million ton capacity there with a 7,000 tpd kiln , 6,000 tpd kiln we will replicate it, exactly the same thing.
Moderator: Thank you. We'll move on to the next question. That is from the line of Niteen Dharmawat from Aurum Capital. Please go ahead.
Niteen Dharmawat: Thank you for the opportunity. A couple of questions. What is the status of the waste heat recove

ry plant at Chittapur that we expected to commission in the first q uarter of financial year '24? And how much debt we are likely to take on the books for the capex that we are planning and which is undergoing right now? And yes, sorry, go ahead.
Deepak Khetrapal: The capacity of waste heat recovery, which is under commission today is 10.2 megawatts.
Niteen Dharmawat: Okay. And this is now on stream, right?
Deepak Khetrapal: No, it is under commissioning. It will be on stream in the month of June. Commissioning with the const ruction is over then I mentioned that we had to wait for the kiln shutdown to connect it, only then you can start getting waste heat. So, now waste heat steam is being passed on to that. And then obviously, when you're commissioning a power plant of an y sort, it is a few weeks job before it starts giving you power, because the commissioning activities are fairly hazardous and they do take time. So, it is under commissioning, it will be operational soon.
Niteen Dharmawat: And what is the debt amou nt that you are likely to take for the subsequent capex which is going up?
Deepak Khetrapal: Niteen, our debt will be geared towards how our cash flows go. So, we do have the cash flows coming in. We have no other plans besides after paying dividends, there is no other plans to sort of in a way do anything, so we use as much cash in term that we can generate and balance will go for debt. If we a re able to spend INR600 crores, my own guess would be, perhaps will be prudent to go for exactly, maybe INR600 crores to INR700 crores in that range. But like I said, that will be for us a balancing number. We'll obviously try and use our own cash flo w as much as we can.
Moderator: We'll move on to the next question. That is from the line of Rajat Setiya from Ithought PMS. Please go ahead.
Rajat Setiya: Hi, thanks for the opportunity. Sir, just one clarification. You mentioned that… So, sir, because of lack of clinker capacity, we are not able to produce, we won't be able to produce to our name plate capacity of 8.5 million tons, is that correct?
Deepak Khetrapal: If the OPC percentage remains as high, yes, you're right. 8.5 million or in any capacity in the cement industry, assume s 65% PPC, 35% OPC, I would say the default assumption when we

talk about capacities. The moment of OPC becomes way beyond 35%, no company can produce the boiler plate capacity, that ’s how it is calculated. So, you're right. Your con clusion is absolut ely right.
Rajat Setiya: Okay. And with the help of this new clinker capex that we are planning at Chittapur, I mean, what will be our cement capacity then? Will we be able to produce to the maximum of 8.5 million tons?
Deepak Khetrapal: My own as sumption is that the se blips of suddenly B2B demand becoming so much higher and B2C going down so low, these are transi tory phase . I'd personally do not think this'll sustain . So, whether it happened in this quarter or the next quarter, B2C demand will come back. And then we will get back to around, like, I said, 60% -odd of PPC and 30% -odd- of OPC. So, I think we'll resume normalcy within a few quarters. But and the sa me thing, if you are going to be replicating the current size of the kiln and the mills at Chittapur, boiler plate will be 3 million tons. Assuming that the mix of B2C, B2B or OPC, PPC, would come back to what the industry norm is. The current ab erration, let's not carry this current aberration as something which is going to last forever.
Rajat Setiya: Sure. So, our total capacity will increase by how much, sir, with the help of this new...
Deepak Khetrapal: At Chittapur, it will increase by 3 million tons. So, 8.5 million tons to 11.5 million tons.
Rajat Setiya: So, 8.5 million tons plus 3.5 million tons?
Deepak Khetrapal: Plus 3 million tons. Total 11.5 million tons with Chittapur expans

ion.
Rajat Setiya: Okay. And sir, you briefly mentioned that about Devapur, and you have mentioned that in the past, unless we have the grinding unit at Tiroda, I think, we won't be able to add the capex. So, what is your thought process there? I mean, in terms of what is, why are we now going ahead with the grinding? What is stopping? What's really happening there, can you help us understand?
Deepak Khetrapal: Good question. Actually I should have briefed this in my own opening briefing. Tiroda fizzled away. They said they will not allow us t o do it anymore. So, what we have done now is, we are actually in very close discussion with another alternative site in Madhya Pradesh, very close to a power plant. The discussions are on and as you know, when you have a new site in, whenever you need land and other details, you have to examine lots of things. So, we have zeroed in on one-site. I would not like to reveal the name at this stage because we are under negotiations. So, we hope that within the next six months, we will be able to freeze t he exact site and have the land in -hand to put up the grinding unit. But if it takes us six months to get the land, I don't think much of capex will happen on that in this year, in terms of cash outflow. But we will make th at grinding unit. And as soon as we start the construction for that grinding unit, Devapur expansion will run -in parallel. So, we want to do it in a synchronized manner, so that we don't have mismatch of having clinker, but not the grinding unit or having the grinding unit but not t he clinker.

Rajat Setiya: Sure. So basically, earlier plan was 1.5 million tons of grinding unit and 3 million tons of kiln at the Devapur plant. So same would be the…
Deepak Khetrapal: Let me correct again, e arlier plan also was that the Chittapur, the kiln that we have, which actually produces about 2 million tons of clinker, which can give up to 3 million tons of cement. So, at Devapur also, line four is planned for clinker capacity of 2 million tons with 2 million tons of grinding at this Madhya Pradesh grinding unit, which is the alternative to Tiroda. And 1 million additional grinding at Devapur itself to ca ter markets nearby. Total capacity 3 million tons of cement, 2 million at the remote grinding unit, one million ton on site.
Rajat Setiya: Got it. And sir, what will be the total capex for this one, if it begins when ever, let's say, sometime next year, both the kilns put together, in the grinding as well as the kiln?
Deepak Khetrapal: The Devap ur expansion and a split grinding unit, all put together will cost about INR2,000 crores.
Rajat Setiya: So, INR2,000 crores for this, and almost INR1,500 crores to INR1,600 crores for the Chittapur, correct?
Deepak Khetrapal: Yes, yes. But like I said, the timing and all, it is likely the sequential rather than together.
Rajat Setiya: Got it. And Rajasthan and we can assume will be the last one, I mean...
Deepak Khetrapal: It is the last simply, because you know how difficult land acquisition is. So, because of that, I'm not getting over ambitious that I'll be able to get the land within a year and start construction, it's unlikely to happen, you know it, I know it. Even if I say, you won't believe it.
Rajat Setiya: So, what will be your, in terms of debt, how do you think what kind of peak debt at any point in time, whether it be in terms of debt equity or debt to EBITDA. How do you think about it?
Deepak Khetrapal: We stick to our pre -announced board mandate, which is, we would contain our maximum debt, meeting debt equity largely 1.5 within our target for debt equity. So, 1.5, I don't think we'll ever exceed 1.6 in terms of debt. It's 1.5 is our comfort zone, and also mandated by our board. In terms of debt to EBITDA, we will stay between 3, 3.5.
Rajat Setiya: Okay. And sir, can you point in

time if, let's say and do you envisage going for equity infusion as well?
Deepak Khetrapal: Yes. If let 's say, the market situation and all the things come together. And we believe there is need for us to put up capacity faster, that obviously cannot be handled through debt and internal accruals alone. In which case, if in the new projects, the Chittapur expansion, Devapur expansion with grinding unit in Madhya Pradesh and Rajasthan, if t hey overlap, obviously, current capital, the current balance sheet cannot sustain that. So, obviously at that point in time, we will see, if need be, bring in some equity, so that we have more room to leverage the balance sheet and do the project s faster.

But as of now, like I said, I'm sharing with you, what is clear currently and we keep watching the market, how quickly we can build capacity in Rajasthan and before that at Devapur. That I

believe is more finite, because in six months' time. I'm e xpecting to have the land in -hand for the grinding unit and should start happening sometime in FY'26, the work can start there.
Moderator: The next question is from the line of Prateek Kumar from Jefferies.
Prateek Kumar: Good morning, sir. My first question is on your trade mix, so you said that trade mix has more competition. And as a result we have lowered our trade mix...
Deepak Khetrapal: We have not lowered. The competition has not gone up, the demand has gone less. T hat is different way of looking at business. So, competition has always been there. What has made it worse is that the B2C demand went down.
Prateek Kumar: Okay. But we generally, I mean, how do you classify this real estate demand in Mumbai market or some of the semi -metro markets in Maharashtra or Pune? Because real-estate seem to be doing well. So, if it's counted under B2B demand?
Deepak Khetrapal: Yes, so look, again, Prateek, as you are aware, Mumbai, Pune markets, when you say housing demand , those constructions are largely, as large projects where you have B2B sales. Whereas the same housing if you start doing in Tier 3, Tier 4, Tier 5 towns that become B2C sales. And that's besides the reason why my exposure into Western India h as gone up, my OPC has gone up because my volumes in Mumbai and Pune have gone up dramatically. And that is all B2B and OPC.
Prateek Kumar: Okay. And regarding competition, like year before like in FY'22, we are like commissioning of Shree Cement, Dalmia, and I think Birla Corp in your market. So, are these competition like sort of now easily absorbed in the market and unlikely to impact going -forward or are there is sort of still ramping -up and there is major competition for pricing?
Deepak Khetrapal: No, I think the capacities that came up around us, around us, new capacities at Chittapur and we were also new capacity. Don't forget, in 2015, we got commissioned and that's around the time we had Shree Cement coming up, Dalmia's coming up, JK coming up, lots of plant, additional capacities came up in that market as you know. But that capacity, I'm telling you, Ch ittapur plant is right now running a t 100% kiln capacity. So, everything is absorbed. We are not the only ones. We may have done somewhat better than some other competitors, but by and large, that capacity is already absorbed.
The struggle for us quite honestly has been most acute around our Jalgaon grinding unit, where there are two other competition s have put up grinding units in the market that we used to cater to earlier, right. And as they came in, they obviously have invested money th ere and they are following their own strategy to penetrate the market. And that's where the struggle start, seeing, should we keep selling at prices where there is competition, because don't forget the split grinding units, whether it's ours or anybody else's, clinker needs to be transported to that site

and then you have to sell.

And we typically ha ve been a voiding OPC sales from our split grinding unit there in Jalgaon. Because there is hardly any margin left if we sell OPC. Typically, split grinding units are viable or attractive in terms of investment, if you can sell PPC. Now that unfortunately, has been not the guiding, I would say, philosophy of people who have put up grinding facilities later. And they are happily selling cement cheaper even after incurring INR800 a ton for transport cost. Now what do you do? And we are somehow trying to protect our pri ces and our contributions?
Prateek Kumar: Right. So I was mentioning about the recent...
Deepak Khetrapal: I will just answer Prateek. The recent ones that are come up are grinding units around Jalgaon, around Khandesh area as we call it. That's the o nly current str uggle , otherwise we're okay.
Moderator: Thank you. We'll move on to the next question. That is from the line of Aditya Chheda from InCred Asset Management. Please go ahead.
Aditya Chheda: Hi, sir. Aditya here from InCred Asset Management. What is the cost of debt you're looking for the capex you would be taking up?
Deepak Khetrapal: Cost on debt, cost on debt, the only thing I can tell you is that, given our strength of balance sheet an d given the way we manage our business, our cost of debt is, it will remain the finest. And it will be driven by what the market rates of interest are. I mean it all depends on what view the Central Banks in India, when you are taking in terms of how they create the interest and things. Hopefully, like I said in the past we borrowed at better delivery rate. I mean we borrowed at 7% something.
Currently, if I go to the market, I don't think that I would get that rate. It would be higher than that. It's a function of what are the interest rates in the economy around the time we hit the marketplace. For me to guess, I'll give that everything depends on the monetary policies with the Reserve Bank of India. I would like to do that. We'll see what the market is. Our spreads are extremely thin. That's what I can say.

Aditya Chheda: And second on volume growth drivers. You mentioned one of your capacity is operating almost at full capacity. And the second one is where the competition is sort of hurting us . So, the incremental growth of around 10% -odd in the volume, what would be the key drivers there? How do you see that number coming out, especially with April, you mentioned maintenance shutdown has been taken. So, on a full year, which is, how are you thinking about that number?
Deepak Khetrapal: One is obviously, if there is new competition that has come around the grinding unit, we are finding out ways to respond and we are sort of succeeding with that. Similarly, the mark ets in Telangana, which have been fairly low, they also sooner than later, they also going into election in Telangana, we expect a large demand growth coming in Telangana, which has been languishing for the last two years. So, we are going by the situation market -by-market. And third, more importantly, when I say 100% capacity utilization, it was because of extreme skews which went towards OPC, which I mentioned earlier, is likely to normalize.

As that normalizes, then Chittapur is not 100% utilization of c apacity. Don’t confuse the two. Clinker 100% does not mean cement 100%. So, if the demand moves back to PPC as it normally should, we have growth opportunity there also. Let’s not get confused. We can’t sell anymore cement from Chittapur. We can. If there is more OPC for me, I can give you another, whatever quantity is there in the market. So, just clarifying, we believe, sooner than later, B2C demand will be back and our PPC sales will go up. One
Around Jalgaon, new competition, we are finding our way s of c

ompeting with it and Telangana,
which has been a disappointing market for the last two years, during the election, we are expecting strong growth in Telangana. So, that’s my answer. We have capacity in Telangana. We have enough capacity to sell.
Moderator: Ladies and gentlemen, we'll be taking the last question. That is from the line of Mr. Navin Sahadeo from ICICI Securities . Please go ahead.
Navin Sahadeo: Thank you for the opportunity. Sir, just couple of questions. For the Chittapur Line Two clinker, if you could just clarify what is the status of the clearances and by when are you likely to see the project completion on this, please?
Deepak Khetrapal: As I mentioned, Navin, I said we'll start c onstruction in the third quarter. Now, w hy we are worried? Waiting for the third quarter is only because of th ese clearances. Application have been moved. And basically, we need environment clearances both for the plant and for the mines. That proc ess is already on. We are expecting the process to be completed in the next six months. And that's why I said in third quarter. Otherwise, I would have given the current situation , I want to start the construction now if I could. So, third quarter o nly, because we are awaiting clearances. And once we start construction, the typical construction time now that’s a brownfield unit should be the best case scenario of 15 months, the worst case 18 months. 15 to 18 months is the time, then we will expect the capacity to be available to the market.
Navin Sahadeo: Correct. So for, let's say, once the capacity comes on board, then as previous participants did as k that we might then be a little short of the grinding capacity, so to say, which you said we are already looking at a facility in Madhya Pradesh.
Deepak Khetrapal: Navin, Chittapur is independent of Madhya Pradesh , Madhya Pradesh will be supported by Devapur, Telangana. Chittapur 3 million tons, 2 million tons kiln, 3 million tons grinding capacity on Chittapur onsite at the plant. So, when I talked about INR1,500 -odd crores of investment, it is not just clinker line, it's including additional grindin g at Chittapur, because there is enough demand around that area.
Navin Sahadeo: Understood. So, the additional grinding that you are looking at is 3 million tons at Chittapur you are saying?
Deepak Khetrapal: Correct.
Navin Sahadeo: Oh, that’s helpful. And sir, just one last question then. In the scheme of things, of course, I understand Chittapur is a priority and very rightfully because of high utilizations there, but

Rajasthan is nonetheless like, I think a decent sort of a priority. S o, when is that? Where is that in sort of a, you did explain that land acquisition in all is in -process, but if you were to take a slightly, like, view of the next three to five years, then where is Rajasthan in the overall scheme of things? And when can o ne ideally expect broadly the project to start? Thank you

Deepak Khetrapal: To my mind, Navin, I would actually believe that our land acquisition processes will take us about two years. And as we sort of are doing that, obviously, we will also be starting all the processes for the construction activity to start. So, my own guess is two years, two and half years minimum before we can start the construction at Rajasthan. That's bare minimum. And the Greenfield project will take us, like I said, 18 months to 21 months. Brownfield can be in 15 months but Greenfield, I don't think will happen less than 18 months, because the railway sid ing and lots of new things to come up which a Brownfield doesn't need.
Navin Sahadeo: Understood. This is very helpful. Thank you so much.
Deepak Khetrapal: Thank you, thank you Navin. Thank you everyone.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Navin Sahadeo for his

closing comments.
Navin Sahadeo: Thank you. Thank you, Deepak sir, for your providing ICICI Securities the opportunity to host you. And thank you, everyone, for taking time out and joining the call. You may please go ahead and disconnect the lines.
Deepak Khetrapa l: Thank you, everyone. Thank you. Bye -bye.
Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2023

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar, Bhubaneshwar, Odisha 751012, India. www.orientcement.com

CIN No: L26940OR2011PLC01393 3

August 10, 2023

Bombay Stock Exchange Limited
New Trading Ring,
Rotunda Building, P J Towers,
Dalal Street, Fort
Mumbai-400001
Security Code: 535754 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C-1, Block G
Bandra – Kurla Complex, Bandra (East),
Mumbai – 400 051

Symbol: ORIENTCEM

Sub: Transcript of Investors/Analysts Conference Call for the quarter ended June 30, 2023

Dear Sir(s),

This is in continuation to our earlier letter dated August 3, 2023, sharing the audio link of the investors/analysts Conference Call, held to discuss the Unaudited Financial Results of the Company for the quarter ended June 30, 2023, on Thursday, August 3, 2023, at 3:00 P.M. (IST).

In this regard, please find enclosed herewith the transcript of the aforementioned investors/analysts Conference Call.

The said transcript is also available on the website of the Company, www.orientcement.com. You are requested to take the same on record.

Yours sincerely,
For Orient Cement Limited

Nidhi Bisaria
(Company Secretary)

Encl.: as stated

“Orient Cement Limited
Q1 FY2024 Earnings Conference Call”

August 03, 2023

ANALYST : MR. NAVIN SAHADEO - ICICI SECURITIES LIMITED

MANAGEMENT : MR. DEEPAK KHETRAPAL - MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER - ORIENT CEMENT LIMITED
 Moderato r: Ladies and gentlemen, good day and welcome to Q1 FY2024 earnings conference call of Orient Cement Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportun ity for you to ask qu estions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Navin Sahadeo from ICICI Securities. Thank you and over to you!
Navin Sahadeo : Thank you Yashashr i. Good afternoon, everyone. On behalf of ICICI Securities I welcome you all to the Q1 FY2024 earnings call of Orient Cement. From the management we have with us MD and CEO, Mr. Deepak Khetrapal , so without any further ado I hand over the call to Mr. Khetrapal for his openin g comments followed by interactive Q&A. Over to you Sir!
Deepak Khetrapal : Thank you Navin and g ood afternoon a ll the participants who already joined in . I am told that number is still going up, but I think we do not want to keep the peo ple who joined in time waiting, s o a very warm welcome to this earnings call. Happy to have you here and thankful to all of you to take time out and list en to us. In terms of I think the Q1 FY 2024 performance the most important thing that I would first like to start with which was actually towards the end of my call that I did on Q4 where I had already indicated that this Q1 on the surface is lik ely to look soft. I ha d sort of in a way made the disclosure three months ago itself and this is how it spans out and I am using the word carefully it look s like it is softe r and I think the number that you have seen, you would have actually s een that w hile we are reporting a very strong growth in volumes in terms of EBITDA obviously the numbers look a little soft so here is the perspective which I started building last quarter itself, so we actually went through the planned shutdown of the kiln at Chittapur at Gulbarga that

is the
only kiln and that plant is very far away from everything else. So the maintenance shutdown of that kiln actually has a lot more impact on our operations compared to anything else and this particular year we have d one the maint enance of the kiln and the supporting equipment after nearly 23 months because the last shutdown of that kiln was actually in April 1921 (Company Comments : Please read 2021) , which is unheard of in the cement industry including the suppliers of the equipm ent were surprised how we manage d to sort of keep work ing with the same kiln without doing the shutdown and replacement of the factory for that long, but I think that is something that we take a great amount of pride in but at the same time what happ ened was by the time we decided to take the shutdown it was al so a time in the marke t Q1 typically happens to be buoyant quarter but we were left with no option having run it for nearly 23 months I do not think we could have taken any further risk wit h it so we fi nally took the maintenance shutdown in April.
 Like I said the impact of tha t on our books obviously is the one what is euphemistically called annual shutdown actually most of the industry does it in about 270 days of running ,

but since it is done on an av erage once in a year it is called annual I can not call it annual because we have actually done it after nearly two years, so it has bunch ed up cost that happen s the entire refra ctories gets replaced , all the other equipment s are overhauled and are repaired so i t is a fairly large cost that hits the books of the co mpany in one particula r month whereas the benefits of that obviously flow into the rest of the year that is why it is called the annual shutdown . I think that's one part of the framework t hat we have to remember . For us the other challenge was because not only did we have for example, if we do the same maintenance at Devapur we do not have other complications because we have three kilns and we can plan the inventories of both clinker and ce ment so that we do not see much of a problem in availability of cement but around the Chittapur plant , earlier also I mentioned last quarter I had told you that we had actually worked at a capacity which was higher than the capacity which was given under t he consent t o operate doc ument that we have , so where the demand s were buoyant and more importantly so me of the customers who have become very heavily dependent on our cement because their processes are run with our quality of cement we did not have the o ption to let them down and as a result of that we did not regret any of our large loyal customers. Actually, every single bag of cement that they needed every single ton of cement that they needed we made sure that we make available to them . That we could do when the k iln at Chitt apur was shut only by transporting clinker from our othe r plant which is in Tel angana, Devapur as we keep calling it. So obviously there is a huge amount of I would say movement of clinker that we had to make . Totally nearly 72,000 tonnes of cl inker was us ed at Chittapur which was actually produced in Devapur in the month of April be sides the inventor y that we have already built up at Chittapur . It is a matter of pride for us that our customer s who depends on us we manage d to meet t heir entire d emand and we took the costs as a part of remaining in the market , maintaining our relationship with the customers , so those relationships have been become stronger and every customer was aware that our kiln was not there and clinker was not avai lable , but th ey know that no matter what it costed to us we met the entire demand, which I am sure goes t owards strengthening our relationship with those customers even further . If you read our annual report, we keep talking about responsibili

ty, we keep talking
about agility, so all those things we actually demonstrate not just talking w ithin ourselves in the company, but our customers get to see it all the time, so which is something that we do take a great amount of pride in . At the same time some of the markets whic h in the ove rall process falls somewhere between our Telangana plant and our G ulbarga Karnataka plant, we also decided to service those markets directly from the Telangana plant, although they are closer to our Chittapur plant which means our logistics cos t per ton also gets a little distorted for the time that we made th ese rearrangement s.

 So with all these challenges we have reported as you have already noticed the volume growth over last year of 15%, sequentially yes, there is a degrowth o f 7% but that I believe all of us do expect that Q4 numbers are always the highest a nd Q1 while it trails Q4 but it does not quite become a Q4, so 7% degrowth there and I would say we obviously have seen the industry number s, some of the player s have reported higher gro wths, but I believe those higher gro wths are being reported courtesy the new capacity that has g ot added during the year. I do not think from the same facilit y, same capacities people are achieving the kind of growth that we have r eported , subject to corre ction that is my impression. Now the part which I think the investors w ould certainly not be hap py because we are also not happy that despite such strong demand the prices in the market actually have stayed flattish with a l ittle bit I would say softer bia s, as a result of that some of the initiative s that I have been talking about in the past in ter ms of repositioning of our brand in terms of also moving up the sales of our premium products both Strong Crete and Orient Green n ow, courtesy of all of that Y-O-Y we have managed to maintain our realisation s almost there. W e are a sha de under Rs.5200 a tone which is flat over last year but what I understand some people are actually taken by surprise that Q -on-Q we have reported a higher realization than we h ad in the preceding quarter that is Q4. Now this obviously has enabled us to re port also a revenue growt h of 15% and the sequential shrinkage in the rupees terms, in terms of turnover we managed to contain up to 6% again st the loss of revenue or the decrea se in revenue over 7%, so that is on the sales and the volume side , but on the maintenance and freight cost I have already mentioned the impact that is there. The EBITDA for the quarter which has shown I think it was 103 Crores it is flat over last year while on the surface as I said this might look a little soft, but if you actually account for the fact and make a more apple -to-apple comparison I am not saying the costs are normal. Please do not misunderstand me these costs are not abnormal kiln maintena nce cost s are normal part of the operations of the company . It is just that in the book it gets booked in one month and one quarter and for us that one quarter happens to be rather big, so I am highlighting that part, b ut typically I would say if I was to look at total costs of maintenance and transportation of clinker and the impact of realigning some of the c ustomers with the Telangana plant instead of Chittapur plant which is closer our total cost for the quarter would be just on that abo ve 20 cores for the quar ter and also the other thing that we had mentioned that we would actually engage the service s of Mc Kinsey to do a certain amount of validation of our investment hypothesis doing a little bit of more market res earch in terms of how we are faring w ith com petition in those individual markets so that cost also has been booked in the same quarter . So, the 2 0 plus crores actually , 23-24 Crores, l ittle bit of distortion please do not take th at (inaudible)

10:38 . The transportation cost increase d clinker transpo rt from Devapu r to Chittapur is a one-off cost that is not going to be repeated, but the maintenance costs are part of the cycle of the cement industry so I am just reminding people that we need to remember de spite taking nearly 25 Crores in additional cos ts over la st year same quarter we still are reporting flat EBITDA s o that is something that I thought I will just highlight here.
 What would surprise you and I know because typically the commentary in the mar ket by all the investors and all of you analyst s also has been around the fact that the international fuel prices are low and so we should b enefit and that would surp rise you when you see that our fuel prices over let us say sequentially they are not that much down and even over June 2022 that means Y-O-Y also they are not looking as low as we should have expected right given the softening of inter national fuel prices . I am emphasizing the word international because while the international fuel prices both coal and pet coke have definitely dropped what we have to reme mber is in the meantime the domestic coal prices have actually gone up and the fact of the matter is I am sur e many plants in the industry in India are still using / dependen t on coal whi ch is being supplied by Coal India and S ingareni Collieries and other Indian companies. In our case as most of you have been attending our calls, we have been informing you that our Devapur plant in T elangana because of its proximity to S ingareni Coal M ines depends almost entirely on domestic coal whereas the Karn ataka Chittapur plant that runs more or less entirely on the pet coke so the mix of different fuels for two different plants is th e reason behind the improvement in fuel cost not being visible. Pleas e remember in April our Chittapur plant was shut so the overall pet coke consumed there was lower so savings at Chittapur itself became lower because nearly a month out of three we did not us e pet coke. On top of that the additional clinker th at we transported 72,000 tonnes or thereabouts that was actually produc ed at Devapur where we use more domestic coal or exclusive do mestic coal , so the nuances are important to see behind the numbers. Our proportio n of domestic coal cons umpt ion went up in this particular quarter, which if you compa re the domestic coal prices, they have actually gone up during the year by 17 to 18% over the same quarter last year. If you make a similar comparison with Chittapur obvio usly the pet coke price s are lower by 14% for the quarter, now these are actual price s. Domestic prices are up 17 -18% coal prices and international pet coke prices as we received in March are down by about 14% so which is a fact, and which is there but it is not getting refle cted in power and fuel costs which should have been softer and the seco nd reason which is important also to remember is that this is a combination of power and fuel, two states during this particular quarter Maharashtra and also Karnataka t hey have changed their prices on the grid power and despite having solar power at Jalgaon and despite having our captive power plant in Chittapur , we do have some committed load s from the grid because just in case of any failure we do not want to be completely powerless so we obviou sly make a certain co mmitment to the government, to the stat e electricity board an d they keep us connected and they have fairly steep fixed charges which we still have to incur even if we do not draw enough or any power from them and those costs have actua lly been increased during this quarter. So, power costs have gone up , coal includi ng fo r CPC has gone up that is all domestic coal and as a result of that, the power and fuel number I thought needed a little bit of explanation. So, I

have taken a few extra minutes just to explai n to you w hy that looks the way it lo oks.
 Obviously, the impact of international fuel prices ha s got blunted with the plant mix in this particular quarter and with the co al and th e fuel mix that we have had to use. If you are curiou s about the number at ou r Devapur plant the overall fuel cos ts not counting power , the fuel cost for the ki ln they are down to about 1925 per million kilocalories and down by

nearly 9% and at Chittapur on landed cost million kilocalories basis th ey are dow n about 12%. The power and fuel cost put together is up desp ite this and that is led by the fuel mix that we have had to use. In the raw material side, the transportation costs for transport of clinker has been par ked obviously as accounting norm s are in t he raw materials because we use the landed cost of raw mater ial, so some costs are parked in the raw material also and besides that obviously some gypsum and fly ash cost s also h ave gone up both on Y -O-Y and quarter -on-quarter basis. Also there has been a little bit of difficulty i n improving our alternative fuels on which we are beginn ing to depend a lot more but in the last quarter we did not get as much supply of alternative fuels as we would have wanted to as a result of that what I reported 1 3% being t he AFR percentage for us i n the previous quarter h as actuall y been a little less a t 12% and the renewable power that we have used at Jalgaon is as high as 64% in this particular quarter. The benefit that we are seeing in the solar power that we are buying at Jalgaon now has obviously has encouraged us to invest more in the supply of captive solar power for which you would have seen we have made announcement a few weeks ago . We have signed a new agreement to add another 2 1 odd megawatts of solar power in captive capacity basis on whi ch we acquired over 28% of the SPV com pany which we will be setting it up and that agreement is signed with the company called Cleantech Solar, which is Singapore based it happens to be a joint venture of Shell, the oil comp any and we got very, very compet itive rates when it comes to setting u p and supply of solar power, which they have committed to start supplying to us in about 9 months from the time we sign the agreement. So these are the broad highlights for the qu arter, another highlight for the quarter at least we internally in the company fee l very good about it because it is more about the kind of company we are, and we want to be . In the quarter n ot this quarter we received a little while ago , the certificatio n continuously for many ye ars now again as a great place to w ork with the scores, which actually a re surprisingly in the 90s already nearly every single employee working with the company participating in the survey process. So, we are a great place to work again certified not only that we jumped, let 's say last year we are just outside t he top 100 comp anies in India this year we have got the rank of 70th company in the ranking, which includes all companies which undertake this survey, and we are the only co mpany from the cement indu stry in the top 100 list. We are delighted because we take huge amount o f pride in our culture; the way we are as an organi sation and our annual reports every year that we send out we do try and introduce the story of Orient Ceme nt as an organization beyo nd what we do as a busines s and I am sure all of you would have seen thi s year's annual report as well and we continue d the theme of being responsible and being agile .

 The t heme of responsibility actually is further amplific ation of I would say our effort that we made in terms of launching another premium bra nd OrientGree n as al l of you know we have launched that a few month

s ago and that cement is called the responsible cement for the responsible consumer and the sense of re sponsibility we wanted to link it to what else we do and that is why the annual report theme is com pletely aligned with who we are and what we do including being a great place to work for people and that is the reason as a result we are having perhaps exce llent collection of top ta lent from the cement indust ry who is proud to be working her e. On the cus tomer m ix side there is always curiosity and valid curiosity so I may give you the answer before the question gets asked. In this quarter also the B2C dem and has remained soft , if we have achieved the large amount of growth it has actually com e from the B2B deman d and again largely to large infrastructure projects where we continue to be a preferred customer and also fairly large number of the ready -mix plant operators who want our cement more and more. As a result, t he good news here is that in the past OPC in te rms of contribution wise it was not as accretive as PPC or blended segment, but fortunately with a good quality and good demand and good relations hip with the customers , we are transparent with them on our costing an d we are making sure that the contributi ons on the OPC that we sell from Chittapur actually in no way less than the PPC contribution so that is the reason why we will encourage to keep m aking OPC more . Most of the time we were earlier not selling that much O PC simply because the contributions there used to fall below PPC but for us now last few quarters consecutively including this quarter our contributions of OPC sold at Chittapur are higher than PPC. So, we continue to sort of in a way ac cept those orders and keep selling .

In terms of the B2 C sales obviously inversely saying B2B, the B2C sales which last year around this time was 56% i s only 44% being B2B. This quarter we have see n the B 2C actually are fal ling to 47% w ith 53% being B2B which is like I said beyond 50 % we never expect it to go, b ut if the contributions keep coming in, I think we are okay . It still has one side effect, and that side effect is that it consumes more o f clinker, and we have a c onsent to operate limitation on the clinker that we can produce , so we are very well aware o f that pressure and hopefully we will have solutions for that like we had last year also but in terms of contributions we are doing fine t here. With OPC as a percen tage, customer mix I have already given you it is 47% B2C or rather trade sales and 5 3% B2B. On the p roduct mix OPC is 45% in this quarter which was 41% last year. So, some B2B sales also happened with PPC that is the indication, so it is not exactly equiv alent of the B2B demand. In the B2C market as I mentioned despit e the fact it keeps remainin g slow we a re happy about one aspect that is , in the lower B 2C demand also our premium products put together Strong Crete and OrientGreen a ctually have 34% year -on-year growth, i f we add volumes of Strong Crete and Orient Green in t his quarter over the same q uarter last year we are up by 34% and the premium products today are forming 20% and over. We have just started crossing 20% overall in pr emium product sales of our B2C volumes. This is despite the fact

that our B2C volume sequen tially actually have droppe d 7.5%. It b asically means that our value proposition of premium products continues to be attractive to our customers and we expect our re venues and volumes from the premium product s to keep rising , keep helping us overcome the c hallenge of market prices w hich remain under pressure most of the time and obviously for that maintaining our positioning well if there are some compromises, I call them investments or sacrif ices we have made in the volume that we sell because we still refuse many orders which do no t g

ive us a certain price that we demand and a certain contribution that we demand s o that strateg y is unwavering. The net -net I think i mplication of what I told you about OPC -PPC mix, it basically means that Chittapur once again w ill be under pressure tow ards the end o f the year to meet the OPC demand given the consent to operate. We are hopeful that with the new applications that we have moved for additional capacity creation if those approvals are in hand, then the consent to ope rate limitation of Chitta pur will not ap ply because the new approval w ill come with a higher permis sion to us to do more mining and more production of clinker. So, we are tryin g to solve that problem on a proactive basis, but it does mean that we need to ge t those permissio ns and the moment we get the permission as you know we also want to start the construction activity at Chittap ur for the second line tha t we have planned already.

Other important I would say update which I must share with you our was te heat recovery plant which quite honestly w e were expecting that we will get the power before end of June it has suffered a few mo re weeks of delay because of some additional problem that cropped up when w e started commissioning it, but the good news is it is now in the final stages of commissionin g on what they call the steam blowing which has to happen for 50 -60 times every day we are trying that . So hopef ully we assume , expecting now that within the next couple of weeks , within the month of August the waste heat recover y plant will start giving us a large amou nt of power. Actually, this waste heat recovery plant has two different segments to it. The major power comes from the heat which we take from the cooler to the kiln and some part also from the pr eheater. So, prehea ter part which is nearly 20% maybe delayed by another four weeks but within August we should get the power from a t least the cooler waste h eat and as we always anticipate the savings from this are going to be about 3 Crores plus per mont h, so it is a very, very impor tant project for us to commissio n at this stage . The fly ash rake handling system that we had said ea rlier is operational. We h ave tried bringing in fly ash by rakes even from far off plants and we have seen that it is working well. As long as the fly ash is available from nearby plants, we are okay to transport it by trucks but the moment we run in to a problem and that is t he ri sk mitigation measures that we have taken, so that also is ready and has already been commiss ioned we are using it.

Regio n wise our exposure to west ha s gone up even further . In this particular quarter our total sales to west are at 62% which was 55% last year so anybody who still believes we are

a south -based company this is a wakeup call we are 62% in west, and we are 10% in central, so 72% of sales of Orient Cement actually comes from non -south markets. I just thought I will call it out because man y people still call, we are a south -based company I say yes, with 72% sales in non -south sta tes. Our f uel mix as I mentioned this quar ter has actually become 53% domestic coal which was 43% last year and the reason behind t hat I have already explain ed and as a corollary pet coke is down to 36% from 42% last year in this quarter. Our cost managem ent like I said has not suffered any setbac k although in the quarterly results it will appe ar as if we have incurred a lot more cost than you people expect us to do , but there are absolutely clear reasons for them and as things are normalizing now,

we will get back to the same efficiencies and cost s. Efficiencies have alw ays been int act with cost s has changed because of like I said the plant mix changing and the fuel mix changing there.
At the end I think another update which all of yo

u do look for is borrowing status , our bank
borrowing s are now down to , I will talk about the project bo rrowings against capex borrowings they are at 203 Crores as on June 30, 2023 . I think another three quarters left and that old one will be done and now the ne w borrowings that we have against the waste heat recovery plant and the fly ash handling system those I think around 100 core s will be payable over a longer period of time. Net working capital from the banks net o f cash in hand was down to 55 Crores s o if we take a d ebt in that sense, it was 250 Crores at the end of June 30, 2023 .
Prospects looking forward, I do believe the pro spects remain stro ng although the extremely heavy rains that most of you yourself experience d in the city like Mum bai, they have had a dampening impact on the project work all aroun d. So, July has obviously had its setback from the very heavy rains that ha ppened all across our markets. I am not giving you the numbe rs, but yes, the demand is not as good as it should have been given the momentum in the previous quarter. Early August s till we a re beginning to see some re lief from the r ains and as a result some pickup in demand obviously is happening with proje cts keep waiting, they want the cement to be consumed further s o I stay very positive about that. The energy prices have been soft ening an d the full impact of that softening as all of us know would start e merging as the yea r progresses as we consume the old invento ry. Our pet coke last ship load that we had we have already started consuming out of that and we are well covered for , given from today depends on how much is the demand in the market. I think from minimum two to a bout three months pet coke fuel we already have . Now as a result of that we obviously have not been able to avail of the window when this pet coke prices are down to very, very close to $100 a tonne because we just did not have the need to book that and in the meantime, they started looking up at about $100-102 a tonne. We have not seen any transactions happening from India nor were we in a position to book and I think tha t is why because there was no buyer in the market the prices came down . As we returned to the
 market a little bit of uptake will happen in the pet coke p rices that is our reading, but they will still be much lower than our last purchase d pet coke t hat shou ld help going forward.
The rail -road mix wise I think we have been facing some polici es from railways which have not been very friendly towards using them. As a result of that the cement transported using railway has gone down to 15% . At one point in time, we were doing 20% now it is down to 15% that broadly would be my commentar y. The capex schedule that we have given we continue to sort of face slower response from the government department s to our papers that have been move d for approvals , pushing them hard but it is still taking time . I am still hopeful that we will be able to start the work in third quarter as we are consideri ng maybe not early third quarter but towards the end of third quarter. Assuming approval s come in hand we do want to start Chitt apur very, very quickly and the last piece on the project which was very con tingent ti ll the last time, it has now f irmed up a l ot, the new grinding unit that we have been talking about in M adhya Pradesh area to be able to cater to the central m arket and f rom the re to parts of the north India market I think that site is more or less closed in the sense that we already have had meet ings, (inaudible) 31:13 minutes of the meeting have been signed and the other party to the agreement on whose premises we will b e putting up the grinding unit t hey are now in the process of seeking an approval from their Board of Directors. Subject to th at proposal

coming in we will sign up an agreement
very, very quickly and start applying for the clearances. I am talking about th at grinding unit more from the perspective of one getting the much -needed diversificat ion of our market exposure and also to sta rt the work for line four at Devapur in Telangana which will be feeding th at grinding unit. So that is interlinked I thought I will start with the update on the grinding unit , getting closer to sign up , is now the process is only going on for the board approvals and hopefully the board wil l see merit in allowing us to come in and put up the grinding unit there and that will trigge r the need for line four immediately.
Rajasthan project again the update is that all the min ing lease has bee n restored by the government but unfortunately this min ing le ase given the coordinates that used to be there when this mining lease was given to us more than 30 years ago and now everything is digital and so when they did the digit al measurement of that th ey found that in the plot of land on which the mining lease is there with all the coordinates the area that they had granted to us the area comes to be about 5 hectares more than what the mining lease was

and for 5 hectares they ne ed to go back to, all the way to the State Minister of Mines to get their approv al, which hopefully , in fact m y person is still even today sitting in Jaipur and we are trying to get that out at least that because when the coordinates are finally frozen in the form of a mining lease only then we want to start ac quisition of land because in the meantime otherwise we will end up complicating matters . It looks like a small detail , but when it comes to mining leases even 1 metre of mining lease is critical for t he government to have the details absolutely right and w e will rather sort that out now rather than do it at a

 later point in time. So that's' my opening remarks always happ en to be a lot longer, but I try and obviate the need for questions coming up. I t ry and answer as many questions as I can think answers for. So, I stop here, and I am open to the questions that will sti ll be there.
Thank you.

Moderator: Thank you very muc h. We will now begin the question -and-answer session. We have ou r first quest ion from the line of Sumangal Nevatia from Kotak Securit ies. Please go ahead.

Sumangal Nevatia : Yes, thank you. Good afternoon Sir and thank you for this opportunity. Firstly, I would like to compliment you on very impressive details in the annual report with regards to various green energy initiatives and als o your premi umization efforts. Sir my first question is on the WHRS plant so this 3 Crores per month saving are we expected to get that at least for six to seven months in this year or there is also a ramp up schedule and you also detailed about some delay s in few pa rts of the plant s o what sort of say FY20 24 is available for t hat and the 3 Crores should be fully available per mont h in FY2025 is that the right understanding?

Deepak Khetrapal : Yes absol utely. So on the delay part since you mentioned assum ing that in Aug ust we start drawing power as I mentioned to you tha t will be 80%, so maybe in the month of September or maybe e arly October it may be slightly less but towards the end of the year when th e entire 10 megawatts start becoming available we will s till be able to meet the targets on average of 3 Crores a month and FY202 5 you can certainly take it that way.

Sumangal Neva tia: Got it at least from fourth quarter January onwards this should be th e run rate of savings ?

Deepak Khetrapal : Yes.

Suman gal Nevatia : Got that. Sir second question is on the sequencing of these various projects I am a bit confused so one is we are s tarting or hoping to start Chittapur expansion by 3Q that is my understa nding please if you w

ould like to confirm that and also land acquisition at MP is still not started b ut we have kind of frozen the la nd so are we planning to then parallelly invest both in Chittapur and Devapur grinding and clinker line or is it going to b e sequenced one after the other ?

Deepak Khetrapal : Let m e provide the clarity on that. So Chittapur is something where we only are awaiting some approvals which have all been applied f or right so that is simpler and the need for more clinker is much higher at Chittapur , so Chittapur will be in the sequence it w ill be the number one, o kay. When it comes to land for the grinding unit in Madhya Pr adesh that I spoke about we do not have to acquire that land we are talking through a counterparty who has the land who are agree ing to give the land to us. A s I have said they are in the process of obtaining the approv al from their Board. The moment the ir Board gives the approval to

 sign the agree ment we already have the land with us because that company is going to g ive us the land , has that land in their control so we do not have to acquire anyth ing. In fact, it may not be even acqui ring of land on ownershi p basis, the y are actually going to give the land on right to use agreement okay which is a long -term agreement, and we can apply for the environment clearance for that grinding unit only when w e have th at agreement of right to use. So, I can not even start ap plying for that clearance and o nce I app ly and get th e clearance and start the activity for grinding un it in Madhya Pradesh only then I need line four in Devap ur. Is sequenc ing now getting understoo d a bit better ?

Sumangal Nevatia : Got that and at Chittapur grinding a lso is coming righ t so it is 3 million tonne grinding and 2 million tonne ?

Deepak Khetrapa l: Clinker, That is right. So, expansion at Chittapur is absolutely right, 2 million tonne clinker, 3 million t onnes of grinding , correct.

Sumangal Nevatia : From a three -to-five-year point of vi ew say next two years we are looking to close Chittapur then D evapur should start and then eventually the Rajasthan mi ning assets will be in place to start with Rajasthan, ri ght so that should be the pecking order, right .

Deepak Khetrapal : Excepti ng that t here will be some parallel costs which will be incurred even f or the grinding unit plus Devapur as a combination. As I explained in the last quarter call which basically I would just sort of tell you why I am saying so , one t he capex that we need to incur, I did explain and I guess most of you are aware that the mine s in Devapur are in the forest area

where the forest cle arance is in the process , the moment we get stage one cl earance for forest we have to actually deposit a significant sum of money around 140-150 Crores which the forest department will use this money for afforestation of the land elsewhere. So that capex obviously will happen in parallel although we are not doing construction activity but capex, I need to do to get my sta ge two fore st clearance, right, s o that will be capitalize d with Devapur although you might say technically there are no commercial activi ty or erection activity on . Similarly, there wi ll be some expens es which will start getting incurred for Devapur and the grinding unit combination but that also to my mind will happen only when the ma jor activity o r major investment in Chittapur is getting over. Because sequencing wise these environment al approvals do take time.
Sumangal Nevatia : Got it. Sir for full year would you like t o give any number, any range of capex for FY 2024 and 2025 ?
Deepa k Khetrapal : FY 2024, in fact I have already i n last qu arter also, I do not think I am going back. We just said total about 1000 Crores in FY 2024 is what ou r ambition has been because only then we meet our requirement for cl

inker in time , largely we had s aid about under multiple projects
 we talked about 600 Crores at Chittapur , we have talked about 150 odd Crores for Devapur with forest clearance and mines cle arance s and everything . We talked abo ut, we might spend close to 100 Crores t owards acquisition of land in Rajasthan and there are already some main tenance and the waste heat recovery that is going on here. So, there are multiple projects all put together we have said in FY2024 we were saying 1000 Crores, no w if that remains 1000 t hat becomes 750 or 800 Crores is a matter of when we receive the clearance s but our intention, our effort would be that we start spending capex soon because that will determine how quickly we get the additional capac ities.
Sum angal Nevatia : Got it Sir. Thank you Sir this is very clear and all t he best.
Moderator : Thank you. We h ave our next question from the line of Rajesh Ravi from HDFC Securities . Please go ahead.
Rajesh Ravi : Hi Sir . Good afternoon. Y ou explained o n the fuel cost and why it went up, coul d you share the fu el cost per million Kcal number for th e quarter Q1?
Deep ak Khetrapal : How will that help you, you need to know my cost of how I am sort of doing it but anyway since you people get into nitty gritty which you can not even rela te to the rea lity, I will give you a number if you wish and I have th e numb er which is readily available with me are for two individual plants. At Devapur in the last quarter we had 1925 and at Chittapur it is 2340 .
Rajesh Ravi : 1.92 something like that okay?
Deepak Kh etrapa l: Chittapur is 2.340 which is imported pet coke.
Rajesh Ravi : 2340 Ok, this Chittapur costing is higher right compared to Devapur ?
Deepak Khetrapal : Yes, because Devapur has mines nearby Chittapur has no mines nearby , it is a landed cost please u nderstan d I am giving you landed cost .
Rajesh Ravi : I understood becau se you have the linkage coal where the costing is much better.
Deepak Khetrapal : More than linkage is a transportation on the coal.
Rajesh Ravi : What is the trend you are looking at for these nu mber s in Q2 or maybe in Q3 you mention ed that the domest ic coa l prices have rather gone up whereas there is some expectation s of cost savings to flow through in the imported coal and pet coke so w hat is the trend you are looking at?
 Deepak Khetrapal : I per sonally do not think the domestic coal prices will incre ase aga in in the next two quarters I do not expect them to there is no reason for them to increase them and pet coke prices actually should stay soft compar ed to when we purchased last right becaus e the prices even today we are talking in the range of 115, 118, 120 r ight which is a lot cheaper that what we were buying pet coke earlier. So, I do expect pet coke prices to our next procurement to be at a cost wh ich will perhaps be about 20% less than wha t we did last time and domestic coal prices I do not exp ect them to go u p anymore.
Rajesh Ravi : This next procurement will be coming up for consumption by when this 20% ?
Deepak Khetrapal : Towards October and Novem ber.
Rajesh Ravi : This AFR cost how are they currently because I remember earlier, they use d to be less than Rs.1 and then it shot up to Rs.1.5 odd s o what is the current cost trend that we a re looking at?
Deepak Khetrapal : We have to remember th at AFR is not in one fuel we have five to six different kinds of fuel coming, some of them and if you look at let us say carbon black which happens to be the most expensive right. P eople who buy carbon black they are still inside more than 1.5,

people who buy rice h usk and if they are around the rice mills who are doing it that comes
cheaper if you are far away it becom es more expensive . If you are using hazardous was

te,
you actually may get it at a negative cost also, so it is all a combination of multiple AFR,
for us it will be more in the region of 1.2.
Rajesh Ravi : Ok, Sir your annual target of 6.3-6.4 million t onne this remain s?
Deepak Khetrapal : We are keeping that absolutely intact, and I am not letting my sales effort go any soft.
Rajesh Ravi : Correct an d lastly on this capex guidan ce of 1000 Crores where you mentioned 600 Crores
Devapur that will only start once there will be stage one forest clearance ?
Deepak Khetrapal : Rajesh do not confuse everybody.
Rajesh Ravi : Chittapur 600 Crores will start only when th e stage one is received ?
Deepak Kh etrapal : Rajesh you are c ompletely confused. Stage o ne is for Devapur forest clearance , Chittapur is
not a forest area Chittapur we are only waiting for environment clearance. While Chittapur
environment clearance being aw aited, Devapur i s forest cl earance being awaited along with
the grinding unit being awaited so stage one, stage two is only f or forest.
 Rajesh Ravi : At Chittapur this 600 Crores where no major d eviation you are looking at for this financial year?
Deepak Kh etrapal : I wish we d o not have a variation because I need th at capacity to start coming up soon.
Rajesh Ravi : Lastly on th is lead distance which you mentioned 300 kilometers if you c ould give some
sense is this primary lead or secondary lead when you menti oned 300 kilometers ?
Deepak Khetrapal : See secondary remains more or less constant i t is the primary go es up d epending on the
market mix. For example, as I told you in the Q1 a customer which was closer to Chittapur I
have sold him cement from Devapur because I di d not have ther e obviously the lead has
gone up right be cause I am supplying the cement from a farther away plant. I would say it is
always the primary then we dump the material in that market, from the re second ary is
always shortfalls all around it we use small vehicles and things like that, so it is all prima ry.
When we talk about little over 300 it is always about primary.
Rajesh Ravi : Secondary would be less than 50 kilometers is that understanding right ?
Deepak Khetrapal : Absolutely , Otherwise , we wil l send it there .
Rajesh Ravi : Great. That is all from my end for now. I will come back in queue. Thank you.
Moderator : Thank you. We hav e our next question from the line of Keshav Lahoti from HDFC
Securities. Please g o ahead.
Keshav Lahoti : Thank y ou for the opportunity . It is great to see the premium cement sa le is picking up can
you give some sense about how are the margins in premium ve rsus other cements and also
if there is a margin differential between the StrongCrete which you have been sellin g from
long years and b etween OrientGreen the more sort of a recently launched cement ?
Deepak Khetrapal : Yes, our Orient Green is which we introduced ju st a few months ago that is midway between
our PPC cement and ou r StrongCrete. StrongCrete, we sell at Rs .45 higher than our PPC
and OrientGreen is priced at Rs.25 p lus so it is a premium product, but not as high. So now
today our StrongCrete is a super -premium product, and the premium is OrientGreen.
Keshav Lahoti : Understood and what was the fuel mix for th e quarter ?
Deepak Khetrapal : Back to the same question agai n it never changes something never change. Fuel mix for the
quarter once again I am repeating for eve rybody else, please do not ask me again 53%
domestic coal in this quarter and pet coke 36% and b alance i s AFR . Sorry excluding AFR
53-54 is the fossil fuel that we are using , 53 and 36 .
 Keshav Lahoti : One last question from my side. SPV which you will get t he power, what would be the cost of that power?
Deepak Khetrapal : This is contractual detail ri ght now. I t will be

on significan t savings from the grid p rice it is
linked to wh at the gr id price will be and what will be the margin for us . I can not reveal th at
at this s tage. I have given you the savings that we are having in J algaon already and that i s
what encouraged us to go more for it.
Keshav Lahoti : Got it. Thank you.
Modera tor: Thank you. We have our next question from the line of Raghav from Asian Mar kets
Securities . Please go ahead.
Raghav Maheshwari : I wanted to understan d primarily the Mahar ashtra market whi ch is our key prime market
because accord ing to my understanding we are selling almost 50% plus volume into the
Maharashtra. The last two capaci ty additions which we have done into Maharashtra are
almost at the level of 35% to 40% utilizat ion at the indust ry level. Now again Ambuja is

adding almo st 6 million tonne in Maharashtra other than the Mumbai market, which is primarily your core region of Vidarbha, Marathwada, Khan desh and the Pune s o how do you see further two years down the line the Maharashtr a particularly market as in the profitabi lity term in the pricing term rest of the Mumbai?

Deepak Khet rapal : You are talking about the supply side we also ha d to remember that the re is a demand side to the equation is not it? So, the way tha t demand has been growing in these markets obviously has encouraged people to put up more capacity. If the demand was not that high who would want to put up capacity. So while we very quickly are able to calculate the new capacity coming in we are not addi ng and Maharashtra as it is, is the largest market in In dia if it keeps growing at a percentage as growing today obvious ly the demand in Maharashtra will be far higher than the other places and the capacity for us to be catering to that , while it is a matt er of concern for sure in short term new people coming i n they obviously want to utilize their capacity faster but as things settle down over a period of time the market absorbs the capacity. That is how we have seen every time a new capacity has come up i n any neighborhood exactly the same story turns out. Few months, few quarters you see the impact and then it is life back to normal because they are also there to do the business only.

Raghav Maheshwari : So, you wil l see Maharashtra as a safe market for a future term also ?

Deepak Khetrapal : Yes, I would because I personally do not see the growth in Maharashtra d isappearing anytime soon. So, it is a demand growth which keeps me hopeful while the capacit y is coming it always look s like threa ts, but everybody is finally lookin g when they are making

 a capex, they a re doing their own calculation and their own hypothesis, and they know that we already exist s at a lower cost. So, they are also coming there to make a retu rn on their investment and that is why thing s over a period of time no matter how dangerous it looks . I always keep reminding people about the time that we were puttin g our Chittapur plaint in Gulbarga , everybody used to tell me there is Rajashree next to you, there is ACC Wadi next to you, Shree Cement is coming nex t door, (inaudible) 51:41 Vasavadatta is there how will you survive and I am telling you we need more clinker there n ow. How did that happen? This is a story. This is how business es go.

Raghav Maheshwari : Got it, w hat is the estimat ed de adline for complet ion for Chittapur line two and Devap ur line four?

Deepak Khetrapal : So typically speaking the Brownfield project we want to commi ssion within 15 months from the date of start of construction. Let us assume f or the mom ent that we are s tarting that on Ja nuary 1, 2024, 15 months from there we should commission Chittapur , 15 months is what we will take as erection time for a Brownfield expansion. For a Greenfield grinding unit because it is a pure grinding un

it that also ca n be achieved in about 1 5 to 18 mo nths because still utilities like rail way sid ing (inaudible) 52:53 needs to get built in the grinding unit, so at places like Chittapur you do not have to build t he railway siding , it is already there, so I would consider the ot her one to be more like 18 m onths than 15, but 15 to 18 months there also would be our target from the day we start doing the construction.

Raghav Maheshwari : We can take a volume assumption s in FY202 5?

Deepak Khetrapal : Volume assumption obviously yo u cannot say that we wi ll commission th e capacity and next month itself we will be selling the full capacity that does not happen right. So that build up typically, in the first year of commissioning 12 months we think if we are doing 50 to 60% utilization, we feel go od because by third year or fourth year we will start a iming for about 7 5 to 80%.

Raghav Maheshwari : Yes Sir . That is why I was asking this question regarding to Maharashtra because the last two players who commiss ioned there one is commissioned their kiln and one ha s acquired capacities, they are not oper ating till 40% since last 15 months of operations and that is why asked this question for Maharashtra.

Deepak Khetrapal : That’s why I am not adding capacity in Maharashtra.

Raghav Ma heshwa ri: Got it S ir. Thanks.

 Mode rator : Thank you. We h ave our next question from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Thank s for the opportunity . Just a couple of basic questions . If I ha ve to go back a year or two like we were prior itizing Devapur e xpansion with Tiroda grinding unit and I know t hat Tiroda got called off but w hy is no w Chittapur given priority over Devapur I just wanted to understand what is the change which is compared to that ?

Deepak Khetrapal : See this change come in one we do not have a grinding unit that we were setting in Tiroda that sent us all over again on a wild -goose chase to look at another site where we could put a grinding unit and without the grinding unit, I do not need more clinker i n Devapur so that got del ayed be cause we did not have a grinding unit site right. In the meantime, at Chittapur the dema nd came more towards OPC from some very good customers because of which my overall capacity of the plant, which is 3 million tonnes that we speak about , 3 millio n tonne s is a certain assumptio n of OPC, PPC . In FY2023 itself I ran short of clinker at Chittap ur. I have been mentioning that in last quarter today also I mentioned so we can not get fixated with any decision taken. That is the de finition of being a gile. The mom ent we realize that Chittapur is opening up an opportunity, Devapur has got delayed becau se Tiroda got cancelled so what do we do, we still talk about Devapur first, or do we go and do business where it is available first . Very simple .

Amit Murarka : Got it so that is t he under standing I wante d and also just another basic question like you took this plan ned shutdow n in Chittapur in Q1 which impacted cost generally like just to understand to improve my understanding generally is not monsoon consider ed a better month to ta ke these kind of shutdo wn there as these are lower demand periods why plant shutdown taken in Q1?

Deepak Khetrapal : Because we did not take the shutdown in last monsoon . We saved money on that. We continue d to use the same refractory without incur ring the c ost till this year April. After that even 9, 10, 11 months is just about the maximum people use a kiln without maintenance we used for 23 months it could not have gone to 26 months . Ve ry simple, it is basic fundamental.

Amit Mur arka : Got it so in this situation like t his time when you take a maintenance will this be a longer maintenance because you skipped one cycle, and will the cost

also be higher?

Deepak Khetrapal : No somewhat not too much. The cost would not change by more th an 10 or 12 % of the overall cost but the u tility wise you will see instead of spending once in nine months I am spending once in 23 months , you just see that.

 Amit Murarka : Yes of course that I understand. You cannot stretch it. I understand that. That is all. Thank you ver y much.

Moderator : Thank you. We have a question from the line of Vaibhav Jain an independent investor . Please go ahead.

Vaibhav Jain : My questions are mostly answered previous. Just one s uggestion regarding your opening remarks I would s uggest you put thi s in an investor present ation rather than it saves you energy as well and we can be prepared beforehand to ask questions , otherwise my questions have been answered.

Deepak Khetrapal : Thank you so much. See in presentation the reason I do it, it is twofold. One is the nuances that I can bring out in my delivery I can not put that in a presentation because then the presentation will be far too long, right . There are lots of nuances that I explained when I am giving the information right, but I do get the hint that you do not like my voice, so I will try and speak less . Thank you.

Moderator : Thank you. We have our next question fro m the line of Navin Sahadeo from IC ICI Securities. Please go ahea d.

Navin Sahadeo : Thank you for the opportunity an d of course as always, the great initial i ntroduction or the comments which take care of most of the questions , so I really request you to con tinue with that. Having said that just a couple of questions. S ir the capex you guided as of now for FY2024 more l ike 1000 Crores in the same way assuming e verything falls as per plan s, what should we pencil in for 2025?

Deepak Khetrapal : 2025 I am sort of still struggling to get my 1000 Crores going that is my worry , but typically speaking now if we go by the fact th at we have Chittap ur cost close to 1500 crores logically thinking. If I am doing 600 in this financial year so obviously, I want to complete that with in the next financial year it will be 900 Crores for Chittapur itself right straightforward c alculations. When the project i s on I spend 600, balance is 900 to be spent and I want the project to be ready before the end of next financial year, so 9 00 for Chittapur maybe another 100-150 Crores of investment in Ra jasthan in the meantime parallel to making all the preparations, b ut my own guess is the re will be another 3 00 to 400 Crores at least that we might need for the grinding unit in Madhya Pradesh even before we start spending money at Devapur line four . So, I would perhaps consider 15 00 to 1700 in the next year all told including grinding unit in Madhya Pradesh including Devapur fu rther plans, Rajasthan and 900 Crores in Chittapur .

 Navin Sahadeo : Understood and Sir just staying on this capacity while we are looking at Chittapur line two an entire 3 mill ion tonne coming u p ther e. Are you also looking or exploring some possibilities of a grinding unit more near since west is now such a big market for us as you just mentioned in your initial comm ents, so new grinding unit near Patas or Solapur where other pl ayers have als o I think have some grinding units is there an option to explore there or you are sure that Chittapur is where you want our entire 3 million tonne to get commissioned.

Deepak Khet rapal : In life there is nothing that I assume forever. At the time that we were taking the decision the suggestion had come to me earlier also this area th at we are talking about . We have actually gone and done an in-depth study of the availability of fl y ash and the cost of fly ash which is available from now onwar ds given all the existing capacities and that did not

look very promising so unless one of tho se assets comes up for sale at a price which is reasonable the Chittapur plan is the only plan we ha ve be cause there is no more space for any more grinding unit to keep getti ng fly ash in the quantum that we need . Something appointing or some other grind ing units which might come up for sale if it does come up, we will keep our eyes and ears open and then we might rethink but as of now we do not see that opportun ity and puttin g up a grindi ng unit there did not get us despite availability of higher incenti ves in Maharashtra. The differential in the fly ash cost and the capex that a separate grinding unit needs compared to the capex that we do or when we are doing o n site is very different right. So, while we considered the incentives in Maharashtra vis-a-vis, that we are looking at the additional capex, which may be that additional capex can be recover ed from the ince ntive that the Maharashtra government gives, but the differen tial in the fly ash cost is sort of kicking away a lot o f that reduction.

Navin Sahadeo : Got it. Just one last question . Will Devapur now go for maintenance shutdown in the current quarter like typical ly Q2 see maintenance shu tdown or th at could be missing?

Deepak Khetra pal: Good that you ask ed the question. One line in Devapur we already done the sh utdown in the month of July, we just completed t hat and there is one mor e line to be done at Devapur that we will do in the next q uarter, b ut the impact will not be as stark a s here because we do not need to move any clinker we just need to sort of utilize more , there are three lines in Devapur right so that makes it a lot eas ier and those kilns are smaller, so the maintenance cost also is in the functional si ze of kiln right, so Chittapur kiln is the biggest kiln that we have 6000 TPD. Devapur the bigge st is 4000 TPD, so size wise and in terms of availability of clink er we have done the maintenance in July , we will do one mor e in Octob er. So, they will come but the impact w ill not be as dramatic as we had in Chittapur .

Navin Sahadeo : Got it. Thank you so much for the opportunity and all the very best.

 Moderator : Thank you. I would now like to hand the confer ence over to manage ment for c losing comments. Over to you Sir !

Deepak Kh etrapal: Thank you. I personally make all my comments as opening comments them selves . My closing comment only is to thank all the participants o nce again for sparing the time and listen to my long introd uction tha t I give and asking questions which are intelligent and which push ou r think ing even further , this grinding unit in Mahar ashtra if you listened this question it was very intelligent which came to me earlier we have worked on th at and today and I really gav e a response to that and I really appreciat e the engagement that all of you show in our business. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities that concludes t his confe rence. Thank you for joining us . You may now disco nnect your lines.

Call: Nov 2023

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar , Bhubaneshwar, Odisha 751012, India. www.orientcement.com

CIN No: L26940OR2011PLC01393 3

November 16, 202 3

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400001

Scrip Code: 535754 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East),
Mumbai – 400 051

Symbol: ORIENTCEM

Sub: Transcript of Investors Conference

Ref: Disclosure under Regulation 30 of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir /Madam ,

In terms of Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith the transcript of the Investors Conference Call held on November 10, 2023 with respect to Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2023.

The said transcript is also available on the website of the Company at www.orientcement.com .

You are requested to take the same on record .

Yours sincerely,
For Orient Cement Limited

Diksha Singh
Company Secretary and Compliance Officer
Investor E -mail id: investors@orientcement.com

Encl.: as stated

“Orient Cement Limited
Q2 and H1 FY '2 4 Earnings Conference Call ”
November 10 , 202 3

MANAGEMENT : MR. DEEPAK KHETRAPAL – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – ORIENT CEMENT
LIMITED

MODERATOR : MR. NAVIN SAHADEO – ICICI SECURITIE S

Moderator: Ladies and gentlemen, good day, and welcome to Orient Cement Limited Q2 and H1 FY'24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note, that thi s conference is being recorded.

I now hand the conference over to Mr. Navin Sahadeo from ICICI Securities. Thank you, and over to you, sir.

Navin Sahadeo : Thank you, Nirav. Good afternoon, everyone. On behalf of ICICI Securities, I welcome you all to the Q2 FY'24 Earnings Call of Orient Cement Limited. From the management, we have with us, MD and CEO, Shri Desh Deepak Khetrapal. So without any further ado, I hand over the call to Mr. Khetrapal for his opening comments. Over to you, sir.

Deepak Khetrapal: Thank you. Thank you, Navin, and a very good afternoon and a very warm welcome to all of you on this Q2 earnings call of Orient Cement. Let me start by first wishing all of you happy Dhanteras and a very happy Diwali, which is coming in two days' time.

And I'm grateful to all of you for finding time for us even on a day like this, which is basically festive day. But I think given the schedule that we had, we are here today and thanks for being here. In my own way, I mean, lots of people are wishing each other to acquire gold. And my little bit twist on that is that my wish for all of us to aquire a heart of gold and become better human being even as we have a fulfilling and everything life. So all the very best to all of you.

Coming to the performance and the highlights of Q2, I think I'll rather start with perhaps the news that people have been waiting for. We have been saying that our waste heat recovery plant is under commissioning. But finally, towards the end of the quarter and in the last two days only, we were able to commission the waste heat recovery plant. To the extent that it's 80% of the target power is already available and that we've used in the month of October. And obviously, we're using it. The balance 20% work which is still going on should be ready for us to get p ower in the month of January.

And as all of we know that it's the overall benefit to the company in terms of costs that we've been projecting it will be more than INR60 per tonne of cement. So which, like I said, as of now, because 80% is commissioned. So maybe it's about INR45 a tonne but -- I'm saying in Q3. And in Q4, the full benefit of INR60 tonne plus plus and it will be perhaps hopefully more than that. So that will start flowing and that has been a pending thing from our side, I thought I'll first tick that off.

We've also been doing some really good work in terms of creating a really rich brand portfolio of obviously, these regular brands, which exists in the market, which we've been operating and then the newer brands that we've been adding to our portfolio. And in that, we have added one more brand, which we have called Birla A1 Dolphin. And Dolphin because it's the water

repellent cement, and this obviously dolphin for all of us who know how water repellent the skin of Dolphin is, so the Dolphin really represents the nature of the product that we have launched under this brand. And hopefully slowly and gradually it will start finding its space in the market. It's very early days still, but the advantage of our brand portfolio today starting with Birla A1, which continues to be the mother brand for our PPC cement and OPC 53 , 43.

We have added, as we would recall, StrongCrete that we did a few years ago, thereafter we launched OrientGreen about a year back and now Birla A1 Dolphin, which i

s the, I would say,
the laddering of the brands because from the normal price of PPC , OrientGreen, it is about INR25 premium, StrongCrete at INR45 and Dolphin even higher than that. So it's still -- as of now, I think we are -- we have all the brands in our portfolio the way we wanted to create under the brand architecture that we have pla nned.
So that's -- and also just to sort of make sure because of our Birla.A1 brand was being, I would say, used in different logo forms across our brands. So that also we standardized, and we have aligned. And today, we have aligned identity for Birla A1 wherev er it's used by us. So you would see the change in the bags and the colors and all those things are being done.
With the benefit of these new launches and all the good news is that within the trade sales, which you call B2C sales, the percentage of our premium brands put together, which is largely StrongCrete is the biggest, obviously, followed by OrientGreen. Fairl y, we are in excess of 20%, 21% to 2 2% in that range is the volume we are selling under the premium brands out of our total trade sales, so which is something which I thought all of you will be happy.
And as Birla A1 Dolphin find its place in the market, we do believe that by end of the year, we should be exiting with about 25% premium cement sales, with the prices of our premium cement seen are far higher than what the industry has seen from other play ers. On the quarter per se, we all do know that -- all of us do know that traditionally, Q2 happens to be a relatively soft quarter compared to Q1 because of the monsoons.
Last year, Q2 was horribly bad for the whole industry, and we all know what we went through. This year, the monsoon, we know it was an early start and monsoon started off with the bang. And also ended strongly towards the end in many parts of the country. But we had a rather lean middle and then we were all getting worried whether we'll have enough rainfall in the country or not.
But thankfully, like I said, August being a worry month from monsoons perspective, gave us an opportunity to -- give us the opportunity for construction activity to go on, not impacted by heavy monsoons as of the month . So August, in this particular quarter was a very strong month and July and September being not as strong as August. But despite the, let's say, monsoon, which was heavy in periods, our total volume in the quarter is 14.25 lakh tonnes, which is a 15% year -on-year growth.
Sequentially, yes, there's a 10% degrowth, which I think is normal from Q1 to Q2. But with 15% growth Y -o-Y, I think we are in line with industry growth in our served markets, and there's no

risk of the losing any market share despite the fact that we've not added capacity in the meantime, unlike some other players who have added capacity in the markets.
In terms of the target for the year, we're still chasing, I think, in the previous earnings calls, I've been mentioning that our target for the year would be to be between 63 lakh tonnes to 65 lakh tonnes of cement sold in this particular financial year. W e should be in that range, given the fact that we've already done more than 30 lakhs. And to do 33, 34 lakhs in the second half should be feasible unless there's a complete surprise in the market.
The only thing which has not been good in H1 as a whole, I would say, is that despite such strong demand and 15% growth, the prices in H1 have stayed largely flat and that's been a bit of a dampener. And because the prices were not stronger, so the sales i n Q2 for us, which are at INR720 crores are 17% up Y -o-Y, but they are minus 12% Q -on-Q because there was a little dip that we experienced in our realizations from the preceding quarter.
At H1 level, we have done total sales of INR1,550 crores, which is a 16% growth over last year, as I'm sure all of you would have seen the

numbers. The skew has been towards -- for us in our
markets with a servicing that's been more towards B2B sales and t hat although that skew has gone on, but we've also found some, I would say, relief that in this particular quarter, our B2C sales are again back to being 50% plus, which had actually in the previous quarter dipped to below 50%. So that's a bit of a relief.
And in terms of, I would say, the overall good news that we have is that within the subdued consumer sentiment, I'm talking about trade sales, our B2C sales, we have kept increasing our share of premium products, which should stand us in good stead. And it also perhaps is an evidence that our strategy of having multiple brands at multiple price points with each one brand having its own specific advantage or as we call it in a marketing jargon, value proposition for each of these brands is very clearly defin ed and communicated and delivered to the consumers. So we are quite happy with the work we've been able to do on the premiumization of our cement

besides, obviously, using benchmarks for prices which are higher. So that's helping us in terms of maintaining our sales growth and maintaining profitability comp ared to what the circumstances otherwise would have dictated.
Even B2B sales, although they continue to be higher than what we would like them to be typically in terms of the impact they have on cost. But the relief for us has been that even in the B2B sales, we have managed to still prefer and choose customers who, I would say, respect and prefer our product even when we claim a premium on pricing.
So many markets in the OPC segment, we are able to get a price where the contributions in OPC continue to be remunerat ive for us and even better than PPC in many markets. So that's why we -- although we should be selling more of blended cement, but we are not completely unhappy because the market and the large customers have been demanding OPC and we've been happy to deliver because we are recovering that cost plus.

In terms of product mix, the PPC Cement in Q2 -- PPC, I'm including -- I shouldn't call it PPC, I would say blended cement. Blended cement which includes our premium brands and that's as high as 59% versus the unblended cement, which is OPC at about 41%. Market mix -wise in this quarter, again West for us has been a stronger market. And in Q2, out of total sales that we have done, about 64% of our volume has actually gone to West and about 27% in South, which basically is a result of the fact that South, esp ecially the main states for us, which is Telangana and Karnataka and partly Andhra they continue to see fairly low demand. And if not low demand, they continue to see very low prices, and we choose to sell at a price which is higher than what some of these markets are seeing.
So in South, it's 27% and balance 9% is largely Madhya Pradesh, the Central India market.
Efficiencies, actually, we continue to maintain our efficiencies quite well. We continue to do at the company entity level, including all our old plants, new plants p ut together, our power consumption s tays at about 62, 63 units per tonne. Our heat consumption, we manage d to maintain at about, I would say, under 690, whereas the newer plant being significantly lower than that.
So that's on the cost side. On the realization front in Q2 , I would say we have a realization of little under 5,050 and that H1 level at about INR5,100 per tonne. And we will call them largely flat. There could be a fraction of a percent up and down, but largely flat. EBITDA, as all of you have seen for Q2 has been at INR88 crores. Given the fact that last year was extremely poor, and we had an EBITDA of nearly INR37 crores, it looks like 136% growth. But I don't think we should draw too much from the fact that 136% growth because we do have the benefit of the low base last year

of only INR37 crores, which is one of the worst quarters that we saw.
For Q2 EBITDA per tonne, it is at about INR620 a tonne in Q2, which last year in Q2 had fallen to under INR300 a tonne. We obviously on a per ton basis, we have more than doubled. Sequentially, let's say, we say we are a little lower at about 620 in Q2 because in Q1, we were at about INR650 a tonne. So that's a bit of a fall, but it does happen when you have lower volumes, and that's why we operate -- the lower operating leverage was there. So it has a little bit of decline there.
Power and fuel costs for us have come down, as you would have seen, down to about INR1,508 versus last year of INR1,647. And even sequentially, there's a lower power and fuel cost. And this is despite the fact that power costs actually, we are combining power & fuel and reporting a decline.
But the fact is power cost, I think, for us, it has gone up, and I'm sure it will be true of most of the industry because for power, when we are using our captive power plants, we use domestic coal where we know, Coal India and Singareni have been increasing their prices and also supplying very poor-quality coal. So that there -- that has led to about 30% -- sorry, about INR30 per unit cost of power to us at least, that means the fuel side, we have savings which are bigger.
Another reason for power costs being higher is also because of some of the states, I'm sure you've gathered, have been changing the rules of supply and increasing their, if not the cost per unit, at

least a fixed cost for staying connected to them, which obviously, we have to recover from whatever volumes we do. So as a part of, I would say, the mix in power, even if you don't use

the fixed cost of being connected to the grid that keeps going up. And I think that the State Electricity Boards do , to maintain their own profitability, I would say.
The domestic coal, so as we know, Coal India and Singareni have been announcing higher prices and despite the fact that the overall energy cost basket has been lower this year. But in Chittapur , where we largely end up using pet coke, there, we've seen a decline of nearly 14% compared to same quarter last year , due to last year 14% decline on pet coke costs used by us.
All of you always remain curious about our blended cost of fuel. So we are -- in terms of rupees million kilocalories, we are at about INR1,800 at our Devapur plant, which largely is driven by domestic coal. And we would be at about INR2140, INR2150 at Chittapur , which is -- which uses pet coke -- imported pet coke.
And given the location of Chittapur is far away from the coal mines as you know. But at Chittapur , the blended fuel cost that I'm talking about would lower by about 14% over last year. It's also better at Devapur largely driven by the fact that we have been changing our fuel mix and trying to maximize the alternative fuels that we have been using.
And obviously, as a percentage, they keep going up all the time. So pet coke procurement price improvement, AFR usage being increased and our efficiencies drive that continues. We have seen, I would say, appreciable benefit in the in the fuel cost in the current year.
With the waste heat recovery and with the solar power for which we have taken the approval from the Board and where we announced, I think with the capacity that we are putting up for solar power here at Devapur -- sorry, at Jalgaon and at Chittapur , we continue to be on track towards using about 50% of renewable power in our operations as we go.
At Devapur, unfortunately, we are not in a position to use renewable power because of the state government's policies, which are not making it viable for us to use. So unfortunately, renewa ble power drive continues to be more at Jalgaon where we started first and at Chittapur . Devapur, the only renewa ble power, which is on

the -- on our agenda is to put up a waste heat recovery
plant for which I think we have started the work and hopefully we'll be finalizing the project for waste heat recovery plant at Dev apur as well to reduce the thermal power consumption
In terms of -- I think, updates on cost s, markets, everything I have already covered. Obviously, curiosity remains on our expansion plans. They continue to be on track, although we know that given the number of steps that we have to go through before we get the environment approvals, many of them are driven by the state governments.
And as a result of that, this election that were announced a few weeks ago, w ill get over by the end of this month and the results come out in early December. Telangana government process has been slightly slower than what we had anticipated for the forest clearance. So although it's on track, and every step is being taken, but obviously, when election happens, what happens to the government process.

So where we are a little, I would say, a couple of months behind schedule but I was thinking that by January or so, we should be able to take up some manufacturing -- sorry, some construction activity at Devapur. it is Looking to be at risk purely because the file for forest clearance has not moved from the State Government to Central Government, although processes and steps are proceeding all the time.
For Chittapur as well, we have already received the, what they call, terms of reference TOR from the Central Government for the expansion project at Chittapur . We have already applied to the State Pollution Control Board to conduct the public hearings to grant , based on which our environment clearance application will be considered by the Ministry of Environment and Forest. So we are driving that to o.
And although we are trying our best but, like I said, a few weeks, a couple of months delay here and there keep happening at every step. But we stay committed to the -- our growth plan that we've announced, and we'll keep doing that. I've already covered E BITDA in terms of total -- I think most of the things are covered so far. But let me open the -- and then if I missed out something, I'm sure that you come out in the form of questions.
Total debt is normally asked for, I think, in terms of term debt, we are down to barely INR170 crores, which is financing our projects. And variable costs, variable -- sorry, what I'm saying, working capital borrowings from the bank. Recently, we paid for a shipload of pet coke, so obviously, we borrowed some money. The total working capital bor rowings would be between INR90 crores and INR100 crores as I speak today, which again is a function of -- when you start using that coal inventory starts coming down and that working capital keeps jumping up and down, at times, it is negative; at times, we borrow money.
But more pertinent debt is the term debt, which, as I mentioned to you, it's INR170 crores now.

Because in the first half of the year, we repaid about INR74 crores from what we had borrowed
from the banks. That's from the debt, which is other thing that [inaudible] I've not covered so
far. I'll stop now and answer specific questions as they come. Thank you very much.
Moderator: The first question is from the line of Raghav from Asian Market Securities.
Raghav Maheshwari : Sir, my question is for the capex side. Basically, Devapur expansion primarily is a delay ed
because of the forest clearance. But at the same time, we have applied for forest clearance for
plant as well as the new limestone mine also? Is my understanding is the correct?
Deepak Khetrapal: That's Right.
Raghav Maheshwari: Sir, new limestone mines reserve, can you let us know what is the reserve in the new mine? And
how much is sufficient for the next -- for the current operations?
Deepak Khetrapal: In the new mines that for wh

ich all the clearances have been given excepting for forest clearance
now, which is in the process as I said. Just to give you a perspective, the old mines that we've
been using from 1982 from the time we started running the pla nt, we had only 210 hectares with
us. The new mines are 588 hectares, okay? .

So the limestone reserves in 588 hectares that are coming to us is good enough to run the plant
for 40 to 50 years, even after doubling the capacity at Devapur. So there's no worry on the
limestone reserves.
Raghav Maheshwari: Got it, sir. And our plan is still the same two million tonnes clinker at Devapur and three million
tonne cement combination, two million tonne probably in the MP grinding unit and one in the
Devapur itself, cement grinding?
Deepak Khetrapal: Absolutely. Correct.
Raghav Maheshwari: What's the status for MP land for the grinding unit?
Deepak Khetrapal: MP Land for the grinding unit, we are -- let's say, as I mentioned to you, these are -- the plan
that we are having with state electricity board who have their own government processes. So
they -- we have given them our letter in terms of wanting to set up a grinding unit there. After
that, as you know, as they had to invite competing bids, if any, other person was willing to put
up such a unit and offer them better terms than us.
The date for that as far as we know for people to submit for any competing bid to come in has
expired just this week, and we are now expecting that as the date no more time available for any
competing bid to come in, the board at the next board meeting wil l consider our sole proposal,
which is available with them to put up a grinding unit. So we are we are going through the
process, we seem to be getting close.
If the competing bid had come in, I would have been a little worried. But within the deadline,
no competing bid has been available. So we should be fine. I think the next board meeting will
confirm that our bid is accepted and we'll be allowed to put up a grinding unit there.
Raghav Maheshwari: And sir, at the Devapur site, do we need more land acquisition for the new clinker line or we
have the sufficient land for the current?
Deepak Khetrapal: No. So on the Line four, as we call it, Devapur.
Raghav Maheshwari: Line, yes, okay, Line -four, right.
Deepak Khetrapal: We didn't want to go out of our current premises that we own because as you know, Devapur is
in a tribal forest area, and any land acquisition creates problems. So what we have done is, we
had -- when the land was enough and we have only one line, we put u p a colony and school
without really thinking that we might need more space. So what we are doing is as we speak in
preparation for Line four, we've already started the work on relocating these -- we are building
a section within the exis ting land for the new colony which earlier they -- colony was either
ground floor -- in fact, most of it is just ground floor. .
So we are actually converting one plus four floors in a more compact area but giving new
apartments to our employees. And that land will become -- we will be able to put up Line four.
So we are managing within the land, no acquisition, but we are spending money on building a
new part of the colony as new colony.

Raghav Maheshwari: If my understanding is correct, can we put up this Devapur plus the MP project within the
INR2,000 crores?
Deepak Khetrapal: Yes.

Raghav Maheshwari: What's your estimate?
Deepak Khetrapal: How many questions will one participant be allowed? Or is it -- I mean I've given you that we have the land with us within which that we will build the overall cost of doing that. You said it's within INR2,000 crores, I said it's within INR2,000 crores, I have already answered. Our own number is INR1,950. crores. That's why I said

yes, it's within INR2,000 crores.
Raghav Maheshwari: Okay. Got it, sir. Thank you.
Moderator: Thank you. Next question is from line of Aashav Patel from Molecule Ventures. Please go ahead.
Aashav Patel: Sir, we have seen price rise and both all our peers have also been reporting the numbers and Q -o-Q, there have been improvements slightly in realization and more so with regards to the power and fuel cost softening, which you also mentioned.
So many companies are already posting numbers which are much better than Q1. But our numbers were, in fact, slightly lower than Q2 when it comes to absolute EBITDA. So can you please sort of clarify what led there?
Deepak Khetrapal: You mean to say, our number from Q1 to Q2 are lower?
Aashav Patel: Yes, sir.
Deepak Khetrapal: Yes. Okay. No, that -- it's -- I mean for us, it happens every year. If you look at our costs, compared to last year, the only difference in last year, this quarter didn't have any major maintenance cost. This year, we've undertaken one more kiln maintenance. So that gets added to the total cost, right? In terms of fuel costs sequentially also, they have fallen, but we have other costs which have been incurred.
Aashav Patel: Sir, can you please quantify it roughly the maintenance cost for this quarter?
Deepak Khetrapal: maintenance costs in Q2 -- one are the regular maintenance cost that we do not even count the cost which are period ic. So as we mentioned in Q1, we had undertaken the maintenance of one kiln at Chittapur, which obviously was a long pending thing and that also costed a lot more money for us to transfer clinker from Devapur to Chittapur to feed the market.
In this particular thing -- this particular quarter, we've undertaken one line at Devapur under maintenance, which was completed in Q2. And there's just one more that has been completed in the month of October that will come in Q3, each kiln typically the cost of annual shutdown, maintenance shutdown is ballpark INR10 crores; at times INR9 crores, at times INR11 crores, INR12 crores in that range Ballpark INR10 crores depending on the size of the kiln.

Aashav Patel: Sure, sir. It's only one constructive feedback from my side would be to please after -- along with the results, you can also post all the operating metrics because that eats up a lot of time in con call and it is very difficult for us analysts to note down all the key metrics which are mentioned by you, sir.
Deepak Khetrapal: Okay. Thanks. I 'll take note of it.
Aashav Patel: Sure. Thank you, sir. Thank you.
Moderator: Thank you. Next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Kumar Ravi: Thanks for the detailed opening remarks quite useful. So the blended fuel cost, can we consider it for this quarter around INR2 , 1.8 and 2.1 5 simple average?
Desh Khetrapal You can do it, but unfortunately, I can't use that. I'll go plant by plant because supplies are different. But the numbers that I've read out to you are the numbers. Obviously, if the production is similar, you can even call the average. At times Devapur p roduces a lot more , because capacity at Devapur is more. So I'm not calculating weighted average. But yes, largely , you can take the number s.
Rajesh Kumar Ravi: Okay. And are you looking any savings quarter -on-quarter in Q3 if at all?
Deepak Khetrapal: Well, honestly, even the previous question that came that people are seeing lower fuel costs, while lower fuel costs, we did see -- for ourselves also that as I've reported that power and fuel cost is lower.
Within that fuel cost, it is even lower, if we take away the increase in power costs, right? But lately, if you people have noticed the International pet coke prices have been firming up again, all of you are aware of that, right?
Given the fact that the late st procurement of pet

coke from the international markets is happening at a higher price, that will start impacting the costs in the other direction. I mean, all of you are aware of that, right?
Similarly, price increases from Coal India and petco ke increases by the weather , the Reliance is actually the company which announces the price increases. So this particular month again,

they've increased the pet coke prices once again, you've seen that, right? That you have to factor in.
Rajesh Kumar Ravi: So incrementally, your sa vings will more accrue from the WHR Q3 and Q4 and solar power that will be...
Deepak Khetrapal: Waste heat recovery and to the extent we can improve the fuel mix using alternative fuels.
Rajesh Kumar Ravi: And sir, how much was that?

Deepak Khetrapal: Entire 12%
Rajesh Kumar Ravi: Yes, 12%, it was in Q1. How much was that in Q2? And what is the target for this year or by end of this year?
Deepak Khetrapal: At Devapur, we would want to use -- if you -- on a volumetric basis, we would be targeting 20%. But on thermal substitution, it will be about 12%, 13%. At Devapur, we are struggling to get enough of alternative fuel, which makes sense.
So there we are using lesser volume and thermal TSR substitution, but we are getting at a lower price because there we're using more of a municipal waste and RDF. The different fuel profiles at both our plants, given the location and given what alternate fuels are available, right? So on a blended basis, ou r TSR target does remain 11%, 12% on having substitution, much more at Devapur and less so at Chittapur.
Rajesh Kumar Ravi: Okay. Okay. So earlier also, the numbers which you have s hared 12%, 13% in Q4, Q1, they are also the blended TSR only, right?
Deepak Khetrapal: Look, anything which is looking closer to 20% is based on volumes; in thermal substitution rate, typically, it will be low two digits.
Rajesh Kumar Ravi: Okay. Understood, sir. That's great. And on the capex, you detailed out that there are multiple approvals which are pending and once they come through, the work will start. So any ballpark because first half the capex has been sub -par versus your annual ca pex guidance. So as we -- in end October, mid -November, what is the current understanding for the second half, how much capex you're looking at for this financial year?
Deepak Khetrapal: Rajesh, given the way situation that we have today is we -- it doesn't seem as if in this particular quarter, we will able to spend anything significant on capex for expansion of capacity, right?
And in the last quarter also, even if we start some work, it will be fairly moderate. So capex is -- I mean, unfortunately, every quarter, we report the same thing. The capex is slightly behind schedule. I don't think there's any significant amount that we will be able to spend this year.
But we are preparing everything to make sure that as soon as possible, if we can start in January, February, March, early next year, as soon as we have the approvals in hand, we will go full steam ahead. And obviously, that would mean that what we had fore casted for this year gets shifted to the next financial year. But it's a month after month after issue. It's not a question of year-to-year. year -to-year looks as if we are going from FY24 to FY '25, but we had always said that will be more in second half, which unfortunately is, again, disappointingly for us also is not happening at the speed at which we wanted because we do need capacity, as I mentioned.
So let me work that through based on the approvals that I get. And in a few weeks time, if required, I'll inform all of you as to when are we -- the moment, the approvals come, I'll send out information to all of you. And then I can talk about specific dates for starting work.
Moderator: Thank you. Next question is from the line of Sanjay Nandi from VD Capital. Ple

ase go ahead.

Sanjay Nandi: Sir, can you please guide us like what kind of incremental price hikes as happened in the last like 40 days from the exit of the September month in our areas of operations?
Deepak Khetrapal: On our markets, we've been able to see a price increase of nearly INR20 a bag or INR400 a ton gross of GST. Out of that, if you take away GST, you'll perhaps see, more around INR300 a ton, but INR20 per bag on an average for us is the impact. Obviously, th e impact is slightly higher in Southern markets because there the prices are very low. In markets like Maharashtra where price will not that low, the impact a little lower. But I'm giving you a blended information
I think, one, perhaps most of the questions that come to us have already been answered. And secondly, I'm sure being a festive day, the people also may not be wanting to spend too much longer on this call, so we'll go by whatever the sentiment of the participants says.
Moderator: Sir, we have next question from the line of Navin Sahadeo from ICICI Securities. Please go

ahead.
Navin Sahadeo: Sir, you mentioned that environment clearance and other approvals are being sought for the expansion announced, which is Chittapur . So just to understand, once we get all these approvals, will it be fair to expect the commissioning in about 15 months to 18 months' time frame? Or you think it can take slightly higher?
Deepak Khetrapal: No, not more than 18 months at all. I said not longer than 18 months. We will try and do some part of it within 15 months. whereas the split grinding unit that we are saying to support Devapur, that may take about 18 months because greenfield always takes longer. Brownfields can be done within 15 months.
Moderator: Thank you. Next question is from the line of Parth from Investec. Please go ahead.
Parth: You hinted that Coal India have increased prices in the last few months and even Reliance Pet Coke prices have gone up. Sir, what sort of inventory are we carrying? How much time will it last for? And the second question is like do we see power and fuel cost, what the increase of these prices would have, its impact in Q3 or Q4?
Deepak Khetrapal: It depends on each company, your first question actually -- has the answer hidden within itself. A company like us, we actually procured a shipload of pet coke on international market just a few weeks ago, which landed at our place. That -- we managed to bu y at about, I would say, $131 a ton, right? Already, the prices of those things are looking higher. So somebody like us who's covered for nearly three months. So we -- it will be higher than what we were using in Q2 but still lower than what the market prices are, okay?
When we start booking coal for Q4, we'll have to see at that time what the market prices are because pet coke prices in international markets have been going up and down. So fortunately, we ended up buying two shiploads at a cost, which is now proving to b e favorable to us. And it will depend. So if other companies have booked their coal for two months, three months, they already at a lower price, they will benefit , if some people are buying coal now at a higher price, obviously, they will see the impact wi thin Q3. Hopefully, we will see marginal impact in Q3 on

our costs. But significant if there is any impact that we will know only when we have the time to book the new pet coke ship. It's a moving cost always, as you know.
Parth: Right. So the new shipload will have some impact in Q3 and some in Q4, I believe?
Deepak Khetrapal: Correct.
Parth: Okay. And about coal even coal, how much, if you could just help us understand what would be the change be over maybe Q2 versus in the last one month?
Deepak Khetrapal: No, the impact largely on in domestic fuel price that we

've seen; in Q2, for us it was about 8%
over last year. On a sequential basis, it's thankfully very marginal.
Parth: Okay. So coal is marginal and maybe pet coke is much higher?
Deepak Khetrapal: Yes. No, pet coke actually so far has been lower than last year. If you remember, around this time, pet coke prices in international market last year started coming down. When we saw Q1, Q2, we've seen significant savings over last year, right? Now when th e prices are going up, let's see how far they go compared to last year, and that will determine the cost that we have to book.
Moderator: Thank you. Next question is from the line of Raghav from Asian Market Securities. Please go ahead.
Raghav: Sir, I wanted to understand, do we have any plan to set up WHRS at Devapur also at any line, out of three?
Deepak Khetrapal: I did speak in my opening remarks that the only renewable power at Devapur, we can plan for is waste heat recovery. For that, we have our internal project report already done. And we are, in a sense, already talking most probably to the vendors who are doi ng their waste heat recovery plant -- to -- they started visiting our sites for them to submit commercial bids to us. So yes, it's very much on. We would like to set it up at least on Line 3, which seems to be aligned where the layout and all permits as a good access to the waste heat.
We are also looking at Line 1 because it's the old line and the waste heat is higher, but somehow -- the capex of putting it up on Line 1 is making me a little, I would say, confused whether it should be -- but Line 3, certainly will put up a waste heat re covery plant. Hopefully, on Line 1 as well. I think the challenge comes in is that Line 1 when I put it up capex is higher than what it will be for Line 3. And that increases my payback period.
Typically, we want the payback on waste recovery within three years. If I go on Line 1, it may go to about five years, which is what is worrying me. So although the benefit is there, I'm still debating Line 3 for sure, Line 1 maybe, maybe, yes. But Line 4, certainly, when we put up the Line 4, we'll build it along with the waste heat recovery plant for Line 4 separately.
Raghav: Got it, sir. And sir, last question for Chittapur fuel consumption rate and the Devapur, which is

primarily on the Singareni collieries. On the 1,000 per kilo cal, what is the difference between primarily within the Chittapur and Devapur generally?

Deepak Khetrapal: As I mentioned to you, in Q2, it's been more than INR200 or 0.2 as many of you calculated. it was 1,800 and 2,000 plus at Chittapur as I read out to you. That's a blended cost of fuel at both the plants. Devapur, continues to be lower fuel cost purely beca use we have the freight cost, which is much lower. Even if the fuel costs go up, thankfully, our location in Devapur, which is close to Singareni coal mines, makes it cheaper for us purely because of freight cost is for us is lower at Dev apur. Please remember that. It's not what the procurement cost of coal. It's about the landed cost of coal.
Moderator: Thank you. Next question is from the line of Uttam Kumar Srimal from Axis Securities. Please go ahead.
Uttam Srimal: Sir, you have guided for this year volume guidance of around 6.3 million to 6.4 million tons. That comes around 12% on a Y -o-Y basis. So what would be sir, our guidance for volume in FY '25, you should take the same, 10%, 12%?
Deepak Khetrapal: Why would it be the same? We would look for other 10% growth in FY '25, it goes without saying. We have the capacity to go up beyond 6.5, right? We have 8.5 million ton capacity. We certainly will be looking at -- I mean if the industry growth rate is around 10%, we will also again go for 10% for sure.
Moderator: Thank you. As there are no further questions, I will now hand the conference over to the managemen

t for closing comments.
Deepak Khetrapal: Thank you. Closing comments always because I do so much in opening comments, the closing comment largely happens to be just very heartfelt thanks to all of you who keep showing their interest in our company and ask us very relevant and constructive questio ns.
Thank you. Constructive suggestion also has come today in terms of sharing more KPI -led information through the circulation. We'll consider that too. And before finishing, I once again want to wish all of you a very happy and prosperous Dhanteras. I'll rep eat may -- even while you acquire more gold, let's also try and acquire heart of gold. And all the very best wishes for the Diwali Festival. Thank you very much.
Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar, Bhubaneshwar, Odisha 751012, India. www.orientcement.com

CIN No: L26940OR2011PLC01393 3

February 1 3, 202 4

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400001

Scrip Code: 535754 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051

Symbol: ORIENTCEM

Sub: Transcript of Investors Conference

Ref: Disclosure under Regulation 30 of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir /Madam ,

In terms of Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith the transcript of the Investors Conference Call held on February 6, 202 4, with respect to Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2023.

The said transcript is also available on the website of the Company at www.orientcement.com .

You are requested to take the same on record .

Yours sincerely,
For Orient Cement Limited

Diksha Singh
Company Secretary and Compliance Officer
Investor E -mail id: investors@orientcement.com

Encl.: as stated

“Orient Cement Limited Q3 FY'24 Earning s Conference Call ”

February 06, 2024

MANAGEMENT : SHRI DESH DEEPAK KHETRAPAL – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , ORIENT CEMENT LIMITED

MODERATOR : MR. HARSH MITTAL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Orient Cement Limited Q3 FY '24 Result Earning Conference Call hosted by ICICI Securities.

As a reminder, all participant line s will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Harsh Mittal from ICICI Securities. Thank you and over to you , sir.

Harsh Mittal: Thank you, Riya . Good afternoon, everyone.

On behalf of IC ICI Securities, I welcome you all to the Q3 FY'24 Earnings Call of Orient Cement Limited. From the management , we have with us M D and CEO , Shri Desh Deepak Khetrapal. So without any further ado, I hand over the call to "Mr. Khetrapal for his Opening Comments ." Over to you , sir.

Shri Desh D. Khetrapal: Thank you, Harsh, and a very warm welcome to all the participants in this Call.

And as usual, I'm grateful to all of you that you show interest in our Company and spare time for coming on this call. I know we are a few minutes behind, but we were waiting for more people to join the call . So, here we are . I know the participants on this call are all interested people and who do their homework pretty well. But still, I'll give you a little bit of summary .

As you would have seen, we are happy with I would say the profitability results that we've been able to put together Rs.117 crores EBITDA, t ouching about Rs.840 per ton and this is where we said we would want to be at the end of the year as well. I think so me of the concern s that people may have had and I'm saying may have had because internally we at Orient Cement also are a little bit disappointed with the degrowth in volumes that we have recorded in Q3. But I'll just give you a perspective on what we think has happened in Q3 .

Our disappointment aside, but the fact of the matter is that in Q3 there were several things that have happened in the industry , more importantly in our home states and home states means would be very important states, which is Telangana and Madhya Pradesh. We had elections that obviously created too much of a slowdown when the labor and people just disappeared , you know what happens when the state elections happen . So, that was one of the main reasons . Besides that, obviously , the festivals in this quarter and also the Maratha agitation in some parts of Maharashtra . For the first time we saw construction activity being and multiple bans being placed on the cement and co ncrete activity in both Mumbai and Pune. So , multiple reasons are there. One of the most important I should point out is also that despite our degrowth, when I look at the YTD growth numbers that have come out from DP IIT they ca me just a few days ago ,

when we see in YTD we have a growth of about 9%, which seems to be completely in line with the growth of the rest of the industry Pan-India because that's the only reliable data available. So while we do believe we should have done better, but it doesn't seem that we've actually lost in terms of the growth that the industry is recording and we have a ready growth.

So, in fact, if you look at the data, the data also shows that up to November , the growth of the industry – I am talking YTD was about 10% and up to November we also had a growth which were in excess we were at 11% . In the month of December , if you see the numbers, the growth rate has come down very significantly and that's where I think we also have a little bit … at the end of November , we were l ooking at 11 % growth YTD , YoY. So I just thought I'll bring that up to you.

The other matter of concern basically has been in our state of Telangana, which as you people know is very, very important. It's not the largest state for our sales, but it's still a very, very important state for us. So , that is smaller market, but our home market . And in that , the B2C sales have been extremely slow in this quarter. The trade sales as the jargon goes in the industry. And obviously, first , it was elections , then its the change of government , so a lot of uncertainty there were lots of changes are being made in the administration, the officials and things are not sort of getting to go as they would with the stable government . With low demand and too m any players actually getting aggressive in Telangana . We are surprised as to how many players in Telangana are beginning to offer prices which quite frankly surprised us I don't want to name them, but if you people do your research, you'll find that some of the top most brands who've enjoyed premium for a long, long time in the markets because of the brand equity .

In Telangana markets, we have seen them selling not just quoting, selling at about Rs.20 less per bag than our price o f Birla A1 cement . Now , that is something which obviously puts pressure on us also, but given our strategy of staying with the right pricing and also pushing more and more of a premium cement in the market, you would have seen that our realization p er ton is very close to Rs.5,400, is in some way in contrast to what we are seeing as realization being reported by many other players which I think is carrying on and sustaining the strategy that we've had, but I just thought I'll point out to you that despite lower prices from very big brands , we are not succumbed to the pressure . As a result of that the pain has come our way. And just to give you one data point . The B2C volumes in Telangana in Q3 for us are actually lower by 29%. That's a huge, huge hit. Are we happy degrowing by 29% in our home state? C ertainly , not. But the options are you compromise in price and start selling cheap which as a strategy as of now at least we' ve not thought that it's prudent for us to do that. So , I thought I'll just table that. Even in our largest market by volume, we sell 60% or thereabouts in Maharashtra market and as we know, that's our most important market . There again, I think the major growth in demand continues to come from what we call the B2B, the non -trade segment and they largely buy OPC cement. And in that market, again, because the growth is coming from infra , we have actually been growing well.

The only problem that is there is that in that state also in B2C there has been degrowth. So B2C sales degrowing is a worrying sign for us because that means not just the segment change , it also

means the product mix change and that keeps getting adverse and when you sell so much more OPC, what the pressure it creates on the companies. So that was a little bit qualitative feedback or inputs on the volumes that we have. But , overall volumes as you people would have seen , we ended up at 13.92 lakh tons , a degrowth of 3% over last year and 2% over the previous quarter. YTD, as I mentioned, the sales have been 44 lakh t ons and up about 9% over last year YTD , again as I mentioned in line with the industry .

The pressure of, let's say , demand growth that we've seen coming from the B2B sales has resulted in our total B2B sales in this quarter actually going up to as high as 56% which is something that we would like to correct as Telangana consumer demand picks up and as Maharashtra consumer demand picks up. We hope even if it doesn't happen in this current quarter but sooner than later, I think this trend needs to reverse. But thi s is not a trend that we would like to pursue. But as of now, in Q3 we had 56% of o ur volumes coming from B 2B.

As a product mix , our OPC that is unblended cement versus blended c ement has reached a high of 50% in the quarter. Because all of you remain a little bit curious about how that breakup is . So non -trade 56%, OPC 50% , balance obviously is our trade sales .

In all this, I think the good news is the consistently growing share of our premium brands and we now comfortably crossing 20%, 21%-22% in that range, we are selling our premium cements including initially it covered only StrongC rete now , Orient Green is beginning to chip in and the Dolphin is still to, like I said, find volumes worth mentioning, but any consumer who's actually used our Dolphin brand, they are actually the people start with only the basement or only the roofings slowly gradually start coming back for the other uses also. So , that product again is being received exceedingly well by the user customers and as happened with Strong Crete and as happened with Orient Green , basically, we rely on word of mouth from our existing users to build our market share , exactly the same strategy that we've had from the day we introduced the first premium brand w hich is Strong Crete. So we will go slow, but go steady and keep charging

the price that we believe our product actually deserves. As a result of that despite as I mentioned the degrowth in volumes, if we say our revenue, they actually improved ; we are 3% higher year -on-year and 4% higher quarter -on-quarter which is as I said the higher blended realizations coming in because of premium cements helping us a lot.
As I mentioned earlier, rea lization w as Rs. 5400 per ton in thi s quarter is 5% up year -on-year and 7% quarter -on-quarter which I think is a very strong evidence that the str ategy that we're following is o f premiumi zation and actually being in the league of the A -category brand , it's working and we're happy to be there , it's taken us many years of effort and commitment and some sacrifices , but we are glad it's working out for us. And I don't need to call it out, but still YTD net sales at 2 ,292 c rores are 11% up year -on-year against as I mentioned, volume of 9% , balance is coming from price premium .
To certain extent. I must acknowledge while our premium products have helped , there also in the Q3 for about five-odd weeks, getting close to six weeks, there was a little bit of pickup in prices initially in this quarter which in the second half of the quarter just disappeared and we

ended the quarter with prices going back to what they were at the end of September . But for a part of the quarter, there were somewhat higher prices . They definitely helped us. They look at better realization in the quarter. EBITDA as I mentioned is 28% higher than previous year and on YTD basis Rs.309 crores, is 33% up, which is good news given the scenario that we have in the industry . EBITDA per ton at about Rs.840, is up abo ut Rs.200 over last year and about Rs.220 over the preceding quarter, which is a gain helping our bottom line . Besides the slightly improved prices in part of the quarter and also as I mentioned the increasing contribution from our premium b rands, the other elements which have worked in our favor are the way we have benefited from the waste heat recovery plant that we had set up. It is still not 100% operational, but with the 80% which we had called phase -I with that itself which got commissioned during the quarter … it didn't work for the full quarter. We're actually beginning to see the benefit of over Rs.4 crores per month. And I think when we have the balance 20% power also coming, which is from pre-heater section, the work is in advanced stages and we should be commission ing that soon. But I believe that from at least next quarter, the benefit that we see from w aste heat recovery itself should be ar ound Rs.5 crores per month and a total volume that would typically end up doing between 5 lakh and 5 .5 lakh tons, it would be

close to Rs.100 a
ton. But in this quarter itself, the waste recovery impact for the whole quarter has given us a benefit of Rs.5 6 a ton when the plant was neither in use for the full quarter nor like I said, work ed at 100% capacity. And here again, if I look up for the good news is that with 80% completion, what the assumed generation was, we actually are having generation from our waste heat recovery which is higher than what the guaranteed generation from the vendors was. So , what has been completed is doing well. We are quite sure that , even the pre-heater section when it's completed and commissioned soon, we will keep getting this significant benefit that we have told the shareholders, but the benefit is proving to be a little higher than what we had perhaps conve yed to all the analysts and shareholders.
Power and Fuel Costs : They are down by Rs.157 per ton year -on-year and about Rs.87.00 from Q2 because prices have been s oftening in the meantime , so the costs here .
The important thing to remember here is at Rs.14 and Rs.20 per ton that we are quoting here, i t certainly has the impact of much higher proportion of OPC than we are us ed to . Typically , we used to have 40% OPC , now, we come to 50%. So , every percentage point higher in OPC consumption does mean that we are using less of additives which means there is more clinker going p er ton of cement, which means more fuel going into that. And t hat obviously impacts our total cost … even grinding of clinker is more because when you're adding between 30 %, 35% of fly ash, obviously , the grinding power and that part is so much lower , but when you're using only about 4% which is as per the standards, then obviously the grinding cost along with the clinker making cost goes up . So, that's pushing the per ton fuel cost slightly on the higher side despite the fact that our fuel has actually benefited us, our waste heat recovery plant is benefiting us, but still we would like to see it more competitive . Anybody who has a nd thankfully when we see the results of competition, people who have the luxury of about 80% of P PC cement, obviously , the power and f uel costs tend to be lower . Let's say, if we actually did apple-to-apple comparison and looked at our s what is my cost of producing one ton of OPC or one ton of PPC ,

I think we are still very competitive . But the product mix right now doesn't make us look the lowest power and fuel cost which we have had in many quarters. So , this like I mentioned,

currently is our compulsion. We are taking it. But as we move forward we're hoping that this trend will change when we come back to the PPC also having its fair share in our product mix as we move forward .
The other initiative which we've been talking about and which has helped our power and fuel costs is our thrust on the alternative fuel s. And these AFR s as all of you are aware, they are nothing but the waste of other industries. So , with the effort that's been going on and I think quarter -after-quarter, we've been increasing the percentage of AFR in our fuel mix . As a result , I'm happy to announce that in Q3 actually on a volumetric basis, we consumed as well as 25% of our total fuel coming from AFR .
On TSR basis , it's a little bit more modest that … because AFR obviously doesn't have as many calories as the traditional fuel has. So , if you go by TSR, basically it's 17%, we've never been in this range before , and we will like to continue this trend and keep increasing the usage of AFR as we go forward . Not just AFR , even besides the waste heat recovery plant that I've already mentioned, currently about 50% of our power requirement at our Jalgaon grinding unit is actually coming from solar, which is the r enewable power. And the further investments that we have, which should be available to us in the next maybe a quarter and a half both

at Jalgaon and also
at our Chi ttapur, Karnataka plants , that will further give us more renewa ble power giving us more savings. But currently we have reached in Q3 25% of our total power consumption coming from renewables, including waste heat recovery and solar at Jalgaon , which should go up significantly once we commission the solar capacity which is under construction at th e two locations as I mentioned.
In terms of state mix, I mean all of you do know that W est is about 64% for us now , South is a t 27%, which used to be closer to 29 %, 30%, it's dropped a little , and the balance is being made up by the central India, Madhya Pradesh and some markets around that.
Always I think it's interesting to share when we talk about on a blended basis, there's so much high OPC in our system. Despite that in Q3, our power consumption per unit is I think at a low of 63 units, which most of the industry players will confirm is a very, very good place to have especially when you are selling 50% OPC .
Heat consumption similarly per ton of clinker is 687. Again , it continues to be one of the best … I'm giving you blended for the whole Company . Obviously , the near Karnat aka plant works significantly better than that. So it's a blended number I'm sharing with you.
Power cost is one element in the whole thing which is coming down because of waste heat recovery. Although the CPP co al continues to be expensive … CPP is our captive power coal, despite that, we've been able to sort of lower our power cost, but on fuel cost, again , it's down from last year on a complete per ton cement basis which I've already given t he total power and fuel.

In terms of coal or fuel prices, the domestic coal that we source from Singa reni Collie ries as you know it's a public sector body , I think there the coal prices thankfully in this quarter have been flattish year -over-year, there's no further increase and also sequentially . They've been little stable now for a change . And I think that's pressure coming with the pet coke prices have come down significantly. And therefore , I think coal in India has to somewhere remain competitive.
The pet coke cost, which we largely use at Chittapur, act ually the cost, is down by about 10% over last year and about 6% sequentially over the previous quarter. I know th ese questions have been coming so I am including that in my briefing right at the start .
Blended cost of fuel , I'm talking about in rupees million kilocalories. Blended includes my coal pet co ke, AFR s, whatever we're burning in our ki lns. At our Devapur, Telangana plant, it's flat at about 1 ,800 sequentially, but it's down, including the AFR when I'm saying that including the AFR blended cost is down about 12% over last year for our Devapur plant. And at our Chittapur plant, where the main fuel is pet coke , there also sequentially it's down about 7% and about 12% lower year -on-year. So , there is obviously the benefit of AFR and somewhat benign pricing on pet coke is being translated into better margins for us .
In terms of total fuel mix, the indigenous coal is about 4 2%, pet coke is at 41% and balance as I did mentioned to you about 17%. All these are on Thermal Substitution Rate, (TSR) basis, 17% AFR.
One pressure point for us definitely has been o ur freight costs, which I think on a per ton basis when they look higher by about 4 .5% and also 8% quarter -on-quarter . Two factors :
• One, as I already mentioned, because of the loss of momentum in Telangana, which is our closest market basically . When we are still sort of in a way making up for volumes elsewhere which are lost in Telangana over the previous periods, it means we are having to reach out to market they are slightly f arther away, more volumes in markets which are somewhat farther than what the Telangana markets are . So that is one factor.

• S

econdly, is that when I'm saying B2B projects. Whether in Mumbai or in Pune area, most of that is going in bulkers , and as we know the per ton , per kilometer cost of transportation of bulker is higher , and bulk cement in Q3 for us has been as high as 40%. So , that's the second pressure point in terms of freight cost being higher .

• And the third obviously is the typical lean season discount that was available from railways , that has not been available in Q3. So , that is the third factor which has impacted our freight cost. Given I would say the withdrawal of the lean season discount and also the bulker demand , the rail dispatches in this particular quarter have actually fallen from about 15% to 14%.

So those are, I would say , some highlights of what the numbers for the quarter are. Like I said , we keep draw ing satisfactions from the fact that our strategies of premiumi zation is working well, consumers love our products and they're willing to pay the price that we're charging for it. And also in terms of I would say the ability to sell OPC so much higher have higher costs, but

still being able to improve our bottom line is something which again is the part of our operating model which is working well for us. So that's on the operations .

A quick word I will also have on where our expansion plans are. I'm very conscious of the fact and the number of times we talked about, when the capacities w e put up, how they'll come down and every time we have not been able to keep up with the date that we have announced. And largely I have been reporting that it's been due to delays in our being able to get the necessary regulatory approvals . In this quarter , there have been significant progress on almost all the four projects I would say that we've been telling you about. As we speak, one of the thing s that we have is our Chittapur plant expansion, which I have been mentioning , that will be our first project to take up on for expansion .

The public hearing, which is a precursor to the environment clearance has been scheduled , the public notice has been issued for 17th of February . So, on 17th February we'll have both the public hearings for the production capacity and also for mining. So that happens on 17th February. Post that , obviously, the environment clearance process really picks up speed because the process before the public hearing is a lot more cumbersome that we've been through .

On the Telangana Devapur plant expansion lin e-IV, I had been making again a very clear let's say communication that we would want our grinding unit to be parallely available before we add more capacity at Devapur . The good news there is that you might have seen part of our release to the stock exchanges yesterday . Earlier , we were not disclosing the name of the location. So , today it's official ; it's the Madhya Pradesh state electricity generating company . They have a power plant in Satpura range and the name of the village if you want to call it is Sarni. So at that place , they have approved our let's say proposal to put up a grinding unit on their premises, it will have, they will provide us land , they are giving us use of railway siding and they will also be providing us fly ash at a fairly competitive cost. So , all those things they have approved . Only one or two I would say there are minor additions or modifications they have made in our condition in terms of landed cost of fly ash. T hey sti pulated an amount which is higher than what we had stated . And something to do with space for people to live there , colonies or things like that. While they have made those changes , we've not accepted what they stipulated as a conditional approval , we are in touch with them to basically negotiate to the extent th e room is available for us, which we should be able to tie up very, very soon. So , I'm for the firs

t time

letting you know that the new grinding unit, which will support line -IV at Devapur is now very close to being signed up . If I accept their conditions, it's ready now. Yesterday at the board level, we discussed the whole thing and we believe there's some room for negotiation. We're going to try our best , and post that negotiation, we'll close it and get on with the activities there. So , that gives me the encouragement to now come back to tr ack for line -IV at Devapur also. Again, for which the public hearing for mines has been scheduled for … actually, that's before , on 15th of February. But this Sarni site means that very quickly we'll go through certain formalities that close the deal with the Madhya Pradesh electric generating Company and thereafter start the process for environment clearance for Sarni also. So that sort of ties up multiple loose ends which have been hanging there for quite a while .

And as luck would have it, even the last fourth I said the expansion of capacity , Rajasthan mines for which the government orders ha ve been passed, but the required deed was not being executed

for some technical reasons , that finally that deed also has , so, we have now valid signed lease deed for our Rajasthan mines also which will now allow us to start making acquisitions of the land that we do .
So all four expansion plans have gained momentum in one quarter which is good for us because so many times we've said we'll do it and we have not be able to deliver on the dates.
Exact schedule now, based on how the public hearing goes in the next two weeks as I mentioned and how the files move from there , I'm not announcing the exact part of the activity once again and once again going wrong . In a few weeks maybe the moment we have clarity, we'll come back to all of you through whatever forum when exactly we w ill complete the expansion plans, but all four of them are on . It's just sequencing of them when to start one , when you taper off one and start the second one , those kind of things will perhaps take a few weeks internally and our long term plan for that perspective is under process . So, let me f irm it up a little bit and only then communicate that to you. So that's good news on the on the expansion plans .
I personally don't think there's much left for me to add more to the initial briefing . So I'll stop here and open the floor for the questions. Thank you very much for your patience.
Moderator: We will now begin the question -and-answer session. First question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: So want to get a sense about how big is Telangana B2C market for you overall?
Shri Desh D. Khetrapal: Typically , we've been giving number for South India as a whole . State-wise, normally we refrain from giving . But South India as a whole for us does 30%, bulk of it come from Telangana.
Keshav Lahoti: And as you highlighted, the September to December prices are similar , how are the pricing trend in January?
Shri Desh D. Khetrapal: January, I'm sure you're talking to many other companies also. It's a difficult time for the industry because typically in the last quarter the momentum we should have seen in January which sets up the entire quarter very, very well , that momentum frankly has been missing not just in January , from December itself. That's why I told you the YTD figures of DPIIT also tell you that till November end, the growth was around 10% and by the time the quarter ended, it came down to 9%. So obviously , December was slow , January again has been a little slow , and pricing as we speak have actually stayed at the exit levels of December I would say .
Keshav Lahoti: Is it possible to give fuel cost in terms of INR per kCal ?
Shri Desh D. Khetrapal: I'm just giving you the movement . At Devapur, on blended basis -

Keshav Lahoti: Company blended level will also do .
Shri Desh D. Khetrapal: At Devapur we have about 1 ,800 and at Chittapur it's around it’s little under 2,000. So blended perhaps will come to more around a little under 1 ,900. I don't have the st raight number with me, but I'm just being a mental calculation weighted average. So ballpark is about 1 ,900… a little less maybe.
Keshav Lahoti: In the last call , you have highlighted that you will reach premium share to 25% by FY '24 end. So do you think is it achievable or it might be with a lag of a quarter or two?
Shri Desh D. Khetrapal: Like 25%, F Y' 25 was always going to be difficult, but yes , we are working on that, we're already around 22% or thereabouts. So , for all you know, I mean , one of the things that needs to happen is that , see, the premium cement is all at the B2C market and momentum in B2C market, if Telangana consumer market picks up and goes, I think we'll be able to hit 25 %, b ut without Telangana B2C market supporting us it is bit of a challenge.
Keshav Lahoti: Lead distance for the quarter ?
Shri Desh D. Khetrapal: Maybe they' ve gon e up by about 10, 11 kilometers more than what we had on an average, perhaps a little over 300 that we keep saying , so that 305 may have become 315 thereabouts.
Moderator: Next question is from the line of Sumangal N evatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: My question is if you could share what is the net cash level? I believe it could be net cash at this point as on 31st December.
Shri Desh D. Khetrapal: Honestly , we are not keeping much in cash form. I think I need to give you the debt numbers which have actually come down . Sorry, somewhere got left out in my briefing . The total loan that we've had against the Chittapur construction when we started that, that entire loan by now as we speak is almost liquidated completely. We had the return period up to 2030 . As we speak today , there were about 37 crores left at the end of 31st December , that's been repaid in January itself … by now it's already repaid. Total borrowings as of now would be perhaps more around 150 crores and that's about it, which includes my working capital . So rather than keeping cash in hand, we've actually reduced our borrowing so that when we are going to banks with the new expansion plans we have a debt-free balance sheet.
Sumangal Nevatia: Any sort of volume guidance you would like to give for overall FY '24, which now is just left for the fourth quarter and '25 as well ?
Shri Desh D. Khetrapal: As far as Q4 and rather FY'24 is concerned , as you know, we've done just about 4.4 mt till end of December . We comfortably do about 1.8 m t in Q4, although January has not supported that,

but we're still not giving up our expectations, our hope , and our efforts . We try to do more than 1.8 mt, in which case we'll end up at about 6.2 mt or thereabouts for FY'24 . I think the lack of momentum it is difficult, but my own guess is that as the elections get over , in Q1, when the

election is happening at that time, demand does slow down. And from all indications that we are seeing that there may not be any kind of d e-stability at the political level , national level. We believe that if not earlier post -election, the momentum should pick up and typically what we talk about, I think everybody in the industry would assume that if strong government is at the center without any dislocation , a growth of 10% , 11% is a given. And sort of rather promising anything more than the rest of the industry , if you ask me , so honestly we should get something more because Telangana should pick up at some point in time. In which case we might do somewhat better than the national average, but largely would like to stay with the, not behind the nationa

l
average.

Sumangal Nevatia: So just last set of questions on the expansion. So , we should start the land acquisition at Rajasthan in a couple of months once this -?

Shri Desh D. Khetrapal: Yes, yes, we will start because as I told you , till you get the mining lease, you're never sure , with the government, you never take anything for granted. So that activity of land acquisition would start soon and obviously we will go in phases trying to acquire first the land which is needed for putting up the plant because that's an 18 to 21 months kind of activity to put o n the plant itself , so we need to have that. And the last one I was saying that from the time we start acquiring land till we get into some kind of a position to start the activity, the investment there would be ballpark of about 100 crores for acquisition of land there and then we'll keep coming back. But yes, you're right. For Rajasthan, we will start acquiring land. Th at's a time consuming process and we are conscious of that.

Sumangal Nevatia: Are we looking to parallelly expand Chittapur and Devapur or is it one will kind of happen first and then the second?

Shri Desh D. Khetrapal: Honestly . I personally think that picking up two clinker line at the same time may test our bandwidth. That's a very honest acknowledgment of our size of the Company . Don't take this as this is a final guidance , but as I think about it, I think Chittapur should happen now . As I mentioned to you , there the demand is a lot more than what we can meet. My own guess is I think we should be able to start Sarni somewhere in parallel , the grinding unit , for which we have clinker available at Devapur , right. And as we sort of in a way complete the putting up the expansion project in Chittapur and Sarni , in the meantime Devapur sometime in the middle can start. It will be a little bit of overlap, but not parallel .

Moderator: Next question is from the line of Krisha Kansara from Molecule Ventures. Please go ahead.

Krisha Kansara: Sir, I just have two questions. You said that volumes were down in this quarter. So , can you please guide us on the percentage loss that is on the volume side sequentially as well as on YoY basis ?

Shri Desh D. Khetrapal: We were down 3% over last year and 2% sequentially.

Krisha Kansara: Sir, second is not a question , I just want to confirm the EBITDA p er ton figure that you mentioned in your opening remarks . It was 840, correct?

Shri Desh D. Khetrapal: Yes, that's right.

Moderator: Next question is from the line of Uttam Kumar Srimal from A xis Securit ies Limited. Please go ahead.

Uttam Kumar Srimal: Sir, my question pertains to CAPEX guidance for FY'24 and FY'25. Since mostly in FY25, we will be doing the expansion plan as mentioned by you. So what would be our CAPEX guidance ? And how much debt we are going to take for this coming expansion?

Shri Desh D. Khetrapal: As I did mention in my briefing, I have sought some time from all of you , maybe just a few weeks . We are actually preparing our own plan . Now, that the clarity is emerging about the public hearing . Just give us a short while . Let me not again throw some number at you. I want to have a little better … the public hearing getting completed, the files moving and then when it's all a function of when can I start the a ctivity . Total as you know at Chittapur our expansion costs are going to be in the ballpark in the region of 1 ,500 crores. That's known to us, right? What I mentioned just now was also maybe Sarni can start coming somewhere in parallel if we can get environment clearance quickly inside the power plant. So hopefully it should be easier. That cost will be a ballpark again, about Rs.500 crores and our grinding unit will cost that much. So out of that 1,500 crores at Chittapur how much will get spent in FY'24 and FY'25, that split is

not
there … but in FY'24, nothing is going to happen there , I'm talking more about FY'25 and '26, right , in which we would like to complete Chittapur for sure and also bulk of the Sarni split grinding unit . Total cost of 2 ,000 crores between FY'25 and '26, the split is something I would know only when I start the actual processing . I am ready to start construction now. The b allpark is for these two projects. I think my current estimate is we will spend about 2 ,000 crores between the two years FY'25 and FY' 26.
Uttam Kumar Srimal: This Rajasthan grinding capacity will be around 3 m t or 2 m t?
Shri Desh D. Khetrapal: Grinding at Chittapur is going to be 3 mt, which is integrated clinker and grinding , and Sarni will be split grinding unit where we will be putting a 2 mt gri nding unit.
Uttam Kumar Srimal: No Sir. I am asking for Rajasthan, where you were trying for like -
Shri Desh D. Khetrapal: In Rajasthan , our current calculation tells us based on the re serves and based on life that we want as the plant of around 40 years plus, which we are currently working on with the assumption of about 3.2 mt at Rajasthan.
Moderator: Next question is from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: I have like two questions. So right now we can see that your share of B2B sales is quite high. So can we say that this is because of the election time in Telangana? And do we see this improving going ahead?
Shri Desh D. Khetrapal: B2C demand in Telangana or any other places , it's basically how is the consumer demand across industries . Because I do handle another consumer Company and anybody I'm talking to any business today, consumer demand, especially in the rural , semi -urban sector has been very soft. The moment the rest of the economy picks up in Telangana or elsewhere, we will start seeing more B2C demand coming. That's always been the norm , right . Currently , because the B2C demand is not there, it's large ly B2B spending or B2B spending which is c arrying the demand forward. As a result , the percentages are looking a little distorted from normal. But , as the consumer demand starts picking up, our B2 B business also will pick up.
Parth Bhavsar: So, this is not an election phenomen a, right?
Shri Desh D. Khetrapal: Election partly . One quarter can be election , right? But overall, if you look at it across India, if you've been noticing consumables, whether durable s or otherwise, everybody is telling you that the consumer demand is soft. I think that's the known fact to everyone. That is on top of Telangana going to election.
Parth Bhavsar: So what would we target like we would bring this B2B sales back to like , the target would be 45%?
Shri Desh D. Khetrapal: Our ideal mix that we worked in the past is about 60% B2C and 40% or under B2B. We are not able to go to 20 %, 25% like some other players for whose markets are different . In the markets that we operate where Maharashtra , Mumbai and Pune will remain large market. I think our sweet spot will be B2C sales being less than 40%.
Parth Bhavsar: So Sir, like once this improves like we do expect we can see like some good improvement on power and fuel cost and freight cost , right , on the back of this?
Shri Desh D. Khetrapal: Yes, obviously the more blended cement that you can sell, the less the power and fuel cost, which is a simple process of manufacturing .
Moderator: Next question is from the line of Raghav Maheshwari from AMSEC . Please go ahead.
Raghav Maheshwari: My question is particularly on the demand side. Last quarter , we have reported almost 3% demand degrowth . So, how has the industry grown and degrown particularly in area of our operation , particularly Karnataka, Telangana and the part of Maharashtra where we are operating ?
Shri Desh D. Khetrapal: Look, unfortunately no of

ficial confirmed data available with anyone on state wise basis , nobody collates data like that . So it's very difficult for me to hazard a guess and tell you . Overall , we know th at it's been low and I've also mentioned this , besides the demand being low, people have

come under volume pressure and they've been pushing more volume at lower prices. So , maybe some of them at much lower prices have sold a little more than what the market would have needed for sure. But there is no reliable data available with anyone on demand on month s-to-month s or quarter -to-quarter basis in every state unfortunately.
Raghav Maheshwari: Second is for the proposed MP grinding unit . Is our current limestone availability facility available at Telangana particularly , is it sufficient to serve this grinding unit or we need particularly a new line to serve clinker line for this grinding unit?
Shri Desh D. Khetrapal: For the time being, we'll have some spare clinker at Devapur , but line -IV at Telangana , Devapur plant, I've always maintained would actually need a split gr inding unit. That's why I did not start

line-IV earlier. So , the Sarni grinding unit in Madhya Pradesh would need finally to add capacity at Devapur also in Telangana. But if it's a question of few quarters , can Devapur spare some clinker, yes it can. That's why I said that maybe I start doing Sarni before I put up line-IV in Telangana. It's just to manage our bandwidth and manage our resources , because ultimately we have a certain size of balance sheet , we have certain size of the cash flows that come in. So taking up our two c linkeri zation units simultaneously , I think we have just going to overstretch ourselves and I don't think we would like to do it.
Raghav Maheshwari: And sir, what is the status of the EC and FC for the Telangana and EC for Chittapur , it's in our hand or we had applied.
Shri Desh D. Khetrapal: If you heard me earlier what I was saying, the public hearing being scheduled are at both places in February . Without public hearing, you do not get the EC, it's simple. EC can't be in hand , if we still to do public hearing.
Raghav Maheshwari: And same case with the FC also ?
Shri Desh D. Khetrapal: No, forest clearance is happening in parallel, which is a separate process which again is going at a good pace, only anxiety right now is that earlier it got delayed by a couple of months because there were state government election in Telangana, because the file has to move from Telangana. Now , in Telangana state, after the election, the file has started moving . My fear is by the time it reaches center , center may announce election, they will go under model code of conduct . These are the hazards when you have to move from state government to central government. So by now if Telangana elections were not there, a file should have been through in Telangana government. But unfortunately, not only the election happened, the government change d. So, obviously things are slower right now , they are resetting the administration , the officials are being shunted , all ministers have not been appointed. But despite that , the file has moved well in the forest departments in Telangana . And my own guess is that fairly soon it should be ready to move to center because it has to move from state government to central government. If it happens , let's say, all of us today, mentally , we need to be prepared that in about a month's time, the central government elections may be announced, right? And now that is my anxiety the biggest anxiety about forest clearance is will it cost me another two or three months because our file has not reached center before the election announcement, so that's a bit of a worry right now ,

yes. But like I said, there is no immediate crisis in terms of

either availability of limestone or
carrying on our manufacturing in Telangana . Two, three months delay I would have wanted not to have it, but not that it's going to impact our operations.
Moderator: We take the last question from the line of Vaibhav Jain , an individual investor. Please go ahead.
Vaibhav Jain: I just wanted to know for this Rajasthan 3.2 m t. What would be our CAPEX estimate ?
Shri Desh D. Khetrapal: Quite honestly, I personally don't see that construction activity happening for at least three years in Rajasthan. W e just acquired land and get ready with it. But when it's ready for us, it's a Greenfield site, 3 m t capacity to my mind will cost us about rs.2,500, 2,600 crore based on today's information. In three years' time , things might change a little bit . But if you ask me today, today, we know the equivalent prices a nd every thing . Ballpark is about 2,500, 2,600 crores that much .
Vaibhav Jain: Regarding the realization per ton and EBITDA per ton, can you give us the split between what is the realization and EBITDA per ton for OPC and PPC?
Shri Desh D. Khetrapal: No, no, I will not share that. It's a blended data that we're sharing with you. Nobody shares separately for OPC and PPC. Because t hen I have to give every detail that is not in public domain.
Moderator: The last question is from the line of Surya Narayan from Sunidhi Securities. Please go ahead.
Surya Narayan: So, what is the CAPEX for F Y'25 with Chittapur and forest clear ance, everything put together , and for F Y'26 ?
Shri Desh D. Khetrapal: As I mentioned just five minutes ago to another question , currently I'm indicating to you our CAPEX between now and FY'2 6 which will be close to 2 ,000 crores . Exact split between F Y'25 and '26 will depend on when I get my environment clearance in hand because only then I can start contemplating with the erection, right? So , in the absence of that, it will move based on when the environment clearance to become available . Total CAPEX in these two for expansion in FY'25 and '26 total I can indicate Rs. 2,000 crores .
Surya Narayan: How much d ebt could be planned to come in?
Shri Desh D. Khetrapal: Look, largely what we would want to keep using is all the cash flows that we generate. We do not keep, historically, we've never kept cash in hand. We'll keep using our cash flows to fund these projects. To my mind, I think debt in the next two years if we are doing a Rs.2,000 crore CAPEX, perhaps about Rs.1,200 crores, thereabouts. It will keep getting fine -tuned as we go, but ballpark you can assume about Rs.1,200 crores.
Moderator: As there are no further questions, I would now like to hand the conference over to management

for closing comments.

Shri Desh D. Khetrapal: Thank you. Closing comments are nothing more than my usual, just my appreciation and thanks to all of you who come and attend our conference and ask some very good, interesting questions and make us think harder about the way we run our business. Thank you for your patience. Thank you for all the support that you keep giving us . Grateful to you. Thank you very much.
Moderator: Thank you, On behalf of ICI CI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: May 2024

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar , Bhubaneshwar, Odisha 751012, India. www.orientcement.com

CIN No: L26940OR2011PLC01393 3

May 8, 202 4 OCL/SE/2024 -25/16

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400001

Scrip Code: 535754 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051

Symbol: ORIENTCEM

Sub: Transcript of Investors Conference

Ref: Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir /Madam ,

In terms of Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith the transcript of the Investors Conference Call held on May 2, 202 4, with respect to Audited Financial Results of the Company for the quarter and year ended March 31, 2024.

The said transcript is also available on the website of the Company at www.orientcement.com .

You are requested to take the same on record .

Yours sincerely,
For Orient Cement Limited

Diksha Singh
Company Secretary and Compliance Officer
Investor E -mail id: investors@orientcement.com

Encl.: as stated

"Orient Cement Limited Q4FY2 4 & FY24 Earnings Conference Call "

May 02, 202 4

MANAGEMENT : MR. DEEPAK KHETRAPAL – MD & CEO, ORIENT
CEMENT LIMITED .
MODERATOR : MR. NAVEEN SAHADEO – ICICI SECURITIES

Moderator: Ladies and Gentlemen, Good Day and Welcome to Orient Cement Q4 FY’24 Conference Call hosted by ICICI Securities.
As a reminder, all participants’ lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now ha nd the conference over to Mr. Naveen Sahadeo. Thank you and over to you sir.
Naveen Sahadeo: Thank you, Manuja. Good morning , everyone . On behalf of ICICI Securities, I welcome you all to the Q4 FY’24 Earnings Call of Orient Cement.
Today, we have with us from the management Mr. Deepak Khetrapal, who is the Managing Director.
Without any further ado, I hand over the call to Mr. Khetrapal for his Opening Comments, followed by the Interactive Q&A. Over to you, sir.
Deepak Khetrapal: Thank you Naveen (inaudible) 1:10 And I must say, as always, I am grateful to all of you for your interest in our Company and to continue to find time to be with us on this call. Thank you.
Coming to the earnings for the Quarter and for the Full Year:
I am sure all of you would have gone through the results and it seems have formed the opinion about them . The way we see the quarter that ha s gone past is like this , for us, honestly, it’s been a challenging quarter, there’s no doubt about it, challenging in the sense that the typical volume push and volume rather the demand pull that we expect in Q4 in the market remain ed elusive . I would say January and February was not so bad, but the month of March proved to be really the most difficult month. Not that we h ad lower volumes than last year. The challenge was in terms of very little growth or demand available in the markets that we service. And to that extent, because the demand was not there, we also saw the pricing, in fact, March slide in prices is what I would call brutal and throughout the month almost every single day basis the prices kept falling and by the time we’re exiting the month of March on 31st March, the prices were nothing to talk about. So, it impacted I would say our earnings, our EBITDA in th e month of March dramatically .
If you ask me gener ally, how was January , February for us? January , February were pretty good where we fell short over last year in terms of our own expectations for growth was largely in the month of March and because of the momentum that we were carrying from January , February , the overall quarter doesn’t look as bad as March would have made it look if January , February also were equally bad. Frankly, it didn’t turn out to be the usual Q4 rush for volumes and better prices, it didn’t happen, all of us know it.

Our volumes in Q4 have been, I will call them flat, there’s very marginal growth. And the realizations for Q4 also I think in our case at least now that we have seen the results coming out for a few competitors, at least we are one of those companies, who had the realizations in Q4 as a whole slightly higher than realization in Q4 last year, but as we have seen many companies slipping on that as well.
In terms of V olumes: Sequentially , we saw a fairly strong growth; we are 24% higher over Q3 volumes. But in these sequential when we say the growth was there 24%, but very surprisingly the realizations went down for us by 5% and for some of our competitors even more than 5%

which is where the real pain point really comes. Our volume for the quarter itself has been 17.2 lakh tons that we reported already, representing overall Company level at 81% utilization. But really speaking, our challenge has been basically our old plant at Devapur. Because our Chittapur, Karnataka plant once again

has operated at more than 100% capacity. Jalgaon also
has been fairly okay, although Jalgaon pressu re was there earlier, but I think we managed to sort of claw back our market share in the market s, which are serviced by our Jalgaon grinding unit. But Devapur continues to struggle in terms of overall capacity utilization there. I will come to the reason. But like I said overall 81% but we do have one of our most important plants' we're doing more than 100% capacity utilization and that will bring us to the need for immediate capacity addition in due course, I will come to that as well.
The net revenues, as you've seen are at 895 crores, it's 1.6% higher. It's definitely better than volume growth because we had a higher blended realization and that largely has been contributed by the share of premium brands that we have in the market and they keep getting us, I would say, somewhat higher value growth compared to the volume growth. The realizations for the quarter blended basis at 5,130. Sequentially, as I mentioned, there's a drop of nearly 5% from 5,400 that we had in the preceding quarte r, and over last year, they are higher just by under 1%.
EBITDA at 156 crores, up from 117 crores in Q3, again a significant jump. But on year -on-year basis, the growth actually is there, it's a modest growth, I would say, just about 10 -12 crores overall. But the important part here is that we have growth in EBITDA which again like I said, the industry some of the players that we see, they manage to perhaps do a volume growth much better than us. But their improvement in profitability, or rather the improvement in sales came at the cost of profitability because p rofitability in some cases had gone down despite higher volumes. And I am talking about gross EBITDA level. At the EBITDA per ton level, we are definitely, the way we calculate and , I know there's a difference between how the analysts calculate, in our calculations we do it every year. So, we are calculating our EBITDA per ton at Rs.900 a ton, which is higher than Rs.840 a ton from the preceding quarter and Rs.843 a ton, which was the same quarter last year. So, roughly, the growth is about Rs.60 in our EBITDA per ton over Q3 and over Q4 FY'23 as well.
And given the kind of growth that we had in EBITDA in the first three quarters, our full year EBITDA as you would have seen is at Rs.465 crores, which is higher from the previous year of Rs.377 crores, which reflects a jump of nearly 23% with volumes barel y going up 6%. And that's the important part. Our volume growth of 6% and the EBITDA growth is at 23%. And the annual

per ton EBITDA is at Rs.758, which is higher by more than Rs.100 over the full year FY'23.
But this I thought I will just highlight in terms of what happened in Q3 and also roughly the full year.
The revenues for the full year, you've seen including our other income is Rs.3,200 crores roughly which is 8.5% growth. Like we said, the volume growth till Q3, if you people recall was at 9%, but with the lack of enough growth in Q4, the total volume for the year is down to growth of just about 6%.
In terms of the indications that we had given through the markets, we were actually, we ended up doing about 97% of the volumes that we have indicated to the market, and we'll do about 6.3 million tons, we ended up short by about 3% -odd.
Realizations for the full year are better by about Rs.86 per ton or 1.6%. And like I said, EBITDA per ton already has gained more than Rs.100 despite not-so-great volumes or prices.
And as I mentioned to you earlier, the large I would say dent in our performance as we see it internally has come from our Devapur plant, which largely services markets which are in Telangana and also in some parts of Maharashtra, mainly the Vidarbha marke ts which are closer, which are serviced by us from our Devapur plant, those markets have

been underperforming.
Telangana , North Telangana market I think has underperformed for everyone. I think in the last two quarters and repeating this trend that Telanga na demand somehow has not been where it needs to be.
And in Vidarbha, we have the other challenge of new capacity, new competition having come up and some of them are using even their incentives to, if I can call, subsidize their customers by selling their cement at cheaper price s which makes it impossible for players like us who worry about the profitability to be able to compete with them and sell more.
So, Devapur remains a pain point and we'll have to find some solution, how do you utilize that capacity better. And one of the solutions would be perhaps to quickly gain a grinding unit which takes us to a newer market from Devapur clinker itself. So, that's what we are working on the plans.

Just to sort of in a way like in terms if we look at pure Q4 as everybody would expect sequentially over Q3, Telangana also has improved by 12%. It's not that it's not grown in Q4 over Q3, but if we look at the real Q4 last year, we are down 26% in Telangana itself. So, that's one of the flags. Our largest market, Maharashtra , which actually is becoming larger with every month by going with every day passing. We in Maharashtra in let's say we have grown 32% quarter -on-quarter that is sequentially, and we also grown 13% year -on-year in in this particular quarter. And in Maharashtra, the main consumption centers are there, and they are actually taking a lot of our cement which we're happy about. And fortunately, like I said, those markets are helping us in terms of retaining the volumes where they a re and growing there. And the impact on that as you

would perhaps we have seen in terms of our freight costs, which seem to have gone up because the freight for us within the Telangana market or Vidarbha market is lower than the current markets in which we're selling more of our cement in Maharashtra.

The full year sales you've seen are 61.3 lakh tons, which I mentioned is nearly 3% lower than what we would have wanted them to be, the y are below our expectations.

I have already mentioned the Q3 sales was 9% higher which was in line with the industry, but I think in Q4 we have fallen behind on pan -India basis. I am quite sure that the growth in our own markets that we have almost flat is in line with the other players in o ur markets. I think if we compare our performance in the industry, in our markets, I don't think we are worse -off, but definitely at Pan -India level, 6% growth on the whole , makes us look poorer than what the rest of the industry Pan -India has done.

For us, due to our let's say more sales happening in Maharashtra and including in Mumbai and Pune markets, that has pushed us into our B2B sales have kept going higher compared to what we have done traditionally I would say a few quarters back. In the Q4 per se we say they are at 55%, slightly lower than what we had reported in Q3 when we had actually gone up to 56%.

And within that the good news is that we're beginning to sell more of our blen ded cement also in the B2B market and we're able to satisfy few of our very important customers to buy our StrongCrete our premium brand, which is sort of in a way it is the blended cement. As a result, despite the B2B sales being 55%, our OPC sales are at 46% in Q4, which was 48% in the previous quarter and last year it was 43% right. It's been I would say tre nd towards OPC mainly because large customers in Mumbai and Pune somehow remain OPC buyers.

The one good thing that I would like to just mention here is we are one of the few companies who also got our product approved for the bullet train project that is to be setup in Ahmedabad and Mumbai as it starts turning up. The people who have the contracts who are building that train, they will be buy

ing cement from us and some of them we already have been sort of in touch and we agreed on the supply of cement to the bullet train project in that market. A very prestigious project and we are really delight ed that we'll be participating in that project as well.

On the premium brands, I keep mentioning all the time. The good news here is that in this particular year, we have managed to increase or rather grow our premium brands volumes by 31% in the year, and they are now in the region of 22% of total trade sales and they are increasing consistently.

What I would like to remind everyone is that when we say our premium cement, the premium that we charge on our premium cement over our PPC is perhaps the highest in the market by any other brand. I will just remind you on StrongCrete, we do charge a premium of Rs.45 per bag over PPC.

In Dolphin, actually, we have taken it further. We are in excess of Rs.55 a bag over PPC and Orient Green itself is about Rs.25, Rs.27 a bag. So, there are different price points with different

value propositions. But each of these three cements have been positioned to meet specific demands of the consumers and because we are selling them with enough support at the ground level, we are able to get margins like this and still keep growing at 31% g rowth year -on-year in premium cements and it's very, very heartening for all of us.

The other good part is that we have reported that the first phase of our waste heat recovery at our Karnataka, Chittapur plant, had been commissioned in the early second half of the financial year. The second phase of that, which have been pending, has finally got commissioned on 29th of April that is just a couple of days back. And with that the total availability of power from there would exceed 10 MW of power, which is great news for us. And this investment as you know is hugely beneficial for us. And if I were to quantify gain, just on the first phase of waste heat recovery, in Q4 itself, the gain for us has been over Rs.11 crores and phase -II obviously will

increase the savings f urther . You can imagine how beneficial this investment is. We do expect that the annual gain from waste heat recovery for us would easily be a minimum of 50, 55 crores a year.
We are also in a way expecting the supply of solar power. If the investors recall, we have signed up with the solar power players to put up what we call the cap tive projects. So, Jalgaon is going to be getting more solar power within the month of May, and I think our Karnataka, Chittapur plant will start getting solar power in the month of June. So, in this particular quarter, those investments will also start paying off, which should make our power that we use a lot more green and I think also cost benefic ial from the shareholders' perspective.
For Q4 per se, the power and fuel costs are at Rs.1,350 per ton as you would have seen, and they're down from Rs.1,421 per ton in the preceding quarter and for Rs.1,571 per ton in the Q4 of last year.
Here is an interesting point. As I mentioned to you, our B2B sales and OPC has been going up, and as all of would know OPC actually because it's not blended, it consumes more power, and it consumes more clinker. But the impact of that we have been able to mitigate through improving our efficiencies and also through now the contribution which is sort of keep increasing from the waste heat recovery plant.
In terms of fuel mix, that all of you always remain interested in, by weight our fuel mix in the quarter has been 45% domestic coal, 34% pet coke and alternative fuels 21%. And for the year as a whole, the same domestic coal is 49%, pet coke is 33% and AFR is at about 18%. So, that's our fuel mix by weight.
In terms of blended fuel costs, this enquiry always comes with, for the Company as a whole in Q4, has been Rs.1,776 per million kCal, but I think many

of you are more used to seeing 1.776
down from 2.113 last year. Even sequentially in the preceding quarter, it was at 1.890. So, those are the numbers that I know always there are questions around them, so I thought I will give you upfront.

With the waste heat recovery and the solar power which is already existing and operating for the last few years at the Jalgaon plant, the total renewable power in Q4 has actually become 23% of power consumed in Q4 and 11% from last year. As I did mention, with the second phase kicking in and the more solar power coming in both at Jalgaon plant and at Chittapur plant, this obviously will increase even further, but in Q4 itself we are 23%, which was just 11% last year in Q4.
In terms of alternate fuels, I have already told you fuel mix like that we have had.
In terms of market mix, as I mentioned, our growth in West, which has been making up for our Southern India markets. Today, in Q4, we end up at West being, let's say a market where we sold 67% of total volumes, in South, it has come down from over 27% to 2 4%, and balance 9% central largely in Madhya Pradesh and some parts of Chhattisgarh, that continues to be constant.
In terms of o ur other consistent performance in terms of efficiency we gained, I mean there is not too much room left for us to further improve on our either power consumption per ton of cement or heat consumption per ton of clinker, but I think we keep making some sma ll little gains keep happening all the time on a continuous basis.
In terms of costs, I have already mentioned. You people have seen, but in that again one of the key elements that we have to remember is while pet coke prices have been softer and obviously our profitability has gained from that, the domestic coal prices w hich form a significant part of our total fuel basket because o ur Devapur plant, which is dependent on domestic coal from Singa reni collieries , those costs actually have been going up rather than coming down. So, we have been able to achieve overall blende d cost savings and fuel cost despite the fact that domestic coal is not quite in the same trend. So , I thought that's an important differentiation to keep in mind.
And power cost obviously with the solar and the waste heat recovery coming with the significant savings are there and they will increase.
On freight, as I have mentioned, it's higher about 5% over I would say same quarter last year, largely driven by the fact that we are shipping a lot more of our cement to Western India market compared to our Southern India markets which happen to be closer to our plants, and a lso some change over sequentially does happen due to some changes in the railway freights and incentives that become available and things like that. The rail dispatches in Q4 have been at 16%, same as last year in Q4, but slightly high er in Q3 where it had gone down to 14%.
In terms of "Key Highlights," again, I would say our efficiencies, our power mix that is changing our fuel mix management and most importantly our premium products share rising consistently in our sales mix is helping us I think in coping with the difficul ties that the markets pose to the whole industry. That's broadly I think on Q4, and I would say even the full year how that looks.
Quick update on the expansion projects that we have been promising the investors for a long

time:

Last quarter I had said the public hearings had been scheduled in the month of February. Both at our Chittapur, Karnataka plant and Devapur, Telangana plant public hearings have been held peacefully and successfully. The files have started moving. They nee d to move from the district headquarters to the pollution control department, who will then forward it to Delhi for processing. I do believe that the clearances from MoEF may be held up til

l the new government gets formed in the month of June and new minis ters get appointed. But as far as the groundwork is done, that has been done and now it's a question of we being able to get the permission and frankly with all the public hearings and all the other I would say studies that we had to do when we have already completed them, typically it's a matter of just a few weeks when the MoEF in Delhi starts processing our application receives and starts processing. So, I guess sometime in June we will try and get those clearances and then we can start talking about act ual construction activity.

So, I will stop here and wait for the questions that come up and I will provide more answers to the questions. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: My first question is on your opening remarks you mention ed that March has been quite brutal and gradually it was a declining trend. Is it possible to share some more or quantify a little bit in terms of how was March exit prices versus the average of 4Q in our key markets, and how has been April, have you seen so me bit of reversal of th ese correction s in the month of April ?

Deepak Khetrapal: Well, offhand I am not carrying all the details with me when I am on this call, but obviously we have in the MIS, but most important part is that the reduction in price in the month of March went down to about Rs.15 -20 a bag by the time March ended. And as you've been hearing about various parts, some people have said that in March , exit prices were the same prices that we had two years back. You heard about that. I think more important is in terms of how April has been. April because of v ery soft volumes, we did see some improvement in prices in the first two weeks of April, but by the time April ended, I think most of that ga in over March have been lost already. And my own fear is that till the demand picks up and demand, as we know, April and even May is going to remain weak due to multiple factors, the most important at this time being the elections which are on, the migrant l abor who actually forms the bulk of the construction workers, they go back to their villages to cast their vote, and when they go back to the villages, they don't come back in a hurry, they take their own time. Second is, we are seeing in large parts of India, the heat that is on. It definitely creates additional challenges for the activities to be pursued at the req uired pace. The heat is also leading to some of the markets already feeling the pressures of water supplies and the water supply if you recall from past years, whenever the water shortages become acute, many of the district authorities ban construction act ivity. So, election, heat, water scarcity, overall put together, personally I am afraid that even May would be a soft month. Until the demand picks up, any noticeable increase in price I think is difficult to expect. But certainly, April is better than March I can tell you overall, in the sense that we did get about two weeks, and as of now also if we say our April current prices is somewhat better

than exit March because exit March was very poor, we are somewhat better in that but very small I mean maybe Rs.3 -4 a bag in many markets.

Sumangal Nevatia: This commentary sir is more for the South market or both Maharashtra, South, across the region?

Deepak Khetrapal: I think overall trend in terms of is across the region, South is a little more acute, but I would say the softness in prices in March that we suffered was across markets.

Sumangal Nevatia: You shared the mix of West, South, Central. I believe that was for 4Q. Is it possible to share how was the full year?

Deepak Khetrapal: Full year would be, let me check whether I hav

e full year number , I have to again look up, but I think when you are saying 67% West in Q4, the year as a whole also, it will be about 64%, 65%, maybe 2% more has happened in West compared , and that has been taken away from South. 67%, 24% might be 65%, 26%. That's it.

Sumangal Nevatia: Any full year guidance on the volumes for FY'25?

Deepak Khetrapal: Full year volume, I think we are depend ent on how the markets behave. Q1 is proving to be difficult. If we talk to our industry colleagues , general sense is everybody is saying between 6%

and 8%. Now if it is 6%, very poor, if it's 8% it will be somewhat encouraging for all of us, but I guess always at least when we start the year we start with a lot of not just optimism in the market, but also in terms of the new strategies and what we are going to be doing. So, I would say we are gunning for a 8% growth. If the industry is talking about 6%, 7%, 8%, we'll consider 8% growth.

Sumangal Nevatia: On the expansion, so two things. One with respect to Rajasthan mines, have we started land acquisition there? And then on our South expansion you shared that June is where you can basically start discussing about construction activity. So, any full year guidance on CAPEX I mean I believe the first year would be largely announcements and ordering, so any sense on guidance on CAPEX for FY'25?

Deepak Khetrapal: All things put together I would like our Company to spend around 1,000 crores within the Financial Year '25 made up largely because as I said, as the MoEF clearance is going to happen around June, in the meantime, we'll be obviously gearing up for completing our own internal work in terms of the configuration, the equipments and maybe floating a tender and gett ing the quotation in also so that as soon as we get the MoEF clearance we will start placing the orders. We will not place the order befo re the MoEF clearance is received , but I think rest of the activities internally we will be completing. So, as a result of that, at Chittapur expansion I would say around 500 crores of investment I would expect to happen within this financial year. Same thing there is progress with our, that in Sarni where we have been in touch with Madhya Pradesh power generation organization. The board had cleared the proposal, the energy minister also has signed it, there's one little change in term that they impose d which we are negotiating, and we'll sort that out hopefully in the next few weeks and inform the stock exchange. Actually, we should

be able to start some work on the Greenfield grinding unit in Sarni on the premises of Madhya Pradesh Power Generation Corporation. So, that will be another I would say 100 -200 crores and balance will be divided. About 150 crores I have been saying w ould go towards the forest clearance for Devapur and again 100 -odd crores for Rajasthan land acquisition. So, that's my current I would say ambition to spend the money so that our capacity addition starts coming together in FY'26.

Sumangal Nevatia: So, we have not started any land acquisition so far, I mean -?

Deepak Khetrapal: We started the negotiations. As you know initially quotations come at all kinds of crazy prices. So, if you show too much of a hurry, the agricultural land being available at a crore per acre you have to be just holding your nerve and then in a small way start the activity because the first quotation is just frightening if you go by them and then that process is normal, every time you go through the same process. Have we acquired any land as of now? No, but we are in close discussions.

Moderator: The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Just on pricing what you mentioned is that the pricing fell continuously and what we understand is that even the price hike attempts in April have not been too succe

ssful. So, I was just wondering like where do we go from here and now probably a month dow n the line we will be staring at monsoon? And how do you think pricing should pan out in this context of a sharp decline earlier and now still struggling to take price hikes?

Deepak Khetrapal: Honestly, w hen you say where do we go? As an industry we have no choice where we go. It's all driven by the market demand and market supply. We have to take whatever it is. We can't go anywhere. We are part and parcel of the cement industry. So, when your question is where do we go? I don't know. We'll be with the industry. We can't go. See, investors can go somewhere else, not people who run the business.

Amit Murarka: I want to understand your perspective, I know that this industry is everything, but I mean, Q4 generally was a good quarter for volume and to the point that lot of companies reported 90% -plus utilization and still pricing was weak, so which is what is a bit surprising to see. So, I was just trying to understand your view in that context, like how do you think it'll pan out, and particularly given that monsoon is just now one 1, 1.5 -months away?

Deepak Khetrapal: My personal view as of now is that expecting a price increase till about mid -June perhaps is not realistic. While the fear of monsoon pe eking, it does remain, but Monsoon also has seen a pricing relative to that time to become better which is fine with us. At least if we start gaining over what we had in the previous monsoon, would be certainly a good sign and in fact, I didn't know whether you heard in the morning, I was on CNBC and there also the same question had come up. I said look, w hen have we been able to see consistent trends in the way cement is priced in the market is our challenge is in this industry. And my question very simple is who could have predicted that the March prices will keep sliding as they did despite the growth th at you mentioned, who could have predicted, which trend tells you that in March the prices will be like this. So, for us to extrapolate trends has been very difficult. It's more from the perspective of saying, so where is the industry and where is let's say, likelihood of me being able to being able to expect some increase in prices. And all I mentioned is post -electi ons, post the government formation and currently I think the large consensus is that there will be stability at the political leadership level. So, w e are hopeful that as the stability comes in and the government after the election gets back to normal course, demand should pick up. And typically again in March, it didn't happen, but it can't continuously keep happening the way March was. And that's where the hope is coming, because Marc h became pathetically low, and we know as an industry that it doesn't help anyone.

Amit Murarka: Also, on volume like generally last year volume was also supported by higher activity on the infrastructure side and mostly it's expected that there will be some slowdown in that or at least the base itself is quite high. So, is it fair to think that the volume growth from here will be kind of mid -single digits or possibly even lower in the near -term or based on the undercurrents or let's say generally the urban real estate pick up, which is there, do you expect that growth sho uld continue to trend higher, so some thoughts on that?

Deepak Khetrapal: So, Amit, again, what I think all of you also have quoted the industry growth is like ly to be 6% to 8%. We are definitely talking single digit. I don't think we have heard even from the industry that the industry will grow at double digits. Even when we say, 6 to 8, the number of six itself tells you what the mood is, isn't it? Because when did we talk in cement industry over next year how much should we g row by, 6%, it's unheard of, so obviously the mood right now is a little

bit somber. Let's hope that post the monsoon, water availability, season becoming better and all the, let's say announcement that we have had from our prime minister, assuming that he will be back in power, he's actually being promising a lot more of activity and I have been in some forums where he came in, I am talking about business forum s, he very clearly said wait till June and you will get huge, huge, huge announcement from the government to encourage the economic activity. So, we are all hopeful that those promises are kept up and we are able to participate in the growth.

Amit Murarka: And the last question is in the Rajasthan plan t. I don't know, it's already discussed, but any update on that?

Deepak Khetrapal: No, update only is that as you mentioned for a long time for some reasons the government authorities were not registering, the supplement ary mining lease had been signed, but it was not getting registered which was coming in the way of acquiring land also. So, that is registered now, that happened during the Q4 and now that's how we took very seriously started discussions with some of the large holders of land because if you start going to every small holder, it takes too long. So, there a re a couple of opportunities of people who have large chunks of land. So, we're in negotiation with them. Hopefully, we'll be able to start closing them soon. But as of now, we are still in discussions.

Moderator: The next question is from the line of Anupama Bhootra from Spark Capital. Please go ahead.

Anupama Bhootra: I just wanted to ask if there are any plant maintenance schedule and if yes, then when?

Deepak Khetrapal: Plant maintenance is a regular activity which needs to happen every year. Are there any schedule? Of course they're scheduled. They are the part and parcel of our running operations. And during the year they will be spread out. Typically, about 3 kilns which will need maintenance during the year out of the total four that we have. And they will be scheduled, one perhaps will be happening in the first quarter itself and after that there will be two more taken up more t owards the second half .

Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Some sense on how the fuel cost will be in the upcoming quarters?

Deepak Khetrapal: Fuel cost in the upcoming quarters? Look, as of now, I think the prices have been I would say staying a little soft and stable, both, we have not seen them rising in a hurry, but it also could be due to the low demand that the industry would have. In case the demand for cement stays low, obviously the clinker production slows down and that puts pressure on even pet coke prices. Domestic coal pr ices is beyond anybody's comprehension to predict. The miners were largely public sector companies. How will they b ehave? But I personally think the fuel costs should stay benign during this financial year, that's what my current reading and current hope is.

Keshav Lahoti: And what about Q1 -- should we expect some relief in fuel cost?

Deepak Khetrapal: In Q1, we as a Company are going to be using the pet coke supply which arrived with us towards end of March. So, in the current quarter, I will be consuming the pet coke that I have already bought. Domestic coal price as of now are stable. I believe there has been a decrease over $10 per ton of pet coke prices from the time we bought the coke and somebody ordering now. But the ca tch is somebody ordering now will not get the coal for four to six weeks, right, because they ship loads of coal coming in. Four to six weeks is the typical time -from -time you place the order, and you get the coal in your premises. So, my own sense is, unless somebody has ordered already 4 -5 weeks back at a lower price by $10, that may come in for some of the players, bu

t
it's all a function of how their fuel stock was around end March. We had a full ship load which had arrived. So, we need to consume that in the current quarter.
Keshav Lahoti: So, fuel cost for Orient should be similar in Q1 like Q4?
Deepak Khetrapal: Correct.
Keshav Lahoti: On premium cement, we have our target to reach 25%. So, should we expect by year -end or maybe earlier?
Deepak Khetrapal: We already had done 22% in Q4. So, yes, definitely 25 should happen in FY'25, absolutely. We are very close to that. I mean we're actually making faster progress than anybody expected from us.

Keshav Lahoti: If the cement prices stays over here during the entire quarter, should we expect a decline like 4% in this quarter QoQ?
Deepak Khetrapal: Sorry, come again, 4% decline from the Q4 prices?
Keshav Lahoti: Yes.
Deepak Khetrapal: I hope not right, so that's certainly not something that we're expecting.
Keshav Lahoti: Because the prices have been weak in March also like, so -
Deepak Khetrapal: Yes, they were week in March, but April, some recovery has been there. You're saying 4% going down from here. That's a huge hit a very, very large hit. I personally don't expect that to happen.
Keshav Lahoti: So, should it mo re like 2 -3%?
Deepak Khetrapal: That is pretty high.
Moderator: The next question is from the line of Surya Nayak from Sunidhi Securities. Please go ahead.
Surya Nayak: One question is that due to the land acquisition things which is getting delayed, maybe the majority of the CAPEX for the current year, which is around 1,000 crores, could be aligned to second half. So, what kind of d ebt we see to come into books?
Deepak Khetrapal: Debt is obviously going to be impacted by our cash flows and pricing and volume s, because obviously whatever cash flow we generate, we want to consume the cash flow ourselves. If I am able to spend Rs.1,000 crores o n CAPEX in this financial year, my own guess is we will be perhaps around 600 crores of debt by that time is what my rough estimate is if things remain as we want them to remain in the current year.
Surya Nayak: So, if that is the case, then obviously FY'26 we will be having a larger budget of our CAPEX?
Deepak Khetrapal: Yes, correct.
Surya Nayak: What would be the ballpark CAPEX budget for FY'26?
Deepak Khetrapal: If I were to complete these two projects, that is Chittapur complete commissioning in FY'26 and also th e Sarni grinding unit coming up, put together that's about 2,000 crores of CAPEX, right, out of which I am taking this particular with 600, 700, so that is about 1,400, 1,500 of CAPEX that should happen in FY'26 for us to have the capacity in FY'26 both at Chittapur and also the grinding unit which can support the Devapur capacity utilization mo re.
Surya Nayak: So, next year, again we could be having a debt of at least 700, 800 crores?

Deepak Khetrapal: At the end of this financial year about 600 crores debt, that perhaps could be even higher, but don't forget, we do have a net worth today of close to 1,800 crores. So, there is practically no debt on our books as of now. So, even if you have debt our debt -Equity will be still about 1 and debt-EBITDA ratio will be just about 2, 2.5, I think, which is fair, nothing to worry about.
Surya Nayak: But are we not interested to time the accretion of the debt to the interest rate declining scenario?
Deepak Khetrapal: Look, I need capacity to sell in the market. If I try to arbitrage on interest rates and keep losing the opportunity in the market, I don't think the shareholders will be served well by me.
Surya Nayak: Another point is that are you seeing the interest rate scenario as the major impediment in the pricing because more of the OPC consumption is happening and that is actually not giving us a player like us w

ho are focusing on the retail B2C side. So, that is actually creating an issue and because all the major players are operating at a healthy level at 80 -plus, even you are also saying that you are also at organiz ation level at 81%. So, normally it is seen that now abo ve 75% the pricing powers g enerally comes in, but that is not materializing. So, what is your stance with

regard to the interest rate scenario vis -à-vis the pricing?
Deepak Khetrapal: See, I personally do not think that the interest rate has impacted cement pricing in the market. Even let's say for the decision on when to put up capacity is driven more by strategic reasons than by the interest rates. Even at the current rate of interest, I think normally the expectation is that all very hawkish policy being followed by the monetary authorities, they should be able to get the inflation under control and then the interest rate would so ften. My own guess is by the time we start borrowing from the banks interest rates would have started softening. That's what my stance is.
Surya Nayak: What is your outlook on the pet coke prices for the second half?
Deepak Khetrapal: My own guess is they would stay within the range of about $115 a ton to $125 a ton.
Moderator: The next question is from the line of Sanjay Nandi from VT Capital. Please go ahead.
Sanjay Nandi: Sir, can you please share the lead distance for this quarter?
Deepak Khetrapal: Lead distance, w e are just over 300, 310 in that range in this particular quarter because of more dispatches into Maharashtra, it has gone up by another 10 kilometers, maybe it will be in the region of 315, 320 in that range.
Sanjay Nandi: Like you mentioned, we have a significant huge jump of our premium sales in our total portfolio. So, what has led to that significant jump in our premium share like what kind of products we are offering which the other peers cannot like so as to increase our overall premium shar e in the trade sale?
Deepak Khetrapal: Please, please visit our website, orientcement.com. You'll see our premium brands starting with Dolphin, which is the most premium brand right now. That is a water repellent cement. Then

there is StrongCrete that we call it "The Forever Cement." Just I did mention that our cement is approved for the bullet train, and for the bullet train project we have the approval for our StrongCrete just for information. So, if that good a cement when it's compared with the OPC of other companies are strong it actually turns out to be better. It has its own unique properties. I don't want to go through the full technical lesson on what each of the cement does differently, but obviously there is a very cl early defined user value proposition for the cement and that's why the customers are preferring to buy our product despite it being very expensive compared to what cement industry expects it to be. But there is a good value proposition supported by us through our engineering consultancy services, and that's the reason why more and more customers are buying our cement.
Sanjay Nandi: So, what are the specifications required for this bullet train projects, like which you will be -?
Deepak Khetrapal: I can't convert this into bullet train specs and that you please go to the website, you'll see them. That kind of question I can't answer in earnings call, what are the specs that bullet train is placing for cement, how do I tell you that on this conferen ce?
Sanjay Nandi: Any grade I am talking, sir, if you can -?
Deepak Khetrapal: They obviously need faster se tting time, they need much stronger performance from the cement. So, all those things , long specs they've been given, which I don't think in investors call we can discuss. For that we will need to have a special workshop on technicalities.
Moderator: The next question is from the line of Sumangal Nevatia from Kotak Se

curities. Please go ahead.
Sumangal Nevatia: Sir, you said 23% is renewable. Was it for the full year last year and where do you see it going in FY'25? And also, what maybe some unit cost saving versus existing mix, if you can share?
Deepak Khetrapal: Prakash, our CFO , is on the line. Prakash, do you have the number total renewable for the full year? Our full year will not be obviously as much , simply because our waste heat recovery system kicked in only in the last five months of the financial year. So, first seven months we didn't have that, but Prakash, do you have the numbers, can you share that please?
Prakash Chand Jain: 15%.
Deepak Khetrapal: 15% overall for the full year and that's why the sharp gain is from the time the waste heat recovery kicks in. And this year, not only is the waste heat recovery, another, let's say, nearly 2.5, 3 MW coming in, plus we have more solar coming in, both at J algaon and at Chittapur.
Sumangal Nevatia: Any medium -term target of the mix?
Deepak Khetrapal: Medium -term, by 2030 we are saying we will be 50% renewable of total, including expanded capacity. That's the target we're working towards.
Moderator: The next question is from the line of Prathamesh Dhiwar from Tiger Assets. Please go ahead.

Prathamesh Dhiwar: What was our volume for FY'24 overall?
Deepak Khetrapal: About 61.3 lakh tons.
Prathamesh Dhiwar: As the fuel costs are muted right now as you said, so how are we looking at our EBITDA per

ton?
Deepak Khetrapal: Look, as I mentioned, muted, now we are talking about a scenario where the fuel costs have actually softened, and I have already reported significant fall in this year compared to last year. I have already mentioned that. As of now we're assuming that the prices of fuel will remain around this level. Would they go down from here? It's very difficult to say. There's no trend in the market, wh ich says it will go beyond any significant manner from the current cost. I would be happy if they st ay the way they are and don't get disturbed by all these geopolitical disturbances that are going on.
Prathamesh Dhiwar : By looking at the current scenario as you told not going down, so what EBITDA per ton you are guiding, or you are looking at for coming let's say FY'25?
Deepak Khetrapal: EBITDA per ton is going to be impacted by two things: One, how quickly from June onwards, can the prices improve. That's always the biggest differentiator a s EBITDA is coming from the pricing of the cement, right. Then we have the internal strategies of increasing our premium product sales as a proportion to our total sales. So, that is one lever that we're using. The second lever that we're using is no matter what the fuel prices in the market are. If we are able to get more power from our waste heat recov ery plant and from solar, that's the other lever that we're pulling. So, given our internal levers, I would expect a gain of Rs.70, 80 a ton on EBITDA.
Moderator: The second last question for the day is from the line of Rajesh Kumar from HDFC Securities. Please go ahead.
Rajesh Kumar: Sir, I wanted to understand what would be your clinker production in FY'24?
Prakash Chand Jain: If I may say, total clinker production for FY'24 was 4.7 million tons.
Rajesh Kumar: If I look at your CC ratio, this seems to be slightly around 1.3x. Do you see a chance of this improving from 1.3x to closer to 1.4x? Your clinker utilization is already 90%.
Deepak Khetrapal: It will happen with the B2C demand picking up. As I mentioned to you, B2C demand has been very soft for us at least in the state s that we run our business in. And the only way for us to improve that ratio is by selling less of OPC and more of blended cement, right? So, certainly we want it because our consumer, the B2B business is going 55, 56 a fairly decent phenomen ally, it's happened only in

the last few quarters, before that, we have always been selling more to B2C customers. Unfortunately, the B2C dema nd in this particular market that we service , in the last few quarters has been poor and that's how OPC has gone up and the clinker -to-cement ratio has become adverse. We are trying to improve, but also it's a function of how quickly the consumer market picks up in cement.

Rajesh Kumar: And this Chittapur project of 1,600 crores you had earlier guided the CAPEX size. Because of any these delays and all, do you expect this CAPEX amount getting increased and is it fair to say that by June, July you get it and 18 months you have guided it w ill take 18 months from there, so the project will be up and running early FY'27?
Deepak Khetrapal: I would say before end of FY'26 we might target so that the first quarter of '27 we can get the full capacity after stabilization. So, our target would be the last quarter of FY'26.
Rajesh Kumar: This MP grinding unit, this can be completed in one year, early, mid -April?
Deepak Khetrapal: One year is difficult, but fifteen months for sure we'll try.
Rajesh Kumar: Year-end also you are targeting this.
Deepak Khetrapal: Around the same time. A quarter here and there around the time Chittapur clinker capacity and grinding capacity comes up, our grinding unit. I want again, like I said, at least fourth quarter FY'26, our attempt will be in Q3 FY'26.
Rajesh Kumar: So, just to understand, for the next two years, '25 and '26, focus will be only these two projects, Chittapur, MP?
Deepak Khetrapal: Correct.
Rajesh Kumar: The CAPEX would be spread out equally between '25 and '26?
Deepak Khetrapal: It will be little less in '25 more in '26.
Rajesh Kumar: And most of it will be backended in FY'25 because only when you get the clearances in place?
Deepak Khetrapal: Absolutely.
Rajesh Kumar: Any risk you're looking at like in FY'24 our CAPEX guidance initially which you have started off the year with the thought of 1,000 crores, but we ended up just spending sub 1 00 crores?
Deepak Khetrapal: The problem has been let's say, slow progress that we have had in the se various clearances and right now it is hurting us at the Chittapur plant where I said the demand is a lot more than we're able to sell from Chittapur. So, that obviously is hurting us now. I wish we could help it and we could have done better, but we are where we are.
Moderator: The next question is from the line of Naveen Sahadeo from ICICI Securities. Please go ahead.
Naveen Sahadeo: I just had one question more from a like longer -term point of view that if I were to take a five, six-year view for Orient Cement, of course you have already kickstarted the expansion at Chittapur and a grinding unit in MP as such. But from other CAPEX or a growth point of view,

the priority is how do they stack up -- will it be Devapur or we will prefer Rajas than or can these

two together go hand -in-hand, how should one look at a slightly longer five, six year point of a directional sense if we can get , that will be really helpful?
Deepak Khetrapal: Naveen, it's more a question of our capability to have the land in hand to start construction in Rajasthan. As you know, anybody who had the Rajasthan mining lease , the desire would be to put up the capacity first in Rajasthan because all of us know that we need that diversification of the markets for us. That takes us in northern markets and other more lucrative markets. Unfortunately, a Greenfield project these days, no matter how much we want to do it, will take its own time. And in tha t sense, even earlier when you asked me the question, I have the same answer. I wish I could get the land in a hurry at a reasonable price and start the construction first of all. Unfortunately, that's not possible.

Naveen Sahadeo: So, at least as of now, the visibility is, let's say at Chittapur expansion -
Deepak Khetrapal: Chittapur, Madhya Pradesh grinding unit, Devapur and Rajasthan in parallel whatever we can do. But at the moment we are able to push Rajasthan, we will because we need to be there.
Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments.
Deepak Khetrapal: Thank you. I think all the comments that are needed to make have already been made in while answering the questions that people have had. So, thank you for asking some probing questions again and giving us the opportunity to give you our side of the story f ully. Always, thanks for your support and look forward to talking to you soon again. Thank you very much.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

Orient Cement Limited
Corporate Office: Birla Tower, 3rd fl, 25 Barakhamba Road, New Delhi 110001, India. 011 42092100
Registered Office: Unit VIII, Plot No.7, Bhoinagar, Bhubaneshwar, Odisha 751012, India. www.orientcement.com

CIN No: L26940OR2011PLC01393 3

August 12, 2024 Ref: OCL/SE/2024 -25/42

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400001

Scrip Code: 535754 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051

Symbol: ORIENTCEM

Sub: Transcript of Investors Conference

Ref: Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir /Madam ,

In terms of Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith the transcript of the Investors Conference Call held on August 6, 202 4, with respect to Unaudited Financial Results of the Company for the quarter ended June 30, 2024.

The said transcript is also available on the website of the Company at https://orientcement.com/disclosure -reg-46/investors -and-analysts -meet/ .

You are requested to take the same on record .

Yours sincerely,
For Orient Cement Limited

Diksha Singh
Company Secretary and Compliance Officer
Investor E -mail id: investors@orientcement.com

Encl.: as stated

"Orient Cement Limited
Q1 FY '2 5 Earnings Conference Call "
August 0 6, 202 4

MANAGEMENT : MR. DESH DEEPAK KHETRAPAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ORIENT CEMENT LIMITED

MODERATOR : MR. NAVEEN SAHADEO – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Orient Cement Limited Q1 FY '25 Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Naveen Sahadeo from ICICI Securities. Thank you and over to you, sir.
Naveen Sahadeo: Thank you, Aditya. On behalf of ICICI Securities, I welcome you all to the Q1 FY'25 Earnings Call of Orient Cement. From the management we have with us MD and CEO, Shri. Desh Deepak Khetrapal ji, so without any further ado, I hand over the call to Mr. Khetrapal for his opening comments. Over to you, sir.
Deepak Khetrapal : Thank you. Thank you, Naveen, and a very, very warm welcome to all of you who joined the call right on time. We were waiting for a few more people to come, but I think it's unfair to you people who already joined in to keep you waiting any longer.
Once again, as always, extremely grateful to all of you for the time that you find and show interest in our company. In terms of highlights, I'm sure all of you have seen the numbers that we published yesterday for the quarter. What has not come in the numbers, I'll mention upfront because that's always a positive for any company, and we are extremely proud of the fact that , in the recently concluded survey that was there for great place to work, which basically where many of the top companies are participating in.
Not only have we been certified once again as a great place to work for the fifth consecutive year but year -after-year, actually our trust scores have kept moving up , and we are . right now, at a trust score of 93, which is one of the highest that gets seen anywhere . And not just that, if we look at these across sectors, we are now in the top 50 companies with trust scores like this. Top 50 for a company like cement. I mean, we're talking about the survey, which is across all industries, the entire universe of the company than industry. We're in the top 50.
Within the cement sector, we are the only one in top 100 and in the building products and cement sector , again we are number one. So, like I said, it's a reaffirmation of the kind of company and the kind of culture we built in the company and perhaps that one culture of trust. Secondly, the complete sense of ownership by our team members is what sort of keeps enabling the performance that we keep reporting to you all the time. So that's an upfront thing.
Second thing, which I really don't know whether I should be talking about it, but since I am the spokesperson, I'll also mention that similar organization, a great place to work, along with Great Managers Institute, they have a process in which they pick u p a few people from the ir process . It's not as big a list as the great place to work survey does, but a short list in which I personally have been given the title of Most Trusted Leader for the second year running.
Last year also I had got it and this year again, I've got it. So it's more for information than anything else. It does sort of make me feel good that whatever things I end up doing, my people,

they trust me, and they let me do the / set the strategy , and they just follow it without questioning it. Thank you.
Coming back to the highlights for the quarter, I think the slowdown in the cement sector is

visible from the fact that DIPP data also it has come out. It has actually shown a flat growth over last year. Now, this is for the country as a whole. But in terms of nuances, if we see obviousl

y

some regions have had more growth and some actually have degrown with fairly large numbers. Although the DIPP data doesn't get us that, but we do know that the markets in Telangana , markets in Karnataka, at least in our area s of operation, have been softer markets, not just now, for many quarters now.

What 's unusual about Q1 quarter this year has been the fact that even Maharashtra, total demand, including Mumbai city, the demand is down over last year. And that's more to do with, I'll tell you what the pan-India , reason, obviously, we know, there were the national level elections for the central government. The re have obviously heat wave that we saw this year in May, especially was extremely intense, which in some of the districts actually the construction work had to be stopped by the local authorities, District Collectors, because it would be inhuman for people to be able to do outdoors work and construction is outdoors work.

Come June and the kind of rain s this year we had in the month of June, across all our markets, across Maharashtra, Mumbai, all of you, I think, w ould be aware of that. Including, I would say, markets not just in, even in region s like Vidarbha for example, this year has got really really good rain s. But that means that during the time when it's raining so heavily , the construction activity does slow down.

So all that put together, obviously, has impacted the industry in terms of the total demand in our markets there has been a huge degrowth . And the slowdown I'm sure all of us remember, the slowdown had actually started somewhere in the middle of Q4 F Y24 itself . And it has got worse with the extreme heat and the general elections and the other points that I made out just now.

In some markets like Pune, for example, there was a strike by the people who get aggregates to the construction industry , mind here, absent aggregates, again you can't carry on construction.

So multiple factors that the fact is that we have struggled and one thing that I would certainly like to point out is that this quarter has really been what I will call a real test of our grits and our commitment to our strategy of actually sticking to profitable business and not chasing volume at the cost of margins and loss of value.

I mean we are here to create value for shareholders but if we start doing business which loses value for the shareholders it is something that we don't subscribe to. And we try to defend our pricing even during the time when the prices were actually low. And that obviously has come at the cost of volumes being low. So while I have mentioned in our market, the demand has gone down, but in our degrowth of 15% over last year would certainly be seen as an unduly large degrowth even in our markets.

And as you know, w ith 13.5 lakhs, 15% de -growth , over Q4 it is 21% degrowth simply because Q4 always is much bigger. So there is a drop there. So 15% degrowth is unusual over last year.

And we obviously, in rupees crore also there is similar degrowth. Similar degrowth as volume basically indicates that our price realizations have actually been stable.

We've seen industry results. And I think any company which operates in our markets, if you look at, they have actually lost realization s per ton on the cement they have sold . We have more or less kept it stable . There is around 1% over last year, but sequentially keeping it steady around the same level s as I think I mean major thing, which is I take pri de because we play with a decided strategy and this strategy is not n ew.

Most of the who are regular on the call s that we address every quarter, you will know that for the past many quarters, we've been talking about our strategy to shift our brand positioning upwards and not try to sell product s which are cheap. Now I mean in a difficult quarter, you start l

owering your pric es in an immediate reaction to the pressure then the brand positioning that, in our case, still work in process, we haven't quite got there and brand position shifting -- brand position upwards takes a number of years.

We are well on the journey, and we didn't want to derail the journey at this juncture by dropping the prices and going the same way as everybody else was going . But that is the right reason behind we not being able to keep up with the volumes of the industry , but we are happy that we managed to maintain our sales. And maintaining the sales obviously -- sorry, the price realisation enabled us that despite 15% de -growth despite fall in prices in the market s, we managed to sustain our profitability. We are roughly the same as we were last year, which I think is something which I definitely want all the investors and analy sts to take note of it.

It's not an easy strategy. It is a contrarian strateg y to the rest of the industry. And I would say some would call it risky, but I call it a bold strategy to say, there is another model of running

cement business within the industry, which is -- most of the people are following the same track and we decided that no, we are not following that track . We set up our own strategy , we stick to, if we maintain our prices.
Volumes will come when we start getting the, let's say, orders which give us the kind of minimum threshold of contribution that , I think this is perhaps, again, I'm just drawing your attention to the fact that last many quarters, we've been saying that we give up orders unless they meet our threshold level of contribution, net of everything. And in this quarter, we found many more orders which we had to refuse, and the result is in front of you .
The key nuance here is that even when we are saying that we give u p volumes in our quest for pricing. We are not being silly in doing things which can actually hurt us in long run. What I mean by that is we realize that the consumer market o ur trade market, if you lose the market share, it's very difficult to regain the market share because the consumer sector is brand driven . They are loyal to brand and things like that. And if we actually don't feed them and don't retain our market share, it becomes very difficult in the B2C market back to us. So we actually then aligning our prices with the trade sales -- with the industry leaders. We're not, obviously, aligning our price s with category B brand s or category C brand s.

We have come in the category of category A brands, and we are aligning our prices with them and staying competitive with them. And we obviously don't want market share by going to the price level of -- maybe category C brands or B minus kind of brands.
But when it comes to B2B business, we have realized that B2B customers , actually are not loyal to the brand, they are more driven by the right quality of cement , with the price be ing right . So at the current stage when we realize that the market prices in B2B are very, very low, and we're not happy with the net margins that we were getting those are the orders we refuse. So, obviously, the worry about losing market share in the consumer market sho uld not be carried in the mind.
But B2B, yes, we give up volume s and we know when the time is right, either the cost come down, or the market prices become better. You go by the competitive prices and the B2B customer always, every order, every month is based on what somebody has quoted. I just wanted to assure all of you that it's not our policy, which is without the nuance, which is necessary to believe.
I think from the results, which are published and many -- most of the companies, any company whose exposure to the market is similar to o urs. I don't think there's any one company in the industry which would have reported an increase in E

BITDA per ton over last year's same
quarter. And we were at about INR650 last year, we were around INR750 this year, which is I think something that I would like to point out to all of you and take note of.
B2C, I have told you that we have retained our market share that, those we are not losing. And I still believe that adding capacity, which I think some of the industry leaders have been very aggressive about it, I'm sure I don't need to name them, all of you know. So these large players, leading players who have been a dding to capacity, I think their priority today seems to be increase capacity utilization or swe at the assets that they've got .
While we see that strategy on their pa rt to sweat the asset and sell more volume in the market, their aggression to this more volume is keeping the pricing in the markets on the lower side, more so on the demand in any case, it's not robust enough.
So the only option for people like us then is to either succumb to the pressure of very low pricing and start losing money, literally losing money, or to follow their own strategy and policy of making sure that this business being done is not being done at a loss.
That's our philosophy at our company that we are following, and I just thought I'll highlight that to you . We would like to make money on every bag of cement that we sell rather than losing even on one bag. While the market conditions are what they are, it's the fact that many other smaller players also like us, we are all struggling with the larger volumes, which are coming in now from the newly acquired capacity by the industry leaders.
And not just that some of them who have -- now have plants, which are closer to our core markets, we're beginning to see that from far away distances, the volumes are coming into our core markets, and they are selling at prices which are lower than ours. I won't name the bran ds, but there are some of the leading brands that we've always known in our life in the Indian cement

industry, who in the market will be selling their cement at INR10 to INR15 less than the price of Orient Cement.
That is the reality. I can take pride in the fact that we have a positioning at which even at our price s we still sell -- but the strategy of some really premium brand historically selling at way down our own pricing is something that is a matter of concern for us certainly, but also shows how the situation of the market is.
Till date we have accepted the pain of lower volumes while defending our pricing and profitability. For us most important is also, as I mentioned, the brand positioning at what price are you available in the market, and that we don't want to disturb. As I said, that will dislocate or derail our long -term strategy, but at the same time I would like to also assu re all of you that we are monitoring the market dynamics very, very closely and we will ensure, as any responsible management has to do, that in this process we don't create lasting risks for the company in terms of market presence that w e'll maintain. Again, we keep talking about premiumization and keep talking about repositioning our brand. The fact of the matter is that despite whatever challenges we've had in the market in terms of overall demand, the growth that we are seeing in our pre mium products is once again an evidence that the products that we've created and what we've launched in the market at a fairly significant premium.
I think our premium in the market is the highest on our premium brand s. Despite that price gap over our normal cement, which itself is a very good quality, in Q1 of this year the overall proportion of our premium cements put together has reached 23% and w e are very close from the beginning when we started, our target initially was 10%, then we said we want to go to 25%, and 23% has already been achieved. I'm qui

te sure by the time we end this year we would hit
the target 25% and we'll revise it upwards. Naveen Sahadeo is on the call right now.
I'd just like to remind him, when we were launching our first premium brand in 2018, Naveen's question to me was, what's your ambition for this premium cement? Because obviously premium cement at that time was something quite not expected in the cement ind ustry. I don't know whether Naveen would recall, my promise to him was, my goal rather would be that Orient Cement actually should be selling only strong crete and nothing else. Do you remember that, Naveen?
Naveen Sahadeo : I do.
Deepak Khetrapal: So, we are well on track . Let's see how long it takes us, but we are in that direction. We should be selling only premium cement. So we are not deviating from that strategy. It's not a new strategy. I'm not saying it because we've lost volume in this particular quarter. I'm saying it, I said it about six years ago, and that kind of a strategy needs execution, which is unwavering. And we are glad that we are doing that, and we keep making progress quarter after quarter. Now coming to a little more detail that all of you are always interested in. In this Q1, our overall sales break up is like this. In the West, we have sold 68% of our Q1 volumes. And in South, it's been 24%. Obviously, West is even higher than what it was earlier.

The degrowth obviously is largest in our Southern markets, which is basically Telangana and Karnataka, where we sell most of our cement in South India, which is in fairly strong double digits, whereas Maharashtra also in terms of total, our sales to Maharashtra are although at 68% as a proportion of our total sales, but in which the degrowth in Maharashtra for us is 5.5% over last years, compared to high double digits in Telangana and Karnataka.
B2B sales in Q are sort of, in a way, slightly higher because the consumer markets in any case are at a very, very low level. And the OPC as a percentage of our total unblended cement continues to be between 45 %-47% in that range. I think the last investors call, I had updated on that.
It was very early in May. I said that on 29th of April, the second phase of our waste heat recovery, the balance phase, also had been commissioned. And so , I'm happy to now report that with the waste heat recovery, which became fully operational and available to us in the two months, which is month of May and June, and the solar power that we've been receiving, our total, I would say, green power component i n Q1 has reached a high of 24%, which is ever highest for us, which is a good position to be in.
The benefits from waste heat recovery in Q1 itself, despite the fact that part of it was available only for two months, and also the production was not, because waste heat recovery actually gives you a lot more benefit when you're running the plant full st eam, you know, all the time, which obviously with low demand has not been possible. And we've had to take, shutdown in kilns also, but despite that, in the first quarter, the gain from waste heat recovery is close to INR9 crores.
And the, as I, solar has given us a net benefit of over INR2.5 crores. So , these are the benefits of

going green at the same time, bringing value to shareholders. Our plans for expansion of solar powers, which we have taken the approval from shareholders some time back, at Jalgaon plant out of the 3.7 megawatts that we proposed, 3.4 is already operational, some small bit is left, which shou ld get operational any day now.

The Chittapur thing that we were actually putting up about 17 megawatts, that unfortunately has been delayed a little bit for us, and that will come into operation, I think, maybe, I don't know, five to six week s' time , by mid -September, we expect the solar at Chittapur also to start contributing. So once Chittapur also c

omes in and waste heat recovery, I think the proportion of
green power that we're using will go up even higher. So that's the b reakup on how we are doing power.

In Q1, the power and fuel costs for us are down to the INR1,337 per metric ton of cement, which is down from INR1,571 in Q1 of last year. So obviously, there's a significant drop. And sequentially, again, there's a little bit of gain there. In Q4 of last year, we were at INR1,351 , which is now down to INR1,337 , as I mentioned. And this, let me remind you, INR1,337 is despite the fact that we are doing in the high 40s as a percentage, OPC grinding, which takes a lot more power. Our product mix right now is adverse because the OPC sales are much higher than what we would like to happen.

The blended fuel cost for us has been in this quarter INR1,785 per million calories. And some people want to call it 1.785 per calorie, but we typically have been quoting a million kilo calories. So INR1,785, which last year in the same quarter was INR2,100. But on quarter -to-quarter, as we said sequentially, it's almost flat, the blended cost per ton of fuel. The fuel mix, all of you remain curious about, I get in questions later, so I will call out right now, its domestic coal is 40%, pet coke 42%, alternative fuels are 18%. Ye s, so that's the mix that we have.

The fuel mix in TSR terms if you want to take it , the pet coal give s us a lot more of the calorific value per ton. So then it has become 31% coal and 56% pet co ke in terms of calorific value consumed. But in terms of weightage as most of the industry reports, we are 40 and 42 with calorific -- if we go as per calorific value, 31% coal and 56% pet coke.

In terms of the total renewable power, I've already mentioned it's already 24%, and which was last year same quarter was about 12%. I've already updated you about the more solar power that will come in soon. A very small part left at Jalgaon, balance at Chittapur will come in September. That will be a very small part in this quarter, but thereafter it will start becoming available.

For us, the alternative fuels in this particular quarter have been slightly lower at 13% on TSR basis, which last quarter was 16%. But if we compare ourselves with last year, we were at 5% only. So from 5% to 13% is a huge jump and we keep increasing our efforts to maxim ize usage of alternative fuels.

So as I mentioned to you, the benefit that we have achieved from that has been very, very significant, as high as -- I'll come back to you, but there has been obviously more than double of what we consumed as alternative fuels over last year.

In terms of other metrics, in this particular quarter, overall heat and power has been similar, but some marginal increase in grinding power, simply because when the machines or mills are not running full and because of low volumes, there are lots of stops and starts which become due to some inefficiency. Some slight increase in the power total consumption to 62.7, which was sequentially up to 61.7. So lower volumes can thus give us more inefficiency. But in terms of heat consumption, we are marginally lowe r.

Like there's a marginal increase there. Heat consumption for the company as a whole has been 689 in Q1. Further breakup issue, people need power costs for us in this particular quarter has been at INR397 per ton of cement vis -à-vis Q4 that is sequentially the INR401. But if you look at last year, it was INR456 and below. It's down to INR397. Almost INR60 drop, largely coming in from the waste heat recover y that we installed at Chittapur .

Fuel cost per ton is -- I've given you the purchase price, current value, but I'm talking in terms of rupees per ton of cement. The fuel cost is down to INR939 from INR1,113 last year and INR950 in the preceding quarter.

So in all this, as you would see, in terms of efficiencies, we keep sust

aining. In terms of promised
renewal power and green power, we are doing our job. Alternative fuels, I've already mentioned, we doubled over last year. Our premium brand strategy seems to be panning out quite well. And we continue to follow our strategy of not trying to down grade our brand in the markets.

That leaves me, I think, with some updates on the projects before I open to questions. Our project now -- last time I had mentioned that we were struggling with the application to be moved for environment clearance for our Chittapur plant, which has been overdue. The fact of the matter is, till the central elections, general elections got over, the new government got formed , somehow the minutes of the public hearings that we had already conducted, they were not finalized, but after that they have come in.

And based on all the paperwork, our applications for environment clearance for expansion of capacity there, and also for expansion of mining, both of them are already on the portal of Ministry of Environment for us. There are some delays here because, obviously, central government got formed recently , ministries and there's a lot of shuffle of bureaucracy that has happened.

We are still expecting that, hopefully, in the meeting that they will hold perhaps towards the end of August, our applications would be coming up before the committee for presentation. And all the paperwork has been done. So it's a question of now going th rough the process of presentations to the committees in Delhi, to Ministry of Environment & Forest , and thereafter a few more weeks before we get the approvals, which will enable us to then start taking further action for implementation of the project. So there is a progress there.

For Sarni, we are told that the one term which we wanted altered , we understand informally that the Board has agreed to our request, but we have received no formal intimation as yet. Only after the formal intimation is received by us, we'll make the necessary disclosures to the authorities. But right now, progress is there. It's looking promising .

But we'll wait till we get an official letter from the Madhya Pradesh Power Generation Corporation confirming that the terms are acceptable to them. So again, not too long, because the Board meeting got over about two weeks ago. So very soon the minutes should be out, and thereafter we should get a formal letter.

On the forest clearance for Devapur mines, again, all the process is over , the file has finally reached the Minister of Forest in Telangana government. So that Minister has to just now sign the file and send it across to Delhi to M oEF for evaluation by the central government of all the forest conservation measures and all that we put together. And that, again, is a very advanced stage of clearance now, because once it moves from Telangana government, like I said, the rest of the government is in process. It's with the Minister for her to forward it to Delhi .

So only thereafter we'll talk about the things. As I said earlier, the priorities remain Chittapur capacity expansion, because we keep seeing more and more demand coming from that. And also to improve the situation for capacity utilization of existing kiln s itself, existing capacity of Clinker .

Sarni would be the next priority. There's no change in that priority. And in terms of capex, I think seeing that we're already in the month of August, and even if we take three, four months before we can start doing some activity, the capex that I keep pro mising to seem to be sort of something which keeps getting pushed back.

And I personally don't think there'll be too much of capex outflow on the projects at Chittapur. I mean, it could be just a couple of hundred crores or something when we start giving advances to people

to mobilize and things like that. But the real investments will perhaps, most of them will come in the next year, because in the current year we certainly will start construction activity.

And similar thing I would think, Sarni also will take about six months for the grinding unit for us to start some activity. So the capex fund, I think we'll have a lot of cash with us by the time we start the heavy loading investment. But in the meantime, in any case, we are beginning to touch base with some banks to see whatever money we need to borrow to complete these two projects at a total cost, as we keep talking about nearly INR2,000 crores between Chittapur expansion and S arni.

So we are ready now, but the delays in environment clearance have been delaying our project execution schedule s, but unfortunately couldn't help it. And in the meantime, the demand has also not been that great, that we miss ed a lot by not being able to add more capacity. So that, to my mind, are all the updates that I wanted to share.

And I'll open the forum for questions, and we'll be happy to answer. Thank you very much, guys. Thank you for your patience.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question

is from the line of Keshav from HDFC Securities. Please go ahead.
Keshav: Hi. Thank you for the opportunity. Sir, just want to understand Chittapur and MP expansion, which was earlier expected in H2 FY '26, now in all likelihood that will flip to FY '27 , that is the right perfect understanding?
Deepak Khetrapal: Okay. It could be early FY'27 but I'm not able to say because I still don't have the clearance -- all the clearances aren't in hand. A big bit of uncertainty possibly. It is probable that, I know Chittapur certainly little bit is a the clinkerization and grinding all put together, Sarni is a simpler place because it is already in the inside the pr emises of power generation and the grinding it should normally take less time than a full integrated capacity. But yes, your anxiety perhaps is well placed because I still don't have all the clearance s that I need to start construction activity.
Keshav: Understood. Got it. For few operating metrics number like trade share and lead distance for this quarter?
Deepak Khetrapal: Our lead distance as we keep saying is slightly marginally higher still , we continue to be in the range of 300 to 310, 320. We have not v iolated that at all. So there is not much difference in terms of the distance travel led and in terms of freight cost also, we are more or less straight , over the previous quarter. The question was sorry just repeat there one thing that you had mentioned.
Keshav: Trade share .
Deepak Khetrapal: Trade share for us -- I did mention that B2B sales is perhaps 56% and balance 44% would be Trade , yes.

Keshav: Okay. Understood. One last question from my side. I want to understand how is the demand now shaping up in Telangana market, which has been pretty weak. So we are seeing high double - digit degrowth. Any signs of pickup or when will it happen?
Deepak Khetrapal: Well, during the monsoon s in any case the demand is further lower, I mean the fact of the matter is, what we've seen of this quarter so far, the demand actually continues to be very soft all across, not just in Telangana. But Telangana is a market, we still have to see real sign s of demand picking up because of the necessary support and the atmosphere that needs to be there , for people to start doing more investments and thereby increasing the demand. As of now, si gnals are still to emerge . So continue to remain worried about Telangana demand.
Keshav: Understood. Got it. So what sort of volume growth you are guiding for this year? Earlier you were guiding 8% but that doesn't look now achievable. So what is the...
Deepak Khetrap

al: If you permit me -- I think let me go through a bit more . We already had 15% degrowth in Q1, right?
Keshav: Right.
Deepak Khetrapal: Q2, as of now, I think we'll struggle to make the same as last year. So if the first half of the year does not give us the required growth, obviously, the full year forecast needs to be relooked at. I'm going to wait till the monsoon gets over because the advantage with , on a heavy monsoon, the intense mon soon the kind we are having right now is that post monsoon, the demand picks up very sharply. Now that is the normal trend that we've seen in the past.
The two things happen. One, there's a lot of pent -up construction which did not happen because there were intense rain s, one is that. Secondly, the extensive rains also caused a lot of damage to infrastructure and housing. So a lot of demand comes f rom the repairs work itself, right? So while we would expect given the past trend s, demand to pick up in the second half, but I'll perhaps hold my work up for now and see how the markets behave by the time the monsoon is ending . So next time, I can give a better idea right now is whatever I throw it'll be like a dart throwing on the board. There's no data that I have to base on to say, I'll go by this much in this year.
Moderator: Thank you. Our next question is from the line of Sumangal from Kotak Securities. Please go ahead.
Sumangal: Yes. Good afternoon, sir. Thank you for the chance. My first question is on this quarter's performance. Now in the opening remarks, we compared with the last year same quarter, but just wanting to know if that is appropriate because if memory serves us rig ht, last year, we had something around INR25 crores, INR24 crores of impact because of extended shutdown at Chittapur. So that is around INR150 on a per ton basis …
Deepak Khetrapal: No, no. INR 25 crores is never a cost of shutdown. Shutdown cost only around between INR8 crores and INR10 crores. Never INR25 crores.

Sumangal: Okay. But there were some adverse logistics and fuel mix because of the shutdown. So overall, I think the impact was around INR24 crores if our notes are correct?
Deepak Khetrapal: Sorry that is your calculation. I'm not privy to that.
Sumangal: Okay. But was there any shutdown in any sort of maintenance related activity this quarter?
Deepak Khetrapal: See some small maintenance activities have happened at both the plants, but not a full plant shutdown yet. But it's not that there is zero maintenance cost on when you're running the plants.
Sumangal: Okay. Okay. Understood. Sir, with respect to our mining lease in Rajasthan, has there been any start of land acquisition happening there? If you could just share some update on that ?
Deepak Khetrapal: No, we have still -- we are in negotiations, but we've not closed any deals for the land in Rajasthan. Not till now.
Sumangal: Understood. And sir from the – as far as 2Q is concerned, is it possible to share how was -- how is the price environment currently in July? And I mean, year -on-year or should we continue to see volume decline given the adverse weather or we should now come back to growth from 2Q onwards?
Deepak Khetrapal: As I mentioned in – while answering the previous question, I did say that during monsoon, we have actually seen July also has been soft, very, very soft, both in terms of volume s and in pricing. August first five days same thing is continuing. I think today I was hearing from some of our markets that the rains are not there after many days because it's rained every single day, at times very sharp, at times not so sharp. But in our market, the rains has been persistent. We obviously and I did mention that while monsoons always present a struggle in terms of volumes, and I have just said, in case you heard the previous answer, that we are struggling during the monsoo

n period and will perhaps struggle to meet what we did la st year in this particular quarter. But the expectation is post monsoon, the demand has – post good monsoon demand has always been far stronger . I did say that just two minutes back. So I would repeat that again for you.
We do expect the demand to rise sharply once the rains stop, because the construction activity has been held up. There's a lot of pent-up, catch -up work that needs to be done, and there will be a lot of repair work necessary, which has been caused by the extensive and very heavy rains to roads and to bridges. So the repair work itself creates, generates its own demand for cement.
Sumangal: Understood. Sir, is it possible to quantify the pricing, how soft it is on a sequential basis in July?
Deepak Khetrapal: I would say it is in the region 2.5%, 3% in July over the previous quarter.
Sumangal: Understood. That's very helpful, sir. Thank you. And all the best.
Deepak Khetrapal: Thank you.

Moderator: Thank you. Our next question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.
Rajesh Kumar Ravi : Thanks, sir. Sir, my question pertains to, first on the expansion program. You mentioned that the clearances and all is delayed for Chittapur. So for FY '25 versus INR1,000 crore s capex, which we had guided earlier. What are the probable capex, which will happen in FY 2025?
Deepak Khetrapal: Again, the first question sorry I just say a couple of maybe INR200 crores to INR300 crores not more than that. I don't …
Rajesh Kumar Ravi : So in that, you mentioned INR100 crores odd would go towards Chitt apur and this MP what sort of capex you are building in th e same ?
Deepak Khetrapal: In FY 2025, I don't think that Sarni would be more than INR25 crores, INR30 crores not more than that.
Rajesh Ravi: Only INR25 crores. In Rajasthan nothing expected?
Deepak Khetrapal: Rajasthan, it all depends on the land -- but that we will parallelly we will keep trying and , in this year, as we had said. So land deals when they start, they can happen very quickly. So I'll still say maybe INR100 crores for Rajasthan, I am keeping with me, and we may invest in Rajasthan for the acquisition of land quickly.
Rajesh Ravi: And, similarly for Devapur you are not expecting anything to happen this year?
Deepak Khetrapal: No. Devapur, the moment sta ge one -- forest one clearance comes in that's about INR130 crores, INR140 crores that I -- in fact, I talked about more. I talked about typically in the INR150 crores thereabouts that we will have to pay to the government to finally get the stage 1 clearance converted into stage 2 clearance. That has to happen in this particular year. So it's very, very critical for us.
Rajesh Ravi: So that is around INR125 crores, you are building for this year ?
Deepak Khetrapal: You can take INR150 crore s.
Rajesh Ravi: INR150 crores . And if I look at just your brownfield expansion potential s at both the Devapur and Chittapur, what are the peak capacity potential at both these locations even if you do it gradually?

Deepak Khetrapal: No. As I mentioned, the plan is to put up another three -million -ton cement capacity at Chittapur. Same to what we have today, we would like to double that straight away , three to six . Devapur is divided in two parts. One is the Clinkerization at Devapur and second is the grinding capacity. So because a t Chittapur we do entire grinding on site branding but at Devapur we are going to be putting up this two million tons grinding unit in Madhya Pradesh where we speak, Sarni is the name of the location we are going to be putting up . And to that extent, Devapur will do clinker expansion and only 1 million tons of additional grinding. That's the configuration.

And I would rather do

Sarni first so that my existing utilization of clinker at Devapur right now is a little low. So, my hurry would be to go to a new market using Sarni as a grinding unit and increase my capacity utilization of the kiln at Devapur and parallelly, once that grinding unit starts functioning then come back to Devapur to do the clinker addition.
Rajesh Ravi: Correct. And the project cost, which you had earlier enumerated INR2,000 crores for MP and Chittapur combined will that remain or?
Deepak Khetrapal: MP and Devapur.
Rajesh Ravi: MP and Devapur. Sorry . MP and Devapur together is INR2,000 you are saying?
Deepak Khetrapal: No. I think that will be slightly higher than 2,000 because we did talk about Devapur putting a waste heat recovery plant also. We have to put up a wagon tippler , some of the infrastructure that Chittapur has adequate infrastructure, but Devapur will need more. But Devapur will come later. Right now, let's focus on Chittapur was INR1,500 crores and 500 for Sarni. So, then in terms of project, the y are two different projects, the total capex will be about 2,000. So, when you were saying, I got a little confused because Chittapur and Sarni are not connected. But if for arithmetical addition, it will become INR2,000 crores between the two of them.
Rajesh Ravi: Okay. Devapur any number for the program that you r clink er additional 2-million -ton clinker and 1-million -ton grinding , waste heat , and the t ippler system that you're trying to ballpark, what sort of capex would be required?
Deepak Khetrapal: I think by the time we complete it, it'll be more like INR1,700 crores , INR1,800 crores. It'll become.
Rajesh Ravi: Okay. Great sir. I will come back in queue. Thank you.
Deepak Khetrapal: Thank you.
Moderator: Thank you. Our next question is from the line of Nav een from ICICI Securities. Please go-ahead sir.
Naveen: Yes. Thanks for the opportunity. Sir, couple of questions so first is on prices and I know that you never give the guidance on prices you said. You always maintain that s tand. But since consolidation the likes that we are seeing in South, do you think there's enough consolidation that has already there to hope that prices should improve? Or in your view, what could be that one trigger, so to say or one event that can lead to an improvement in pricing scenario at a broader industry level?
Deepak Khetrapal: Naveen that's a very tricky question for me to answer because people who are doing the consolidation for , just have their strategy known to only themselves -- how do I answer that? I mean, look end of the day pricing in an industry where capacity utilization , pan -India still remains, struggles to get to even 70% on pan -India basis .

The only way prices become stable is when people accept the fact that trying to sell to the market more volume at a lower price does not help anyone. It does not help that company. It does not help the rest of the industry also.
Now, that's rational thinking. But when the business decisions start getting driven more by not so much by immediate profits but either a longer -term strategy of saying, I will win but in the short term I don't mind losing. As long as that approach remains it's very difficult to sort of in a way for somebody who's on the sidelines like me to comment on which will be that event in which people will rega in the priority for profitability being the topmost priority.
And here, the worry is the industry leaders, and we know there are two large groups both of them are right now in the mode to acqui re more and add to the capacity, even organically, I think they're building more capacity, right?
And when they b uild more capacity, if they decide to prioritize the ir volumes push higher , prices will always be under the threat , that's the fact. So, in this aggression on adding t o capacity, both

through acquisition and t hrough organic construction and also to utilize all the capacity , when the industry is not growing at that pace would always be de trimental to pricing. That's what our learning is . A particular trigger , it's difficult to say what the trigger would be just the normal business sense is that if we're adding capital , see what many adding capacity, what are we doing , we are investing more capital of the shareholders .
If we say we are not so keen on i mproving the return on the capital, we are more interested in getting the market share and getting the volumes in. Then you're cha sing a different target compared to what the shareholders would want. Shareholders want their investment to be profitable and accretion to their wealth, right? That's the theory of business , which I have learn t and as far as I have seen that's the only thing that finally works in the long -term.
But there are period s in the industry, in any industry or in the market where these things have given a go by in pursuit of some other business strategies, which may be rational from that company's perspective, I am nobody to criticize that because they're investors in their company. If they decide it's ok for us to reduce the return on capital that I am employing , their strategy, then nothing that anybody can say about it. So in that battle between investing more capital and reducing costs, return on capital employed. So that is the strategy it can come only come by a loss to the entire industry , not to just on e company .
Naveen: Understood. Sir, my second question then was about the -- like a strategy stance for Orient. And as you already mentioned that there are three sites that like our capex is being going to be pursued. First is, of course, Chittapur and simultaneously then Devapur and some -- along with the land acquisition and maybe a project is in sight in Rajasthan as well.
So from a strategy perspective, since these are like big-ticket capex plan ned, is there somewhere a thought that we can -- because there are companies who have done that, that we can monetize the limestone lease in the Rajasthan belt, which is not our core market as of now and gain or rather strengthen our market presence like we are doing like prioritizing Chittapur and then Deva pur. So, is there a thought process that we can look to monetize the limestone in Rajasthan?

Deepak Khetrapal: Naveen I can only talk about the strategy as approved by the Board, which I think at a particular time, everybody was very, very concerned that we must try and diversify our market because we are too much in South and in Maharashtra. We should be -- and Rajasthan, is our only opportunity available to us at -- I would say, at no cost of having to acquire limestone mines in another market because today, these days, mines come t hrough auctions, and they put additional costs on you. Rajasthan is our best opportunity to actually diversify our markets at costs which are not crazy. I don't think our Board is even considering the possibility of monetizing the Rajasthan mines, no.
Naveen: Understood, a nd sir, my last question is for the Devapur location, can you please remind if the limestone that we get there, the royalty is standard a t par to the industry rate, or is it linked to some IBM -related formula now or for the expansion that we are looking at?
Deepak Khetrapal: No, Devapur mines are the same royalty as , royalty everywhere is the same, which is fixed by the central government and that's levied on the minerals. If, let's say, the new Supreme Court ruling, which has come recently, which has given powers to state government to levy more taxes, that will create, I think, state -to-state variation that might have a potential, depending on where the state wants to levy more taxes. But I'm telling you the situation as it

pertains today. It is same
INR80 per ton royalty on limestone mining that everybody pays in India, including us.
Naveen: Understood. That's really very, very helpful, sir. Thank you so much for responding.
Deepak Khetrapal: Thank you.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Deepak Khetrapal: Thank you. I always sort of end by just thanking all of you to patiently hear me out at the start and ask me questions, which enable me to clarify your situations further. Thank you for keeping faith in us. I know we are playing with a contrarian strategy to the rest of the industry. And what we can promise to you is that every decision that we take, we are accountable to all of you. We'll come back and keep explaining to you how we are doing it, why we are doing it. But the goal all the time is to make sure the long term of this company is being protected through whatever actions that we can take as management of this company. Thank y ou for support and trust in us. Grateful to you. Thank you.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2025

Corporate Office:
Adani Corporate House
Shantigram, S G Highway,
Khodiyar, Ahmedabad - 382 421
Gujarat, India
Tel +91 79 2656 5555

Registered Office
Orient Cement Limited
Unit VIII, Plot No 7,
Bhoinagar, Bhubaneshwar,
Orissa – 751012
www.orientcement.com
CIN: L26940OR2011PLC013933

August 6 , 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400001

Scrip Code: 535754 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051
Symbol: ORIENTCEM

Sub.: Transcript of Earning Call pertaining to the Unaudited Financial Results of the Company for the Quarter ended 30th June 2025

Dear Sirs/Madam,
In continuation of our letters dated 18th July 2025 and 31st July 2025 regarding Analyst/Institutional call scheduled on 31st July 2025, the transcript of the earnings conference call on the Una udited Financial Results for the quarter ended 3 0th June 2025 is uploaded on the website of the Company at www.orientcement.com. The said transcript is also attached herewith.
The Web link to access above transcript is as under: Analysts Meet | Orient Cement - The Leading Cement Manufacturer in India .
Kindly take the above on your record.
Thanking you,
Yours Sincerely,
For Orient Cement Limited

Shrishti Jain
Company Secretary & Compliance Of■cer
Encl:. as above
1

Ambuja Cements, ACC , Orient Cement and Sanghi Industries
Q1 FY '2 6 Earnings Conference Call
July 31 , 202 5

MANAGEMENT

MR. VINOD BAHETY
CHIEF EXECUTIVE OFFICER MR. RAKESH TIWARY
CHIEF FINANCIAL OFFICER
MR. DEEPAK BALWANI – HEAD , INVESTOR RELATIONS
MODERATOR
MR. SATYAM KESARWANI – PRABHUDAS LILLADHER PVT LTD

2 - Ms. Nidhi - Moderator :

- Ladies and gentlemen, good day and welcome to the Ambuja Cements Limited Q1 F Y26 Investor Call hosted by Prabhudas Lilladher Pvt. Ltd. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you n eed assistance during the confer ence call, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Satyam Kesarwani. Thank you and over to you, sir.

- Mr. Satyam Kesarwani - Equity Research Associate, Prabhudas Lilladher Pvt. Ltd. :

- Thank you Nidhi. Good evening and a very warm welcome to everybody. On behalf of PL Capital, I am pleased to welcome you all to the earnings call of Ambuja Cements for the first quarter of financial year 2026. We are very happy to have the management with us today for the Q&A session with the investment community. The management is represented by Mr. Vinod Bahety , CEO, Ambuja Cements, Mr. R akesh Tiwari, CFO, Mr. Deepak Balwani, Head of Investor Relations.

- We will begin with the opening remarks from the management followed by an interactive Q&A session. With this, I hand over the call to Mr. Deepak Balwani. Over to you Sir.

- Mr. Deepak Balwani – Head of Investor Relations, Ambuja Cements Ltd.:

- Thank you. On behalf of Ambuja Cements , I am pleased to welcome all participants to our earnings call for the first quarter of FY 2026. Ambuja Cements is the ninth largest building material solution company globally and part of the diversified Adani portfolio. Ambuja Cements is one of the four large -scale cement companies globally and the only one in India to have its science based net zero and near -term targets validated by the SBTi.

- Before we start, please note that this call may include forward -looking statements based on our current beliefs and expectations. These are not guarantees of future performance and may involve unforeseen risk and uncertainty.

- We are pleased to have with us on the call, Mr. Vinod Bahety , Chief Executive Officer and Mr. R akesh Tiwar i, Chief Financial Officer. Now I invite Mr. Bahety to provide his valuable insights on the quarterly performance.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you Deepak. Good evening and a warm welcome to all of you joining u s for the first quarter of FY 26 earnings call. Ambuja Cements started this fiscal year on a high 3 note. Our momentum is built on strong value focus, robust volume growth, price improvement, deeper channel engagement, premium product sales improvement, agile supply chain, str onger brand pool, market across and smart cost efficiencies, amplified by seamless integration of Orient Cement, which we acquired in April 25.

- We have reimagined business fundamentals. This has helped us achieve the highest revenue in a qu arter, highest quarterly EBITDA and improve our market share by 2%. Our channel network is vibrant, our assets are reliable more, our efficiencies have improved and our EBITDA gains are well noteworthy. This sets a bold tone for the year ahead as we scale with purpose and precision. We are up on our demand estimates by 1% from 6 -7% before to now 7 -8%.

- Our consolidated financial performance highlights for the quarter are as under - Highest ever sales volume of 18.4 million tonnes, up 20% YOY with market share up 2% to 15.5% . Revenue crossed 10,000 crores mark at Rs.10,289 crores, up 23% YOY with price gain of 4% supported by higher share of premium products as a percentage of trade sales which is now at 33% , up by 43 % YOY. Cost has improved by Rs. 119 per metric tonne YOY. This has also supported in achieving the highest quarterly EBITDA at Rs.1,961 crores . EBITDA per metric tonne of cement at Rs.1,069 of 28% YOY and EBITD

A margin
stood at 19.1% , up 3.8% and we have a blueprint to ach ieve our targeted EBITDA of Rs.1,500 per metric tonne by 2028. P AT, we have achieved at Rs.970 crores , up 24% YOY. Earning per share at 3.20 , up 22% YOY and net worth stood at Rs. 66,436 crores and

we continue to remain debt free.

- Our rating remains highest at CRISIL AAA stable and A1 plus ratings.

- In the best interest of time, I am not going to discuss the standalone financial performance of the listed companies separately as they are available on the stock exchanges. The merger of Adani Cementation Industries Limited has received all the statutory approvals. For Sanghi and Penna, we have received approvals from both the exchanges BSE and NSE and further process of completion is ongoing.

- We continue to make decisive strides in operational excellence in the quarter. Some of them are as under. We are proud to be the lead cement supplier for the world's highest single arc Chenab Railway Bridge which speaks volumes of our product quality and trust. For the fourth year in a row, TRA Research has recognized us as the most trusted cement brand. This brand equity is also immensely supporting in terms of volume improvement and price improvements. Our privileged exclusive partnership with CREDAI has gone very well. Continu ing this, we have launched NirmA Anotsav program along with CREDAI wherein the first event took place in Ahmedabad and this will be hosted in almost 20 plus cities going forward in this financial year.

- Our supply chain is becoming smarter, leaner and agile with AI enabled technology . We are proud to be the firs t in the industry to adopt Digip in.

- We commissioned 5 million tonnes of grinding capacity over the last 3 months and target additional , another 13 million tonnes this financial year. We are getting younger with new assets, digitally smart platforms and latest cohort of future young leaders fueling a culture of continuous innovation and excellence. Digitalization initiatives continue to be a focus area leveraging the business growth with strong focus on EBITDA maximization, AI driven advanced business and cost optimizer tools, end -to-end seaml ess applications of channel partners and the plants of future concept is progressing very well.

- On growth and journey expansion, our total cement capacity currently stands at 104.5 million tonnes. In our larger aim of achieving 140 million tonnes by FY28, we are well poised to achieve 118 million tonnes by end of FY26 powered by our strategic brownfield expansions across v arious sites including Bhattapad a, Salai Banwa, Dahej, Marwad, Kalamboli, Krishnapatnam, B hatinda, Jodhpur and Warishali Ganj. Our disciplined capex management is ensuring these timelines are made efficiently enabling us to deliver both scale and profitability.

- On the cost leadership, our targeted cost reduction journey with the planned initiatives primarily envisages reduction in power and fuel cost, logistics cost and raw materials cost optimization. We have one of the lowest manpower cost at Rs. 223 per metric tonne amongst the peers in the industry.

- Green power share uptake with every passing quarter . It improved by 9.7% to 28.1% and it is targeted to reach 60% by FY28. This will reduce the existing power cost which is aroun d Rs.5.9 per unit to almost Rs. 4.5 per unit by FY28. The power consumption per metric tonne of cement also is expected to improve by at least 5 units. This is the efficiency of the new assets and the efficiency improvement of the existing assets. Coal cost ha s improved from Rs.1.73 to Rs. 1.59 per 1000 k ilo calories and expected to sustain near these levels. Importantly, the heat consum ption will improve by at least 35 to 40 kilo calorie per kg of clinker for the various initiatives outlined including mix of the new kilns.

- Primary lead distance reduced by 8 km this quarter at 269 km and is expe

cted to further
reduce by almost 50 km when we achieve 140 million tonnes by FY28. This will help to reduce the logistics cost by almost Rs.150 per metric tonne , also supported by a higher component of rail and sea logistics. Currently, our cost is almost around say, Rs.3 tonne per km.

- On the ESG leadership, sustainability remains our strategic operating system as we are India's only and globally the fourth large -scale cement company to have our science - based net zero and near -term targets validated by SBTI. We have commissioned 473 megawatt of renewable energy out of 1000 megawatt , achieving almost 28%. As I

mentioned earlier, we want to achieve 60% by FY28.
5
- Our green power share has risen consistently and improved by 9.7% this quarter. We remain an industry leader, achieving 12 times water positivity, 11 times plastic negativity, exemplifying responsible stewardship. We continue active global collaborations w ith WEF, GC, CA, UNGC and AFID, reinforcing our commitment to setting and achieving ambitious environmental goals.

- On the community and social impact, we continue to positively impact our community through engagement initiatives in education, healthcare, livelihood and infrastructure. We are upskilling our communities through robotic labs, drone labs, rural KPOs, youth skilling, women empowerment, creating a blueprint for our inclusive growth. Making the new era of a holistic education in the presence of our board members, we inaugurated a new building of DAV, the ACC Public S chool, Kalpashila and a heritage wing at our Kymore plant. Through the Adani Vidya Daan initiative, our leadership continues to inspire and shape the future of more than 10,000 students across the Adani Vidya Mandirs, Tezi campus institutions at our plants.

- In the first quarter of 26, we accelerated our efforts to build, recognize and purpose - driven partnerships across our network. CEO se Samvad , a direct engagement platform with channel partners and contractors, has deepened trust through open dialogue, recognition and shared growth. These efforts have sparked a strong homecoming of more than 500 dealers , strengthening our distribution network and reaffirming the mutual confidence. Adani's certified technology, ACP, was implemented at more than 21,000 custome r sites, enhancing the construction reliability and technical superiority, making a significant milestone in scalable impact and customer trust. With more than 325 scale building workshops conducted, we have empowered almost 9,000 plus contractors creating ripple effects in quality, safety and upskilling across the regions.

- CEO Club, a first -of-its-kind recognition platform in the industry, now anchors top - performing channel partners and contractors into a unified community. Through certified training, plant visits, safety gear distribution and family -focused experiences, we are building a family of builders aligned wi th our vision. Dhan Varsha Grah Lakshmi Saubhagya Awards embodied emotional intelligence in action. This hybrid celebration brought together over 50,000 plus families of our dealers, merging performance with purp ose and laying foundations for enduring relationships beyond the balance sheet. Coincidentally, today also we have a program which is for our influencers , which will see more than 25,000 influencers online and offline coming together to celebrate a program similar to Dhan Varsha.

- On the industry outlook, cement demand grew by almost 4% Y -on-Y in first quarter FY26, driven by Pradhan Mantri Awas Yojana, Pradhan Mantri Sadak Yojana, Bharat Mala, Sag ar Mala and other INSA projects a nd we remain bullish for this financial year. We are upping our demand estimate by 1% from earlier 6 -7% to now 7 -8%.

6 - I now invite our CFO Rakesh to detail our financials in detail further. Thank you.

- Mr. Rakesh Tiwari – Chief Financial Officer, Ambuja Cements Ltd.:

-

Thank you Vinod for giving such a strategic and comprehensive outline for Ambuja Cements . It was really great.

- Good afternoon, ladies and gentlemen. It's a pleasure to connect with you all at this pivotal junction in our growth journey. Over the last few quarters, we have consistently articulated our sharp focus on four key pillars, growth, cost leadership, ESG and stakeholder value creation and I'm pleased to share that Q1 financial year 26 has reinforced our conviction and momentum across all these dimensions.

- Our cement capacity has now reached 10 4.5 MTPA following the successful commissioning of Sankrail and Sindhri Brownfield Grinding Unit. We remain firmly on track to scale up to 118 MTPA by March 26 and 140 MTPA by FY28.

- Our inorganic growth story strategy is progressing seamle ssly. Sanghi, A sian, Tuticorin, Penna and more recently, Orient, which we have successfully integrated. The results were out a few days back, accelerating our market presence all across the geographies.

Integrating synergies are being realized ahead of schedules, validating our disciplined M&A playbook. Alongside M&A, our Greenfield and Brownfield projects are designed with an emphasis on long -term competitiveness and roughly close to 40% of our capacity now falls under new generation assets that are optimized for capital eff iciency, lower op -ex costs, increased use of renewable energy and improved logistics, including rail infrastructure. In this quarter of 26, we commissioned 57.7 megawatt of wind energy, taking our total renewable power to 473 megawatt . Additionally, our WHRS capacity stands at 228 megawatt . Together, our green energy is contributing close to 28.1%, underscoring our position as a sustainable leader in India.

- We are also laying a strong digital foundation for the future. Our end -to-end digitization of the value chain, from qu arry to lorry , is yielding measurable operational benefits and improving EBITDA delivery. Our Cements Network Operating Center, which is live at our headquarters, is growing in scope, enabling predictive analysis, real -time visibility and agile decision -making. So this is a transformative journey and I am proud that Ambuja is at the forefront of making th is traditional industry younger, smarter and more efficient.

- We continue to maintain a fortress balance sheet. As of quarter 1 financial year 26 , our net worth stands at 66,500 crore, up from 63,811 crore in March 25. We still are debt - free with AAA ratings, giving us a lot of headroom to fuel growth and return value to the shareholders.

- To conclude, Ambuja is uniquely positioned at the intersection of capacity growth, margin expansion, digital evolution and ESG leadership. As the industry enters an
7 exciting new phase, we are confident that our strategy and execution will drive superior stakeholder returns in the quarter and years ahead. With that, I now hand over back to Deepak.

- Mr. Deepak Balwani – Head of Investor Relations, Ambuja Cements Ltd.:

- Yeah Nidhi, we can open the call for Q&A.

- Ms. Nidhi - Moderator :

- Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

- Mr. Rahul Gupta – Morgan Stanley:

- Hi, thank you for taking my question. My first question is , if we look at on a sequential basis, there is a sudden increase in power and fuel logistics and other opex , even adjusted for volumes. Can you please help us understand in detail what's happening over here? Thank you. That's my firs

t question.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Rahul, I am presuming you are referring to consolidated financi als, right?

- Mr. Rahul Gupta – Morgan Stanley:

- Yes.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Okay. If yo u actually refer to Rahul and I am not sure which line items you are referring to because there is an overall reduction in terms of the power and fuel and raw material on a y -on-y basis. If you go to slide number 12 of the investor presentation.

- Mr. Rahul Gupta – Morgan Stanley:

- I am looking at slide 19 and I am more concerned about quarter -on-quarter changes.

Any color on that will be very helpful.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:
8
- Let me just go to slide 19 of the investor deck.

- Mr. Rahul Gupta – Morgan Stanley:

- Yes, that's right.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Okay. Let me just pull the particular slide, Rahul. Again, if you refer to slide 19, there is a reduction in …… the only point which is the 'other expense ' is 12%. Otherwise, there is a reduction in all the other items, Rahul?

- Mr. Rahul Gupta – Morgan Stanley:

- Not really. If you look at power and fuel, it has moved from 1263 to 1367.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- That you are comparing q -on-q while I was referring to y -on-y. In terms of q -on-q also, Rahul, for example, when i t was 1263 for the last quarter and with for example, when you have these acquired assets, especially when you have now Orient also, there will be some disruption on the overall say, cost compared to say, March. In March, for example, you did not have Orient and now you have, say, Orient.

- Second is, if you also notice, the fuel cost, in fact, has come down from 1.7 3 to 1.5 9 actually. The second element of cost, which is the power cost, over there I have highlighted that we have a higher, as of now, consumption of the power units. Some of these again, acquired assets have that but there is a good opportunity for us to reduce by at least five units minimum in coming quarters in terms of the power consumpti on. So both this power and fuel basically will come back to the sequential numbers very soon.

- In terms of the fuel, for example, we have demonstrated a sharp reduction by almost, say, 20 basis points this qu arter compared to last quarter and prospectively also, I am sustaining myself at those levels. So this is like , one time when you have a quarter , when you have an acquired asset. Otherwise, you will have quite sustainable numbers on this front.

- Coming to the other expenses, where, for example, my overall branding and sales and promotion expenses, we actually are investing into our marketing and brand expenses and our supply chain network. And you have seen some uptake over there.

9 - And on top of it, the Orient asset also, for example, when you have acquired, it has also actually added to my overall other expenses. So this quarter, you will have to look at the color of Orient being acquired and consolidated as compared to the previous quarter. But on a y -on-y basis, you will see all of them are on a really healthy trend, even with the Orient acquisition.

- Mr. Rahul Gupta – Morgan Stanley:

- No, I understand. Thank you for the color that this is because of Orient acquisition a nd that's exactly why I want to understand this. What would be this number without Orient? Because, see, Orient would not be that big in the overall console numbers perspective, right? So any color from that perspective would be very helpful. And second, by when should we expect this number to normalize to pre -Orient acquisition levels? Thank you. These are my questions.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. No, I think coming to this quarter itself, you will see a sharp improvement on that. And in terms of my outline also, when I said that

now the assets have started
generating, giving us good results, for example, my power costing with the renewables push this quarter has come do wn. So this quarter itself, you will see a good level of improvement in terms of sequential quarter. So that is how, for example, when we have this acquisition and when we have this integration, it will take you a couple of months here and there. But if you look at the volume part and that is like very interesting, and all of my, for example, therefore, this acquired assets have done very well in terms of the volume part. So integration has gone ve ry well in terms of the revenue and therefore, you have seen a 20% jump on the volume part. And so far as the costs are concerned, like this quarter itself, you will see a good level of stabilizing there.

- Mr. Rahul Gupta – Morgan Stanley:

- Got it. Just for the bookkeeping, what would be volumes out of Orient business this quarter?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, I would refrain doing that because we, for example, as we have highlighted, overall 18.4 million ton nes, because Orient and all these are part of the MSAs and therefore, per se, Orient does not have its own, say, direct sales because we have migrated from Orient brand to now Ambuja and ACC. But I am happy to say that these assets, for example, are operating at a very healthy level , at clinker and cement both, and therefore, on an overall basis, we have a good, healthy utilization of the cement capacity.

10 - Mr. Rahul Gupta – Morgan Stanley:

- Great! Thank you so much. Just one final question. On an unadjusted basis, your volume grew by 20% year -on-year. Now, when you say that industry gre w by 4%, where would be Ambuja C onsole compared to that 4% for the industry?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Ambuja C onsole is what we have said, the 20% overall improvement.

- Mr. Rahul Gupta – Morgan Stanley:

- Yeah, but that's unadjusted, right? I mean, for fair comparison, when industry grew by 4%, then ……..

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Okay, let us see. Thi s is unadjusted here, right? So if I adjust and if I only consider Ambuja and ACC erstwhile capacity, it comes to almost 13%.

- Mr. Rahul Gupta – Morgan Stanley:

- Got it. Thank you so much. This is very helpful.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you.

- Ms. Nidhi - Moderator :

- Thank you. Ladies and gentlemen, please limit to two questions per participant and rejoin the queue for the follow -up question. The next question is from the line of Atishy Rathi from J.P. Morgan. Please go ahead.

- Mr. Atishy Rathi – J.P.Morgan:

- Yeah, hi. Thank you for the opportunity. I just had one question. This is pertain ing to slide 18 of the deck. So I noticed that the same volume on a consolidated basis is 18.2 for the last quarter in the deck. But if I look at the last quarter's deck, the number was at 18.7 and the EBITDA , on the EBITDA, total EBITDA hasn't changed. So just trying to understand how do I, how should I reconcile the two numbers?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

11 - Yeah, hi. Thanks. So basically what we have done , because so far CLC, which is like clinker plus cement, both were considered but we are not in the business of selling clinker. We are more in the business of cement and therefore like all the other competitors, we also now will move into reporting in term s of factor of cement and therefore, for example, what we have done is also for the March, 18.2 is the cement sale. The difference between cement and clinker at 0.5 , primarily is actually for the CLC factor and therefore 18.4 when I a m saying is purely a cement sale . There is no clinker factor here. That's how the whole basically calculation is.

- Mr. Atishy Rathi – J.P. Morgan:

- Understood. Thank you so much.

- Mr. Vi

nod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you. And that is how all the other industry players what I understand, they do it and that's how we have also recalibrated and put it on basis of the cement volumes and therefore EBITDA and everything as a factor of cement.

- Mr. Atishy Rathi – J.P. Morgan:

- Understood. Thank you so much.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Harsh Mittal from MK Global. Please go ahead.

- Mr. Harsh Mittal – MK Global:

- Thank you for the opportunity. Good evening. Firstly, congratulations to the management for a great set of numbers. So my question was pertaining towards the earlier participant ’s concern on the volume front. So continuing with his statement, if I just exclude Orient's and P enna Cement's volume in this quarter, we are standing at around 1 -1.5% of volume growth YOY. Is it a fair set of assumptions, sir?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, no, no. Absolutely not! In fact, as I said, if I adjust, for example, the acquired assets, I am sitting on still a very good healthy volume growth of 13%.

- Mr. Harsh Mittal – MK Global:

12 - So what would be the volume for Penna Cement this quarter, if you can just share that number?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Penna, Orient, Sanghi for example, as a fact, for example, we are at 18.4 million ton nes for a capacity which has now gone up to 105 and you can safely assume that the average capacity would have been almost 95. So therefore, on an overall capacity utilization, I am around 77 -78%. So please allow me to give a larger volume instead of going with, because all of these are companies under the MSA, so it will be inappropriate to give you for individual unlisted compan y. It will be better to speak on a console v olume and a console capacity. I can give you this number that around 78% is the capacity utilization.

- Mr. Harsh Mittal – MK Global:

- So that was my question. Thank you.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, so this will answer you and now you can do your math actually.

- Mr. Harsh Mittal – MK Global:

- Yes.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

- Mr. Amit Murarka – Axis Capital:

- Yeah. Hi. Thanks for the opportunity. So the first question is on capacities. I see that the timelines are no longer indicated in the presentation. So what is the commissioning for each of those capacities which you were giving earlier? So like what is the updated timeline now? If you can throw some light on that?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Okay. Amit, perhaps I think because we are actually hitting now, so out of the earlier we used to indicat e almost like 18 million tonnes out of which 5 has already been achieved. So 13 is also in fairly advanced stages of each passing month. I'm going to announce the commissioning. So I can tell you that this quarter , you will see some of these capacities 13 and by, for example December , most of my capacities will be there including Salai Banwa , Penna Jodhpur, the Bhattapad a and couple of more. And then by March , whatever we have indicated here is what, for example, we are going to achieve. So 118 million by fiscal year FY26 is there to be achieved.

- Mr. Amit Murarka – Axis Capital:

- Sure! Got it. And Bhattapada , like, is facing some delays, is what I understand, because I remember, right, you had earlier indicated March 25 as commissioning. So, like, why is it getting delayed? I mean, frankly like, concern is more around, because what I understand is that the Chinese equipments is what these plants are based on and we have been reading that Chinese engineers are not bei ng allowed into the country. So is it something to do with that or like, is there

any other issue over here?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, no, per se, not, I mean, like, in fact, we already have this particular company who has, who is the vendor which you are referring to, already, like, a vendor to us for a couple of our other assets. So we do not see any issue on that. This March, what you are indicating is something which is our management target and so far as but….. the outline timing is concerned, w e are well on that. I do not see any, per se, any issues over there. So to rest you on any anxiety, no concerns on the vendor, no concerns on the execution and completion. Of course, projects of this scale, for example, when you have a brownfield expansion, a couple of months here and there, because you are operating for, you are actually executing in an established estate, which is also, should not be dera iled in any form and manner. So these are, like, very nominal months, couple of months here and there. I do not see any issue or any anxiety over there.

- Mr. Amit Murarka – Axis Capital:

- No, thanks for clarifying that. Very comforting. Also, you could provide, like, the cash position at the end of June.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So Amit, we can pick up from where we left and I thin k March end was almost 10,2 50 odd crores, if I remember. And from there, for example, when I look at the overall, say, cash flow, we are sitting right now closer to 3,000 odd crores. And this includes the overall acquisition of, say, Orient, then also my capex of almost 2,000 crores, which has been for the June quarter, then almost 600 CR, 550 to be precise, for the dividend and so on and so forth. So overall, basically, right now, we are holding 3,000 od d crores of cash and cash equivalent. Yeah?

- Mr. Amit Murarka – Axis Capital:
14
- Sure. And lastly, what was the effective date of Orient acquisition?

- Ms. Nidhi - Moderator :

- Sir, sorry to interrupt but I request you to rejoin the queue for the follow -up question.

- Mr. Amit Murarka – Axis Capital:

- Sure, sure. Thank you.

- Ms. Nidhi - Moderator :

- Thank you so much. Thank you. The next question is from the line of Naveen Rameshwar Sahadev from ICICI Securities. Please go ahead.

- Mr. Naveen Sahadev – ICICI Securities:

- Yeah, yeah. Good evening. Good evening, Vinod ji, Rakeshji. Thank you for the opportunity. Two questions and I think that is similar to what Amit was trying to ask. Is the expected date for Orient is 22nd Apr il to be merged or consolidated or will it be 18th June to understand the, like, you know, integration better?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, Naveen, it is 22nd April.

- Mr. Naveen Sahadev – ICICI Securities:

- Understood sir. And my second question was on the overall, like, you know, cash outflo w towards capacity creation. So as you mentioned, current cash balanc e is more like 3,000 crores. So just wanted to understand, how much do we have to pay for Penna? Because I believe there was some retention money and of course, subject to the capacities which were to get commissioned. So to answer the question is, how much money for PENNA is likely to be paid? I am assuming it will happen this year. And when will these P ENNA capacities, especially the clinker in North, will come on board?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So Naveen, clinker should be coming to us, you know, let us say, Q2 itself, by the end of September. And so far as then, there are a couple of other assets like Krishn apatnam, which will be there and small CAPEX at Tandu r. So these are all actually going well, so far as PENNA assets are concerned. And when we have factored in the CAPEX program, the balance small payments which are left to be paid, those will be paid within the overall
15 guide, our contractual terms of the DSPA . Yeah, but in terms

of the progress on the
Jodhpur asset, it is absolutely bang on time, progressing well. And personally also, I have a couple of times, a beautiful asset which has come out actually. And this is like technology.

- Mr. Naveen Sahadev – ICICI Securities:

- Great. Only one related just a clarification. So, of course, you said Penna the balance payment is included. So, is it safe to assume ■10,000 crore kind of CapEx for FY26 as a number?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- You can consider maybe couple of thousands. So, you can actually consider ballpark 1,000 here and there. So, 10,000 is a good amount to assume. I would have considered between say 9 -10, but, yeah, 10 is okay. That includes Penna also.

- Mr. Naveen Sahadev – ICICI Securities:

- That's very helpful, Sir. Penna, of course. So, all in ■9,000 crore kind of an outflow for FY26. Thank you, Sir. Thank you so much.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah -yeah

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

- Mr. Rajesh Ravi - HDFC Securities :

- Good evening and congrats on good set of numbers. Firstly, could you share the volume numbers for the full year now adjusted for the clinker sales ? And second, can you share for the 2 listed subsidies, Orient and ACC, what would be the CapEx in these 2 companies individually? And what are the capacity enhancement? For Orient, particularly, there were talks of a grinding unit and a clinker expansion in Karnataka and a grinding unit in M.P. And, similarly, for ACC any progress on the Wadi clinker? Or any other asset beyond what we have recently commissioned?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, thanks, Rajesh. So, first to start with, your question was about the overall volume.
16
- Mr. Rajesh Ravi - HDFC Securities :

- Console volume ex of clinker sales for full year.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. So, for the full year, while in terms of the capacity, as I mentioned, we are targeting to hit 118 million tons. And what is my overall say estimated volume? That is like, for example, you can broadly consider a current trend of 75% -78% and that you extrapolate that.

- So, far as the second question, which is about the CapEx at Orient, I think right now our priority is to improve the overall efficiency at Orient then immediate expansion. And, therefore, this financial year it is more of achieving the desired cost numbers and some of the deep bottlenecking. But definitely there's an opportunity for us, as the previous promoters also, we're doing in terms of expansion at Chittapur and a bit of at Devapur but that is like we will look at it in the next financial year.

- So far as M.P. is concerned, again, that for example, we'll work it on but not an immediate priority. The immediate priority for us right now is the 7 -8 sites, which I mentioned to you and which are strategically well located and integrate very well in our overall plan of 140 million tons. But more detailed plan for Orient in terms of the growth will come out separately.

- Your third question was…Is that good for you? Anything else?

- Mr. Rajesh Ravi - HDFC Securities :

- Yeah, ACC. CapEx at ACC.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So far as ACC is concerned, as you know, Ametha was the one which we did followed by acquisition of Asian and now Salai Banwa right now is progressing very well and in next few months you will see Salai Banwa up and running. Salai Banwa , as you know, is in U.P.

- Then, again, for ACC I have been highlighting our focus has been in terms of improving it's, again, cost efficiency, its green power, WHRS. Apart from Salai Banwa , if you also know Sindri we have expanded when we announced in March in terms of expansion. So, Sindri , Salai Banwa .

Wadi line is also very much in the plan and that is in the drawing
boards and I have highlighted before the dismantling of the line 1 is already been commissioned. Therefore, that is very much in the pipeline but not for this financ ial year, it will be limited initial groundwork but it will come in the next financial year.
17
- So, these are like the CapEx program for ACC but more importantly is on the efficiency factor because the bridge between the overall EBITDA for ACC versus other peers is what for example we will bridge it very fast. And as you see that in last many quarter s ACC has been catching up on that.

- Mr. Rajesh Ravi - HDFC Securities :

- Sir, out of this ■9,000 -10,000 crore, how much of the CapEx one can work out in the standalone ACC…

- Ms. Nidhi - Moderator :

- Sir, sorry to interrupt but I request you to come back for the follow up question.

- Mr. Rajesh Ravi - HDFC Securities :

- I am just completing this follow -up. Just completing this follow -up.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, okay. Nidhi, I will just answer that. So, Rajesh, generally like you will factor off 75:25 between parent company and…So, which is like Ambuja and ACC. Sometimes like 70:30 or 75:25 kind of thing.

- Mr. Rajesh Ravi - HDFC Securities :

- Okay, great. I will come back in queue, Sir. Thank you. All the best.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Sure.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

- Mr. Ritesh Shah - Investec :

- Hi, Sir. Thanks for the opportunity. A couple of questions. Sir, first is on ACC, there was a significant cost bump on a sequential basis for both raw mat as well as other costs. How should one look at it? And is it by any means tied to a few clinker units that we have
18 actually shutdown in South? Is it because of higher inter -regional trade, higher clinker cost? How should we treat it to that?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, Ritesh, as you know that given the early set of monsoon which started in June basically, what we have also done is in terms of the scheduled maintenances and, therefore, like Wadi and all, for example, which is ACC, we have actually done that. So, ther efore, you will find a bump. Whenever you have scheduled maintenances, you will generally find a bump in the particular quarter but on an overall year basis you will see it gets neutralized basically. So, the benefits of that will come in the subsequent qu arters.

- So, that was like say one part. And, again, like in terms of the other expenses, I actually mentioned earlier that especially for ACC in terms of the settlement cost, the VRS, the employees separation and also in terms of the brand promotion and sales prom otion activities which will get intensive this year and lots of investment is being done on the brand equity, on the channel vibrancy. I also put in my initial remarks and you are already seeing the results of that in terms of the price improvement, in ter ms of the overall volume improvement. This will continue.

- So, the delta positive impact is coming on the revenue part while some of these investments will happen in terms of this brand and sales promotion. So, those are basically the trend.

- Mr. Ritesh Shah - Investec :

- Sir, my question is basically we have taken out Wadi 1 Bargarh and Chaibasa , so how are we substituting that clinker for the GUs in South for ACC?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. So, therefore, like if you see in the MSA, there is also a good moment of clinker between Ambuja and ACC. So, the high cost clinker which goes off of ACC, almost like if I have to highlight between ACC and Ambuja, this time clinker movement has been almost like 0.47 million metric tons. So, it gets applied, for example. So, Bargarh and Chai

basa .
So, I have say Penna assets now, I have got say Orient also. So, sometimes when Wadi is down and I have say Chittapur for Orient which is available to supply and so on and so forth. So, therefore, the logistics wise whichever is the best suitable is what being used in terms of the clinker movement and, therefore, supplies of cement.

- So, do not worry, overall if you look at overall balance of the cement versus clinker, it is well balanced.

- Mr. Ritesh Shah - Investec :
19
- Sure. Sir, my second question is…

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- As you know, I have 64 million tons of clinker capacity and I have almost 105 million tons of cement capacity. So, you can apply the factor and then it is well balanced. Sorry.

- Mr. Ritesh Shah - Investec :

- Sir, my second question. Yeah -yeah. Hi, Sir. Am I audible?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yes, please. Yes, you are.

- Mr. Ritesh Shah - Investec :

- Sir, during the Marwa visit , you had indicated that we are looking to simplify our marketing structure , we will have like only 3 layers. Have you already progressed on that? What should we make out of that particular outcome? That is one.

- And other quick one is , one of our peers has announced commercialization of Telsa enclave, y ou did elaborate quite a lot on ESG , is this particular variable up for us on priority? If not, why so? Thank you.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, so, Ritesh, as you know like calcined clay or otherwise if you have fly ash and PPC, I think, I would say that I am sitting on a huge opportunity of fly ash and , therefore , those who do not have the opportunity they will look around for different types of products.
But we have a natural advantage as a group synergy. So, therefore, I would right now focus on. And there is no better substitute to fly ash actually because the whole chemical process of fly ash which blends with cement, the cement quality and the cement strength is far, far superior and which is well demonstrated in many labs also. Point number one.
And, therefore, the calcined cement and all the specific applications and all are, for example, different to what normally a cement can be.

- Point number two. What was your second question, Ritesh?

- Mr. Ritesh Shah - Investec :

- 3 layers.

20 - Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- 3 layers.

- Mr. Ritesh Shah - Investec :

- Sir, on the marketing side…

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- That is more internal, Ritesh. I think not right to discuss on this forum. But, yes, we are simplifying and, as I said, we are reimagining the whole structure, the whole org structure, the whole plant structure and you will see prospectively a positive imp act and results out of it. But exactly that is not the point to discuss on this forum, Ritesh. Offline we can connect on that.

- Mr. Ritesh Shah - Investec :

- Sure, Sir. Sir, can I just squeeze in one? In your initial remarks, you indicated…

- Ms. Nidhi - Moderator :

- Sir, sorry to interrupt but I request you to come back for the follow -up question, please.

- Mr. Ritesh Shah - Investec :

- Sure. Sure, sure. Thank you.

- Ms. Nidhi - Moderator :

- Thank you. Ladies and gentlemen, please limit to 1 question for participant and rejoin the queue for the follow -up question.

- The next question is from the line of Rashi Chopra from Citigroup. Please go ahead.

- Ms. Rashi Chopra - Citigroup :

- Thank you. Just had a question on realizations post the quarter. How have the realizations been across different geographies?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Rashi, thank you. I am very upbeat about realization. Although, definitely through your channels you will get a different impressions but especially when we are focusing on
21 solutions oriented as a cement an

d, therefore, for example, at least we have the strong brand equity and we are actually able to get the right price and we have also upped the price of our premium cement while you would also hear this positive from our sid e. So, I think, realization is better off only and it will remain better off for the leaders and those who are decisive in terms of providing high -quality premium cement and addressing the solutions. And with good investment on brand equity, I think, it is also seeing a good turn and volume moment.

- So, that is like my submission overall but we will see different views from different corners of the industry but I would refrain because sometimes we are no w following and bringing a good discipline in terms of adhering to the whole channel network and in terms of pricing and all. So, that will continue as a trend from our side.

- Ms. Rashi Chopra - Citigroup :

- So, just to understand this, are prices today better than what you expected in June?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- I would not say because that is like, again, I am saying June you have seen an improvement in prices and I can only say that our focus in terms of continuously addressing to the requirements of the customers is only going to help us and differentiate us be tter as compared to the industry in terms of prices. But I remain positive on demand and I remain positive on this factor also.

- Ms. Rashi Chopra - Citigroup :

- Got it. And just on the cash that you said ■3000 crores, this is on a consolidated basis including Orient, everything?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. Now, this call generally we always speak about consol because companies have their own MSAs and different companies are investing and they share the assets and also MSAs they always make sense to discuss consol.

- Ms. Rashi Chopra - Citigroup :

- So, on the cash balance of ■3000 crores it is possible to split it up between ACC and Ambuja and Orient?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

22 - I would say that as of now I do not have direct information but yes, it is broadly between like Ambuja and ACC you can say 60 -40 or 50 -50. So, that is the trend. Sanghi and Orient and Penna, for example, they would not have bearing the working capital beca use the cashflows have been used to make them debt free also, Rashi. Therefore, the major cash is lying with Ambuja and then ACC. So, that is like, for example, a broad split.

- So, Sanghi, Penna and Orient would not be sitting on that otherwise their minimum working capital.

- Ms. Rashi Chopra - Citigroup :

- Got it. Thank you.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Jashandeep Chadha from Nomura. Please go ahead.

- Mr. Jashandeep Chadha - Nomura :

- Yeah, hi. Thanks for the opportunity and congratulations on a good set of numbers, Sir. Sir, my first question is regarding the cost saving target, which we gave last year or maybe just last year of ■530 per tonne. I understand there are some consolidation costs and higher fixed costs because of the assets that you…(Audio lost)

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Jashandeep, we are not able to hear you.

- Ms. Nidhi - Moderator :

- Sir, the current participant has been disconnected from the line. Can we move to the next one?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yes, Ma'am, please move to the next one.

- Ms. Nidhi - Moderator :

- The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

- Ms. Jyoti Gupta - Nirmal Bang :

23 - Good evening, Sir. Good set of numbers.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Hi, Jyoti. Good evening.

- Ms. Jyoti Gupta - Nirmal Bang :

- I just wanted to understand what has been the contribution of South -based plants in terms of EBITDA per tonne? And since we

are expecting that the prices in the South will further strengthen, will that have a significant impact on our EBITDA per tonne?

- And the second part is that while we have taken an estimate of EBITDA per tonne improvement of almost like 530 till FY25 and I think this year alone from cost we should be somewhere, I mean, price increase should commensurate to the overall EBITDA per tonn e with cost. So, what is your sense that where should we end this year in terms of overall consol Ambuja's EBITDA per tonne?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you, Jyoti. Jyoti, as you know, South now we have a good large share. As part of my overall capacity almost 26% while West is 23%, which is disclosed on Slide#15 of my investor deck. Now, definitely South has been a good contributor for the June quar ter but South you know that how it works because of the excess capacity. Therefore, you cannot predict in South generally. But I am bullish with respect to demand and, therefore, I am also positive with respect to prices.

- I would not comment about the overall price expectations or the EBITDA expectations but I can only say that the EBITDA which we have highlighted and given and reported is what the EBITDA we are targeting to sustain and improve from here and, therefore, lik e both demand and prices I am positive. Giving specific numbers will not be possible and will also not be appropriate.

- Ms. Jyoti Gupta - Nirmal Bang :

- Okay. Thank you, Sir.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Jashandeep Chadha from Nomura. Please go ahead.

- Mr. Jashandeep Chadha - Nomura :

24 - Yeah. Hi, Sir. Am I audible now?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah, Jashandeep.

- -Mr. Jashandeep Chadha - Nomura :

- Yes, hi. Sir, sorry for that and congratulations on a good set of numbers. So, firstly, I want to ask about the cost saving, the target that we gave about ■530 per ton and I understand in the last few quarters there have been some consolidation costs becau se of the assets you have acquired. But if we want to do an apple to apple comparison from FY24 days, how much of the cost benefits would have come in based on the initiative that you have taken? And under what major hedge will those be? If you can give in sight on that, that would be great.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah. So, Jashandeep, you are right, the journey of ■530 continues. And if I have to give a broad range, we would have hit almost 35% -40% of that journey by now. So, let us say closer to ■200 a ton basically; ■175 -■200. Now, primarily, let us say power is one of the factors, with the green power. Second is now you will see on the fuel side, for example. And third is the logistics. These are like my primary and, of course, my raw material cost which we have sustained with advantage in terms of the long -term agreement on fly ash which we have entered into on a competitive bid basis with the group company and all. So, I think raw material we have sustained and from here onwards I am going to see improvement on raw material, continued improvement on the power a nd the efficiency of the power also and also the heat consumption while we will sustain and improve on the coal cost.

- These are like major factors and apart from that logistics cost. With every improvement and increase in my grinding capacity and location, therefore, my overall lead distance comes down. And we are also working on a few initiatives on EV and all which will actually bring down the overall PTPK. So, these are like broad numbers and, therefore, gives me much more high visibility to achieve. Even for the acquired assets, they will actually complement and help us to move on our Rs.530 reduction.

- So, I am quite bullish about that. And this quarter for example, which we had to fix some of the issues on the revenue par

t which we have done successfully and which we will see
a further improvement on that part with a more vibrant channel network and all and cost anyways remains our forte and focus. So, both will complement now to each other and, hence, my overall comfort to sustain and improve the EBITDA from here further is very high.

25 - Mr. Jashandeep Chadha :

- Understood, Sir. Just an extension to this before I ask my second question. On a consol basis does your Rs.530 target still is there? Why I am asking because when you gave this target, Orion was not in picture and now Orion comes in and I believe there wil l be some CapEx involved to bring it to Ambuja's cost structure. Just want to understand on a consolidated basis on the increased capacity is it still Rs.530 over FY24 days or the number has changed, the target has changed?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- No, it continues. So, even like, for example, when we had given the numbers, we had envisaged that there will be some acquisitions and all. Therefore, we will adhere to that number.

- Mr. Jashandeep Chadha :

- Understood. My second question is largely, Sir, I think I heard you…

- Ms. Nidhi - Moderator :

- Sir, sorry to interrupt but I request you to come back for the follow -up question.

- Thank you. The next question is from the line of Patanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Thank you for the opportunity. I have a couple of doubts. I do not know if I made a mistake but our 'Other expenses' on our presentation is mentioned 678 but there is a footnote that says excluding new assets and one -time gain. Could you quantify or mentio n whether these are like startup costs or something because of the integration of the new assets or what is the difference? Will it continue or is it a one -time expense?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, you are referring to the ‘Other expenses’, which is 678 versus 699 of March and 689 of June. Is that the numbers you are referring to?

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Yeah. Because if I take it on a reported cost basis it is 788 but in the presentation it is mentioned as 678. So, I think there is a delta of about ■110.

26 - Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Ya it is the one -time gain which was there in the previous year. So, we have actually put it/aligned with the comparison and, therefore, comparison on YoY basis is what we have done. And if you see the footnote also which is there, so it excludes the new assets and it also excludes the one -time gain of the previous year.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Okay. So, it will not be recurring, would that be your right understanding for this?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- That gain was not recurring. Therefore, it has been aligned .

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- No-no, the new asset cost . The new asset cost, it won't be recurring, right?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Yeah -yeah , that will not be recurring. That will not be recurring and, therefore, you will see now considerable improvement on these other expenses.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Okay. Sir, and just one last question . Like between ACC and Ambuja, why do we see such a big difference in profitability? Like given that this quarter south prices went up, ACC has better region presence in south and east but ACC still reported very weak numbers compared to Ambuja.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, Patanjali, thank you . But not very weak, for example. Let us say, yeah, ACC has its own and from beginning if you know, A, the advantage Ambuja has is with respect to the captive coal mine, while ACC is all third -party purchase. So, fuel b

ecomes an important
factor.

- Then in terms of the power cost also because of again the vintage and legacy of ACC, so therefore the power cost also , when I look at it, broadly in case of ACC, it is almost like ■6.10 per unit compared to when I look at Ambuja it is say ■5.30 and on overall it becomes say ■5.90 paisa. Then some of the efficiency investment which are in process but Ambuja has a higher WHRS factor, almost21 %, while in case of ACC the WHRS factor is say 14 %, one-fourth. So, there is a reason . Therefore , I said for ACC our p rimary efforts are to work
27 on the investments and the efficiencies gain on the cost and that will help us to bridge this gap of whatever ■300-■400 a ton and come to 4-digits sooner for ACC as well.

- Of course, the brand equity, the brand pool is now started giving us very good results and more so the ACC Gold, that is a block buster product in the industry in terms of the premium and, therefore, more and more focus on that will also help us to further improve the topline and the realization, which has happened in fact this quarter also. But this certain, which is like a time bridge, so investments are being done, they are in the plan and, therefore, this journey of cost improvement when we say it, it h as actually a significant improvement of cost journey for ACC.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Sir, I see a lot of spends being done for ACC in terms of market.

- Ms. Nidhi - Moderator :

- Sorry to interrupt but I request you to come back for the follow -up question.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- No, it is a continuation of the previous question, Ma'am. Sir, can I continue?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Nidhi, allow please. Yeah, Patanjali.

- Ms. Nidhi - Moderator :

- Yes.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Yes, Sir. So, we see a lot of brand spends, Sir, that is being done for ACC but the pricing gap between ACC and Ambuja is still pretty elevated. So, are we positioning the two brands slightly differently in the market or is there any other factor to it tha t I am missing out on?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Both the brands have a strong brand equity and both the strengths of the brand equity is leveraged very prominently now. So, there is no per se promoting differently but using their own advantages. So, in many pockets ACC has a better price compared to Ambu ja for the brand equity and in many pockets Ambuja has because they have their natural
28 strengths. For example, East and South is where ACC has been very dominant from past and North and West is where Ambuja has been very dominant from past and that continues.

- In fact, now with the synergy, the blend is actually helping us on an overall basis. So, please look it on an overall basis. And, of course, ACC, with its brand equity strength, it is getting the benefit. Therefore, my overall consol and also standalone AC C you will see a good improvement in the price per bag.

- Mr. Patanjali Srinivasan - Sundaram Mutual Fund :

- Sure, Sir. Thank you so much.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Sumangal Nivatia from Kotak Securities. Please go ahead.

- Mr. Sumangal Nivatia - Kotak Securities :

- Yeah. Thank you, Sir, for the chance. Most of the questions are answered. Sir, just one or two left. One on the next phase of expansion, which is 21 million tons, what is our preparedness? And, I mean, if you can give some color as per will it be largely g reenfield now given the brownfield phase is in the first phase? And also what are preferred locations?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, Sumangal, good question. Again, the 21 million which will be actually from FY27 -28 basically, lots of groundwork has been done. So, groundwork in terms of land, in terms of the overall approvals of CTOs, environmental, public hearings, for example, lot s of this groundwork has been done. And, therefore, it will not take more time when we actually start the project execution. And, therefore, preparatory civil work, basic civil work and pre-operating expenses and all, for example, in some of the sites have already started to happen, including appointment of the technical consultants and owners engineers and so and so forth. And importantly , in terms of our negotiations with the vendors as well , which is already at a very, very advanced level and you will hear positive developments on that front also , so that 20 million tons is also well on track and , therefore , very confident to achieve 140 by end of March ’28.

- Mr. Sumangal Nivatia - Kotak Securities :

- And, Sir, some color on which regions will be the priority there? Any geographical mix are we looking at?

29

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Primarily, I think we are like PAN India but if you be more specific then north you will see a good capacity , in center also you will see a couple of assets, then east already we have commissioned, therefore, for example, east have already seen those additions , couple of them in west. So , you will see actually . So, that will balance it out because right now in center we are, let's say, on a n overall basis 8% of my cement capacity . So, we'll see more of this balancing happening across these 5 regions of the country. So , it is not per se biased towards any particular belt.

- Mr. Sumangal Nivatia - Kotak Securities :

- Understood. Understood. Sir, for the JPA bid what would be a strategy in case we win for the non -core assets?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Sorry , I could not follow , Sumangal.

- Mr. Sumangal Nivatia - Kotak Securities :

- Sir, we, we are keen to acquire JPA through the NC LT, so what would be our strategy for the non -core assets which comes along with the cement assets there?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, Sumangal, basically as you know Adani Enterprises Limited as a company has actually applied for that and , therefore , would not be fair from my side to comment and, hence , cement and non -cement as a complete pack . It's AEL which is actually have applied for it , so I would refrain then anything further on that.

- Mr. Sumangal Nivatia - Kotak Securities :

- Okay. Thank you, Sir, for the clarification and all the best.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you, Sumanga l.

- Ms. Nidhi - Moderator :

- Thank you. The next question is from the line of Kunal Sh ah from DAM Capital. Please go ahead .

30

- Mr. Kunal Shah - DAM Capital :

- Yeah. Hi, Sir. Just one question from my end. So, just wanted to understand how is the brand integration process progressing in south, especially from Penna's plants? Like any positive or negative surprise there? And specifically , how is Ambuja's brand positioning in the trade channel in south?

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Very positive . Why Penna , in fact, now Orient also completely brand penetration has happened and migrated to Ambuja and ACC. So , both, for example, Penna and Orient have done very, very well. Dealers have received it very, very well. All the dealers have also got onboarded into Ambuja and ACC platforms. So , in terms of my overall volume improvement, for example, and when you see and obviously you can do an assessment because when I do the adjustment 13% is there and without adjustment almost say 20%. So, this 7 %-8% which has come from Orient also and Orient and Penna is nothing but coming from this integration and penetration of this brand of Ambuja and ACC and they have also helped us to improve with a better price realization. So , I'm very happy with this transition.

- Mr.

Kunal Shah - DAM Capital :

- Just clarifying this one thing, like geographies of north and west , where Ambuja is specifically A or A +, is it the same positioning in south also where, you know, Ambuja is not present like your AP, Telangana, Tamil Nadu? So , just wanted that bit clarity.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- So, yeah , I think from a positioning perspective, both Ambuja and ACC remain as a n A category brands PAN India, including south.

- Mr. Kunal Shah - DAM Capital :

- Understood. This is very helpful, Sir. Thanks a lot.

- Ms. Nidhi - Moderator :

- Thank you. Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to Mr. Deepak Balwani. Over to you, Sir.

- Mr. Deepak Balwani – Head Investor Relations , Ambuja Cements Ltd :

31 - Yeah , thank you. I trust that most questions have been addressed. Should you wish to discuss any outstanding query, we are available for a separate conversation from 5:20 pm to 5:45 pm today. You have my contact number , please free to call me. Thank you.

- Mr. Vinod Bahety - CEO, Ambuja Cements Ltd.:

- Thank you , Nidhi. Thank you very much. On behalf self and Rakesh, thank you all again.

- Mr. Rakesh :

- Thank you.

- Ms. Nidhi - Moderator :

- Thank you very much. On behalf of Prabhudas Lilladher Private Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

- END OF TRANSCRIPT

Call: Nov 2025

Corporate Office:
Adani Corporate House
Shantigram, S G Highway,
Khodiyar, Ahmedabad - 382 421
Gujarat, India
Tel +91 79 2656 5555

Registered Office
Orient Cement Limited
Unit VIII, Plot No 7,
Bhoinagar, Bhubaneshwar,
Orissa – 751012
www.orientcement.com
CIN: L26940OR2011PLC013933

November 8 , 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400001

Scrip Code: 535754 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051
Symbol: ORIENTCEM

Sub.: Transcript of Earning Call pertaining to the Unaudited Financial Results of the Company for the Quarter and Hal f Year ended 30
th September 2025

Dear Sirs/Madam,
In continuation of our letters dated 17th October 2025 and 3rd November 2025 regarding Analyst/Institutional call scheduled on 3rd November 2025, the transcript of the earnings conference call on the Unaudited Financial Results for the quarter and half year ended 30th September 2025 is uploaded on the website of the Company at www.orientcement.com. The said transcript is also attached herewith.
The Web link to access above transcript is as under: Analysts Meet | Orient Cement - The Leading Cement Manufacturer in India .
Kindly take the above on your record.
Thank ing you,
Yours Sincerely,
For Orient Cement Limited

Shrishti Jain
Company Secretary & Compliance Of■cer
Encl:. as above

Ambuja Cements , ACC Ltd, Orient Cement and Sanghi Industries
Q2FY26 Earnings Conference Call
November 03, 202 5

MANAGEMENT

MR. VINOD BAHETY
CHIEF EXECUTIVE OFFICER MR. RAKESH TIWARY
CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Ambuja Cement s Limited Q2 and FY 26 Earnings Conference Call, hosted by BNP Paribas Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nirransh Jain. Thank you, and over to you, sir.

Nirransh Jain: Yes. Thank you. Good evening, everyone. On behalf of BNP Paribas Securities India, we welcome you all to the Q2 FY '26 Earnings Call of Ambuja Cements Limited. Without any further delay, I'll hand over the call to Mr. Deepak Balwani, Head of Investor Relations. Over to you, sir.

Deepak Balwani: Okay, thank you. On behalf of Ambuja Cements, I'm pleased to welcome all the pa rticipants to our quarter 2 FY 26 earnings call. Before we start, please note that this call may include forward - looking statements based on our current beliefs and expectations. These are not guarantees of future performance and may involve unforeseen risks and uncertainty. We remain committed to furthe r strengthening our disclosure standards and improving the quality of our capital market communications to the be st in the industry.

What a quarterly performance! Existing capacities increased to 107 MTP A in quarter 2 with EBITDA reaching 1,060 PMT. The total target capacity is now set at 155 MTPA among other several notable updates. We are pleased to have with us on the call Mr. Vinod Bahety, Chief Executive Officer; and Mr. Rakesh Tiwary, Chief Financial Officer.

Now I invite Mr. Bahety to provide his valuable insights on the quarterly performance.

Vinod Bahety: Thank you, Deepak. Good afternoon. On my behalf and behalf of my management team, welcome to all joining us for this second quarter of FY '26 earnings call. Wishing you a very vibrant festive season, which has also got extended with our women in blue, winn ing the maiden ICC Cricket World Cup '25.

Likewise, trends, I'm equally jubilant to share the all -around robust performance of Ambuja Cements maintaining a strong momentum. This was driven by concerted branding, marketing and other initiatives thereby increasing our customers' preferences for prem ium products and a larger vibrancy amongst our dealers and supply chain partners.

This resulted in differentiated volume growth and improved realizations, thereby helping us achieve EBITDA of INR1,060 per metric ton, a jump of 32% Y -on-Y, while EBITDA margin stood at 19.2%, uptick of 4.5% compared to last year's of 14. 7%. This quarter has been noteworthy for the cement industry.

Despite the headwinds from the prolonged monsoons, the sector will benefit from the tailwinds of several favorable policy measures, including GST 2.0 reforms. Likewise, this quarter has been instrumental for Adani Cements. Our group synergies and efficiency measures have started yielding results. Total costs reduced by 5% Y -on-Y led by Kiln fuel cost at INR1.65 per 1,000 - kilo calories, and this is excluding the AFR.

If I include the AFR, it becomes INR1.60 per 1,000 -kilo calories. At INR1.65, excluding the AFR, it is lowest among the peers, and it is likely to sustain/further reduce with increasing trend of AFR. Exit of FY '26, we are targeting to deliver total cost of ~ INR4,000 per metric ton, which is 5% reduction from current levels of ~ INR4,200. The exit of September has been ~ INR4,200 cost per ton, which I'm targeting to deliver at INR4,000 by March '26.

Likewise, in FY '27, we aim for a 5% reduction and another 5% in FY '28. So, by end of March '27, we are aiming t

o hit INR3,800 a ton . And by end of March '28, it would be around another 5%, which will be INR3,650 per ton . Another important initiative we have launched during this quarter is the debottlenecking of our plants and the logistics infrastructure.

These debottlenecking initiatives across the plants will add 15 million tons in our capacity at a much lower capex of $48 per ton. And this capex is on an integrated investment basis. There

were some questions I want to clarify. This $48 per ton is on an integrated basis, which would be in a combination of GU and IU investments. This is the combined capex for clinkerization plus grinding, as I mentioned.
With this additional 15 million ton s, we now revise our target capacity from 140 to 155 by FY '28. Simultaneously, my clinker capacity also goes up from the current target of 84 million to almost 96 million tons by FY '28. In addition, friends, we have also initiated logistics debottlenecking and this will improve current capacity utilization by 3%, so which would mean that my current 107 million tons will have a better evacuation of 3 million tons. And this, we will achieve in over 24 months.
We are also installing 13 blenders at our plants over a period of 12 months, which will optimize the product mix and increase the share of premium cement, and thereby improving our overall realization. Very importantly, we have launched CINOC, C -I-N-O-C, C ement Intelligent Network Operations Center.
This will enable a paradigm shift across the business operations. AI will run deep into our enterprise fabric, bringing efficiency, productivity and deeper engagement with the stakeholders across the value chain. As a business, we are getting younger by the day with our average plant age falling by almost 50% by FY '28.
Our average age of employees has also substantially improved from where we started and now we stand at almost 38 years. Integration of Penna and Orient Cement has been of the fastest, I would say, wherein the entire sales, except the initial few days for O rient, otherwise, the entire sales has been under the Ambuja and ACC brands. This has been well received by the customers,

supply chain partners. This has also resulted into sharp improvement in the profitability of these companies.
Adani workplace management system has been institutionalized and helping to reinforce plant working conditions and overall help on reliability, environment, safety, quality, which we call it as a rescue program. We are also engaging and investing in R&D and technologies, which will provide an edge in our ESG scores improvements.
Such programs have also helped us in the past to provide cement for several marquee national projects, the most recently Navi Mumbai International Airport; a few months back, Chenab single -arch railway bridge; the upcoming world's tallest temple, amongst s o many other projects.
In terms of the consol financial performance, friends, I'm happy to share, we have achieved highest ever sales volume in Q2 series at 16.6 million tons, up 20% Y -on-Y, which is almost 5x higher in terms of the industry average, which has grew at the industry level, the 4%, we have grew 20% Y -o-Y. Market share is also up 1% to now 16.6%.
Revenue stands at INR9,174 crores, up 21% Y -on-Y, and there has been a price gain of 3%. This is also supported by share of premium products as a percentage of total trade sales at 35%. However, if I look at the expanded volume of the premium products on the larger capacity, t here is an overall growth of 28% Y -on-Y of sale of premium cement.
Cost has improved by INR238 per metric ton Y-on-Y. This has also supported in achieving the quarterly EBITDA of INR1,761 crores, which is up 58% Y -on-Y. Profit after tax is at INR2,302 crores, up 364%. And of course, you will have some or a few questions on onetime INR1,697 crores of pro

fit provision for the tax write -back and all, which I have already highlighted in more detail in the investor deck.
But even if I exclude that, there's a onetime substantial improvement on the profit after tax. Earnings per share is at INR7.2 per share for the quarter, which is up 267%. Net worth at INR69,493 crores, up INR3,057 crores for the quarter and company remains debt -free with highest rating of CRISIL AAA Stable and short -term A1 plus ratings, we have maintained that.
In the interest of time, friend s, I will not discuss the stand alone financial performance of the listed companies, as these details are already available on the stock exchanges. In terms of the operational excellence, Green Power shares has increased to 33% in second quarter, with renewable energy capacity at 673 megawatts expected to reach almost 900 -megawatt by the end of this financial year and 1,122 megawatts by FY '27.
We also strengthen the ecosystem engagement through collaborative efforts wi th CREDAI initiatives like Nirman U tsav. We launched the Adani Cement FutureX and which covers almost 400 academia, both schools and institutions over covering 4 lakh students. We deepened our B2B engagemen t with initiatives like Samvaad . Then we launched Dhanvarsha, the CEO Club platforms and some of this you -- some of you would have already experienced it.

Strategic partnership with CONCOR for the movement of the tank container it will support in terms of net zero emission commitments. And also, there will be opportunity of setting up the bulk cement terminals. In terms of my growth and expansion journey, friends, my current capacity stands at 107 million metric tons. And this is cement for so far as clinker is concerned, it is almost at 65 million metric tons.
The ratio is generally around 0.6% to 0.62% of the cement. Our FY '28 target, as I mentioned, has been revised to cement at 155 million tons and clinker almost at 96 million tons. This incremental 15 million tons, as I mentioned, comes from debottlenecking at a much lower capex on the integrated basis.
Greenfield and brownfield expansions progressing quite well at Salai Banwa, Marwar Mundwa -- sorry, Penna Marwar, Dahej, Kalamboli, B athinda, Jodhpur, Warisaliganj , all of them will be up and running by end of this financial year. Three of them will be coming in Q3, which is Salai Banwa, BCCI and one more, which is Dahej. And rest will be coming by end of this financial year.
Trial runs have started for the Bhatapara clinker line, which is 4 million tons. While I already announced the operation of Krishnapatnam 2 million tons of grinding unit, which takes up my capacity to 4 million tons at Krishnapatnam. We are adding so almost 11.2 million tons in FY '26, and we will be hitting almost 118 million tons by end of this year. By FY '27 and FY '28, we should be then in a good sh ape to achieve 155 million ton s.
For this disciplined capex management ensures timely execution, scale profitability, and the optimize of the operating leverage. On the cost leadership front, which is our key focus area and from the beginning, we have been highlighting this. Our cost has reduced by almost 5% Y -on-Y, primarily led by the kiln fuel cost. And I mentioned the numbers.
In terms of my second half, by end of this financial year, we should -- and we are actually aiming at almost INR4,000 a ton followed by INR3,800 and then INR3,650 by FY '28. Green Power share is up by 14.3% to almost 33% in Q2, and it is progressing very well. So, by FY '28 we should be hitting 60%, in line with our earlier announcements. This will help me to achieved almost INR1.5 per unit cost reduction from my current levels of INR6 to almost it should be hitting INR4.5 by FY '28.
The efficiency factors in terms of the kiln heat consumption and the power consumption are going to improve with the addi

tions of the new capacities which are with the latest technologies.
The Kiln fuel cost, including the AFR reduced by 2%, which I mentio ned to INR1.60 and so and so forth.
So, as far as logistics is concerned, logistics, the primary lead distance is down by, say, 2 -kilometer and now stands at 265 kms, and we're expecting another 50 -kilometer reduction as we expand our geography in terms of the GUs. For this quarter, logistic s cost has come down by almost 7% Y -on-Y at INR1,224.

CiNOC, which is a key subject which we are working in terms of digital transformation and that is something which I will invite some of you to actually experience it. Because that is instrumental in terms of bringing a paradigm shift in my day -to-day busin ess working, efficiency, transparency and real -time collaboration across the value chain with the stakeholders.
From the ESG leadership perspective, friends, we have noteworthy improvements right from SBTi validating us for the near term to long term and lots of developments are happening in this regard. I had mentioned earlier, we have signed an MOU with the Coolbr ook of Finland, and things are progressing quite well. We are water positive 12x on an annualized basis. Plastic negative and in terms of tree plantations and so on and so forth. Lots of works are going from an ESG perspective.
CCTS augurs very well given that the new capacities are very efficient one. Then, therefore, it will help me -- it will help the business in terms of generating positive carbon credit and which will be also incremental in terms of generating income as and when the overall model matures. As per my rough estimate, it should provide at least INR200 crores to INR225 crores additional income by virtue of positive Carbon Credit as and when this framework gets more mature. This has calculated at $8 to $10 per ton of the Carbon Credit.
So far as people at the core, we are actually building a future capability by blending the fresh talent with digital skills and a culture of ownership and continuous learning and empowering our people to deliver results. Lots of initiatives and actions are being done for community and social impact. We are also putting lots of efforts on brand and stakeholder engagement.
The Brand Track Research with IPSOS. IPSOS is the agency, and it has revealed -- recently the

report which has come, it has revealed quite positive trends in top -of-the-mind awareness and strong Adani brand association. By the way, some of you would know that now Adani brand has got shipped into our overall cement business, and it is giving us quite positive results.
And so, the synergies are really bringing that positive trend in the business. We have through digital and mass media, we have touched this almost 300 million individuals, pan -India. And the series of initiatives like Heroes of Adani, and so and so forth, for example, which are available on digital platforms. And I'm sure some of you have seen it, it brings quite stories of -- vibrant stories of our dealers and brings a very close emotional brands with -- connect with them.
Technical Services, which is like a very important focus area, which was initiated long back within, say, Ambuja and ACC, that is like seeing a very robust trend. And we have now, this year, 35,000 contractors enrolled, almost 14,000 sites, what we say, Ad ani certified technology sites, which actually uses -- purely are premium cement and these numbers are growing. And we do lots of workshops and lots of technical events.
On the industry outlook and my closing thought, friends, cement demand, I remain bullish. In Q2, although it was moderate and grew by -- at the industry level, say, 4%. But my overall yearly

target remains between 7% to 8%. GST reduction of -- from 28% to 18%, where all the be

nefits
have got passed to the customers.
And I'm sure this will bring more demand for especially good brands like Adani Cement and more so, the demand for the premium cement. There is an improved economic sentiments, higher investments in both public and private sector. And in summation, it augurs very well for the industry. I would now hand it over back to the moderator for the questions and answers. Over to you, BNP team. Thank you.
Moderator : Thank you, sir. Thank you very much. Ladies and gentlemen, we will now begin with the question and answer session. O ur first question comes from the line of Amit Murarka from Axis Capital.
Amit Murarka: Sir, the first question is on cost. So, while it's a great reduction in the cost. But just wanted to understand a bit more on other expenses. Because like usually like other expenses per ton as well are dropping in Q2 versus Q1 given that Q2 is a maintenance quarter. Just wanted to understand, like, is it like lower kiln maintenance has happened in Q2? Or is there some other factors like lower advertisement spend and all, which has driven dow n other expenses?
Vinod Bahety: No. So, Amit, thank you. So, you are referring to so far as other expenses of INR774 a ton versus INR712 a ton . And this primarily, Amit, no, of course, the kilns have gone through maintenance and the benefits of the -- this maintenance will actually come in the coming quarters. Costs, for example, remains a focus area for us, Amit. And therefore, this reduction of almost INR62 per ton comes from the improved synergies and efficiency gains.
In terms of -- we have also improved our overall sales promotion and marketing strategies with a very analytics -driven branding and sales promotion, which with the more effective media than the costly media. So, for example, you will see more of us into lo ts of digital and other footprints.
So, I would say that other expenses is a factor of all of these initiatives, but nothing to worry about any maintenances, et cetera, which have been underplayed in this quarter.
Amit Murarka: Okay. Sure. And just secondly, on the working capital, like your cash flow statement shows an increase of about INR2,000 crores in working capital in the 1H. And even earlier, like last year also, we saw some increases in working capital. So, just wanted to understand like, what is the reason for this increase? Is it like some receivables, some advances, what would rea lly are the reasons for this?
Vinod Bahety: So, yes, Amit, so far as Q2 is concerned, there are two factors. One is, yes, receivables, when you have a higher degree of sales on the non -trade side, and Q2 being generally subdued given the monsoon and all. This tends to increase your overall receivabl es to the B2B customers.
Second is the overall inventory. And somewhere you will find our response is that, there is a higher closing stock of both finished goods.

And also, when you said about maintenance, so a higher stock of the spares and consumables, which is there, for example. So, I have the numbers. But essentially, this year INR2,000 crores is a combination of these three factors. And then, what we have done is, as part of the mitigation, we have built up almost 2, 3 months of coal inventory. And if you see, this has moved very well in our favor.

So therefore, even for Q3, I'm optimistic to sustain the coal cost and remain the lowest cost on the kiln coal in the industry. Because of this inventory of coal also available to us, which is at a lower price. So, coal, finished goods inventory, then inventory of clinker, then inventory of stores and spares, and then, of course, receivables, which are also tends to go up when it comes to quarters like September. And then, these are like the factors, but I have a very strong improvements of plant in the Q3 on this front.
Amit Murarka: Understood. Thanks fo

r the elaborate response. And just a very last question on the debottlenecking. While the cement debottlenecking plant wise, I think is given in the presentation, you mentioned that there is clinker debottlenecking also. Can you provid e maybe further details on that as well as to which units will see the debottlenecking at clinker level?
Vinod Bahety: Yes, yes. So, like we will be setting up another three kilns, Amit, almost 12 million. So, earlier, we had given 80 million -- sorry,82 million -- sorry, it was 84 million tons for FY '28 target, if you remember. And now that 84 million is becoming 96 million. Generally, my kilns are 4 million tons. So, three more kilns will come up.
Broadly, I remember one is going to come up in Bhatapara itself. So, we have like two major blocks over there. One is the existing Bhatapara, and second is Chilhati, which is about, say, 25 -odd kilometers from Bhatapara. So, Chhattisgarh is like one area w hich we have sizable limestone reserves. We are going to look at that.
Then one more, for example, we have plans in terms of -- as we improve and progress is like Sanghi, which we will announce in due course. But these are like my low -- potentially low cost, Sanghi, for example, has all the potential to become one of the low est cost of clinker. So, it has all the good probability of me setting up clinker there.
Bhatapara, it has been our strength, and a few more, for example, which will come up. So, North and West primarily, for example, remains where we have a substantial strong advantage, and we have -- we have also seen a significant improvement in terms of ou r brand loyalty. These are like geographies, which we'll see these expansions coming up.
Moderator: Our next question comes from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Congratulations on a good set of numbers. Two questions. One is on debottlenecking. So, if my memory serves me right, under the previous management, we never really heard ACC Ambuja doing any sort of debottlenecking, while every other company would have th rived on this

opportunity. Now in the presentation, you've given 13 locations, whereas I believe you have 45, 46 locations in total. So, just wanted to understand...
Vinod Bahety: Navin, you're not audible, we lost you.
Moderator: Please go ahead with the question.
Navin Sahadeo: Sorry, I lost, again, and I'll just repeat the question. So, I'm saying that if my memory serves me right, historically or in the previous management, I mean to say, there was never a debottlenecking kind of a thing, which we heard from ACC and Ambuja. And now that we are hearing and congratulations for that. But my question is, it is at 13 locations.
So, is it fair to say that this is all that we have identified or given that we have 45, 46 locations, there is more scope. And in the same breath, you said we are adding new kiln -- new clinker lines altogether. So, this is not per se like debottlenecking of clinker in that sense. We'll be adding new clinker, whereas adding more mills to get cement capacity. If you could just help us understand this overall de bottlenecking, a bit of it?
Vinod Bahety: Yes. Thank you, Navin. I think, debottlenecking in cement, first of all, we should know that how it happens. So, like some of our plants which are having the roller press and with -- sorry, with some of these plants which have the ball mills, for example, you actually put up a roller press also, which will complement with this ball mills, and that actually helps you to have a higher grinding capacity. So, that is like a simplified way of explaining the debottlenecking.
Now, this is -- yes, we have identified 13 locations and which would mean that these 13 locations would have the ball mills and which would be complementing with the roller press. To your point of -- this is like our Phase

1, Navin, and which comprehensively covers it. But whether we will have more of them, yes, we will, I think, down the line. But right now, these are like low hanging fruits for us to immediately move on that.
So far as clinker is concerned, clinker for us, for example, we will keep adding it to also meet our expanding GUs and also these additional capacities of the debottlenecked assets. One -to-one mapping, you would not do, because these are like all phased ma nners. But suffice to say that we are now going to add up almost three more lines, which would take my clinkering to almost 96 million tons. And as I mentioned, that Bhatapara and Maratha will be commissioning

sooner. And Penna Marwar also will be commiss ioning sooner.
So this month, for example, we should be having light up of Penna Marwar as well. So, every passing quarter, we are seeing a good movement of clinker capacity additions also. So -- but what comes first, for example, that is like a complete detailed plannin g. We will be well balanced on clinker and GU at 155 million tons.
Yes, third, in the same brief, then I would say debottlenecking of logistics. Now this 3%, when we look at it, because we have the grinding, but sometimes the evacuation becomes a bottleneck

and therefore, this exercise, which has been done quite extensively through consultants and all. And this 3%, which will be straight 3 million tons of unlocking of capacity through logistics debottlenecking will get complementary to us.
I would say then when we say blenders and all, it is nothing but in a way, debottlenecking of the product portfolio, because otherwise, the silo storages and all are very that way like limited to any plant, you cannot have unlimited storages. And therefore, when you can have blenders and all, it will help us to have much more optimized product balancing and move into the premium cement.
All of this actually helps you to unfold the overall capacity. But clinical debottlenecking also will come through and for which we are actually doing studies around that. And I will come separately on that aspect. So, my current 65 million tons of clinker capacity, would definitely also have a scope for debottleneck. Yes?
Navin Sahadeo: Thank you for clarifying, because I just want other clarification I thought that existing clinker, you're saying there is scope to debottleneck in that as well?
Vinod Bahety: Yes. Navin, like, Sanghi at 6.5 million tons. Now, Sanghi, for example, the 6.5 million -- typically, these kind of plants always have a 5% to 10% of in -built cushion also, Navin, for example. And when I speak to my technical guys, they tell me that if things a ll go well, Sanghi can actually produce 7.5 million tons. So, I think in cement, the plants have inherent and intrinsic in-built capacity for debottlenecking. To start with, these are like low -hanging fruits for me on the grinding and cl inkering will also follow soon.
Navin Sahadeo: Understood. Sir, my second question then was on the maintenance cost. So, in the last couple of quarters, the other expenses was on the higher side and reason given was that acquired assets like, there is a higher maintenance for the acquired assets, so to say. Now in this quarter's press release, you have mentioned that these -- maintenance of these acquired assets is largely completed.
Now what I wanted to understand from you is that given the backdrop of digitalization or AI integration and also the overall like modernization initiatives that the company was taking. Will this other expenditure continue to be on the higher side or this i s where we can say that it has peaked out and now it will taper down from here on?
Vinod Bahety: Thank you. I won't say this picked out, because the digital initiatives have to step in, Navin. In terms of, let us say, the operating leverage benefit will surely help you to

get the benefit in the
coming quarters. So, when it comes to utilization of Penn a or Sanghi, for example, which are still lower as compared to our estimates, for example, and therefore, the benefits will surely flow in.
But that is the advantage of the operating leverage. But so far as technology is concerned, and that is where comprehensively, we are doing at the plant level and at the business level, those,

for example, will step in maybe at least 2 quarters, I will require to bring a strong revamping of the foundation and then put on the additional layers of the AIs and all platforms.
So, like these initiatives have been launched, they will bring marginal improvements apart from the operating leverages, which I mentioned. But the real improvements will begin from the next financial year. However, my optimism for INR4,000 a ton by end of this financial year remains there in terms of the overall total project cost.
Moderator: Our next question comes from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta: A few questions. So first, continuing on the previous question, you reported around INR70-odd per ton of additional cost on back of both sales promotion. And second, on maintenance. Now how much of this 70 -odd would continue over the next two quarters? So that's my first question ?
Vinod Bahety: Yes. Rahul, INR70 per ton will proceed now with improved volumes coming from some of these acquired assets. And because we are doing it in a very systematic manner. And therefore, some

of the time which -- some of these assets, for example, Penna and Sanghi have taken, now that investments have gone, results will start flowing in. So, far as the brand is concerned, see, that is like a very continuous exercise.
And therefore, you will see more benefits coming from it with a higher share of premium cement. So even, for example, when I say that this will be maintained, sustained and improve in terms of cost for marketing and sales promotion. But the delta effect, for example, when I look at it, it is far, far superior.
The Y -o-Y growth of 20% volume, for example, or even if I remove the acquired assets, the Y -on-Y growth becomes 11%, which outbeat the industry in all means. And that is actually, for example, I would not be so concerned about that. I would be rather looki ng at how it is helping in my overall metrices of revenue and the overall EBITDA and the premium cement so and so forth. So, the opex part for the maintenance will now be controlled, sustained and reduced with the benefits of the improved capacity utilizat ion for the acquired assets.
Rahul Gupta: Got it. My second question is, just help me understand, it's more like a clarification. When you say that you would exit the year with INR4,000 per ton of cost, is it fourth quarter end? Is it March end? Can you help us understand that? And secondly, when you say INR3,650 by fiscal '28, is it the full year or March '28 o r is it a fourth quarter March '28? Any clarification over here would be very helpful?
Vinod Bahety: Rahul, I would say, pick it as March. So, like INR4,000 is exit of FY '26. Therefore, pick it as March '26, likewise, March '27 and then March '28.
Rahul Gupta: Got it. Got it. One final question is, your RMC business is ramping up quite fast. If I look at the numbers, fiscal '25, share of RMC was more like 4% in overall revenues. This has become around 4.5% in first half. How should we look at this business from second half perspective and

next couple of years' perspective? At what level share of RMC revenues would s tabilize? That's it from my end?
Vinod Bahety: Good observation, Rahul. So, like RMX is building up quite well for us. And on a full -blow basis, let us say, FY '28, and when I say in terms of my cement consumption in RMX, which will giv

e you that glimpse, it would be around, say, ballpark around 5%. So ,5% of my full -blow capacity of cement RMX will consume, almost we are targeting 365 -odd RMX plants in next couple of years. And good thing is now RMX has also built up quite well on the EBITDA margin as well. So, yes, around 5% by FY '28 fo r the cement consumption in RMX.
Rahul Gupta: And how much does it reflect into your revenues, if you can help us understand?
Vinod Bahety: In terms of revenue, I think...
Rahul Gupta: Or let me put -- let me ask this way. What would be the cement consumption of RMC right now?
Vinod Bahety: Cement consumption of RMC is quite, right now, around between, say to, around 2% odd. And as I said, this is ramping up to go up to 5%.
Rahul Gupta: Okay. Got it. Thank you so much.
Moderator: Our next question comes from the line of Mani sh Somaiya from Cantor Fitzgerald & Company.
Mani sh Somaiya: Congratulations again on a good set of numbers. There's been a lot of discussion about costs, and maybe I'll switch to volume growth. I think you had 20% volume growth in the latest quarter. And obviously, the industry is growing at much less. My question is, how sustainable is this growth? And then secondly, as you sort of go upmarket, go more premium, how are you balancing pricing and volume?
Vinod Bahety: Thank you, Manish. A very interesting question. I would go with the last quarter and the current quarter trend, Manish. Last quarter also, we delivered 20% year -on-year and this quarter also 20% year -on-year. Now in terms of sustainability, I think quite bullish to achieve double -digit growth may not be 20% when the acquired assets mature a nd therefore, the base goes up. But surely double -digit growth is what we are targeting on strength of the strong brands what we have with top of it, now the Adani brand also getting shipped into it. So far as the whole structure, when it comes to premium cement versus the overall volume growth, Manish, that will get very well balanced out.
And there, for example, we are looking at both the market share on one side and also the proportion of the growth of our premium cement, both will go very well. And we'll see a good level of progression. And I will be looking at double -digit growth for next many quarters from here. With the kind of capacity expenses and what we have, already planned.

Now for example, from 107 million tons, we are growing to 118 million ton s by end of this financial year, then almost like around 130 million, 135 million tons by FY '27 and 155 million tons by FY '28. So, the capacity itself is growing by almost 10% to 15% every year. Therefore, I'm bullish about double -digit growth.
Mani sh Somaiya: My second question is, as you talk about the integration of Orient, Penna, Sanghi, how should we think about volume growth, margin growth, and market share growth over the next, call it, 12 to 15 months? If you can help us understan d, that would be really helpful?
Vinod Bahety: Very interesting. Thank you again, Manish. See, I also highlighted, excluding the acquired assets, my EBITDA is almost at the base capacity at around almost INR1,189 per metric ton. But with the acquired assets, which have -- which are right now giving me lower EBITDA. So, let us say, the EBITDAs for Penna and Sanghi, for example, although there's an MSA and all. But with the capacity utilization improvement, they should also get cl oser to the current levels. And even if I expect it to achieve 4 digits, we see a very healthy improvement in terms of the EBITDA to sustain 4 digits and then to grow from there. And target of FY '28, we had given our aim to achieve INR1,500 EBITDA. And that is where, for example, these acquired assets will mature apart from all our initiatives on the efficiency on the debottlenecking on the Green Power and so on and so forth.
Th

at also, for example, entire table, which we have given in the Investor Day, the journey of a reduction of INR400 of cost and this INR400 is from my exit of March. So, like INR4,000 exit of March minus INR400, INR3,600 is what for example, INR3,650 will actually come in. So, EBITDA, I'm optimistic to achieve for this acquired assets also healthier and now that investments have gone into the maintenance and all.
And there's also very good uptick in the demand in those clusters, for example, we are seeing a very healthy uptick of demand in the Western market where Sanghi is there. We are seeing a very positive uptick of demand in the southern markets, for example, where Penna assets are there. And of course, Orient caters to West as well as to South, but primarily to West, which is again a very healthy, high contribution, high EBITD A market like Mumbai.
So, I think acquired assets are doing -- Orient has got one of the best like profitability and all within a short period of time and Penna has also picked up quite well. Sanghi is now going to swing into a very substantial positive zone from this Q3 in ter ms of capacity and therefore, like from overall performances. I hope I've addressed your point, Manish, on both EBITDA and then the capacity in the acquired assets.
Moderator: Our next question comes from the line of Raashi from Citigroup.
Raashi : Just a couple of questions. On the balance sheet, you did talk about the working capital. Could you just give the bridge of the cash reduction from June until September?

Vinod Bahety: From June to September, Raashi, for example, I have in the investor deck given you that the bridge from March to September, right? March to September. So, if -- can I just refer to the particular page, particular -- yes. So, if you go to the slide number -- this slide is right? Slide 37. If you please go to the Slide number 37, Raashi, over there, there's a bridge in terms of the starting point, which is INR10,125 crores and the closing cash of September, which is INR1,813 crores. In between June, there was this INR2,971 crores and there is this capital market event of acquisition of INR5,910 cr of Orient. And then there's a whole lot of investment activities of capex programs and likewise. So -- but if you have any specific details on this Slid e number 37, I will be happy to answer. But this bridge is there in terms of cash flow.
Raashi : I just wanted to understand INR2,971 crores to INR1,813 crores ?
Vinod Bahety: INR2,971 crores to INR1,813 crores. Okay. Give me one -- a minute more. But if you can come up with your next question, and I will just dig on those details.
Raashi : So, the overall utilization was how much in this quarter?
Vinod Bahety: Utilization of capacity?
Raashi: Yes. Including all your acquired assets.
Vinod Bahety: So, including all the acquired assets on a consol basis, Raashi, it will be around 65% to 67%. And of course, therefore, I have the benefit of to improve it further. Even at 65%, for example, we are in the volume numbers and the advantage of operating leve rage will flow in for the coming quarters. Yes. So, it's around 65% to 67%.
Raashi: Also, like you mentioned that Penna was there in last year only for 45 days. And Orient was not in the base. So, if I were to exclude both these, would you have grown in line with the market? Or would you have gained market share this year, this quarter?
Vinod Bahety: I would have grown almost, Raashi, 2.5x better than market. Industry average at 4% growth without Orient and Penna, I would be at 11% growth.
Raashi: Okay. If I take Penna for 45 days and no Orient, it's a 11%?

Vinod Bahety: Yes.
Raashi: Got it. And just, sorry, one more question. On the clinker expansion that you're talking about from 84 million to 96 million tons. Is this -- do you have a breakup of...
Vinod Bahety: Raashi

, not able to hear you, please? Can you just repeat.

Raashi: Sure. The cement expansion, you've given us, the debottlenecking expansion. The clinker debottlenecking that you were talking about is the 12 million tons, that's 84 million going to 96 million. Any of this is in ACC or the whole thing is going to be in Ambuja?
Vinod Bahety: That is not debottlenecking, Raashi. I told debottlenecking on the clinker will come out with more comprehensive separately. That was for the incremental lines which I mentioned to Navin.
Raashi: Okay. Alright. Those are my question. Got it. So, for debottlenecking -- sorry.
Vinod Bahety: No, okay. You continue, then I would respond on your cash and the difference between .
Raashi: Yes. So, just if I can just -- if you could just repeat the clinker expansion. So, we're going to get with 73 million tons of clinker by FY '26, right? By the close of FY '26. And then, what are the next steps from there? 73 million goes to?
Vinod Bahety: That is true. 73 million goes to almost -- now FY '28 numbers will go to around 96 million. And in between FY '27, I will just let you know. But coming to your -- like just give me FY '27 clicker. And so far as, because you'll have Marwar and all, so anoth er you put, say, two -- 8 million tons in between. So from 73 million becomes 81 million and from 81 million, it becomes 96 million, Raashi. This is the journey.
So, far as cash and cash equivalent is concerned from INR2,971 crores, majorly it is going in terms of the capex program. Almost INR1,400 crores is actually from capex program with respect to all these ongoing capex. So, which are going to get commissioned in Q3 and some of it is going to get commissioned in Q4.
Raashi : Got it. So, INR1,400 crore s was the capex in the second quarter and INR2,800 crore s is for the first half, the capex?
Vinod Bahety: Yes. So, my hit rate for -- average hit rate for the quarter is almost INR2,000 -odd crores. And we hit almost INR8,000 crores of capex program in a year. So, that is right.
Moderator: Our next question comes from the line of Ritesh Shah from Investec.
Ritesh Shah: First question, three parts. Sir, somewhere in the mail, we have written that we will be adopting latest technology on new capacities. And it will improve operational efficiencies. And also it will reduce the average age of plants by 40%. Sir, how should w e read into this? One is, if you could elaborate on the technology.
The second is on the operational efficiency, what you indicate on heat and power, if you could quantify something? And third, basically, I presume average age of plants, that's only because of the new assets, nothing to do with the old assets? If at all with the old assets, would we need to reassess the residual life of the plant and hence, also depreciation going forw ard?

Vinod Bahety: Ritesh, one by one. Let's -- first, your question is in terms of the efficiency. These technologies, for example, when we say latest technologies, they are all like the 4 million tons of clinker, for example, when you look at that, the heat factor, the heat consumption comes to almost 680 -kilo calories, yes?
And compared to that, for example, the existing heat consumption is almost like around 730 kilos to 740 kilos. Now that straight away, for example, this new clinkering lines will give the benefit in terms of the averaging the heat consumption. When it comes to power consumption, I'm aware of that our power consumption is slightly higher than the industry leaders and peers. And that is where precisely we have an advantage to catch up on that. Typically, for example, if the current consumption is upwards of 60 units on an average, the latest assets -- basically overall, say, investments, they will bring -- the new assets will come at less t

han 50 units per ton
of, say, clinker.
Now -- and effectively, when you look at composite basis also, both cement and clinker, it will come down substantially. So nothing, for example, the only thing is when you add up the new investments, new assets, it will help us to improve the overall aver age of new plus existing ones. So that is like where, for example, we see a good advantage what we have. Despite a little old assets or higher average age, our current performance, therefore, has to be looked upon in that

context. And then the improvement plan has to be seen in that con text. That scope for us to improve. And hence, I this time mentioned, 40% reduction which happens in my overall average age by FY '28 when we go for these expansion plants.

You've had a couple of other questions, Ritesh. So therefore, for the journey of this INR400 a turn, you will find INR250 in terms of power and fuel. And these are like factors of consumption apart from mitigating in terms of the rate and all, which we have demonstrated.What is your second question, Ritesh, I'm missing that.

Ritesh Shah: Sir, just a related question. So would we look to reassess the useful life of the assets that we have after the debottlenecking and equipment upgrades that we are doing?

Vinod Bahety: No. So, we have done that, Ritesh. I think, one or two assets, for example, we will look at mothballing and I will separately share with you the details -- with all of you separately with the details, but that is like insignificant in the overall scheme of things. So, for example, we constantly do that in context of the market share and the overall additions of the new assets.

So, as and when the new assets keep adding it, we will look at the -- some of the variable assets in terms of mothballing, and then look for another level of expansion programs in those areas.

Yes? But for right now, all my assets are up and running.

Ritesh Shah: Sure, sir. This is quite useful.

Vinod Bahety: For Wadi, we have -- for Wadi, the line number 1, for example, I did mention to all of you before, w e have stopped using Wadi line number 1, but that doesn't really affect any kind of a source of clinker, et cetera, because that was pretty, pretty old, and we have dismantled it.

Ritesh Shah: Sure. Sir, second is just to have the comfort on the timelines for the commissioning. Because when we look at one of the slides, what we just -- when we compare it with the prior quarter, we find six of the projects, there is a dela y of a quarter. This includes B athinda, Bhatapara, Maratha, Salai Banwa, Jodhpur, Krishnapatnam. Sir , how should we read into this o r is it something like, it will come on the revised timelines. Sir, how should one get more confidence over here, please?

Vinod Bahety: Again, for example, you have torrential rains and you have, what say, flood -like situations across many parts of the country. And therefore, for example, some of this has become a result of some of the factors of delays. But generally, like, for example, w hen I, for example, say anything operational, I look at commercial operationalizing of the plant more than basically trial run and all.

Therefore, for example, you will find meaningful outcomes of all this, for example, ongoing when the commercial production will start, definitely before the Q4 and start giving us the benefits. So, some of them are seeing at different stages of their pre -trials and all. And the trials will commence and then commercials will start coming in. So, I don't see any unreasonable delay. These are all part and parcel of the situations when you have rains and other issues.

Ritesh Shah: All right. Sir, if I can squeeze in one. Sir, you gave a very interesting data point that the average age has reduced by -- it has reduced to 38 years. Sir, how are you reading into this particular number ? Like is

it natural attrition o r is it hiring younger workforce. How do you map it with the productivity of the firm? How are you looking at this number?

Vinod Bahety: This is important. This, I would love to answer this. I think, what we have done is now, we kind of hire program, for example. So, we have hired almost 1,300 GTs and DTs and who are going through a very well structured program of training almost by end of this year, they will complete 1 year. And they will be available in terms of absorption, right, number one.

I think we are putting a lot of good focus in terms of the holistic training across our -- the various functions in the entire business. I see productivity has been improving substantially. And on top of it, when you put the layer of technology.

Therefore, for example, if you look at the HR cost per ton of cement, you will find Adani Cement HR cost is one of the most efficient compared to my peers and all. And I think the productivity will further improve once the digitization will ship in on a full -fledged basis.

Moderator: Our next question comes from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: Sir, Congrats, sir, on a good set of numbers. I just have a couple of doubts. One is we have done a very good job in ramping up our capacity from the time we've acquired assets, and we are

going towards the cost reduction journey. What is be hurry for us to expand very fast given that we are in a very good position where we are and our utilizations slightly dropping because of this?

Vinod Bahety: Okay. Pathanjali, thank you. I think you have a right observation in terms of the growth what we have achieved from 67.5 million when we acquired in September '22 to now 107 million. So, almost like 1 million tons per month is what we have grown. But in terms of ramp -up, I think from beginning on first day of the board meeting we have announced, we will go up to 140 million tons, and we are well on our journey to achieve that. There is quite organized and well - articulated strategy around that.
What we have now just added is this 15 million tons of debottlenecking, which will take me to INR155 million. And again, this will substantially help me in terms of the overall efficiency and advantage of operating leverage. So far as capacity utilization is concerned, I don't think that is a concern so far as brands like Adani Cement, Ambuja and ACC is concerned.
I think, from a capacity pricing perspective, we have more have been spending time in terms of the reliability of the machines, especially for the acquired assets post our Ambuja and ACC, more so like Sanghi and Penna, for example. And therefore, I told you, Sanghi will have a sizable uptick in terms of capacity, so is Penna in coming quarters. And I'm quite optimistic on this part. So, I think our share of market will continue to go up.
As of now, this quarter, we have increased by 1%, and our target is to hit almost 20% to 22% by FY '28, and this will continue on support of a very strong supply chain. For example, right now, we are having almost 29,000 dealers, more than 50,000, 60,000 r etailers and almost 7 lakh contractors. They're all, for example, quite bullishly looking at the business and the business prospects on the strength of Adani Ambuja and Adani ACC.
Pathanjali Srinivasan: Sure, sir. And just one last question, slightly arithmetic. So, our consolidated EBITDA per ton is INR1,060. Stand -alone level, I think it's INR708 for Ambuja. ACC is around INR900. How - - can you explain the bridge between this? Does this mean that because of the MSA, we get better profits at consol level? Is that the right understanding of the numbers?
Vinod Bahety: That is true. That is true, Pathanjali. Because, when you -- even that therefore, like look at the volume, you'll find individual companies will add up. If

you simple add up, the volume will be higher. But when it comes to consol, the volumes get lower. Be cause in consol, the inter sale between the companies gets knocked off. And hence, this happens from arithmetic perspective.
Pathanjali Srinivasan: Okay. So what would be the utilization at these assets, acquired assets, roughly?
Vinod Bahety: See, my base capacity assets are at a very good utilization factor of upwards of 75%. And my acquired assets will vary. Therefore, for example, Orient is at a healthy level. It's of the Western markets and more so Bombay and all. Penna is southern market, therefore, gets influenced with the typic al trends of Southern industry.

And Sanghi, for example, being a coast -based plant and having torrential rains and all for Q2, I would not say that it will be reflective of its trend, but Sanghi should now be moving around in the range of 65%, 70% in Q3 and Q4.
Pathanjali Srinivasan : Got it, sir. Thank you.
Moderator: Thank you, sir. Ladies and gentlemen, due to the time constraint, that was the last question for today. I would now like to hand the conference over to Mr. Deepak Balwani for his closing comments. Thank you and over to you, sir.
Deepak Balwani: Thank you. I trust m ost questions have been addressed. Should you wish to discuss any outstanding query, we are available for a separate conversation from 5:15 PM to 5:45 PM. You have my contact number, please free to call me. Thank you.
Moderator: Thank you so much. O n behalf of BNP Paribas, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you, team. Have a great day ahead.

Note: This transcript has been edited to improve readability
Ambuja Cements Ltd
Registered office: Adani Corporate House Shantigram, S.G. Highway Khodiyar, Ahmedabad – 382 421 Gujarat, India
Ph +91 79-2555 5555 ; www.ambujacement.com; CIN: L26942GJ1981PLC004717
-- ------------------------

Call: Feb 2026

Orient Cement Limited
Registered Office
Adani Corporate House
Shantigram, S.G. Highway, Khodiyar,
Near Vaishnodevi Circle,
Ahmedabad – 382421, Gujarat, India
Ph. +91 79 -2656 5555
www.orientcement.com
CIN: L26940GJ2011PLC171878

February 04, 2026

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400001

Scrip Code: 535754 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051

Symbol: ORIENTCEM

Sub.: Transcript of Earning Call pertaining to the Unaudited Financial Results of the Company for the Quarter and nine months ended December 31, 2025.

Dear Sirs/Madam,
In continuation of our letters dated January 13, 2026 , and January 30, 2026, regarding Analyst/Institutional call scheduled on January 30, 2026 , the transcript of the earnings conference call on the Unaudited Financial Results for the quarter and nine months ended December 31, 2025, is uploaded on the website of the Company at www.orientcement.com . The said transcript is also attached herewith.
The Web link to access above transcript is as under:
Analysts Meet | Orient Cement - The Leading Cement Manufacturer in India.
Kindly take the above on your record.
Thanking you,
Yours Sincerely,
For Orient Cement Limited

Vaibhav Dixit
Wholetime Director & CEO
DIN: 09085118

Encl:. As above

Ambuja Cements, ACC Ltd, Orient Cement and Sanghi Industries
Q3 FY '2 6 Earnings Call
January 30 , 202 6

MANAGEMENT

MR. VINOD BAHETY
CHIEF EXECUTIVE OFFICER MR. ROHIT SONI
CHIEF FINANCIAL OFFICER
MR. DEEPAK BALWANI – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Ambuja Cements Limited Q3 FY '26 Earnings Conference Call hosted by Antique Stockbroking. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krupal Maniar from Antique Stockbroking. Thank you, and over to you.

Krupal Maniar : Thank you, Iqra. Good evening, and a warm welcome to everyone. On behalf of Antique Stockbroking, we welcome you all to the third quarter FY '26 earnings call of Ambuja Cements Limited.

I will now hand over the call to Mr. Deepak Balwani, Head of Investor Relations. Thanks, and over to you, sir.

Deepak Balwani : Thank you. On behalf of Ambuja Cements , I'm pleased to welcome all the participants to our quarter 3 FY '26 earnings call. Ambuja Cements Limited is part of the diversified Adani portfolio and the world's ninth largest building material solutions company. Before we start, please note that this call may include forward -looking statements based on our current beliefs and expectations. These a re not guarantees of future performance and may involve unforeseen risks and uncertainty.

We are pleased to have with us on the call Mr. Vinod Bahety, Chief Executive Officer; and Mr. Rohit Soni, Chief Financial Officer. Now I invite Mr. Vinod Bahety to provide his valuable insights on the quarterly performance.

Vinod Bahety : Thank you, Deepak. Good evening, and a warm welcome to everyone joining us for the third quarter results of FY '26. This has been our decisive and strategically important quarter for Ambuja Cements . We delivered industry -leading performance, growing our volumes at 2x the industry average. This was supported by stronger market execution, improved availability across both trade and non -trade channels and higher base capacity utilization.

Our actions on premiumization and mix improvement helped us capture significantly higher market share, better realization than the peers and thereby reinforcing our leadership position.

The operating environment remained favorable throughout the quarter. Cement demand growth was driven by infrastructure activity, sustained housing demand and a recovery in the rural construction after a favorable monsoon. Our defining development this quar ter has been the proposed amalgamation of ACC and Orient Cement with Ambuja Cements . This marks the beginning of a unified One Cement Platform that will accelerate our growth trajectory, support EBITDA expansion, strengthen operational excellence leverage , improve logistics density and enhance capital efficiency.

We see this driving long -term value creation over the next 24 to 36 months. Regulatory approvals are progressing quite well. We are seeing an early operational success across the acquired assets, the capacity utilization for the quarter improved meaningful ly for the acquired assets at 58%, improvement of 21% compared to the previous -- to the last year Y -on-Y, which was at 37%. Utilization had further improved -- the exit of December, by the way, is 65%, although my quarter average is 58% for the acquired assets, but the exit is at 65%. And we are confident and looking forward to achieve almost 80% on these acquired assets.

These outcomes reflect disciplined execution of our integration and optimization playbook.

Pricing has entered January on firmer ground as we are seeing a similar uptick in price in January, along with double -digit volume growth. Southern markets are leadi ng increases in the range of INR15 to INR2

0 for non -trade, while the Northern market has witnessed price increase in the range of INR5 to INR10 in non -trade range. Importantly, these hikes have helped making a departure from the rollback -prone patterns of the previous years. With a comprehensive focus on value and market share, realizations improved INR5 per bag as compared to last year.

Trade pricing continues to outperform non -trade with gaps widening up to INR31 per bag as non-trade remains more sensitive to the infra -led offtake and seasonal disruptions. On capacity, we commissioned 2.4 million tons of Marwar Grinding Unit ahead of the schedule. With this addition, our total capacity now stands at 109 million tons per annum. We were looking earlier at 120 million tons in FY '26. 2 million tons of Sindri and Jamul has also been included here in addition to our 118 million tons of target , but the Warisaliganj commissioning is now scheduled for first quarter of '27.

So there is a delay of 3 months in Warisaliganj such that now we will be exiting March at 115 million tons as compared to earlier 118 million tons. Alongside this, we are unlocking an additional 15 million tons of debottlenecking capacity at lower capex cost. These initiatives will provide a clear and capital -efficient pathway to reach our aim of hitting 155 million tons by March of '28, which will position us strongly for sustained growth.

Premiumization continues to be a powerful value driver for us. Premium cement volumes accounted for 35% of the trade sales. And in absolute terms, it increased 31% compared to last year, amongst the highest in the industry.

Ambuja Kawach and ACC Gold, they remain our blockbuster premium cement products under the super premium segment. And GST reduction only has helped in terms of shifting of the consumer preference towards the higher -quality performance -driven products.

Cost leadership remains a key strategic advantage, although I'm sure you have seen that in this quarter, my costs have gone up, and you would be keen to know about the reasons, but I can only give in more details when I come to the cost part. But we have d elivered visible Y -o-Y reductions across the value chain. Kiln fuel cost declined by 6%, power cost reduced 15%, green power share increased by 15% to now 37% and logistics costs reduced by 1%. Our narrative on reaching INR3,650 per ton of cost by March ' 28 continues.

A little bit more on the cost so that while our December quarter comes at INR4,500 a ton as compared to our September quarter, it is almost INR250 hike. In the -- right in the beginning, I can highlight that these are like specific onetime expenses because my exit of December is below INR4,000 December month. So that this INR4,500, I would say, is an aberration of one of these initiatives. For example, the brand transition, the B2B and the B2C segment. As you know, that we have introduced and more larger a mplification of Adani Cement brand.

We have also done a substantial overhauling of the assets of Sanghi, Penna, which has seen a significant capacity improvement. I must also tell you that Sanghi is now operating. The December month exit is almost at, for clinker, 80%; and for cement, 65%. P enna is also showing a very healthy improvement in the capacity utilization. There were 1 or 2 plants which had some unfortunate equipment failures and one of them was Tandur for the Penna and Jamul for ACC. But these are like under now going to be operational very soon. So these are like expenditures which have come in terms of the quarter, but this will not be there for the March quarter. Therefore, exit of December already, as I said, we are below INR4,000 a ton.

Coming back to my commentary, our renewable energy footprint now stands at almost 900 megawatts, strengthening both sustainability and cost resilience. The real benefits of this 900 -megawatt trends will come in coming quarters because many of this power as of now, I'm selling in the market because it will require certain approvals in terms of consumption at my site, but that will happen very soon. And therefore, the benefit will significantly come in the coming quarters. But the good thing is these assets a re operational, and I'm able to sell this power in the market.

We expect to reach 1,122 megawatts by FY '27, providing this long -term insulation in terms of the energy price volatility. This green power, when I consume captively, as I said, it will significantly improve my overall power cost per unit. As of now, I can tell you it is almost closer to INR6.1 per unit (excluding green power sale) . When I look at the competition, they have an advantage over there, but that advantage will sooner come to Adani Cement once this is fully operational and we are able to consume it.

Digital intelligence continues to be central to our operating model. We have launched CiNOC, Cement Intelligent Network Operations Center, which is AI -enabled central control system. Lots of applications, user interfaces, simplified apps and smart tabs hav e been given to our people. And I strongly believe that this will be a game changer and will bring substantial efficiency and productivity with power of analytics to the cement business. Both IT and OT will have a significant improvement.

Our ecosystem continues to deepen our execution advantage. We expanded engagement across the priority industry platforms. You are all aware of our engagement with CREDAI, BAI, NAREDCO, Institute of Town Planning, amongst many. These are like first of its k ind institutional partnerships which we have initiated in the last 9 months, and they are giving us significant results. On -ground programs and brand activations continue to build trust in our product quality and services.

FutureX, which now engages almost 750 -plus institutions. Some of you would know that we launched this program on 15th of September, which is turned out to be the largest industry academy initiative. Almost now it encompasses 1.3 million students, which wil l give us a significant advantage to bring the synergies of academia with the industry apart from getting the mind share and market share.

In terms of the consolidated financial performance, we delivered a strong performance this quarter, supported by higher volumes, improved realizations and discipline on the cost, although as I said, the December month has been a significant improvement and which will percolate down to March quarter as well.

We reported our highest ever quarterly sales volume at almost 18.9 million tons, up 17% and the market share improved to 16.6%. By the way, we have been giving a consistent double -digit volume growth for the last 9 months. So even if you look at my 9 months volume growth, it is in the range of almost 19%.

On a normalized basis, we achieved the highest quarterly revenue at INR10,277 crores in the third series of the year, Q3, up 20% supported by INR5 per bag improvement in realizations. I think you will find some of the industry players have seen a decline in the prices Y -on-Y, but our focus on market, our focus on premium cement, our focus on blended cement, and you will see more accelerated focus, it is now giving us a delta improvement in the realization, which in this case has improved by INR5 per bag Y -o-Y.

PAT for the quarter was INR378 crores, a jump of 258%. Again, for the sake of clarification, we have put the entire table on the one -off exceptional items so that PAT is apple -to-apple comparable. Unlike if you go with the reported numbers, you will find a steep fall, but that is incorrect because there are exceptional items sitting in terms of the income tax refunds and onetime of the items or the excise duty drawback for Himachal, which I have clarified i

n my IR
deck also, in my reported numbers also in press release. So that is -- for apple -to-apple comparison, PAT is up 258%.

Operating EBITDA was INR1,353 crores, up 53%. And again, I've given a clarification that the Himachal excise drawback is a one -off item. Last time also, you all had suggested the same thing, INR826-odd crores. So when you remove that, my EBITDA is up 53% Y -o-Y and the per-metric -ton EBITDA is closer to INR718 per ton, up 31%.

I have given you some explanation of earlier when in second quarter, September, when my EBITDA was almost INR1,060 per ton, the delta of INR250 per ton ballpark, for example, is what I told you in the element of cost, which is slightly higher as compared to last quarter. But as I said, December exit is phenomenally below INR4,000.

The EBITDA performance was supported by Y -on-Y basis, 2% cost improvement. Kiln cost declined 6%. Of course, I can tell you that the kiln rate is better for me, but the kiln efficiency, I'm still -- when I look at some benchmarks, I'm still at 25 to 30 kil ocalorie heat consumption higher, which is an area -- which is clearly earmarked for us to run down. Power cost reduced by 15% on back of the green power share, which is increased by almost 15% and my logistics

costs -- and there's a good scope for me to further reduce my logistics cost, but as of now, it is reduced by, say, 1%.

The diluted earnings per share for the quarter is INR0.82. Net worth is almost at INR70,000 crores; to be precise, INR69,854 crores, and it increased by the INR361 crores, which is equal to closer to the PAT, which we have made for the quarter. Company remains debt -free, CRISIL and CARE AAA stable and A1+ ratings, which are the highest in the country.

From the operational excellence trends, our operations have strengthened on back of disciplined execution, capacity expansion and network optimization. And in terms of the low capex logistics initiatives, which, for example, are on the track, some of them, for example, so we have already ordered the vessels, almost 7 of them, which will be delivered to us by somewhere like mid of '27. We also are working right now in terms of the EV for which we already have given some orders. So you will see more of this.

We also are putting the blenders at the plants. We are also debottlenecking on the logistics. We are also putting a sharp increase in terms of the production of the premium cement. So all of this, for example, will bring a substantial improvement in the ov erall, say, plant efficiency. By the way, we have substantially run down the SKUs, which used to be multiple SKUs from a plant, almost 30%, 40% of that efficiency has also been brought in.

On the digitalization, I have covered it, so I won't repeat more. But on the ESG and sustainability, this quarter marked another step forward in extending our climate and sustainability leadership, efficiency improvements from the modern assets, and by the way, more and more modern assets because this March quarter itself, we will have almost around 8 million tons of cement, which will be up and running and commissioned. So this efficient new assets will help to average out the overall efficiency factors. It will help me to bring down the lead distances.

As of now, I see that my lead is relatively higher compared to the -- some of the peers, but that is obviously in terms of the location advantage what others have since they have a number of GUs. But in my case, as we move up with new assets, it will come down. We accelerated our breakthrough on decarbonization pathways, while we have been the first in the universe in terms of the commercial scale installation of Coolbrooks RDH, which is RotoDynamic Heater technology for the kiln electrification. This will help me substantially to improve my AFR. As you know, that we are doing it in Boyareddypalli plant in

Andhra.

Additionally, the Indo -Swedish carbon capture unit pilot project in partnership with IIT Bombay and the Government of Sweden is already in the process. And we have become the first Indian cement company to adopt the TNFD framework, bringing our nature -related disclosures in line with the global benchmark. So on the ESG front, friends, I can assure you that we are front runners, and we will not leave any stone unturned to achieve the ESG desired parameters.

On people, community and capability building, our organization is becoming younger. As I told you last time also, my plants are becoming younger. We are becoming more digital savvy, and we are more focusing on smart execution. Across the communities, we ar e expanding access to

future -ready skills through robotics, drone labs, rural KPOs, so on and so forth. I think so in terms of our community engagement, it is on a very strong footing.

And therefore, you will see more approvals coming on the -- at the various public hearings and all. Brand, customer and stakeholder engagement has been very strong. Our presence across the 29 high -impact industry platforms enabled us directly engage with more than 38,000 key stakeholders, including builders, developers, engineers, architects and policyma kers, which I mentioned to, some of the CREDAI, BAI, NAREDCO so and so forth. It is giving us a direct interface.

Brand visibility remained widespread with outreach and activations touching over 300 million individuals across the cinema, OTT, digital so and so forth. I think so our team is very forward in terms of using the digital media. In terms of the technical ser vices, which is the -- one of the key strengths of Adani Cement, and I have a very sizable team on technical services. We have strengthened considerably. What we call it as ACT, Adani Certified Technology site, which are like the houses which are built by our premium cement, this is growing every quarter.

And this quarter, we had almost 36,000 ACT sites. We have a network of 70,000 -plus contractors, influencers. We have almost like taken 400 workshops and so on and so forth. So on the technical engagements also, we are on a very strong footing.

Now friends, on the last concluding for my opening speech in terms of industry, I'm very positive. I've been positive for last 4 quarters. When I -- at the beginning of this financial year, in the first quarter itself, I told I see a demand growth of almos t 8%. And in between, there were headwinds of the war and monsoon and seasonal dynamics and so on and so forth, but you are seeing a strong revival coming back. And therefore, FY '26, I strongly believe the industry will close at almost 8% growth of deman d, which resembles also like 1.1x of the GDP of almost 7.5%. So demand comes around 8%.

Exit of trend of December was robust and with demand strengthening from early December and carrying into January also, I mentioned to you that even in January, we have seen a good level of, say, price improvements, and we are also seeing a similar trend ex pected in February. So the overall revenue are going to improve. It is expected almost, as I said, 8% demand growth and almost 2% to 3% improvement -- another improvement in the quarter -- coming quarter, which will be a healthy finish for the year.

Against this backdrop, our R&D -backed customized cement solutions, you will hear it very soon that we are also doing some specific R&D -backed customized cements, and that is going to strengthen my value -added products of cement and thereby the weighted ave rage realizations. Institutional demand is very healthy, but growing focus is on the blended cement which will consume lots of, say, fly ash or slag. So that is what, for example, will be a key driver for me.

Currently, my share of trade and non -trade is almost, 65% is trade and non -trade is 35%

. Down
the line, it will be moving towards 70% -30%. By the way, end of December, exit of December, we are seeing this trend of 67% -33%. And January already, we are at 70 %-30%. So that is, for

example, what we are focusing more on the trade channels, which is going to give healthy kind of realizations.

Overall, strategies are working very well on the market -led leadership and the cost leadership is going to unfold in quarters to come as already started with December at almost below INR4,000. And I'm seeing the same trend, which will follow through in the March quarter. And needless to mention that all the benefits of AFR, WHRS, green power, new cement capacities gives me lots of confidence that our journey to achieve INR3,800 per ton of cost by March '27; INR3,650 by March '28, that conviction and confid ence continues.

Thank you, although it was a little longer, but I thought I will go into more details, but now back to the moderator.

Moderator: The first question is from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo : So 2 questions. One is on your volumes. So in the quarter, you have reported about 17% growth. But if I were to just exclude Orient from it, which you have reported -- I mean, first of all, congratulations for the transparent kind of entity -wise reporting, which helps us really understand and even pose this question in the first place. So congratulations on that.

My question was, if I exclude Orient, from the total volumes, then the volume growth comes to more like 6%. And even I'm assuming Penna would have ramped up. My question was that if the realization decline, as I see, is much less than peers. So is it that in Q3, we were focusing more on premiumization or on pricing or value versus volume and which is why we saw a slightly lesser growth in other regions, if I may think it that way? And how should one look at them incrementally going ahead about volumes ex o f South from a market share and growth point of view?

Vinod Bahety : Okay. So you had 2 questions. So Navin, you're through with your both the questions?

Navin Sahadeo : Sorry. My second question then was on the renewable energy. So 898 out of 1,112 is already commissioned, which is nearly 80%. But in your opening comments, you also said that you're not able to utilize it fully pending approval. So you're selling it in the market.

So is it that this -- whatever you are selling in the market is -- how is that reported in the first place? And then what kind of savings -- by when can we expect and how much savings in the renewable space?

Vinod Bahety : Okay, Navin. So let's come to the most important question is in terms of the volume growth. I think 17%, which includes all the entities Ambuja as a consol, right, Y -on-Y. So you're right that in the previous year quarter, Orient was not there. I can do th e math. And Orient, if I exclude, that would come somewhere like 8%. And if I completely remove all the acquired assets and then if I go with the base capacities, Navin, that comes to -- in fact, that is a tad better than the industry, it com es to closer to around 6%, yes. Now -- which would mean the base capacities of Ambuja and ACC, right?

Now if you do a similar thing for other companies, you will find that those companies are at somewhere like 3% to 4%. I'm not naming anyone, but generally, like that is the trend, but we are actually better than that.

Second question -- so second point, you're right that in terms of the gear shift, of course, now the strong brand of Ambuja and ACC and now with the loaded power of Adani and therefore, now it's like Adani Ambuja, Adani ACC, our whole larger drive is to re gain the market share on the trade side. So many companies will end up doing a larger share of volume because they will end up d

oing on the non -trade side and all. Our focus will be to regain the leadership position of Adani Cement on the trade side on bac k of the strong brand equity, what we have.

So therefore, forward -looking, I can say 70% -30%. I mentioned in my opening remarks, 65% -35% to now the exit of December 67% -33%. And then in March, already, although in the month of January, I'm seeing 70% -30% and gradually down the line, 75% -25%, for exa mple. So that is like our wish list and are working to achieve. So that will definitely help me to improve my realization.

It will help me to penetrate more premiumization. And therefore, the NSP will be better than the industry peers. This is a clear earmarked strategy and which is played in the month of -- in the quarter of December.

And more so you will see it actively being played in the month of January as well as coming quarters, which also brings another point that the digital strength will help me more in direct engagement with the -- and simplified working with the dealers and t herefore, the retailers and therefore, the end customer. Therefore, I'm very confident the whole logistics and the technology optimizers and the algorithms will help me on a speed of orders and all. So therefore, the blended cement and the trade will be a higher growth percentage.

Coming back to your question on the renewable energy. As of now, renewable energy, there are 2 factors. One is certain government approval. Second is also that my capacities when they come up and running. I told you like 8 million tons of the grinding units, then also the clinker in Bhatapara Line 3, the clinker in Maratha, which is expected in first quarter of the next year. Clinkering facilities obviously consumes more power.

So as things move forward and when my new capacities come fully operational, they will be able to draw more power. Pending that, therefore, you can say that I'm ahead in terms of power and therefore, I'm also able to sell those power in the market. And I h ave a combination of both wind power and solar power. As of now, this income of power, it resides under the other operating income in the P&L, yes. So that is how it is. If I net it off in my power cost, then it will be much lower. But from an accounting perspective, right now, third -party sale is residing under the other operating income.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah : A couple of questions. Sir, first is, how are we looking at the JP assets, which are now sitting at AEL? Would it make logical sense for Ambuja to digest it based on what the AEL decides upon? That's the first question, sir.

Vinod Bahety : Yes, you complete, Ritesh, and then I can -- in one time, I can...

Ritesh Shah : Yes, sir. And sir, second question is more on accounting. In ACC press release, we have written that plant maintenance from next fiscal will be amortized over 12 months. I just wanted to understand the rationale for it. And the other accounting -related que stion was in the notes to accounts, again, we have indicated that with respect to coal sales as other operating income, now basically, we net it off under power and fuel.

In the earlier quarters, we have seen something similar for sales promotion expense. So just wanted to understand the thought process for the all 3 line items. One was maintenance, second is coal sales and third is promotion expense?

Vinod Bahety : Yes, Ritesh, thank you. Good observations. First, Ritesh, on the JP assets. Last time also, I think a similar question would have -- had come rather, and I said that AEL is a separately listed company, and it would be better that this question is asked to them. As of now, I will keep it on an arm's length basis. And therefore, I would say, no comment right now from Adani Cement from Ambuja on this.

Second is in terms of

the accounting of the plant maintenance -- this is very important, Ritesh, because otherwise, what happens is so far, as of now, the accounting has been done, for example, say, December quarter, the accounting results into distorted s ometimes picture of a quarter because the cost gets booked on an actual basis when the maintenance happens. What now we want to bring it, which is more logically to all of you also that this amortization will happen over 12 months so that the quarters don 't get distorted with the scheduled plant maintenances.

Right now, the accounting policy has been to book it in the quarter when the maintenance activity actually happens, yes. So that is like a very proactive step so that all of you are able to then properly look at the quarter in a real sense.

So far as your third question is in terms of the coal sales and the -- which is like whether it is netting off my other opex , I will just like want some details from my CFO.

Rohit Soni : Yes. So in ACC, because of the MSA, what we have between the One Cement Platform, so the coal sale which happens, earlier we were netting it off on the expenditure. Given the discussions which we had with our auditors, we have shown it as gross at both the ends. So that is going under the revenue from operations instead of netting it off on the power and fuel and the value was INR315 crores for the period.

Ritesh Shah : Sure. Sir, can I just squeeze in one more question?

Vinod Bahety : But again, Ritesh, I think the moot point here is I just want to again check that there is no impact...

Rohit Soni : Per se. It's only grossing up of...

Vinod Bahety : It is only the grossing up. No impact on the P&L item, right?

Rohit Soni : Absolutely.

Vinod Bahety : No impact on the EBITDA, right? So yes -- so Ritesh, over to you again.
Ritesh Shah : Yes. And sir, last question was basically, how should we understand the change in inventory on a sequential basis at Ambuja consol level?
Vinod Bahety : Change in inventory, like what is your question specific?
Ritesh Shah : It's moved from minus 3 81 to minus 84. The swing is quite substantial.
Vinod Bahety : Yes. So okay, Rohit, do you want to address that?
Rohit Soni : So Ritesh, if I can answer here. I mean, if you take quarter 2, that's where we have a big swing, and that's predominantly on account of the stock buildup, which happens in the quarter. That's the seasonality of the business, which is a low quarter sale fr om that perspective. So you'll have buildup on the cement stocks. You also have a buildup on the clinker stocks, which gets pushed out in quarter 3, quarter 4 and quarter 1, but it gets smoother now.
So you see in this current quarter, we don't have much of it reflecting it. It's predominantly on buildup of the quarter 2, which we have. Otherwise, it's a seasonality which impacts. So there is nothing more to add out.
Moderator: The next question is from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta : My first question is, in the September quarter, you had mentioned that a majority of consolidation of Orient and Sanghi -related costs were largely behind. In fact, there was around INR42 per ton of maintenance -related cost in September, which should have subsided in this quarter. Can you help us understand what exactly is driving opex higher Q -on-Q? Any quantification over here would be helpful. And my another question is, by when can we expect clarity on the expansion? You gave us the 15 million ton debottlenecking breakdown, but what about the rest on your road map to 155 million ton?
Rohit Soni : So Rahul, I think if you go back to Slide #38, so while it captures broadly the overall phasing of the expansion plan, so FY '26 exit is 115 million tons -- actually, it is 117 million tons, but then I'm also going to do mothballing of 2 unviable and -- economically unviable

units basically.
So therefore, I'm seeing 115 million tons on a net basis. And then on top of it, the overall phasing of FY '27 and '28, that will cover balance almost -- so it will have a combination of both the new GUs and the debottlenecking also. Ballpark around 130 million tons to 132 million tons will come by exit of March '27 and the balance will then come to me at exit of March '28.
Rahul Gupta : No. What I was looking for was breakdown asset -wise. When can we expect details around that?
Vinod Bahety : Breakdown of the capacity or breakdown -- what breakdown?
Rahul Gupta : Yes.
Vinod Bahety : Capacity?

Rahul Gupta : Yes.
Vinod Bahety : Okay. That we can -- so as things first, let's achieve the end of March so that we are happy at, say, 118 million tons -- 117 million tons, sorry, and minus 2 million tons of the mothballing, so 115 million tons, for example, let's achieve that. Then as things progress, we will keep giving you further details because the blueprint is ready. But as things progress, we also want to go progressively with the quarters.
Rahul Gupta : Got it. And my -- the earlier question on opex .
Vinod Bahety : Sorry, earlier question was on cost of what? Of Penna and Sanghi?
Rohit Soni : Debottlenecking.
Vinod Bahety : Debottlenecking. I think in the last previous analyst call also, I told the debottlenecking comes below $50. So I was at, say, $48 per ton.
Rahul Gupta : No, no, that's not what I was looking for. The last quarter, you had mentioned that Sanghi and Orient were largely fully transitioned and...
Vinod Bahety : Okay, the operating cost -- the operating cost, you are saying? The O&M cost.
Rahul Gupta : No, no.
Vinod Bahety : I think the O&M cost, for example, Rahul, of course, like that point of time, Sanghi and Penna are through. But now for you to have a substantially more capacity utilization, there were some items which were left. And then as I said that for Penna, there w ere a couple of these plants like more so like Tandur was down.
And in case of ACC, a couple of old assets were down on certain equipment. So that is where, for example, some of the scheduled maintenance, which was supposed to happen in, say,

January, February got preponed in December itself, and that results into -- and which is precisely my point when Ritesh asked that how you want to schedule in terms of the overall maintenance cost.
And I told that from coming financial year, we will have a proper amortization of the O&M cost over the quarters in terms of spread over the month as part of the budget so that there is no per se distortion of the cost on the actual basis, yes, unless ther e is any other breakdown. Otherwise, it will be like scheduled over the 4 quarters.
Rahul Gupta : So let me ask this question differently. So how much of your opex was one -off during the quarter?
Vinod Bahety : No. So like a good level of, for example, almost like in terms of my branding and my repairs, for example, almost INR125 is sort of like one -off. In terms of my higher freight, because sometimes you then go with a larger lead, and it is almost like INR25 to INR35 higher per ton.

In terms of my -- some of the legal costs, onetime in terms of some of the legal cases, which we have won by the way, but then this adds to the cost. So ballpark around, say, INR150-odd is, say, onetime. And therefore, like when I look at now my December exit, my December exit is clearly below INR4,000, while compared to -- which was almost like INR4,500 a ton for the quarter, yes.
So with every passing month, with every better utilization of green power, with every better utilization of the WHRS capacities and the alternate fuels, these costs are going to come down. So therefore, in terms of giving you an estimate, I can only give y ou an e

stimate ballpark, but the actuals will be positively surprising to all of us.
Moderator: The next question is from the line of Siddharth Mehrotra from Kotak Securities.
Siddharth Mehrotra : Sir, just to sort of elaborate on the previous participant's questions. Could you perhaps give us some breakdown in terms of direction for each of the cost line items, say, for example, in terms of power and fuel costs, how much do you expect them to trend downwards, upwards, same for other costs, so on and so forth?
Vinod Bahety : Yes, Siddharth, good point. I can give you a ballpark. I think in the initial commentary also, I mentioned, let us say, for example, my overall, say, power consumption per ton of cement, which I find there's a scope for me to reduce by almost 10 to 12 units per ton. And in terms of rupees per unit, almost INR1.5 to INR2, which is like although end objective, but INR1 immediately.
So ballpark, INR100 to INR125 a ton, I see improvement possible quickly on the power.
While my end target is by FY '28, INR4.5 per unit as compared to INR6.1(excluding green power sale) in terms of my power cost and my consumption almost -- which is from here, I can improve by almost minimum 15 units. But as of now, I'm saying the 10 units is quite possible in the coming quarters and this INR1 reduction. So like, let us say, around INR150 -- INR100 to INR125 reduction on the power cost.
On the fuel, almost like power -- the fuel is almost INR150 reduction is what, for example, we would like to peg ourselves. And back on the strength of -- on the strength of the new assets, which will come to us, which will reduce my overall, say, fuel -- the heat consumption. And with every passing quarter, my fuel cost is coming down and that you will see further trend.
Look at the raw material, like now fly ash and all with the group synergies, we will be benefiting on the fly ash. We are putting up the BCFC rates all across the major centers of consumption, which will bring me benefits of logistics. So on logistics part , for example, when I look at it, almost INR150 reduction is what we are targeting to. And on the raw material, almost INR100.
So plus/minus around, say, INR300 to INR350 is what, for example, will come, and that should come to bring it down my cost to al most INR3,800, again, as I'm saying, exit of '27 of March and INR3,650.
But this is like, for example, as I said, positively will surprise with every passing quarter. But the blueprint is very clearly laid down.
Siddharth Mehrotra : So these are basically longer -term goals, not exactly visible, say, over 1 or 2 quarters, right?

Vinod Bahety : No, they will come down because, as I said, like the moment my line is ready for commissioning, Bhatapara, for example, line 3 is commissioned and it is ramping up. Maratha will come in Q1.
This quarter, 8 million tons of cement will come. They will all be geared up to consume green power, which is right now, for example, which we are selling in the market.
So like -- it's not like long -- mid- to long term. It will be possible to consume as they start to

ramp up on an immediate basis also, number one. The moment they commission and get -- giving commercial production, this 8 million and all, the efficiency i mmediately improves because these are all efficient new kilns as compared to my almost -- the existing old assets. So like this, combination will give you quick returns on a quarterly basis. So every passing quarter will give you the improvements.

Needless to say that, as I mentioned, the revenue pattern also will keep improving because all these new assets and all will be focused on premium and trade sales focus, blended cement focus. Many of my rakes, BCFC rakes are getting delivered. So like typi cally, once in -- almost 3 to 4 rakes gets delivered a quarter. The moment they get delivered a quarter, it stra

ight away helps me to deploy for movement of fly ash on railway logistics and therefore, the blended cement portion will go up. So I think don' t look it as a long term. Look it as a every passing quarter kind of action.

Siddharth Mehrotra : Got it, sir. Just one bookkeeping question, sir. What would be your guidance for capex , say, in the next couple of years?

Vinod Bahety : So capex , Siddharth, as I have also highlighted in the investor deck, around ballpark -- for the growth part, say, ballpark, INR8,000 -odd crores and for the efficiencies and all, another, say, INR2,000 -odd crores. So I would peg it -- but this is like a modular kind of say, capex because basis the various opportunities. My foremost focus remains and continues on capacity utilization of my existing assets. So that is like straightaway helps me to bring substantial KPIs improvement. And therefor e, this capex , when I indicate to you, it also will be a factor of how the existing assets also spans out in terms of utilization of the capacity and all. But ballpark, yes, INR10,000-odd crores, you can consider.

Siddharth Mehrotra : Over 2 years, 3 years?

Vinod Bahety : No, no. This is like I'm saying yearly capex .

Siddharth Mehrotra : Annual capex . Okay, okay. Got it, got it.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka : So just on your expansions, while you have put out the numbers, but specifically on the clinker unit, which is Maratha and the Rajasthan clinker unit and Penna, by when is that expected to commission now?

Vinod Bahety : Good. So Penna -- Amit, thank you. Penna is expected in this quarter itself. It is being targeted somewhere like third week of February, but hopefully, like mid of February, yes. So this quarter itself, the commissioning will happen.

And so far as Maratha is concerned, I mentioned earlier, it is expected somewhere like in Q1 to Q2. I would just keep a buffer of 1 quarter. So Q1 to -- let us say Q2. But -- so Bhatapara and Penna -Marwar, Bhatapara is commissioned, Penna -Marwar in February, then Maratha somewhere like in Q2 kind of scenario.

Amit Murarka : Sure. Understood. And beyond these then, which are the other clinker units that you plan to take up in order to reach that 155 million ton of grinding?

Vinod Bahety : Again, good question, Amit. Thank. See, primarily for me, the engines of growth in terms of clinkering, Bhatapara remains my engine of growth so far as East is concerned. Sanghi is my engine of growth so far as West is concerned. And in terms of South, we have Wadi and Chittapur basically.

But primarily, Sanghi is where we will grow. Mundra, we are already expanding in terms of the calcium sludge -based cement basically. You are aware of that. And Bhatapara, which I mentioned.

So -- and another important thing is for North, Marwar. Marwar remains my major, for example, mother unit in terms of the expansion. So the clinkering lines will be more primarily as a brownfield expansion. And therefore, the benefits of brownfield capex and therefore, the economies of scale and all will come. That's how, for example, our whole blueprint will emerge and all the GUs are therefore -- and BCTs and all.

Good thing is railways have also come out with the bulk movement discount policies, our tie -up with CONCOR. So in fact, my capex actually will be a tad lower because now instead of GU, you can also very well plan BCT and the advantage of fly ash which the group has. So this will get -- the model is getting now reemerging because of these various dynamics, which are positive for the industry. Yes, but as I said, Bhatapara, then Marwar, then Sanghi are our mother units for these 3 locations. And in South, I have Chittapur and Wadi, which are like primarily our growth engines in South.

Amit Murarka : That's very helpful. And also on grin

ding, when will you be coming out with more details from
that 24 million tons, which you have mentioned for '27 and '28?
Vinod Bahety : I will go back to what I think Rahul had asked this question or Siddharth would have asked this question, Amit. I think give me time that with every passing quarter, I'm going to keep you posted. Because as I said, the industry is in a very interesting, ve ry supportive of policies by government. And therefore, instead of saying you that grinding units, I will rather put a blend of BCTs and grindings and container movement and so on and so forth. Therefore -- the models are reemerging. And ther efore, I will keep updating you all in terms of the footprints with every passing quarter.
Amit Murarka : Just a last question, if I may. So you were earlier also contemplating giving out the operations on a contracting basis. So has there been any progress on that attempt that you're making?
Vinod Bahety : I must appreciate, Amit, you have been keeping so close track. Of course, yes, whatever we are discussing with you on every investor call, we are moving our journey on that. So in terms of

the outsourcing also, I must compliment my team and the efforts which has been coming out that we are in a good momentum on that, and you will hear positive things on that part as well.
Moderator: The next question is from the line of Raashi from Citibank.
Raashi: My first question is on cost. Sorry to -- and you had several questions on costs. But just to understand this, you mentioned that in the second quarter, the costs were INR4,250 and that's gone to about INR4,500. And as of the close of the quarter, you are at INR4,000. Are these numbers correct?
Vinod Bahety : That is true, Raashi.
Raashi: Okay. So then -- and you also mentioned that the one -off expenses in the quarter were about INR150 or so. So from INR4,500, if I remove INR150, I come to INR4,350. But that INR350 is such a fast decline. Like how did that quick decline come from like the quarter to current?
Vinod Bahety : No. So Raashi, I gave you some quick headlines when it was asked, like what are the items which are like one -off and I explained. But I explained in terms of broadly the branding, the O&M, the logistics costs, for example, which came in and some of the leg al costs, which additionally came in and also.
In terms of this delta, INR250, which was there as compared to September quarter, ballpark INR250 resides in some of these items. But primarily, the first 2 months have seen it's more on the maintenance and all. December was lean and clean, and therefore, December is almost like below INR4,000. And as I progress in January also, it is actually below INR4,000. Therefore, my confidence to circle back to you on March exit at below INR4,000 is very high.
I can share further to you details more if you require, but this is like ballpark what I have been explaining right from my initial commentary to now. And as I said, with every passing month, the benefits of green power, the benefits -- and all of that, I won't repeat, are actually coming in. So therefore, like some of these items get stayed off also, yes. So these are like ballpark, my answers to that.
Raashi: Okay. And on pricing, you mentioned that in the South, non -trade prices are up INR15 to INR20 a bag; in the North, INR5 to INR10 a bag. Are there any incremental trade as well or it's just only in the non -trade segment?
Vinod Bahety : So there is an improvement on trade also, but the level of speed of growth is more on non -trade as compared to trade because the downfall also was much accelerated for non -trade and therefore, the corrective action happened. But of course, yes, even in the trade segment, it has improved, yes.
And good thing is now, again, for South also, for example, our focus on the blended cement, and I'm happy to share that t

he -- some of the first kind of initiatives in terms of Penna assets where the blended cements are now moving out from the factories, j ust like 2 days back, that started. I'm also happy to share with you that in Bombay, the blended cement in form of premium

cement. Otherwise, Bombay is more of an OPC market. But Bombay also, for example, we have launched our premium cement and it has got a huge response for the tube.
So -- yes, so I think coming back to South has seen trade also improvement and South will see more of our blended share of cement improvement in an accelerated manner.
Raashi: Would you be able to quantify on average where your realizations today are versus the last quarter?
Vinod Bahety : Raashi, that would be too much of details, but basically -- but I can ballpark tell you that, yes,

things are improving, I think, all clusters, all zones. And good thing is like the brand equity is
now pulling a good level of demand from the customers and the Adani added advantage of brand
actually is bringing lots of positive euphoria in the supply chain partners. So you will find the
benefits coming in every passing quarter in terms of market realizations.
Raashi: Got it. And just one last question for me. Your balance sheet is suggesting there's a slight decline
in the cash quarter -on-quarter. Could you explain that, please?
Vinod Bahety : No, Raashi, when you operate -- when you are looking at commissioning 8 million tons of
cement, obviously, it will have a capex outgo. All your clinkering of 8 million tons, which will
be coming right now from Penna to Bhatapara, for example, to the commissioning of Maratha,
all of this is a plant scheduled capex .
And therefore primarily -- but if you look at -- obviously, you know that from March to June
and from June to September, there has been this acquisition of Orient and all. So Orient, if you
keep it aside, which was almost like outgo of INR6,000 -odd crores. But if you keep that aside,
huge capex , which is there in terms of the capacities which are getting added and the volumes
growth will come in coming quarters.
Raashi: Understood. So capex in 9 months is how much total, growth and efficiency?
Vinod Bahety : So in terms of capex for the 9 months, it is ballpark around INR6,000 -odd crores. And I would
put the run rate -- therefore, I've given it initially that almost INR10,000 crores is what we are
expecting between growth and efficiency. And for the next 3 months also, for example, another
INR3,000 -odd crores. So this will be ballpark INR9,000 -odd crores for this year and the same
plus/minus, say 10% run rate, we will follow passing quarter -- passing years also.
Moderator: The next question is from the line of Jyoti Gupta from Nirmal Equity.
Jyoti Gupta : My question is on your Slide #10, where you have said that the cost reduction would be
INR4,000 per metric ton March '26 exit. 9 months, we are averaging around INR4,000 -- roughly
INR4,300. So do you -- can I assume that last year fourth quarter, I did INR900-odd EBITDA
per ton. And with the improved conditions in the first 2 months of this quarter, can I see that
improvement reflecting in the EBITDA per ton, so maybe INR900 plus INR300 or maybe
anywhere close to it could be the EBITDA per ton for fourth quarter? And can we end the full
year with something like INR1,000 plus EBITDA per ton?

Vinod Bahety : So Jyoti, I can give you commentary on cost. So far as EBITDA has 2 elements. Therefore, like
-- of course, I've hinted that and informed basically that January price momentum is very
positive. And therefore, you will see that upside in terms of price also . And of course, on the
cost, which I mentioned that exit of March, it will be below INR4,000.
So you will -- definitely, you can expect improvement overall. But what woul

d be, 4 digits or 3
digits, I would not give a forward -looking EBITDA number.
Jyoti Gupta : But are we sure we'll be around INR4,000? Will we average INR4,000 full year?
Vinod Bahety : I'm giving exit of March, Jyoti.
Jyoti Gupta : Yes. So that's a full year , if quarter 4 is also INR4000 then too…
Vinod Bahety : For the month of...
Jyoti Gupta : That is number of March '26, so in March '26 if we are going to be INR4000 and you're already
9-month average of roughly around INR4,300, so that INR300 per ton improvement should
reflect in the fourth quarter alone, which means overall – there should something seen, sir?
Vinod Bahety : No, no. It will be definitely, but just like put the numbers properly. When I say March exit, in
this case, I'm meaning of March month exit, yes. So therefore, you do your math on that basis.
And in terms of price and EBITDA, the cost, definitely, the perf ormance improvement will come
on EBITDA.
Moderator: Next question is from the line of Jashandeep Singh Chadha from Nomura.
Jashandeep Singh Chadha : Sir, my first question is regarding the acquired assets. It feels like for a year or so, these acquired
assets have been a drag on the performance of Ambuja consol. In your presentation also, you
mentioned that from the organic assets, you delivered INR1,045 per ton EBITDA. I just wanted
to understand from the management point of view, from the strategy point of view, by FY '27
end, what are the utilizations that you are targeting from these assets? What is the internal
EBITDA per ton target?
And what will be the key levers in generating those numbers? I just wanted to get a sense of how
you are planning to ramp up the acquired assets?
Vinod Bahety : Jashandeep, now that we have acquired and we have integrated, so therefore, I would say that
it's now under Adani Cement. All these assets, including my existing assets, the target is to hit
80% utilization. And the target is to hit EBITDA, which is almost closer to INR1,250 to
INR1,300 a ton and then gradually move towards INR1,500 per ton.

So the acquired assets are doing very well. I told you Sanghi, which is now a good turnaround, and we are hitting almost 80% on clinker for December month. And I told you 65% on cement and which will move up further. Some debottlenecking, which I have to d o it in Sanghi so that I get almost as of now, say, 25% of the clinker, which is like 20,000 tons per day, I have to do a small capex part, which is already in the process. So by June or July, I should have 2,500 tons utilization.

As of now, I'm handicapped to 17,500 tons per day kind of utilization. So that will happen, yes. So when you acquire assets like this and most of the assets which are financially challenged when they were acquired and when the erstwhile company promoters could not do overhauling and all, it takes time because these are like strategically important ass ets.

You get 1,000 million tons, you have a huge play. You have a mother plant now, which will set up more clinkering units over there. Therefore, I would give enough opportunity for the asset. And by the way, I'm planning for a site visit also for all of you in the month of February. Team will come back to you shortly on this so that seeing is believing and therefore, like you will get a larger comfort of the turnaround of Sanghi. That was on the acquired assets.

So like for me now, acquired and existing, it gets all as an Adani Cement platform, One Cement Platform. And now I would be confidently discussing with you in terms of the capacity in line with the Adani norms and Adani standards for all of these assets.

Jashandeep Singh Chadha : Understood, sir. Sir, my next question is more from a strategy point of view, from an industry point of view. Adani Cement is one of the largest player we have. Just wanted to understand your view on consolidation.

Do you

think -- I mean, you have already told us that organic capacity expansion, you will be discussing in a later call. But do you think that, is the consolidation phase over? Or there is more scope? I mean, just a structural view, if you can give us how are you looking at the industry right now?

Vinod Bahety : No, consolidation phase, of course, like till 1 to 1.5 years back has seen a good run -up on that and now taken a pause because the companies which have deeper pockets when they have acquired and therefore, they are just taking a pause to basically ramp up the existing assets, and that trend will continue. And therefore, the focus on ramping up the acquired assets and then capacity utilization of the assets remains a focus area.

But as things turn around, obviously, then companies become more bullish. And this is like a cycle which will continue. So it takes a pause. It again comes back to the circle and there are companies which will be available for consolidation right from smal l size to midsized companies. But the pace will be not that what we have seen 1.5 years back. The pace will be a little lesser. The size and scale will be relatively lesser.

And -- but I would say that, yes, there will still be opportunities. And I'm sure those opportunities, I've been always saying that we are always open to at the right price and right value. So therefore, no one, for example -- because I have a very strong balance sheet, INR70,000 crores of net worth and 0 debt as of now. So therefore, opportunities will come. At a right price, we will be very open to that.

But the current deeper focus is right now on the ramp -up of the existing facilities and the organic growth, which is already -- we have put a blueprint to work on.

Moderator: The next question is from the line of Prateek Kumar from Jefferies.

Prateek Kumar : Please allow a couple of questions. Can you tell how the EBITDA per ton would look in different regions in 3Q or particularly maybe which region underperformed versus your INR715 per ton blended average due to specific plant performances?

Vinod Bahety : Well, generally, it's like you all know the answer. It's like South will generally be modest compared to the other markets. West, for example, is generally better. And in this case, markets like Bombay are always far, far better. In terms of East was also subdued, although it picked up in the last month of the December. Center has been completely subdued. So the pricing was very -- the aggression of competition was very high in center.

North, you will generally find -- so North and West clusters are generally mitigated from this kind of, say, immense pressure on competition, but Center and East and South remains vulnerable and -- South generally is vulnerable and East and Center can surp rise on either side. That's how it spans out.

Prateek Kumar : Sure. One other question, and this was asked earlier. So you had like INR4,500 per ton average for this quarter, exit at INR4,000. Simplistically for modeling purpose, next quarter, you will have like a swing of INR500 per ton on cost and likely will flow completely to EBITDA per ton. So you can like report INR1,200 plus pricing increase. Is that the expectation for next quarter?
Vinod Bahety : I would be very happy to give you some forward -looking statements on this, Prateek, but I would resist on that because I can give you with comfort that what I can target on cost. But on the EBITDA, I think this question came with Raashi also -- Raashi or w ith Jyoti, I think. So I would resist on any commentary on the EBITDA. But you can do your math and I think you are smart enough.
Moderator: The next question is from the line of Ashish Jain from Macquarie Capital India.
Ashish Jain : Sir, my first question is on power consumption, like the point you made earlier that power consumption can come down by

10 units. And one of the drivers you listed was commissioning of the new clinker plants. But like our understanding under the erstwhile management was that one of the reasons power consumption here was the limestone and the aging of the plant. So are you saying that the 11 million tons will really help you to bring down portfolio level consumption by 10 units? Or are you also working on efficiencies of the existing clinker plants as well?
Vinod Bahety : Both, Ashish. I mentioned to you in terms of the stability, reliability and therefore, the utilization factor of the existing plant, and that will be a key for every kind of KPIs. And on top of it, the blend of the new assets. So it will be a benefit of bo th coming together. On an overall basis, the reduction of 10 units.
Ashish Jain : And this is high visibility, do you think based upon whatever technical assessment you may have done?
Vinod Bahety : Yes, yes. I think I'm already seeing that visibility. As I said, with capacity utilization improving for the acquired assets. With the efficiency, capex is done for the existing assets. And you're right, some of the assets which are old from ACC and all.

And therefore, when you debottleneck, you will actually be able to get a higher volume of cement from the same assets and straight away your efficiency improves. So there's a high degree of visibility on that. And that's how, I think we have done our math on that and then come up with this weighted average reduction of minimum 10 units.
Ashish Jain : Right, right. Sir, secondly -- again, I understand that JP assets are with AEL and you don't want to comment on it. But in case, let's say, those assets come to us, then will it be like incremental above 155 million ton or you will have flexibility in the existing potential pipeline and you will still stick to 155 million ton by FY '28?
Vinod Bahety : No, I think my larger point is 155 million ton has an element of both organic and inorganic. So that continues. Although I'm not commenting anything on AEL transaction, but whether it is JP or whether it is XYZ, 155 million ton will subsume as an overall both organic and inorganic.
Moderator: The next question is from the line of Pinakin from HSBC.
Pinakin : I have 2 questions. My first question is, again, going back to the costs, which were very disappointing this quarter. So over the last 2 years, the costs have been volatile. And going forward, while you maintain the guidance of cost coming down, there will also be a lot many new capacities which will ramp up, which will have lower utilizations to start with. So shouldn't that cost also be a drag?
So I'm just trying to understand the cost picture. Will the overall cost for the company come down? Or will the new plants cost be higher in the ramp -up phase and the existing plants costs will come down?
Vinod Bahety : No, good -- I think good, Pinakin. First, your question is in terms of volatility, I think I wanted to address that part when I said that the accounting of this O&M cost, which should actually ideally get amortized logically over, say, 12 months, so that v olatility comes down, point number 1. Point number 2, the new capacity, right, ramp -up. So in terms of GU, the ramp -up happens very fast. Unlike in clinkering, the ramp -up happens in a phased manner.
The ramp -up doesn't really increase the cost because they already are sitting at efficiencies. So ramp -up will not increase, but it incrementally will improve the cost. And any cost which is required at the time of commissioning, anyways that gets capitali zed. So these 3 answers, for example, will help you to -- so volatility answer is right. In cement, if you do it on an actual basis, it becomes volatile.
And therefore, like I will take those corrective steps in terms of -- equalizing in terms of the quarter so that it is not on an ac

tual basis, but it is properly amortized. Number two, in terms of
capacity I mentioned to you. And therefore, the new capacit ies don't tend to increase the costs.
Pinakin : Sure. My second question is on the capacity number, 155 million tons. So the pipeline of 24 million tons, which includes both organic and inorganic. While there will be an inorganic element, which you cannot detail right now, but given that you have given a target for capacity as of 2 years down the line, when can we expect the organic capacity road map to b e detailed

out? Because I'm just trying to wonder where the capacities are not detailed, then how confident we are of that March '28 number?
Vinod Bahety : No, I told. I think in terms of the end target for FY '27, we are at around 135 million tons, and then it moves to 155 million tons, right? So I think end target for the year is there. Now in terms of the question was specific GUs and all, that I said that we will come back with every quarter so that whether it is GU, whether it is bulk cement terminal, whether it is container termina l, I think lots of options have now come out.
And we have the synergies and advantage of the power plants and of course, on arms and all , but we have the advantages wherever, for example, we can very easily now put up some of the BCTs and all. So this whole model requires a detailed review to bring more efficiency on the capex and still get the benefit of the capacity. I think that is what we are going to come back and circle back to you. But the larger numbers very much remain intact.
Second, as I said, that focus will be to sweat the existing assets much better, smarter and efficient. And therefore, at any stage, when we are able to meet the same demand and market share with sweating of the existing assets, I think 5%, 10% here and the re cannot be basically ruled out because that is where, for example, the whole opportunity will be to bring more efficiency in the existing assets.
So 155 million tons, 135 million tons, 115 million tons, these are like 3 ladders to the next, say, 3 fiscal years and plus/minus 5%, 10% when you are able to achieve your capacity utilization, that's all like part of the whole strategy.
Moderator: The next question is from the line of Ashish Jain from Macquarie Capital India.
Vinod Bahety : Iqra, already we are at 6:20. So I would say like maybe last 1 or 2 questions. Yes, Ashish.
Ashish Jain : Sir, I just had one bookkeeping question. Sir, earlier on the call, did we comment that INR315 crores of coal sales is booked differently this time, which is both in revenues and cost, which was earlier being netted off in the power cost? And is that the reason why our realizations are flat sequentially and the cost is also significantly higher? Is that one of the reasons? Or help me...
Vinod Bahety : So Rohit will answer you on this. Rohit?
Rohit Soni : No, no. So that's not the reason. It's just a gross up and gross down from accounting perspective. So all the numbers, what we report, they don't consider that. We report it from the management this thing. That is just a gross up, gross down. Nothing to do with any of the numbers what we report.
Vinod Bahety : But affirmation that prices -- affirmation that NSP is not influenced on that.
Rohit Soni : No.
Vinod Bahety : Affirmation number two, that EBITDA is not influenced on that. These are 2 points. Now Rohit, if you want to still clarify.

Ashish Jain : Sorry, if I can. But is that accounting change effective this quarter on coal booking, if you can just clarify that?
Rohit Soni : Yes, it is there in last quarter also. The value was less. Might be in this quarter, it's a value bit larger. That's the only thing. It has been there in the past also.
Ashish Jain : Sir, can you give the value for the pre

vious quarter, please, if possible?
Rohit Soni : I have for the current quarter. For the past quarter, I'll pull it up, and I'll ask Deepak to share it with you.
Vinod Bahety : How much is the current quarter?
Rohit Soni : INR315 crores.
Vinod Bahety : INR315 crores. So for the current quarter, it's INR315 crores. And previous quarter, while you -- while the next question comes, if you are able to dig out, then we will tell you. Otherwise, Deepak can separately inform you.
Rohit Soni : Yes. And I'll again clarify, Ashish, this is only at ACC level. Otherwise, at consol level, everything is eliminated because all these things are within the One Cement Platform, what Mr. Bahety ji was trying to explain. At consol level, 0, 0, 0.

Vinod Bahety : So again, I think this is coming -- there is a question again. My point is, Rohit, and we can just confirm it again. Two things. EBITDA is not influenced. Price is not influenced, right?
And it's purely, purely accounting and it nullifies -- absolutely nullify at the consol level. So friends, this is like very, very clear so that -- and then any specific further details, circle back with Deepak.
Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi : Congrats on very detailed presentation and the discussion. Sir, my few questions. You have talked about the 3 clinker units, which will get commissioned over next 3 to 4 months. For FY '27, are there specific targets beyond these 3 clinker, which would get commissioned? And also, could you share demand outlook for Q4 overall, how is the industry growing?
And my third question, what we have seen, and I remember a few quarters back, you had alluded to this that there's a lot of value unlocking you're doing in ACC Ambuja, which is below the EBITDA, the tax refunds which you're securing or getting it cleared f or prior periods. So some discussions around that, please?
Vinod Bahety : So your first question is in terms of the new kilns beyond -- so there are 4 of them right now in the discussions. One is -- so of course your 3 -one, which you said and the fourth one, which I mentioned was the Mundra, right? So this together, for example, right now, 16 million tons because each one of them is say, 4 million tons. So 4 million tons x 4 million tons, 16 million tons x ballpark 1.5 million tons. So you have 24 million tons GU.

Right now, I'm sitting at, say, 109 million tons. So 109 million tons plus 24 million tons, we are at, say, 133 million tons, 135 million tons, which I mentioned. So this is how, for example, this -- so basically, these 4 kilns are very much there in terms of process. And then I mentioned that Bhatapara, Sanghi and Marwar -Mundra are our centers of growth from clinkering perspective.
And sooner that you will find our additional announcements and narratives coming on the capex program for the -- by the way, Assam also, we have signed up -- we have entered into agreement with the government in terms of setting up another 1 line of 4 million tons in Assam, which is the fifth one, by the way. So which is like brings to you 20 million tons of clinker, yes.
So Assam, Mundra are -- let us say, Mundra is still a brownfield because we have a great ecosystem there. Assam is greenfield and Maratha is brownfield and Penna anyways is in a fairly advanced stage, which will be up and running in February.
Rajesh Ravi : Great. Great. And on the demand outlook and value unlocking through tax refund for prior period?
Vinod Bahety : Tax refunds of the prior period, I think we have done a major efforts on that and unlocked the working capital. I think we have also -- if I give you a ballpark, we have resolved a substantial of the legal cases also. So we are strengthening our balance sh eet from that perspective. I hope you're not asking me about the past year refunds and all.

I'm more like forward -looking, which
you are -- I think your question is more about the forward -looking?
Rajesh Ravi : No, no. The tax refunds which you have secured for both ACC and Ambuja in the past few quarters, quite sizable relating to prior periods. So are there more which is available to be realized on that...
Vinod Bahety : So in the future, not that this magnitude. I think there will be, but this magnitude may not come, I think. But a few points on the GST and a few points on some of the specific taxes and all from a couple of states. And then some incentives which has to co me in form of long pending. So I think those are the ones which will be adding up to the overall cash flows. But on the income tax, I think we have sizably resolved majority of the cases.
Rajesh Ravi : Okay. And on the demand, sir, Q4, what is the industry outlook you're looking at Q4, how is January? And what is the outlook for next 2 months in your assessment?
Vinod Bahety : I remain bullish on demand for the cement industry. And industry as a whole, I would say that Q4 should also see around 8 kind of percentage. And therefore, the leading players will find double -digit growth again in the quarter of March.
Rajesh Ravi : Great. Great, sir. Just last question on the capacity, which you mentioned, Assam, when do you target this line to be operational?
Vinod Bahety : Which line?
Rajesh Ravi : Assam capacity, which you are planning, you mentioned that you will be setting up a greenfield in Assam...

Vinod Bahety : Yes. I would say that since Assam is Assam and therefore, like it could take around, I would say, ballpark, say, 24 -odd months -- 18 to 24 months is what, for example, we should be looking at.
Rajesh Ravi : Okay. So somewhere closer to FY '28 exit, we would be looking at this?
Vinod Bahety : Yes, yes. I think the work on the ground has already started. Land has been secured. And the incentive program and all, for example, is well -- moving very well. So Assam will see a good level of work at the site.
Rajesh Ravi : Sir, you talked about 2 capacities getting mothballed, 2 million ton odd. Could you elaborate if it is already done and at which location?
Vinod Bahety : These are like very old assets. One of them is in, say, Sindri and second is basically at Jamul. So on Slide #38 of the IR deck -- see, again, I'm sure like you would appreciate, our IR decks are very transparent and very full of information. So on 38 page number, you will see the mothballing of these 2 capacities, Jamul and Sindri very old mills.
Rajesh Ravi : So these are already done, right, in the current capacities?
Vinod Bahety : They have already -- they are nonoperational practically. And therefore, like I'm not -- therefore, I'm removing them from my operative capacity. I can still use it on an opportunistic basis. But as of now, they are economically unviable. Therefore, I've k ept them nonoperative.
Moderator: We'll take the last question from Kunal Shah from DAM Capital.
Kunal Shah : Firstly, on Sanghi, now it continues to operate around 50% odd, sub -50% on an average level in terms of grinding. Now this is despite this asset being acquired for more than 2 years, remains and this -- the ramp -up remains much lower versus our initial gui dance. And the geography is Gujarat where we already have a very strong presence. So what is going wrong here structurally? Or what was the negative surprise here that we realized post the acquisition, if any?
Vinod Bahety : Good observation again. Nothing per se wrong. I think we have to understand the topography of Sanghi. It's like a classic island plant. And you have seen some of the harsh seasons. So last year, for example, you have seen flooding and all and huge storms. Some of the plants were affected and Sanghi was also -- some equipments were damaged.
Second is in terms of some impr

ovements, for example, the transmission line was a little low - voltage transmission line and which is -- if you would just track it, therefore, already now the transmission line from government is getting revamped and strength ened to take a higher load factor, which will straight away help me to bring at least 20, 25 megawatts of green power in Sanghi. Therefore, it will benefit me in a sustained power and at a reduced cost.
Sometimes otherwise, when this kind of storms and winds and bad seasons, the power tripping happens very often. So nothing wrong with the asset per se, except some of the debottlenecking and investment which you had to do, including some dredging activity, which had to be done, which has been done now. So now, I think with 80% in December exit -- when I say December

exit is December month, 80% of clinker capacity being used and almost 65% for cement. I think from here, things are now only improving.
Earlier, you would see that the colony was also, the plant life was very badly managed. But it takes time for us to also revamp the whole quality of life over there, the infrastructure, the facilities. And therefore, I'm very eager to take you all now to S anghi. And therefore, like the right contractors, the right talent will also now move in. Earlier it becomes a very mufasil area. So those were the issues. But we know that when you acquire an asset of this scale and which gives you sizable potential and which has 1,000 million tons opportunity so that you can set up multiple lines, I think it's a game of doing it -- setting it right gradually so that it performs overall in due course.
Kunal Shah : Understood. This is helpful. And one last one. If we look at the current status, we have underutilized acquired assets, a capacity expansion target of maybe 15% to 20% over the next 2 years, this in the backdrop of industry demand at roughly 8% odd, right? So how are we thinking on volume growth targets over the next 2 to 3 years?
Or is there like any guidance that you can give on volume growth or capacity utilization or market share, that would be helpful.
Vinod Bahety : See, volume will be growing double digit. While my base will keep increasing, but double digit is what we are expecting. But it is very important for me to highlight that we are balancing it between volume and value. And therefore, you will see more accele rated improvement on my realization, on my blended cement, on my premium cement. And therefore, even at the risk of losing some low EBITDA volume, which we will do, but we will play a balance game of volume and value.
Kunal Shah : Understood. And one last bookkeeping. Can you just give Penna's utilization levels, both on clinker and grinding, if possible?

Vinod Bahety : Penna ballpark is -- for the month of December is ballpark 52% to 55%. And as I mentioned, like this asset of Tandur of Penna was down, but now it is going to be up and running in the next week or 10 days. And therefore, like you will see a good level of u tilization, sharp improvement in Penna assets.
So some of the assets we have done a substantial overhauling. That also, for example, results into -- whenever I do an overhauling, it sharply improves my O&M cost and which gets booked when the actual cost is incurred. Penna is a classic case on that. So lots of this work has gone to bring these assets back to their desired asset reliability factor. And therefore, like -- and I mentioned to you that Penna asset now will start sending blended cement also, and therefore, it will help me to improve substanti ally the capacity utilization.
The Krishnapatnam grinding unit of Penna, for example, which was there, which now say 2 million tons becoming 4 million tons. And once I start substantially using this 4 million tons, because right now, the ramp -up of the additional 2 million tons has not happened.

But the
moment that happens is 55%, we'll see a sharp jump in terms of capacity utilization.

Kunal Shah: Understood sir. This is very helpful. Thanks and all the best. And thank you for extending the call as well.
Vinod Bahety: Thank you very much. We are almost at 1 hour 45 minutes. So I'm sure now Iqra will take a judicious call.
Moderator: Yes, sir. Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to Mr. Deepak Balwani, Head, Investor Relations at Ambuja Cements Limited for closing comments.
Deepak Balwani : Thank you. I trust most questions have been addressed. You have my contact number, please free to call me. Thank you.
Moderator: On behalf of Antique Stockbroking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Note: This transcript has been edited to improve readability
Ambuja Cements Ltd
Registered office: Adani Corporate House Shantigram, S.G. Highway Khodiyar , Ahmedabad – 382 421 Gujarat, India
Ph +91 79 -2555 5555; www.ambujacement.com; CIN: L26942GJ1981PLC004717
-- ------------------------

Call: May 2026

Orient Cement Limited
Registered Office
Adani Corporate House
Shantigram, Near Vaishno Devi Circle,
S.G. Highway, Khodiyar,
Ahmedabad – 382421, Gujarat, India
Ph. +91 79-2656 5555
investors@orientcement.com
www.orientcement.com
CIN: L26940GJ2011PLC171878
May 10, 2026

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai-400001

Scrip Code: 535754 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C-1, Block G
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051

Symbol: ORIENTCEM
Sub.: Intimation of interaction with Investors / Analysts.

Dear Sir / Madam,

In continuation of our letters dated April 15, 2026 regarding Analyst/Institutional call scheduled on May 04, 2026, please note that the transcript of the earnings conference call on the Audited Financial Results for the quarter and financial year ended March 31, 2026 is uploaded on the website of the Company www.orientcement.com . The said transcript is also attached herewith.

The Web link to access above transcript is as under - Investors and Analysts Meet I Orient Cement

Kindly take the above on your record.

Thanking You

Yours Faithfully

For Orient Cement Limited

Pranjali Dubey
Company Secretary and Compliance Officer

Encl: As above

“Ambuja Cements, ACC Ltd and Orient Cement
Q4 FY '2 6 Earnings Call ”
May 04, 202 6

MANAGEMENT : MR. KARAN ADANI , DIRECTOR – AMBUJA CEMENTS
MR. VINOD BAHET Y, CHIEF EXECUTIVE OFFICER –
AMBUJA CEMENTS
MR. ROHIT SONI, CHIEF FINANCIAL OFFICER –
AMBUJA CEMENTS
MR. DEEPAK BALWANI , HEAD INVESTOR RELATIONS –
AMBUJA CEMENTS

MODERATOR : MR. DHARMESH SHAH – JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to the Ambuja Cement s Limited Q4 FY '26 Earnings Call hosted by JM Financial Ins titutional Securities Limited. As a reminder, all participant lines will be on listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.
I would now like to hand the conference over to Mr. Dharmesh Shah from JM Financial. Thank you, and over to you.
Dharmesh Shah: Thank you, everyone. Without much delay, I will transfer the call to Mr. Deepak Balwani, Head of Investor Relations. Mr. Deepak, over to you.
Deepak Balwani: Thank you, Dharmesh. On behalf of Ambuja Cement s, I'm pleased to welcome all the participants to our earnings call for the fourth quarter of FY '26. Ambuja Cement s is the ninth largest building material solutions company globally and part of the diversified Adani Portfolio.
Before we start, please note that this call may include forward -looking statements based on our current beliefs and expectations. These are not guarantees of future performance and may involve unforeseen risks and uncerta inties.
We remain committed to further strengthening our disclosure standards and improving the quality of our capital market communication to the best in the industry. We are pleased to have with us on the call Mr. Vinod Bahety, Chief Executive Officer; and Mr. Rohit Soni, Chief Financial Officer.
Now I invite Mr. Bahety to provide his valuable insights on the quarterly performance.
Vinod Bahety: Yes. Thank you, Deepak. Thanks, Dha rmesh. Good evening, everyone. FY '26 was a year of resilience for the Indian cement sector marked by industry consolidation and the GST 2.0 reforms on one side, while the adverse and the extended weather conditions, global geopolitical factors and the various state elections also affec ted the industry and demand in some or the other way.
Against this backdrop, Ambuja delivered a resilient performance for the year, achieving its highest ever annual sales volume of 73.7 million tonnes, up 16% Y -on-Y, year -on-year in that manner. And on a normalized basis, the EBITDA of INR6,539 crores, up 3 1% at INR887 per metric ton, which is on a PMT basis, up 12% and the PAT of INR2,647 crores, up 17%. The company continues to remain debt -free and with highest credit rating. Annual volumes grew well ahead of the industry. Trade sales volume grew steady at 10%, while the premium cement accounted for 35% of the trade sales during the year, reflecting sustained progress on premiumization.
During the year, company's cement capacity increased to 109 million tonnes, supported by commissioning of 10.7 million tonnes of new grinding capacity at various locations like Marwar, Farakka, Sankrail, Sindri, Krishnapatnam and the additional clinker ca pacity of 7 million tonnes at Jodhpur and Bhatapara.

During financial year '26, we also made meaningful progress on the portfolio integration. Successful amalgamation of Sanghi Industries and Penna Cement with Ambuja Cement s is now completed, while ACC and Orient Cement is under process.
The One Cement platform is a strategic initiative and will help to bring sharper focus on the operational performance, business synergies and the overall higher degree of compliances.
Therefore, this time, the balance sheet of Ambuja consol now has finali zed purchase price

allocation of Orient and Penna. Till December, it was on a provisional basis. The numbers, you will find marginally changes in the balance sheet, basis the classification of goodwill and the other intangible assets. While in the P&L, you will fin

d some changes in terms of amounts for
depreciation and the deferred tax accounting treatments.
Further friends, you will see in the notes of the accounts, you will see various tax -related provisional notes with respect to reversals. Details are there in the published financials. Please also note, financial year '25 and financial year '26 are not comparable lik e-to-like since FY '25 does not have Orient Cement, while Penna was acquired and consolidated from 16th of August '25, that is only 7.5 months for the FY '25 as against 12 months for FY '26. And while Orient is only for 11 months in FY '26 and was not there in FY '25.
Now let's again come back to the business part. My green power share increased almost 32% now in Q4 compared to 26% before. The newly acquired assets, particularly Sanghi and Penna, they witnessed lower utilization levels. Sanghi still remains at around, say, at 57% on cement capacity utilization, while Penna is 46% However, last time I mentioned to you that in December quarter, we have seen a good improvement, especially for Sanghi.
The turnaround initiatives have taken a little longer than the expected time lines. And some of these plants, especially of Penna, needed higher than expected time for maintenance capex and overall upkeep of the assets. So on a cost front, we have seen a bit of higher cost compared to our own expectations and therefore, some disappointments.
Primarily, if I have to look at the reasons, higher freight cost due to increase in the overall sale lead, primary and secondary both, increase in some of the states like the additional goods tax, especially in Himachal.
Then in terms of the higher packing costs, which we more so have seen that in the month of March, which has seen some abruptions given the West Asia war. The higher fuel cost on account of a little higher -than-expected heat consumption, what we have and m ore so for the acquired assets, the higher branding cost, now that we have focused more on trade sales starting from the Q4 .
And while we have also improved our trade sales to 74% compared to in December quarter of '25, it was 68%, so which would clearly mean we are focusing on blended cement. And if you also see my clinker factor has improved from 67% in December quarter to now 65% -- this has also one of the costs, which is the branding cost and the sales promotion costs have gone up.
And some of the other issues like the raw material costs, which we could have improved in terms of the fly ash, but pending some of the railway infrastructure, which will be completed in the

coming months, and you will see a good level of improvement on that. But pending that, we have not been able to meet our -- some of the raw material costs to our desired levels.
Essentially, there is a 3 to 6 months delay on some of the efficiency capexes , which has happened. And hopefully, like in coming quarter, we should be gaining momentum to complete and get the benefits of it. So therefore, in FY '27, our focus firmly remains on streamlining the operations and margin expansion.
So we will continue to focus on trade sales and more so on the premium product sales, which we have a huge leadership. Almost 36% of my trade sales has been premium cement sales for Q4. We will continue to improve the reliability at Penna and Sanghi and th e overall asset utilization. Together, they have 19 million tonnes of capacity, and the target is to increase the utilization by at least 5% to 10% for these assets.
In terms of the cost, so while we are cognizant of the overall ongoing global geopolitical situation, and we have already seen cost escalation in Q4, more so in the month of March, almost by INR25 a bag, closer to, let's say, ballpark, INR400 to INR500, if I have to go on a full -blown basis, cost increase is there in the industry and so it's to our company. So we are reca

librating
our cost for this financial year.
I have mentioned earlier about our journey to achieve cost of almost INR4,000 a tonne by March '26 exit. Meanwhile, in terms of the full year of '26, we have given a figure -- we have achieved a figure of INR4,400 a tonne, which is almost 10% higher to our own target for the reasons which I have mentioned before. Although in the month of March, we are closer to INR4,100 a tonne.
Since there are -- these are like fast -moving global situations and dynamisms over the energy costs and other basically expected hikes in the fuel and diesel and all, therefore, it will be very difficult to provide any long -term estimates for right now ti ll the time things stabili ze over the next 2, 3 quarters.

Therefore, I would say that on strong conviction on certain components of costs, for example, which I have, a, is in terms of the overall, say, raw material cost led by fly ash and in terms of the green energy cost, for example, which is going to see a sub stantial improvement further in our overall utilization. Therefore, I strongly believe INR150 to INR200 savings will come from these components.
On our overall consol volumes, we are expecting it to grow in FY '28 -- '27 by almost, say, 8% to around 80 million -odd tonnes. And we are cognizant of the fact that we will focus on value with trade volumes and premium cement. And therefore, we are keepi ng it till moderate overall, say, growth in the volumes part.
At an industry level, we believe that given the headlines of inflation and weak monsoon, the industry may grow at around, say, 5% to 5.5%. We continue to remain committed to our end - state sales volumes targeted, supported by a sharper focus on higher util ization of the existing capacities and while operationalizing the new capacities and stabilizing them. Therefore, with this proposed ongoing additions of 10 million tonnes of GU, which you are aware of -- which

I've already shared with you in the Investor D eck, some of them, for example, Salai Banwa and Warisaliganj and so on and so forth. We are expecting to hit capacity of almost 119 million tonnes by end of FY '27.
Capacity expansion plans, we are recalibrating in line with our approach to take the advantage of the recent railway policies on bulk cement terminals, with additions pursued more gradual in terms of first focusing on optimizing the current capacities in hand. This will also help in terms of a very disciplined allocation of capital and a steadfast commitment to maximizing the returns on the capital employed.
Looking ahead, India's long -term infrastructure story remains fundamentally very strong and secular. However, with the expected inflationary pressure, weak monsoon and cement demand is expected to remain a little soft. Against this backdrop, Ambuja remain s focused on disciplined execution, strengthening brand penetration, scaling trade sales, driving premium cement sales and maintaining the cost and capital discipline.
Thank you, and I will now hand it back to the moderator back.
Moderator: Thank you very much. We'll take our first question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Vinod Bahety: So friends, also just to inform you that we also have our Director and senior, Mr. Karan Adani also on the call. He has just joined us. So I welcome Karan bhai. And yes, I just -- basically Karan bhai did the opening remarks, and we are now on the Q&A. So over back to the moderator, please.
Moderator: Yes. We have a question from Navin Sahadeo.
Navin Sahadeo: My first question was on the volume growth front. So in this quarter, as per the investor deck, volumes have grown by about 10 -odd percent. But if I adjust them to the Orient cement volumes, they are more like flattish on a Y -o-Y basis. And here, my questi on is that if we are seeing some pressure

on volumes because for FY '27, we have given a guidance of 80 million tonnes, which is roughly a growth of 9% to 10% against the backdrop that we are expecting a much softer industry growth of 5%. So I'm just wanting to reques t overall color on your volumes?
Vinod Bahety: Yes. Sorry for this. So Navin, so you're right, absolutely, in terms of the volume, especially for this March quarter, it has been a little muted. But now for the FY '27, when I given you indication of 80 million, which is around closer to, say, 8%, we hav e the visibility in terms of, a, stabilizing the acquired assets of Sanghi, Penna, which I told you; b, the ongoing expansions, which will get commissioned in the next few months, like between, let us say, now to September, we'll see the capacities will ge t commissioned, and we'll also then stabilize them.
So I have the incremental volume also coming from these capacities, which I mentioned almost around 10 million tonnes and of course, stabilizing the acquired assets of Penna and Sanghi. Yes. So on that basis, basically, we are expecting although with a sof ter demand for the year.
Did I answer your question, Navin?

Navin Sahadeo: Yes, yes. My second question then was on the overall capex plan. So as mentioned in this presentation, we are recalibrating our entire growth plan. We have visibility of taking that overall capacity to 119. But I'm just trying to understand by when will we get a color on the next leg of capex because the first day when the asset was acquired, the vision was to like, I think, double

the capacity and take it to 140 in the interim, we even increased it to 155.
And now we are taking a slightly a step back. So my question was, from a growth point of view, is there a -- by when, first of all, can we get a color of the big picture or the next longer -term plan? And in the same breath, is it that we are more open to p ursue inorganic growth, which helps us catapult to that overall growth target? Or we still believe organic is the way to go? That will help.
Vinod Bahety: So, Navin, our primary focus remains organic in terms of stabilizing our ongoing expansions and also already acquired assets. So therefore, I would say that, that remains the primary focus. I think we have a good headroom to improve our overall, say, mark et share by improving the capacity utilization of these plants. And therefore, as I said, we are going to follow quite a disciplined capital allocation.
And given the headwinds right now for the industry, it makes sense to push a little bit of the capex , but without losing eyesight on the overall, say, market share and the volume improvement from the existing assets and the ongoing expansions. To answer your question, I think maybe what I would say that the target plans of FY '28, it could move a year or 2, let us say, on a safer side, I would say that FY '30.
But as I said, it doesn't really matter. What matters is how you're able to ramp up the volume from your overall existing assets. And I have a substantial good headroom to ramp up over there. Even if I hit 120 million tonnes by end of '27, it will give me a good leverage of the overall market opportunity.
Moderator: Next question is from the line of Raashi Chopra from Citi.
Raashi Chopra: Just on the -- continuing on the previous question, what is the clinker capacity as of now?
Vinod Bahety: So Raashi, as of now, we are sitting on 69 million tonnes of clinker capacity.
Raashi Chopra: And you will be adding another 4 million this year?
Vinod Bahety: Yes. So at Maratha we have 4 million.
Raashi Chopra: Okay. And the next question on cost. Now for the full year, the cost is INR4,400. For the quarter, what was the average cost, INR4,500 for FY '26 for the same?
Vinod Bahety: In terms of quarter cost, Raashi, we are sitting at almost INR4,250 for the overall quarter and pl

us some of these increases what we have seen from the overall escalation. So I would like -- let us say that a normalized was almost INR4,250 and plus another INR250, which we have seen increases. So almost we are at now INR4,500 a tonne for the quarter of March.

Raashi Chopra: Right. And you are saying that the industry costs have gone down by anywhere -- gone up by anywhere in the range of INR400 to INR500. So is it safe to assume that because of the crisis, you will see another INR200, INR250 increase in costs, which will get offset by your fly ash, green energy, et cetera? Is that how we should be thinking about it?
Vinod Bahety: So Raashi, like as I said, the INR4,500, which is for the March quarter has already taken the hit of existing increases of almost, say, INR250. So I would say that INR4,500 safely, I would say, is on a peak basis, let us say, on a higher basis, which we have seen, barring like any aberration of plus/minus INR50.
But otherwise, you will see a journey which will actually start coming down in passing quarters. So although like, for example, with the overall situation, how the overall energy situation emerges, I would not give with conviction, but I strongly believe t hat, yes, this is like the peak which we have hit and should see a progressive improvement.
Raashi Chopra: So if I can just rephrase this, if nothing increases further in terms of global prices, you will see a decline of at least INR150 to INR200.
Vinod Bahety: Absolutely well summarized. Absolutely.
Raashi Chopra: Okay. And on the pricing, what has happened to offset these cost pressures, cement pricing?
Vinod Bahety: So that's interesting, Raashi. So you're hitting on both the right questions. On the pricing, like industry has seen a modest improvement of, I would say, INR10 in a few pockets, let us say, INR15, INR20, but that's like in a very selected area, geographies. Otherwise, ballpark for the quarter of March, around ballpark INR10.
Now with the demand getting a little softer, the pressure on pricing definitely is higher. And despite the circumstances of costs gone up, unfortunately, industry is still under the relentless pressure and not able to pass on the price.
Raashi Chopra: Got it. And just last question for me, what was the capex for the year?
Vinod Bahety: So capex for the year, we are keeping it a little moderate and ballpark, when you say this year -- so you're saying for FY '26. FY '26 is closer to about INR7,500 -odd crores. And I will just answer because there would be another question. So for FY '27, we are keeping an estimate of almost INR6,000 crores to INR6,500 crores. And that too will also -- which is how things span out. It may change a couple of hundred crores here and there, but that's the estimate what we

have.
Moderator: Next question is from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: Congratulations on increasing both trade sales and premium mix. But on that note, if I look at Slide 27, the realization has hardly moved Q -o-Q versus for peers, it is up somewhere between 1.5% to 2%. So is it mainly because of mix? Or what is driving this weaker revenue?
Vinod Bahety: So Indrajit, absolutely, you are right. I think the journey has just begun when we change the gears. And therefore, you will see more differentiated benefits coming in the subsequent

quarters. What we have done is we have sustained the price levels at INR254 a bag compared to in December. So from our own December quarter, we are up by, say, modestly at say, INR1. And compared to, say, last year, we were at say, INR255 -- so yes, the journey would further see improvements with higher blended cement and more premium cement sales. So it has just begun.
Indrajit Agarwal: Second, if I look at your blended utilization for next y

ear would we add best 71%, 72% on your expanded, let's say, weighted average capacity. So on that note, probably you will not need additional capacity in FY '28 as well. Is that what is driving a mor e calibrated capex approach?
Vinod Bahety: So I have Karan Bhai to answer this question, just a sec.
Karan Adani: So I think the way we are looking at this -- how we would look at capex is 2, 3 things. One is when we look at our performance, we need to -- we know where are the places we need to improve on. There are certain capacity which is there, which is in the wrong places. And -- so we will be adding a few capacity in places which w ill help us in terms of reducing our cost, logistics cost, especially as well as help us improve our penetration into those markets. I'm talking specifically into the markets where we have high market share and high recall value. So those are the places that we would definitely look at expanding our capacity over there.
The second thing is as we would be looking at as we are expanding our clinker capacity, the correspondingly GU capacity will also increase. And this year, we are -- apart from Rajasthan and Maharashtra, as you know, that we have won a limestone block in A ssam. Again, that's a completely new territory for us. So that is one new area which we will start in maybe end of this year.
And the second new area that we will be starting is in Mundra, which is, again, a completely new clinker line. So these are the 2 new projects apart from the new GUs that will help us in terms of reducing our costs.
Indrajit Agarwal: One last one, if I may. In light of this, how would we see any inorganic opportunity that comes up? Would you be interested or the focus would squarely be on organic growth right now?
Karan Adani : Inorganically, we keep evaluating, but our focus right now is on organic development and greenfield expansion. That is our number 1 priority.
Moderator: Next question is from the line of Jashandeep Singh Chadha from Nomura.
Jashandeep Singh Chadha: Sir, my first question is regarding the cost structure, especially in the fourth quarter also, we saw that the fixed cost, which is employee plus other cost has increased significantly Y -o-Y versus when we compare it to your peers also. I just wanted to u nderstand while you say there were some West Asian conflicts that impacted the cost. However, the conflict started towards the end of February and the packaging cost was also in the mid of March, which impacted the industry. I want to understand why among all your peers, Ambuja is seeing such an increase in its cost structure?

And secondly, in your presentation, you also mentioned that the freight cost was high because of some planned shutdowns. If I'm not wrong, in third quarter also, you took planned shutdowns. Normally, the industry takes shutdowns in the second quarter. So in quarter 3 and quarter 4, where the volume growth was really strong, the management decided to take planned shutdowns, which resulted in higher cost. So I just want to understand what is the rationale behind taking planned shutdowns in volume push quarte rs and why Ambuja's fixed cost is increasing way higher than its peers? My first question is regarding this.
Vinod Bahety: So Jashandeep, I think when Raashi asked this, and we have tried to explain. So in terms of picking out on our cost at INR4,500, which I mentioned, and from here, you will see improvements. But yes, your question is in terms of compared to the competition, why? Now a few components which are relevant to my business, I mentioned about a higher focus now on the branding advertisement to promote the trade sales and premium cement.

Second is in terms of higher repairs and maintenance costs. And you're right that ideally one should do it during the off seasons like monsoons, but not all the machines can be don

e during
that period. And there have been a few breakdowns also of the acqu ired assets of Penna's and all. So under the planning and also under out of planning, we will do it. So therefore, there have been those additional expenses of repairs and maintenance.
Then in terms of the bad cost, which although came in the last week of February to the overall, say, full month of March. When you promote and sell more premium cement, then there also some additional costs of logistics and handling, which also sits into to increase your cost. I also mentioned to you the journey which we want to achieve in terms of improved heat consumption, it is still not coming in the range.
And therefore, we still have a higher heat consumption, and I would say, ballpark, 35, 40 kilocalories minimum which we have to improve. Again, I will attribute to some of the acquired assets. Actually, when I look at the EBITDA of Ambuja and ACC, minus of the acquired assets, the EBITDA is actually higher by INR70, INR80. So it will be almost like INR800 and actually more when I normalize it, but it is at least INR800.
So I would say that the acquired assets still are not basically coming in the range to our desired levels and for which I had mentioned that the first priority is to stabilize the overall operations, achieve a good level of performance improvement. Hence, in the -- I think maybe a couple of months, we had taken the entire investor community to Sanghi plant just to showcase that how Sanghi is now in state of readiness and give higher improved volume improvement. This, I think we did in somewhere like March i tself, right? Okay, March itself. Now that is like, for example, we want to showcase that, yes, some of the assets have taken time, but now they are in the state of readiness.
Sooner that I will take you -- take all of you to Penna assets also. But before that, we took you to Marwar. Now -- so the journey is known. The issues are known. And therefore, in my opening remarks also, I mentioned about certain disappointments to us a lso where we think that INR4,500 is on a higher side, and we are basically in a position to bring it down in coming

quarters. So therefore, like you will see this is peaked out, and you will see an improvement prospectively from here.
Jashandeep Singh Chadha: My next question is largely taking forward Navin's question only. So first of all, Ambuja is the only company which has given such a bearish scenario for FY '27, and I understand, will be the rationale that you have given behind it. But with 5% industry g rowth and Ambuja expecting an 8% growth, there are certain capacities which are coming. I completely understand that. But what is your target utilization from the assets of Shanghi, Orient and Penna for FY '27? And I understand ther e are some challenges. So will there be additional capex required to bring the acquired assets to Ambuja's set of standards? I just want to understand this.
Vinod Bahety: Thank you, Jashandeep. So like Orient, for example, is operating at full capacity. So far as Sanghi is concerned, I will peg myself at almost like 65% to 70%. And so far as Penna is concerned, I will consider around 55% to 60% in terms of the utilization factors. And the existing assets of Ambuja and ACC, I would peg it to closer to around 75% to 80%.
So on an overall basis, at the Ambuja consol level average in the situation -- the scenario which I have mentioned to you, I would say 70%, 75% ballpark utilization for -- and you're right, like we have -- we anticipate the softer demand, and therefore, we would go with this belief. But if for any surprises positive in the industry and which we would all wish to, this number will definitely look positive. But as of now, situation is softer.
Jashandeep Singh Chadha: And sir, any further capex to bring these assets to Ambuja Cement?
Vinod Bah

ety: So as mentioned by Karan bhai, the overall, say, disciplined approach of capex where we want to now set up in the high potential market, which we have now completely done mapping, where we have market leadership, so which we will -- we have -- so he has already indicated a few of the assets in his narrative.
But progressively now, for example, let me first commission the existing assets in hand, which are ongoing, basically this 10 million and come to you all with the stabilization and achievement of the capacities for them. But passing quarters, then we will also highlight to you the capex program as it firms up. Mundra is very much now in the pipeline and so are a few assets which he mentioned.
Moderator: Next question is from the line of Manish Somaiya from Cantor.
Manish Somaiya: Vinod bhai, I just wanted to ask, we have talked quite a bit about fiscal '27 outlook. But what I'm trying to reconcile is how should we reconcile between the improvements that you're

planning in fiscal '27 is that dependent -- how much of that is depende nt on internal execution versus external normalization? Maybe if you can just help us understand that.
Vinod Bahety: I would say that the external factors will affect most of the industry players. Therefore, I will give more weightages on the internal factors and the execution of the same, which will bring the overall differentiation and leadership leverage on that. So t hat I would put it in this manner.

Karan Adani: So Manish, if I may just come here, Karan here. I think if you look at our performance, we realized that where the gaps are. And that's exactly where we are hyper focused on and improving on those performance. And based on whatever guidance we are giving, this is 100%, which is controllable by us. And if we are not able to achieve the guidance, it's purely because of our internal execution and not any other factor. And that's where the whole team is really focused on and delivering on the numbers now that w e are talking about. And we are very confident that this year, we will be able to hit the numbers that we are talking about.
Manish Somaiya: The other -- my second follow -up is on the premium products. Now they constitute about 35% to 36% of trade. What should be the realistic target that we should have in our models as we go out to fiscal '27 and maybe even beyond? What's the upside to that 3 5% to 36%?
Vinod Bahety: So Manish, right now, for example, I would say that 36% is a good number for us to sustain. And therefore, that is what, for example, can be considered in terms of the share of premium cement as a percentage of trade sales.
Moderator: Next question is from the line of Prateek Kumar from Jefferies.
Prateek Kumar: My question is on cost again. Yes. So in the last third quarter con call, which happened like around start of the February, management talked about like cost of INR4,000. Yes, we are talking about INR4,100 -- INR4,000 in January. We're talking about INR4,100 in exit of this quarter. So how the quarter cost is INR4,500, I'm unable to understand.
Another question is on the balance sheet. So your ACC's operating cash flows are negative, sharply negative for the year. And your overall consolidated Ambuja's cash flows also like negatively impacted by negative working capital. Can you throw some light on this?
Vinod Bahety: I will take the second question first. In terms of the ACC Ambuja, if you see ACC has receivable from Ambuja under the MSA. And you also would be aware that we have taken shareholders' approval in terms of the ICD, wherein the receivables will get paid of f. So like you will find in the coming quarter, this will get knocked off with the ICD number one.
So it's like as a one consol business under the MSA, the receivables are there. Therefore, ACC will find negative operating cash flow. So far as Ambu

ja is concerned, I think if you would have seen, we have a good level of inventory, which is higher. But w hen it comes to receivables, these are under good control with the higher degree of trade sales. And therefore, on an overall working capital of Ambuja, you will see only improvement for the March quarter compared to December quarter.
Your question about the cost. So Prateek, I think what we had envisaged to what is the reality, yes, there are differences because of the overall acquired asset situations. And many times, those anticipations, for example, have not worked upon. And then s uddenly, the packing bag situations which have come up and which also, for example, when Navin mentioned about a tepid 10% growth, we also lost a good level of volume because of the packing bag issues and all.

So there are these situations which will have to be dealt with. But luckily now, at least we know that this is the peak level of, say, cost, which we have hit. And from here, for example, as Karan bhai also mentioned, that the numbers will be tapering down with every passing quarter.
So reasons I've already explained right from branding to repairs and maintenance to the higher freight costs, the higher lead, for example, the AGTs or the -- for example, when it comes to EBITDA, the lower government incentives, which we are now -- that also, for example, we have a lower government incentive, a, because of the GST rates, which have come down; b, we have also exhausted some of the plants which we are giving -- having the incentives.
And third, in some of the states, we are now accruing on incentive on virtual visibility basis, basically, certainty basis basically so that we don't want to have pending long -term accruals and all. So there are a combination of these accounting policies and the situation of some of the plants, which have not matured to what we thought, more so for the acquired assets.
Prateek Kumar: So just some clarification on -- yes, one clarification in the opening remarks, it was said that you had like INR4,100 of cost. Is it just a day cost or a month cost or a last ? Like what is that cost?

Vinod Bahety: We had basically hit it INR4,100 for the month of March, Prateek, but as I said, that except those
-- the escalations of war, for example, almost INR250, which affected us. So on a normalized
basis, I was saying INR4,100 for the month of March.
Moderator: Next question is from the line of Amber Singhania from Nippon India AMC.
Amber Singhania: Just my question is also following up with the Prateek's question on the cost front. So if I see on
the first week of February when we had the last con call and if I may quote the average cost for
the quarter was INR4,500 along with the one -off, whereas we have exited December quarter
well below INR4,000 of cost ?
That was the commentary on the first week of February. I understand we do carry a good amount
of inventory as well, at least a month on that account for most of the raw material and input s on
that pa rt. Further, we had some one -off in the Q3. We have increased or enhanced our premium
contribution in this quarter. Pricing was slightly better than the previous quarter. Seasonally, this
is a better quarter which logically contribute towards better profita bility.
Despite everything and also with the previous answer that March month was INR4,100 which is
of course, we trying to understand how should one add up the entire cost for the quarter on the
light of the previous commentary of December INR4,000 that was given on first week of
February with the inventory, generally the people carry along with your comment currently on
the March INR4,100 avera ge cost. Also the reason which most of them are generally macro
factors which should impact every player or most of the players in the industry.
So far whatever results we have seen from the

large size with smaller size or the medium size.
These factors are not effecting too much in a totality in this quarter, in Q4. So just wanted to
understand how should we reconcile your last quarter commentary along with the exact numbers
which were reported along with the peers who have reported numbe rs, then how should we look
at making our outlook on that ? Just help us to understand.

Vinod Bahety: Okay. I think, see, basically, when -- in the December, for example, we have been very upbeat
in terms of some of the turnarounds, which you will see in some of our acquired assets of Penna,
for example, more so especially. And as you know, Penna is geogra phically more in South. And
if you actually look at the numbers and South, for example, has been one of the most affected
geography for the March quarter. Therefore, we have taken so me of the machines on shutdown.
And basically, there have been a couple of breakdowns also and therefore, which has increased
my higher repairs and maintenance for the quarter of March number one. Number two, in terms
of some of the acceleration which we have to give to our sales and branding and advertisemen t
is what we have given.
And the results of the same, we will get actually as an investment on our supply chain, but this
will more be accounted as an operating cost. So that is where, for example, the branding and
advertisement costs are higher. Then, of course, for the month of March, there have been this
abnormal cost for the packing, for example. And we have also seen a higher fuel cost and higher
fuel consumption.
Also, for example, the moment if you don't have a right blend of fuel, the consumption of the
fuel -- the feed consumption is also higher. So those also, for example, technically, the technical
KPIs have got affected. Now that was when we also -- in Decem ber, our quarter was at INR4,500
cost for the quarter, INR4,500.
And March also, for example, we are almost at say, INR4,500, yes. So I think look at it in this
manner that certain planned movements for the March could not fructify or we could not also
fulfill. And therefore, we have basically been at the same level to what we were in December
'25.
Amber Singhania :So just I understand that part of INR4,500 versus INR4,500. I'm just trying to reconcile the commentary
this quarter of INR4,000 exit in December vis -a-vis current commentary of INR4,100 for the
month of March. Just because 1 month in February, I'm just trying to understand how the entire
cost shoots up because of that when we move that inventory gets carried on for a couple of
months, which is there. I mean I will appreciate if you can share us quantification of various cost
item -- large cost item along with the benefits also which has come in from exi t of INR4,000 to
now exit of in March. It may not be now, but later on, if you can release that...
Vinod Bahety: No, I think because the commentary, I think, again, even if you remember the last call, I had
always said that the exit month of March. So while you are considering for the whole March
quarter of '26, no, that was not the -- the commentary was more about our aspiration and our
plan to get closer to INR4,000 by month of March. Now basically. Therefore, while the average
would still be higher than not at INR4,000. Therefore, please don't mistaken with INR4,000 as
average for the March quarter, n umber one.
Number two, of course, like -- therefore, I was highlighting that month of March, for example,

barring this aberration of the West Asia prices, and you might say that we would have got a little
bit affected more compared to -- as compared to others could b e. But yes, we have -- we got
affected with the overall packing bags and all.

And therefore, the pressure of volumes and therefore, the pressure on s

ales and hence, the higher
advertisement branding or sales promotions have been there. So therefore, like we unfortunately
could not come below INR4,500 for this entire quarter of March '26.
Moderator: Next question is from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni: I have a couple of them. One is, sir, for the Sanghi plant, which is operating at 57% utilization,
how important is for the Naliya railway line to be ready? And how far do you see Naliya being
connected and ramp up in volumes at Sanghi? That's question nu mber one, sir.
Vinod Bahety: So Pulkit, our base model is not linked to Naliya railway line. It is more with the our marine
infra, for example. And therefore, as you would know that we have already ordered 7 vessels,
which will be delivered in a progressive manner starting from next y ear. So that is what, for
example, Sanghi will bring the strength. And then otherwise, we are counting on the road
movement from Sanghi. The railway line only will be an add -on, but not being considered in the
base model.
Pulkit Patni: Sure. So the plan is to ramp up even if Naliya takes a little longer to be ready. Is that the right
way to look at it?
Vinod Bahety: Yes, yes. For right now, although in Sanghi, we don't have a ramp -up per se of capacity
expansion, but yes, ramp -up of the existing capacity, the utilization part. Correct.
Pulkit Patni: Absolutely, sir. Sir, my second question is, is it fair to assume that as and when there is a final
resolution on the JP assets that those assets would come to us? Or is there a possibility given
that we already have our own organic growth plan, a lot of work to do on increasing capacity
utilization that we could also not be considering having those assets? How should we look at it?
Vinod Bahety: So Pulkit, I will still consider that for JP, the RP is another listed company, and therefore, it
would be inappropriate from my side to answer anything on that. But as things progress,
whatever development happens, we'll come to know.
Moderator: Next question is from the line of Pinakin from HSBC.
Pinakin: I have 2 questions. My first question is, given Ambuja is the fourth company to have reported
earnings and the EBITDA per tonne is the lowest with high -cost inflation. Do you see the
industry and the company raising cement prices in the next few months to pass on the full cost
inflation? Or can we expect further margin deterioration with the inability to raise cement prices?
Vinod Bahety: So Pinakin, I would say that given the scenario of demand will be very important to basically
see the price being passed on to the customers. And as of now, I anticipate the overall demand
looks to be for right now, when I look at, say, April and now in M ay, a little subdued and soft.
Therefore, for example, when you attempt for, say, X, I would be happy even if the industry gets
half of the same. So that is like, for example, right now, the situation is.
But yes, cost on the other side has gone up by at least INR25. So that is like the only way then
to resolve and protect the margin is to focus on our own cost of production. And that is --

therefore, I was highlighting the internal factor will be playing more important what Manish
Somaiya had asked. The internal factor will be more important compared to the external factor.
Pinakin: Sure. My second question is, given Ambuja's cost delivery has been all over the place over the
last few quarters, can you give us some guidance where you move away from cost to EBITDA
per tonne by FY '28? Given where your EBITDA per tonne is today and ove r the next 2 years,
where do you see the EBITDA per tonne reach? And what are the building blocks of that margin?
What kind of price increases, what kind of cost savings? What kind of turnaround do you want
to see or do you expect in the next 2 yea rs?
Vinod Bahety: So P

inakin, I think it will be Herculean task for any industry person to give any estimate of
EBITDA per tonne at this stage. I would rather still continue my efforts on cost and therefore,
for example, one thing is like INR4,500 a tonne, let us say, it peaks out and then it starts coming
down from here to what journey we will go. I think progressively, we'll keep you posted and
especially in next 2, 3 quarters as things look some more brighter and clear. But for right now,
cost remains a key focus area. Obviously, like when you focus on trade sales and when you focus

on premium cement, this will keep giving you more mitigations. But I think any guidance on EBITDA will be difficult at this stage.

Karan Adani: But let me just add that cost, we are looking at roughly INR250 a tonne reduction this year and then another reduction of INR250 next year as well. That is the minimum reduction that we are looking at.

Moderator: Next question is from the line of Rahul Gupta from Morgan Stanley.

Rahul Gupta: My first question is now that you have talked about cumulatively INR500 per tonne of cost improvement over the next couple of years, are we shying away from the earlier target of INR3,650 that you had shared earlier? That is my question number one.

Karan Adani : So we are not shying away from our target. I think as we told earlier also, we need to focus on our execution. We still have -- there are multiple steps on the cost that we need to take between manufacturing, between raw material and between logistics. An d we are confident that we will be able to achieve that number.

I think it's just -- we are giving you realistic in terms of where we will be able to achieve in the next 2 years' time. But that does not mean that we don't have the runway to go to the earlier target that we have said. We know what are the steps we need to take. We know where we need to improve in terms of our efficiency, and that's where we are focused on. But this is something INR500 is what we can commit right now for the next 2 years.

Rahul Gupta: Got it. Got it. So I have one more clarification that I want, Karan, is you talked about shifting away from 155 million tonne capacity. So just a clarification that the company had earlier guided for 15 million tonnes of debottlenecking exercises across as sets. So does that stay or there will be some change on that as well?

Karan Adani: So those still continues. I think it's just timing, which will differ based on where we get the maximum return of the -- return on the investment.

Rahul Gupta: Got it. One final question. I remember in second quarter and third quarter, the company was already accelerating your branding and advertisement cost. So it would be helpful if you can help us understand what would be overall branding and advertisement co st for full fiscal '26?

Vinod Bahety: So for the full fiscal year '26, we are closer to almost like INR700 a tonne basically -- INR70 a tonne basically -- yes, INR70 a tonne basically on the full year basis of '26.

Moderator: Next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: One question for Karan bhai, one for Vinod ji. Karan bhai, one question. What prompted us for a reset right now? If you could highlight 5 key monitorables that probably you have set for yourself for last -- for next 1 year? And how does SLA fit in overall scheme of things after the reset?

Karan Adani: Sorry, can you repeat the question? I couldn't hear you properly.

Ritesh Shah: Yes. So the first question is, what prompted us for a reset right now? Second, what are the 5 key monitorables that you have laid out for yourself? And third, how does SLA fit in overall scheme of things after the reset?

Karan Adani: Yes. So I think why the reset, I mean, it's quite evident our performance has not been great. We've not been able to -- we've not been a

ble to deliver what we have promised to our shareholders. And so that is number one. I think if we have to assess ourse lves, we really need to improve on our cost. That is number one. I think the key KPIs that we are putting for ourselves is we need to reduce. We need to -- I would say 5 things that we need to focus on.

One is L1 plants delivering to the market, the discipline on L1 plants delivering to the respective markets. Second discipline is on trade versus non -trade sales. Number three is on our raw material consumption, reducing our cost on raw material as well as on the electricity front, energy consumption. And number four is improving our, I would say, channel networ k. In terms of to help us increase our sales. So I think these are the 5 things.

But predominantly, if I would say, 80% of it is to do with the cost, and we really need to get our act in order in terms of to make sure that we are able to reduce our costs. And so that is what we are looking at. Until the time we are not able to deliver on what we are promising. I don't think so it makes sense to make more capital investment because you don't get the returns on those capital invested as well. You had a second question?

Ritesh Shah: Yes. On SLA service agreements, I think, for a few of the plants that we have tied up with, how should we look at that on overall?

Karan Adani: So SLA -based contracts. This is something that is part of these initiatives because we do believe that what we need to -- what we need our teams to focus on and what -- where do they need to put their energy on. We do believe that there are -- at least in India now there are enough competent partners out there who can run the plants at the efficiency level that we would aspire to. And that's how we are looking at.

And second, obviously, given the history of Ambuja in ACC. I think the SLA partners help us in terms of cleaning up all the past union issues and all of that. So from that perspective, it really helps us in terms of reducing our cost and improving our eff iciency.
Moderator: Next question is from the line of Ashish Jain from Macquarie.
Ashish Jain: Sir, it is great to see explicit capital discipline. But in that context, I just want to understand this INR65 billion to INR70 billion of annual capex for the next 2 years that we're talking about, can you break it down ballpark in terms of growth versus cost efficiency versus any other initiative that it includes?
Karan Adani: Yes. So roughly INR4 billion is what is already the capex , which is already under execution, and it is implementation of that, which includes capacity, which includes WHRS, which includes your fly ash transportation system that we need. And the balance is, I would say, debottlenecking plus maintenance capex .
Vinod Bahety: So yes, Ashish, basically, I hope that answers your question.
Ashish Jain: Yes.
Moderator: Next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: I just wanted to understand more from a strategic perspective, like when Adani had acquired these cement assets, you had voiced out an ambition to kind of become the industry leader and double capacity and volume. So in that context, the current guidance seems to be quite subdued. So is it fair to say that there is a reset in ambition kind of from the earlier kind of thought tha t was there at the time of the acquisition?
Karan Adani: So we'll be honest with you. Yes, partially, there is a reset. We are not moving away from the target. Yes, we are moving away from the time line. That is to do with the -- we know that we are not delivering in terms of what we have what we had committed. And so it definitely makes sense to step back to look back and to see where we are going wrong and to course correct and then to -- and then that's where we are. And that's why we are giving yo

u the new guidance in
terms of where -- what is th e capacity -- revised capacity enhancement that we are looking at and the time frame that we are looking at.
Amit Murarka: Sure. And is there a target IRR in mind when you are doing your capex program now?
Karan Adani: It's capex -- I mean, the project IRR has to be 18%. this is all equity money. So you have to look at equity return like anybody else.
Moderator: Next question is from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi: Happy to know that the management focus is more graded on capex and also focused on cost execution. My only question, while you have been candid on the guidance, when you say INR250 cost reduction you're looking for FY '27 over FY '26. And at the same time, from exit Q4, we are seeing around INR250 to INR300 cost inflation because of the packaging and fuel price increase. So is this INR250 net off? Or net -net, we would see INR300-odd increase and

INR250 decline. So from current level, we would still see our cost going up by INR50 to INR100 in Q1 or in FY '27?
Vinod Bahety: So Rajesh, thank you. What we would put it is INR4,500 is the peak and this INR250 reduction is from here. So essentially, then it would mean INR4,250 as a target for '27.
Rajesh Ravi: Right. This is factoring in the cost inflation that we have already in place?
Vinod Bahety: Yes, that is true.
Rajesh Ravi: Okay. And in Q1 also, you are looking at similar cost structure in Q1 versus -- Q4 versus Q1, what sort of you're looking at basically the current inflation and your cost savings?
Vinod Bahety: So right now, for example, the headwind still continues, and therefore, it could be flattish for Q1. And as things comes out better, that it will start tapering.
Rajesh Ravi: Sorry for the -- flattish means your current cost, which is some of the cost inflation is factored in Q4 the energy and the packaging.
Vinod Bahety: Almost like INR4,500, I would peg it for say, Q1. And then from there, we will have the reduction journey continue. And for the year, therefore, we are targeting to have reduction of INR250.
Rajesh Ravi: Right, right. And on the non -core working capital, if I look at your core working capital has come down year -on-year from 30 days to 20 days. But if I look at your non -core working capital ex cash, that seems to have gone up significantly. So is there any strategic reason from what 40 days, which has now gone up to 49 days. That is where your total noncash working capital seems

to have shot up significantly from INR1,300 crores to INR5,500 crores.
Vinod Bahety: Rajesh, therefore, like, for example, some of the points which I mentioned that on certain incentives and all now, we will be looking to book it on an actual basis when received, then the actual basis, for example, so that this non -core working capital of operating working capital can be controlled.
Second is, I think some of these are -- which you are referring to could be purely accounting working capital. So maybe separately, we can connect. But generally, the core working capital, as you also mentioned, has come down and that efficiency of workin g capital will continue. Which specific non -core you are referring to, for example, you can connect to me offline and I will...
Rajesh Ravi: Yes, just on this 2 clinker plants which you are looking forward to. One was Mundra And what was the other beyond what is getting commissioned right now?
Vinod Bahety: So 2, the ones which I mentioned was one was -- so in our 73 million, for example, the 4 million -- and just to correct to what Raashi asked me the first question, my current capacity is 69 million and this 4 million tonnes we'll have at Maratha, that would be like 73 million. Now on top of it, the upcoming Mundra will be another 2 million of clinker. So that will be over and above this 4

million, which I mentioned. And then the Assam one, which will be another 2 million. So that will be pair of additional new assets.
Rajesh Ravi: And that would actually take 2, 3 years from now?
Vinod Bahety: Let's say 24 to 28 years, 28 months is what we are targeting.
Moderator: Next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Sir, just to clarify this INR250 cost reduction, this is on a full year average FY '27 that we are saying?
Vinod Bahety: Yes. So thanks, Shravan. This is for the full year FY '27 as an average. And therefore, for example, when I said that June quarter will be flat from the March quarter, then the degree of acceleration will have to be more for the rest 3 quarters. So you're right, the INR250 will be average for the year.
Shravan Shah: Got it. And second, when you mentioned about the prices, was it INR10 and the INR15, INR20 hike that you mentioned, this was for the April you wanted to say or this is for March. So currently, on an average, from the exit of March, have the prices for us have increased by INR10-odd. That's what we are trying to say?
Vinod Bahety: Yes. Basically, I was hinting on that only. So April over March as a trend for the hike cost.
Shravan Shah: Okay. And lastly, for full year FY '26 RMC EBITDA in Q4, you mentioned INR102 crores. But for full year FY '26, what could be the number?
Vinod Bahety: Just a sec. I have to just dig on this number. So full year RMX EBITDA you're asking, right?
Shravan Shah: Yes, sir.
Vinod Bahety: Okay. Around INR300 crores. So full year RMX EBITDA is a number of INR300 crores basically for the FY '26.
Moderator: Next question is from the line of Raghav Maheshwari from Equirus Securities.
Raghav Maheshwari: Sir, just one question from the capex side. Our capex is continuously getting delayed. As Adani standard, we are known for a pro capex and the very fast execution. But at the cement side, we are continuously getting delayed, especially like Maratha plant, we have already delayed plus our earlier plant also got delayed for this one, Chhattisgarh one . What is the issue behind the and continuously, we are getting some breakdowns at our bigger plants. Is it the maintenance -related issue or what we are facing currently right now ?
Karan Adani : So you're right. Your observation is right that capex -- our capex has not been up to the mark, and that's one of the reasons why we are pausing and correcting ourselves, and we want to first complete our projects that we have taken in our hand before we start any new projects. One of the main reasons why we have not been able to deliver as per what our standards are is 2, 3 things. I think one is we did not choose the right contractor for execution.

Number two is, we started these projects when we acquired Ambuja and ACC. And at that time, there was no team. So it took us time to build up that team as well. And we are confident that at least now we will be able to complete these projects in the time line that were given.
And number three is a lot of these projects were started without full engineering being done in place. So we are using the 6 months to complete all our engineering for the new projects that we

are thinking of starting. And once that is in place, then we w ill be looking at starting the project. So that's where you are -- but you're right, that's a correct observation that we've not been able to deliver projects in the stipulated time.
Number two, I think the breakdown, I would say it is predominantly in the acquisition assets where we have seen major breakdowns happening, especially Penna and Sanghi. And that's where the problem area has been for us, and that's where the team is focuse d on in terms of improving the reliability of the plants. And that's one of t

he reasons why you are seeing higher
R&M costs in this year, partially because a lot of the repairs and maintenance, which was supposed to be done was not done and which is why we are -- why one of the reasons for this breakdown as well.
Moderator: Next question is from the line of Harsh Mittal from Emkay Global.
Harsh Mittal: So my first question is that in your pursuit to focus on premiumization, what is the current average gap between Ambuja brand versus the nearest competitor currently? And what is the target to narrow it further? That my first question.
Vinod Bahety: So you are referring to premium cement, and I can highlight that the gap between my base product and the premium cement product is closer to, let us say, INR50, INR55 for the super premium and INR20, INR25 for the premium one. I think that was like first.
Then second, your question is about the gap between our price and compared to that competition. I think, see, everyone looks to his price better than others. And therefore, every time when the industry people try and compare us, there is always different opinions. I would say that the pan - India players like us and basically the other player, number 1 Ultra trade, I think the prices are more or less in the similar range in a few districts, INR5, INR10 here and there, either they are higher or we are lower o r whatever reverse way. But that's how the trend has been. And that is also reflected in the overall NSP of the quarter, which is close to each other for the number 1 and number 2.
Moderator: Next question is from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain: This question is for Karan. Karan, I just want to understand the comment you made about recalibrating capacities that earlier, the capacities were not in the right location. Now the capacity you're looking at are in the right location. So where were you i nitially looking at these capacities? I believe Sanghi was also there in terms of expansion initially. So maybe could you just discuss where is this recalibration coming from in terms of capacity?
Karan Adani: No. So the recalibration is coming basically -- especially where we have the integrated units, those are the locations where we are recalibrating because we find that the grinding units, the

operating cost, the logistics cost -- one of the reasons for the logistics cost being so high compared to competition is because the distance travel by the integrated units is quite higher than what it should be.
So one of the things that we are working towards is shutting down the grinding units in a lot of these places and moving them closer to the market. So that is the recalibration we are looking at. I don't think so we are looking at recalibration of, let's s ay, clinker units.
The second is, we are -- Sanghi is predominantly a clinker plus cement. We are moving towards in the next 3 years, you will see Sanghi moving predominantly into clinker, and you will see new capacities coming up on the coastal region of Gujarat.
And Dahej Line 2 is one of the classic examples of that, where we would look at Sanghi supplying clinker and moving and cement being supplied from these. So some of this recalibration is happening. Majority of the recalibration is happening in the North UP and Bihar region and Southern Gujarat -- Southern Gujarat and Maharashtra.
Satyadeep Jain: So this is not something ACC specific because I believe ACC had more integrated units. But you're mentioning...
Karan Adani: It's both ACC and Ambuja. It's ACC and Ambuja, both of them had issues. So I'll give you an example. Like today, we move -- we supply our Bihar market through Chhattisgarh and though we get the EBITDA, but it is not the optimal movement of the cement that we are seeing. So that's where we are looking at. We need to set up grinding units in Bihar to serve the Biha

r
market and Chhattisgarh unit should be just a clinker unit.
Moderator: Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to Mr. Deepak Balwani for closing comments. Over to you, sir.
Deepak Balwani: Yes. Thank you, Karan bhai, for joining the call and sharing your insights. Thank you all. I trust most questions have been answered. You have my contact numbers, please feel free to call me.
Thank you.

Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited to improve readability and accuracy

Ambuja Cements Ltd
Registered office: Adani Corporate House Shantigram, S.G. Highway Khodiyar, Ahmedabad – 382 421 Gujarat, India
Ph +91 79 -2555 5555; www.ambujacement.com; CIN: L26942GJ1981PLC004717

-- -------------------------